Republic of Malawi

Ministry of Finance

Training Manual for International Public Sector Accounting Standards (IPSASs)

for

Local Authorities in Malawi

September 2020

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FOREWORD

Following the adoption of the International Public Sector Accounting Standards (IPSASs) in 2011 by Government of Malawi (GoM) and the agreement to meet the requirements under Cash Basis IPSAS and gradually transition over time to Accrual Basis Standards, the Ministry of Finance (MoF) has drafted a roadmap, within the medium term, to adopt and implement Cash Basis and modified Cash Basis IPSAS, and within the long term, adopt and implement the Accrual Basis IPSAS. The drafted IPSASs implementation road map is four staged: the first accrual phase, which ended in 2018, was meant to cover IPSAS Cash Basis Accounting, the second accrual stage is for a three year period from 2019 to 2021 and is planned to introduce financial assets and liabilities to the Cash Basis accounting, the third accrual phase is set for the period 2021 to 2024, during this segment, it is expected that simplified accrual accounting will be added and finally, full accrual stage is scheduled for 2024 to 2026.

To achieve these immediate and longer-term goals in IPSASs implementation, it was necessary that a training manual on IPSASs be developed so that it can be used to build capacity of Local Authority officers on the use of these standards. In addition, selected staff from Ministry of Local Government and Rural Development (MLGRD); Ministry of Finance (MoF) & National Local Government Finance Committee (NLGFC) are trained as trainers so that they, in turn, should use the developed IPSASs manual to roll out the trainings on modified Cash Basis IPSASs to all staff in the 28 district councils.

The expectations of the MoF as well as USAID and the Foreign Commonwealth and Development Office (FCDO) through Local Government Accountability and Performance (LGAP) are that the development of this training manual on IPSASs and the training of trainers will not only compliment other endeavours aimed at fast-trucking the adoption of IPSASs accrual accounting in Local Authorities but also ensure compliance with Section 13 of the Public Finance Management Act 2003, which require that GoM should prepare financial reports using Generally Acceptable Accounting Principles (GAAPs) and the International Federation of Accountants (IFAC) recommends that Governments and all Public Sector Entities should prepare financial reports using International Public Sector Accounting Standards (IPSASs).

IFAC advocate the use of IPSASs by Governments and Public Sector Entities on account of increased transparency, consistency and global comparability of financial reports which provides better understanding of entity financial performance, greater accountability to make informed decisions about resource utilisation and improved financial information to support management of assets and decision making thereby raising the standard of financial reporting which is a critical element of good governance and sound management of a country.

The Government of Malawi recognize the invaluable contributions of the Development partners, the United States for International Development (USAID) and Foreign Commonwealth and Development Office (FCDO), who through Local Government Accountability and Performance (LGAP) Project implemented by DAI Global have financed and coordinated the development of this IPSASs training manual and the training of trainers exercise.

Finally, I would like to call upon trainers to adopt participative learning methods in their facilitation of the planned trainings using this manual and also call for commitment on the part of trainees throughout the training so that on their return to their offices after the training, trainees are able to show concrete results on the preparation of financial statements using IPSASs. Without which, the development of this IPSASs training manual and trainings that will be conducted will be an investment that will not yield any return.

Hon. Felix Mlusu
MINISTER OF FINANCE

ABBREVIATIONS AND ACROYNMS

CAG	Consultative Advisory Group
CEO	Chief Executive Officer
CO	Controlling Officer
CPA	Corrupt Practices Act
DC	District Commissioner
FIFO	First In First Out
GAAPs	Generally Acceptable Accounting Principles
GOM	Government of Malawi
GPFR	General Purpose Financial Reports
IA	Intangible Assets
ICAM	Institute of Chartered Accountants in Malawi
IFAC	International Federation of Accountants
IFRSs	International Financial Reporting Standards
IPSASs	International Public Sector Accounting Standards
IPSASB	International Public sector Accounting Standards Board
LAs	Local Authorities
LGAP	Local Government Accountability and Performance
LGA	Local Government Act
MAB	Malawi Accountants Board
MLGRD	Malawi Local Government and Rural Development
MoF	Ministry of Finance
NAO	National Audit Office
NLGFC	National Local Government Finance Committee
PAA	Public Audit Act
PAAA	Public Accountants and Auditors Act
PAEC	Public Accountants Examinations Council
PAO	Professional Accountancy Organisation
PFMA	Public Finance Management Act
PFM	Public Finance Management
PIC	Public Interest Committee
PPDPA	Public Procurement and Disposal of Public Assets
PPE	Property, Plant and Equipment

INTRODUCTION

ABOUT THE IPSASS TRAINING MANUAL

This document sets out the training manual on IPSASs. It has been developed for use by trainers who will be developing capacity of Local Authority Officers on the preparation of financial statements using the IPSASs Accrual Based Accounting.

RATIONALE OF THE IPSASS TRAINING MANUAL

In 2011, the Government of Malawi (GoM) adopted the International Public Sector Accounting Standards (IPSASs) and agreed to meet the requirements under Cash Basis IPSAS and gradually transition over time to Accrual Basis standards. The Ministry of Finance (MoF) has drafted a roadmap, within the medium term, to adopt and implement Cash Basis and modified Cash Basis IPSASs, and within the long term, adopt and implement the Accrual Basis IPSASs. The drafted IPSASs implementation road map is four staged: the first accrual phase, which ended in 2018, was meant to cover IPSAS Cash Basis Accounting, the second accrual stage is for a three year period from 2019 to 2021 and is planned to introduce financial assets and liabilities to the Cash Basis accounting, the third accrual phase is set for the period 2021 to 2024, during this segment, it is expected that simplified accrual accounting will be added and finally, full accrual stage is scheduled for 2024 to 2026.

To achieve these immediate and longer-term goals in IPSASs implementation, it was necessary that a training manual on IPSASs be developed so that it can be used to build capacity of Local Authority officers on the use of these standards.

PURPOSE OF THE IPSASS TRAINING MANUAL

The aim of the IPSASs training manual is to enhance acquisition of knowledge and competencies for preparing published public sector financial statements in accordance with International Public Sector Accounting Standards (IPSASs).

In particular, the manual seeks to improve participants' ability to:

- Explain the policy, legal, regulatory and governance framework for financial reporting in the Local Authorities;
- Present published financial statements in accordance with International Public Sector Accounting Standards (IPSASs);
- Prepare statement of cash flows for single entities;
- Account for changes in accounting policies and estimates and correct prior period errors;
- Account for revenue;
- Account for provision, contingencies and events after reporting period;
- Account for employee benefits;
- Account for social benefits;
- Account for property, plant and equipment, intangible and investment properties;
- Impair assets;
- Account for inventories;
- Account for leases;
- Account for financial instruments;

- Account for borrowing costs;
- Account for effect of exchange rates on foreign transactions;
- Account for events after the reporting date;
- Present budget information in financial statements
- present separate financial statements;
- Disclose financial information about general government sector;
- Prepare and present financial statements for first time adopters in accrual basis IPSAS; and
- Prepare and present financial statements under the IPSAS cash basis.

STRUCTURE OF THE IPSASS TRAINING MANUAL

The manual is organized in eight sections, twenty seven modules and has references and appendices. A typical module comprises an introduction, content material, activities or exercises and a summary structured in sessions as depicted on the table of content. The sections and modules covered are as following:

Section I: Regulatory and Conceptual Framework is an overview of the legal, regulatory, and conceptual and governance framework for financial reporting in Local Authorities covered in two modules. Module one summarizes the various laws enacted by GoM to achieve accountability and transparency of public funds as well as the decentralization and financial management policies that impact LAs financial reporting; module two describes the IPSASs setting process, IPSASs conceptual framework underpinning the preparation of financial statements, the Malawi code of corporate governance, governance in LAs and the roles of regulating bodies and officers in LAs.

Section II: **Presentation of Financial Statements** comprises three modules. Module three sets out the overall considerations for the presentation of financial statements; module four is about provision of information about the changes in cash and cash equivalent during the financial period from operating, investing and financing activities; and module five specifies the accounting treatment for changes in accounting policies, changes in accounting estimates and correction of material errors.

Section III: **Revenue** covers two modules. Module six deals with recognition and measurement of revenue arising from non-exchange transactions and events; whereas module seven establishes conditions that must be met for exchange transactions and events to be recognized and measured as revenue.

Section IV: **Expenses and Liabilities**. The section embraces three modules. Module eight establishes requirements for the recognition and measurement of provision, contingent liabilities and contingent assets; module nine prescribes procedures that must be followed in order to recognize and measure employee benefits; and module ten defines social benefits and establishes conditions for recognizing and measuring social benefits in financial statements.

Section V: **Assets and Valuation** encompass six modules as follows: modules eleven, twelve and thirteen establishes the accounting treatment and disclosure requirements for property, plant and equipment, investment properties and intangible assets respectively; module fourteen prescribes recognition and measurement criteria for inventories and finally modules fifteen and sixteen define and prescribe recognition and measurement criteria for impairment of non-cash generating assets and cash generating assets respectively.

Section VI: covers **Financing, Financial Instruments and Foreign Exchange**. The section consists of four modules. Module seventeen classifies leases and prescribe conditions for recognizing and measuring leases in the lessee as well as the lessors' financial statements; module eighteen prescribes the accounting treatment and disclosure requirements for financial assets and financial liabilities; module nineteen, prescribes

the accounting treatment and disclosure requirements for borrowing costs; and module twenty deals with accounting for foreign currency transactions and foreign operations and how they can be accounted for.

Section VII: presents **Disclosure** requirements and include five modules as listed: module twenty one deals with the accounting treatment and disclosure requirements of events after the reporting date; module twenty two is about the disclosure of budget information in the financial statements; whereas modules twenty three, twenty four and twenty five are about separate financial statements involving investments, disclosure of financial information about the general government sector and first time adoption of IPSAS on accrual basis accounting respectively.

Section VIII: outlines the requirements for the preparation and presentation of financial statements on a **Cash Basis IPSAS** in module twenty six and module twenty seven is about **Action Ideas** which trainees commit to undertake after the training sessions.

References and Appendices. **References** comprise literature used in the development of this training manual on IPSASs; whereas **Appendices** consist of a list of IPSASs in issue as at the end of 2019, Institutional reporting framework in Local Authorities, roles of regulating bodies and officers in LAs, financial statements formats and a trainers' facilitation guide.

SECTION I: REGULATORY AND CONCEPTUAL FRAMEWORK

MODULE 1 : REGULATORY AND POLICY FRAMEWORK

Session 1.1 Introduction

Session 1.2 Learning outcomes

Session 1.3 Regulatory Framework

Session 1.4 Policy Framework

Session 1.5 Summary

Session 1.6 Activities

SESSION 1 .1 INTRODUCTION

a) This module introduces the legal and policy framework that regulate the Local Authority (LA) accounting and financial management system.

b) The Local Authority accounting and financial management framework is aligned to the Decentralisation reform process being implemented by the Government of Malawi (GOM).

SESSION 1 .2 LEARNING OUTCOMES

By the end of this module, participants should be able to:

- Explain different Acts guiding financial management in Local authorities;
- State the consequences of non-compliance with the legal provisions;
- Describe decentralization in the context of Local Authorities;
- Outline the objectives of decentralization; and
- Explain the policies, concepts and principles that LA use to prepare financial statements.

SESSION 1 .3 REGULATORY FRAMEWORK

a) The Government of Malawi (GoM) enacted various laws to achieve accountability and transparency of public funds.

b) District Commissioners (DC) / Chief Executives Officers (CEO), Finance and the rest of the staff working in LA are expected to familiarize themselves and uphold these legal provisions. These are highlighted under this session.

1.3.1 Constitution of Malawi No 23 of 1966, Amendment No 20 of 1995

a) The Constitution is the supreme source of law in Malawi. Section 5 of the constitution makes this position where it provides that "*Any act of government or any law that is inconsistent with the provisions of this constitution shall, to the extent of such inconsistency, be invalid*". This means that any statute or policy, including those on financial management that is enacted or amended must not contradict the Constitution.

b) Sections 146, 147 and 148 of the constitution create and empower, provide for the composition and jurisdiction respectively of the Local Government under which all LA fall.
c) The Constitution created the National Local Government Finance Committee (NLGFC) in Section 149 and empowered it to control receipts and expenditure, consolidate budgets and supervise audits of all LA.
d) Finally, the Constitution provides a guide on raising, accounting, and spending of public revenue as well as auditing and reporting in sections 171 to 184.

1.3.2 Public Finance Management Act (PFMA) No 7 of 2003

a) The Public Finance Management Act (PFMA) is the principal statute in Public Finance Management (PFM) in Malawi. It seeks to:

- foster and enhance effective and responsible economic and financial management by Government, including adherence to policy objectives;
- provide accompanying accountability arrangements together with compliance with those arrangements;
- requires the Government to produce statements of proposed budget policy, confirmation of adherence to fiscal discipline, economic and fiscal statements, including economic and fiscal forecasts and updates, and performance information, including comprehensive financial statements.

b) Parts II of the Act stipulate responsibilities in PFM for various Actors including Controlling Officers (CO). Section 10 gives CO overall responsibility over financial management at entity level.
c) In part VIII, the PFMA provides guidance on budgets, bank accounts, loans, borrowing on overdraft, investing excess funds, accounts and record keeping, and financial statements to all GoM entities including LA.
d) Contents of financial statements as well as requirements to produce and submit monthly and quarterly financial reports are covered in part IV as read together with the fourth schedule of the PFMA.
e) Part X of the PFMA addresses the important aspect of non-compliance. It covers disciplining of the CO and DC / CEO in some circumstances, defines various offences under the Act and corresponding penalties. Specifically, Section 88 of the PFMA makes it an offence for any person who:

- in connection with an inspection or inquiry under this Act refuses, or without reasonable excuse fails, to attend at a time and place required of him by the Secretary to the Treasury;
- refuses to produce any records in his possession when required to do so under this Act;
- refuses or neglects to pay any public money or trust money into the account or fund into which it is payable;
- refuses to provide reports under this Act;
- intentionally or recklessly over commits or overspends funds under his control or expends funds where there is no appropriation permitting such expenditure
- makes any statement or declaration or gives any certificate required to be made or given by or under this Act, knowing it to be false
- does any act or omission for the purpose of procuring for that person or any other person or organization
- the improper payment of public money or trust money; or
- the improper use of public resources; or
- Wilfully fails to meet any obligation imposed on him under this Act.

1.3.3 Public Audit Act (PAA) No 6 of 2003, Amendment No 10 of 2018

a) The Public Audit Act (PAA) was enacted to promote accountability and transparency in PFM by making the Government accountable to the public through the National Assembly.

b) The PAA creates and gives functions to the office of the Auditor General in part II of the Act. Such functions include auditing and reporting on accounts of any entity that is issued with public funds (Section 6 of the PAA).

c) Provisions of the PAA require audited annual financial information to be provided to Parliament through the Auditor General who is the head of National Audit Office (NAO).

d) Any person who refuses to produce a document, answer questions or attend to the Auditor General under this Act, commits an offence under Section 29(1) and is liable to penalties as prescribed in Section 29(2) & (3) of the Act.

1.3.4 Public Procurement Act 2003, Amendment Public Procurement and Disposal of Public Assets Act No 27 of 2017

a) The Act creates the Public Procurement and Disposal of Assets Authority and mandates it to regulate and oversee procurement and disposal of assets in Malawi

b) It also empowers the Authority to maximize economy and efficiency in public procurement and disposal of public assets in Malawi by making it mandatory that all public entities follow the PPDPA Act in the procurement and disposal of goods, works and services.

1.3.5 Local Government Act (LGA) No 42 of 1998 Amendment 2010

a) The law sets out the mandate of the Local Government in the provision development to the people in a democratic, transparent, participatory manner.

b) Under part VI, the LGA makes various important provisions on revenue, bank accounts, overdraft facilities, investment of funds, power to borrow, estimates and books of accounting records as well as the requirement to have the financial statements audited by the Auditor General.

1.3.6 Corrupt Practices Act (CPA), 1995

The Act established the Anti-Corruption Bureau and empowers it to prevent and investigate corruption and prosecute any corrupt practices in Malawi.

1.3.7 Desk Instructions

Desk Instructions for financial management in public sector are meant to provide guidance on procedures to follow when preparing financial statements in Local Authorities. At the time of writing this manual, there were 21 Desk Instructions in issue, providing direction on a variety of areas ranging from classification of Government accounts to revenue monitoring return.

1.3.8 Public Accountants and Auditors Act No 5 of 2013

The purpose of the Public Accountants and Auditors Act was to set up the Malawi Accountants Board (MAB) and mandate it to register chartered accountants and issue diplomas to those qualifying as accountants and also deal with matters incidental to them. The same Act, under Part III, also found the Institute of Chartered Accountants in Malawi (ICAM).

a) **Malawi Accountants Board**

The Malawi Accountants Board is a statutory corporation which was created by the Public Accountants and Auditors Act (PAAA) No.5 of 2013 to regulate financial matters and provide direct oversight over professional accountancy bodies and auditors in order to:

- promote high quality reporting of financial and non-financial information by entities;
- promote the highest professional standards amongst auditors and accountants;
- improve the integrity, competence and transparency of professional activities in accounting and auditing; and
- adopt and ensure compliance with and enforcement of applicable local and international accounting and auditing standards.

b) **Institute of Chartered Accountants in Malawi**

The Institute of Chartered Accountants in Malawi is a Professional Accountancy Organisation (PAO) which was formed out of a merger of the Public Accountants Examination Council (PAEC) and the Society of Accountants in Malawi (SOCAM) under the Public Accountants and Auditors Act No.5 of 2013. The Institute is mandated, among other things, to:

- Set accounting and auditing standards appropriate to conditions prevailing in Malawi, and to the continued international acceptance of audited financial statements originating in Malawi;
- Continuously review and disseminate to its members and others, information concerning international and internal developments in technical matters affecting the profession of accounting and auditing;
- Setting the examinations for those desirous of qualifying for registration under the Public Accountants and Auditors Act No. 5 of 2013; and
- Promote issues of good governance in Malawi.

In order to comply with the Public Accountants and Auditors Act, assist the Act to realize its mission and also benefit from its programs, all personnel working in Local Authorities in Malawi and are in possession of a minimum qualification of a diploma in accounting or its equivalent must register with the Malawi Accountants Board through the Institute of Chartered Accountants in Malawi.

SESSION 1 .4 POLICY FRAMEWORK

1.4.1 Decentralisation Policy

a) Decentralisation means the transfer of authority and responsibility for public functions from the central government to subordinate or quasi-independent government organizations and/or the private sectors.

b) Malawi adopted the decentralization policy in October, 1998 and the policy:

- Devolves administration and political authority to the district level;
- Integrates government agencies at the district and local levels into one administrative unit, through the process of institutional integration, manpower absorption, composite budgeting and provision of funds for the decentralized services;
- Diverts the centre of implementation responsibilities to the various levels of government; and
- Promotes popular participation in the governance and development of districts.

c) The decentralization policy in Malawi seeks to realise the following objectives:

- Create a democratic environment and institutions in Malawi for governance and development, at the local level which will facilitate the participation of the grassroots in decision making;
- Eliminate dual administrations (field administration and local government) at the district level with the aim of making public service more efficient, economic and cost effective;
- Promote accountability and good governance at the local level in order to help Government reduce poverty; and
- Mobilize the masses for socio-economic development at the local level.

1.4.2 Local Authorities Financial Management Policies

a) Financial management policies relate to accounting concepts and principles governing the Local Authority accounting systems in line with Generally Accepted Accounting Principles (GAAPs).

b) These policies must be adhered to by Local authorities in discharging their financial management responsibilities.

c) The Ministry of Local Government and Rural Development (MLGRD), through the National Local Government Finance committee has developed a **policy** on a number of areas for use by all Local Authorities and are outlines in the Accounting and Financial Management Manual.

d) The areas covered by the **policy** are: Non-Current Assets (acquisition, capitalization, recognition, records, security, depreciation, review of useful life, revaluation and disposal); Cash and bank (Bank Accounts, signatories and signing arrangements); Revenue; Imprest Cash Fund and Petty Cash; Accounts Receivables; Investments; Accounts Payables; Inventory; Procurement; Salaries and wages; Staff Loans and Advances; Loans and Borrowing; Budgeting; Final Accounts; Audit and Retention of Records.

e) The manual also prescribes **concepts** governing the preparation of Local Authorities financial statements. these are:

- **Accounting Basis**: The financial statements should be prepared in accordance with the Generally Accepted accounting Principles (GAAPs) and Internal Public Sector Accounting Standards (IPSAS).
- **Accruals**: revenue income and expenditure should be matched to the services provided in the same accounting period. This is the concept on which IPSASs are based.
- **Matching Concept**: revenue income and expenditure should be recorded in the period in which the service is provided.
- **Consistency:** accounting policies should be applied consistently to all transactions during the accounting period and from period to period.
- **Prudence:** expenses, liabilities, assets and revenue should not be overstated or understated. In addition losses should be recognized as soon as possible and gains included in financial statements when certain.
- **Substance over Form**: the substance over form must be considered in cases where the legal form of a transaction does not mirror its economic substance. Accounting should always reflect economic substance over legal form.
- **Relevance and Materiality**: information is relevant if it influences users on economic decisions and material if it affects the evaluation of financial statements.

f) Finally, the manual also stipulate **principles** that should be followed in preparation of financial statements. Principles, which are mostly accrual based, have been prescribed on the following areas: employee costs; pension costs; premises and transport related expenses; supplies and services; cost of support service; interest; grants; customer and client receipts; interest income; investments; provisions; reserves; and noncurrent assets.

SESSION 1 .5 SUMMARY

The module on regulatory and policy framework has summarised all legal and policy framework for financial reporting in LA. The module has covered the Constitution of the Republic of Malawi, the Public Finance Management Act, the Public Procurement and Disposal of Public Assets Act, the Public Audit Act, the Local Government Act, the Corrupt Practices Act and the Public Accountants and Auditors Act. Finally, the module has explained the concept and motive of the decentralization and financial management policies in the context of LAs in Malawi. The next module looks at the conceptual and governance frameworks of financial reporting in LAs in Malawi.

SESSION 1 .6 ACTIVITIES

Activity 1.1

a) State the purpose of the following legislation/policy/bodies: Public Finance Management Act, Public Audit Act, Local Governance Act, Corrupt Practices Act, MAB and ICAM. (Solutions available in the manual)

b) List any four grounds on which a controlling officer can be disciplined. (Solutions available in the manual)

c) Write short notes on the following: Accrual basis of accounting, prudence, and substance over form. (Solutions available in the manual)

MODULE 2: CONCEPTUAL AND GOVERNANCE FRAMEWORK

Session 2.1 Introduction

Session 2.2 Learning Outcomes

Session2.3 International Public Sector Accounting Standards Setting Process

Session 2.4 IPSAS Conceptual Framework

Session 2.5 Governance Framework

Session 2.6 Summary

Session 2.7 Activities

SESSION 2.1 INTRODUCTION

The previous module looked at the regulatory and policy frameworks of financial reporting in the LAs, this module will focus on the conceptual framework for financial reporting and governance framework in the LAs.

Regarding the conceptual framework, the module covers the standards setting process and the roles of IFAC and IPSASB therein, the purpose of the IPSAS conceptual framework, characteristics of public sector entities, objectives and users of general purpose financial reports, and qualitative characteristics of financial reports. The module also provides guidelines on elements of financial statements as well as how elements can be recognized and measured in financial statements.

The second and last part of the module covers the importance of good governance and a summary of provisions contained in the Malawi Corporate governance code, governance practices and the roles of regulating bodies and officers in LAs.

SESSION 2.2 LEARNING OUTCOMES

By the end of this session, participants should be able to:

- Describe the public sector standard setting process;
- Explain the purpose of IPSAS conceptual framework;
- Describe the characteristics of a public sector entity;
- List the objectives and purposes of financial reporting;
- Explain the characteristics and limitations of useful financial information;
- Define elements of financial statements;
- Recognize elements of financial statements;
- Measure elements of financial statements;
- Explain the need for good corporate governance in a country;
- Identify key provisions covered by the code of best practice for corporate governance in Malawi, the "Malawi Code II";
- Explain how the LA are governed; and
- Outline the roles and responsibilities of regulating bodies and officers.

SESSION 2.3 INTERNATIONAL PUBLIC SECTOR ACCOUNTING STANDARDS SETTING PROCESS

The International Public Sector Accounting Standards (IPSAS) are developed by the International Public Sector Accounting Standards Board (IPSASB) with the support from the International Federation of Accountants (IFAC).

2.3.1 International Federation of Accountants (IFAC)

a) IFAC was founded in 1977 with the aim of:

- Serving the public interest by contributing to the development of strong and sustainable organizations, markets and economies in the World; and
- Contributing to the development, adoption and implementation of high quality international public sector accounting standards. Through its support to the IPSASB, a body which develops IPSASs.

b) It currently has a membership of more than 175 in more than 130 countries and jurisdiction, representing more than 3million accountants in public practice, education, government service, industry and commerce.

c) IFAC provides human resources, facilities management, communication facilities and funding to IPSASB and facilitates the nomination of its Board members.

2.3.2 International Public Sector Accounting Standards Board (IPSASB)

a) IPSASB develops accounting standards for public sector entities referred to as IPSAS with the primary objective of achieving global consistency and comparability of financial reporting.

b) It sets public sector accounting standards for both cash and accrual bases.

c) The accrual based IPSASs are based on International Financial Reporting Standards (IFRSs) where requirements are applicable to public entities.

d) The benefit of adopting IPSAS by governments is that they improve the quality and comparability of financial information by public sector in the World.

e) IPSASB sets its own agenda and works independently from IFAC even though IFAC publishes the standards and owns the copyright.

f) IPSASB works through a Consultative Advisory Group (CAG) which is responsible for the formal consultation process.

g) The governance and standard setting process are overseen by the Public Interest Committee (PIC), to ensure that the IPSASB follow the due process and reflect the public interest.

h) The PIC is comprised of expertise in public sector financial reporting and professional engagement in organizations that have an interest in promoting high quality and comparable financial information.

i) IPSAS has three boards, namely: Public Sector Accounting Standards, Auditing Standards and Accounting Education.

j) According to the 2019 International Public Sector Accounting Standards handbook, there were 42 accrual based International Public Sector Accounting Standards (IPSASs) in issue, a Cash Basis IPSAS, and 3 Recommended Practice Guideline (RPG). **Appendix 1 lists the 42 accrual based IPSASs.**

SESSION 2.4 IPSAS CONCEPTUAL FRAMEWORK

a) The IPSAS conceptual framework is like the constitution that leads the accounting systems. It sets out the following:

- The objective of General Purpose Financial Reporting (GPFR);
- The users and information needs of GPFR;
- Qualitative characteristics of useful financial information;
- A description of a reporting entity and its boundary;
- Definitions of the elements of financial statements i.e. an asset, a liability, equity, income and expense;
- Criteria for including elements in financial statements (recognition) and guidance on when to remove them (de-recognition);
- Measurement bases and when to use them; and
- Concepts and guidance on presentation and disclosure.

b) The purpose of the conceptual framework is to:

- Help the International Public Sector Accounting Standards Board (IPSASB) in developing the International Public Sector Accounting Standards (IPSASs) and Recommended Practice Guidelines (RPGs) applicable to the preparation and presentation of general purpose financial reports (GPFRs) of public sector entities that adopt the accrual basis of accounting;
- Assist preparers of financial reports to develop consistent accounting policies for transactions or other events when no standard applies or a standard allows a choice of accounting policies; and
- Assist all parties to understand and interpret standards.

c) The conceptual framework applies to financial reporting by public sector entities that apply IPSASs. Public sector entities include:

- Government ministries, departments, programs, boards, commissions, agencies
- Public sector security funds, trusts, statutory authorities, and
- International governmental organizations

2.4.1 Public Sector Entities

a) **Public Sector Entities** are Government or other entities that provide services to the public without a profit motive or generation of return on their investment. These services are meant to enhance or maintain the well-being of the citizens or other eligible residents.

b) Examples of services include welfare programs and policing, public education, national security and defence services. In most cases, these services are provided as a result of a non-exchange transaction and in a non-competitive environment.

c) **Characteristics of Public Sector Entities**

d) **Volume and significance of non-financial exchange**.

- A non-exchange transaction is one in which an entity receives value from another party without directly giving approximately equal value in exchange. In other words, the amount that an individual or group of individuals obtains in benefits will not be approximately equal to the amount of any fees paid or contributions made by the individual or group.
- Such transactions are common in public sector. For instance a charge or fee paid for access a service in government or agency. The nature of non-exchange transactions may have an impact on how

they are recognized, measured, and presented to best support assessments of the entity by service recipients and resource providers.

e) **Importance of approved Budget**. The approved budget is the one that has been approved by parliament as required by the constitution. The approved budget is the basis for assessing performance of the entity, is used as a basis for accountability, compliance with legal requirement, informs decision making in the subsequent budgets.

f) **Nature of public sector programs and longevity of public sector**

- Many public sector programs are long term and the ability to meet commitments depends upon future taxation and contributions. Many commitments arising from public sector programs and powers to levy future taxation do not meet the definition of a liability and an asset.
- As such, the statement of financial position and statement of financial performance cannot provide all the information that users need on long term programs, particularly those delivering social benefits.
- To mitigate this, GPFRs containing prospective financial information on the long-term sustainability of an entity's finances and key programs are necessary for accountability and decision-making purposes.

g) **Nature and purpose of assets and liabilities in the public sector**

- In the public sector, the primary reason for holding property, plant, and equipment and other assets is for their service potential rather than their ability to generate cash flows. Because of the types of services provided, a significant proportion of assets used by public sector entities are specialized— for example, roads and military assets. There may be a limited market for such assets and, even then, they may need considerable adaptation in order to be used by other operators.
- These factors have implications for the measurement of such assets. Other assets include: items that contribute to historical and cultural character of the nation like art, treasures, historical buildings and national parks. Assets originating from powers that government have over natural resources like mineral resources, water, fishing grounds, forests and electromagnetic spectrum where government licenses users and obtains taxes and loyalties.

h) **Many liabilities arise from non-exchange transactions** and include those related to programs that operate to deliver social benefits. Liabilities may also arise from governments' role as a lender of last resort and from any obligations to transfer resources to those affected by disasters. In addition many governments have obligations that arise from monetary activities such as currency in circulation.

i) **Regulatory role of PSE**. regulating entities by government or regulating itself is meant to safeguard public interest in accordance with public policy objectives, curb market imperfections or market failures for particular services, mitigate against factors like pollution,

j) **General Purpose Financial Reporting (GPFR)**

2.4.1.1 Objectives of GPFRs

a) GPFRs are financial reports intended to meet the information needs of users who are unable to require the preparation of financial reports tailored to meet their specific information needs.

b) The **objectives of financial reporting** by public sector entities are to provide information about the entity that is useful to users of GPFRs for accountability purposes and for decision-making

c) **Users of GPFRs and their Needs**

a) General purpose financial reports are produced in order to answer the information needs of public sector entities resource providers and service recipients who are many and have varied needs including the following:

Resource providers

- Lenders - to check how their resources have been utilized and also for decision making purposes.
- Donors – to test how their resources have been utilized and also for decision making purposes.
- Taxpayers - to check how their resources have been utilized and also for decision making purposes.

Service recipients

- Legislature and members of parliament (on their own behalf and also that of the entire citizenship).

Other Users

- Citizens – receive services but also provide resources.
- Government statisticians.
- Analysts, Media, Financial advisors, Public interests and lobby groups, Regulatory and oversight bodies, Audit institutions, Sub committees of legislature, Rating agencies, and Lending institutions and providers of development.

d) b) Resource providers and service recipients require information for **accountability and decision making purposes**. Governments and other public sector entities are accountable to those that provide them with resources, and to those that depend on them to use those resources to deliver services during the reporting period and over the longer term.

e) Examples of accountability and decision making that can be made from GPFR include:

- Providers of resources on a voluntary basis like donors, lenders, creditors and others make decisions of whether to continue providing resources or not.
- Members of the legislature can make decision about service delivery objectives of government agencies and resource allocations to achieve these.
- Service recipients and resource providers who provide resources and get service involuntary use financial reports to make voting decisions to elected officials which may later on have resource allocation implications.
- Information for accountability purposes can also be used for decision making i.e. information about costs, efficiency and effectiveness of past delivery services, amount and cost of service recovery will not only be for accountability but also for decision making by donors and lenders alike.

2.4.1.2 Contents of GPFR:

- **Financial Position** –provides information of an entity that will enable users identify resources of an entity and claims against those resources. Provides information to users to assess management responsibility to safeguard and manage assets, extent to which resources are available for future service delivery.
- **Financial Performance** – provides information will help an assessment into whether an entity has acquired resources in an economic manner and used them efficiently and effectively in its service delivery objectives. Information about cost of service delivery and the amount and source of cost recovery will be an input into the assessment of whether services were financed from transfer of taxes and own generation or increase in indebtedness.
- **Cash flow** – provides information useful for the assessment of entity's financial performance, solvency and liquidity. How the entity raised and used cash during the period. Financial position, financial performance and cash flow Borrowing and repayments. Acquisition and sell off assets, sources of cash. Assessment of entity's compliance with spending mandates. Likely amounts and sources of cash in future to support service objectives.
- **Budget Information and Compliance with Legislation** - provides users with information about operational plans for the forthcoming period, capital needs, its service delivery objectives and expectations. Is used to justify the raising of resources from taxpayers and other well-wishers. Establishes authority for expenditure of recourses.
- **Service Delivery Achievements**. Provides information to users to assess the achievement of service delivery of an entity. These can be expressed in quantitative or qualitative. Examples of quantitative are costs, volume and frequency of service delivery and the relationship of service delivered; quality of service would be an example of qualitative rating. Non-financial and financial information will assist users to assess how economic, efficient or effective an entity has been.
- **Prospective Financial and Non-financial Information** - provide users with information to be used to assess the ability of the entity to meet its future service delivery and future financial commitments. Assessment of sustainability of service delivery, provide information for accountability and decision making.
- **Explanatory Information**. Provide information about the factors underlying the financial and service delivery performance, assumptions that underpin and factors that are likely to influence the entity's future performance. Such information will assist users to place the financial statements into context and enhance their usefulness for accountability and decision making.

2.4.1.3 Qualitative Characteristics of GPFRs

For financial information to be useful to users so that it meets their information needs, it must have the following attributes:

a) **Relevance** - financial and non-financial information is relevant if it is capable of making a difference in achieving the objectives of financial reporting. information is capable of making a difference if it has:

- Confirmatory value – i.e. confirms or changes past or present expectations. Information will be relevant if it confirms management efficient and effective use of entity resources.
- Predictive value – information about anticipated future service delivery, costs, objectives and amount of resources that are intended to be allocated for service delivery will have predictive value.

b) **Faithful representation** - to be useful in financial reporting, information must be a faithful representation of the economic and other phenomena that it purports to represent (substance over form). Information that has been faithfully presented is one that is complete, neutral, and free from material error.
c) **Understand-ability** - is the quality of information that enables users to comprehend its meaning.
d) **Timeliness** - Timeliness means having information available for users before it loses its capacity to be useful for accountability and decision-making purposes. Some items of information may continue to be useful long after the reporting period or reporting date i.e. information used to prepare trends, assessing the impact of a service on the citizens will require information from previous periods.
e) **Comparability**, comparability is the quality of information that enables users to identify similarities in, and differences between, two sets of phenomena.
f) **Verifiability** - Verifiability is the quality of information that helps assure users that information in GPFRs faithfully represents the economic and other phenomena that it purports to represent.

Pervasive constraints on information included in GPFRs are

g) **Materiality** - preparers of GPFR will strive to comply with attributes of GPFRs only if they will make a material impact to the users' assessment of an entity's accountability and for their decision making. Information is material if its omission or misstatement could influence the discharge of accountability by the entity, or the decisions that users make on the basis of the entity's GPFRs prepared for that reporting period.
h) **Cost-benefit** – some characteristics will be forgone because the entity may spend more than the benefit that the entity would enjoy in order to comply with an attribute. and
i) **Balance between the qualitative characteristics** – qualitative characteristics work together in order to achieve the usefulness of financial reporting.

2.4.2 Elements of Financial Statements

a) **Elements** are the building blocks from which financial statements are constructed. These building blocks provide an initial point for recording, classifying and aggregating economic data and activity in a way that provides users with information that meets the objectives of financial reporting and achieves the qualitative characteristics of financial reporting while taking into account the constraints on information included in GPFRs.
b) Elements of financial statements are assets, liabilities, revenue, expenses, ownership contributions and ownership distributions.

Asset	An **asset** is a resource presently controlled by an entity as a result of past events. A **resource** is an item with service potential or ability to generate economic benefits. Examples of public sector assets with service potential include recreational, heritage, community, defence and other assets which are held by governments and other public sector entities, and which are used to provide services to third parties. Economic benefits are cash inflows or a reduction in cash outflows. **Presently controlled by the entity**. An entity must have control of a resource. Control of the resource entails the ability of the entity to use the resource (or direct other parties on its use) so as to derive the benefit of the service potential or economic benefits embodied in the resource in the achievement of its service delivery or other objectives. **Past events** may arise in form of entities obtaining assets by purchasing them in an exchange transaction or developing them, non-exchange transactions, including through the exercising of sovereign powers. The power to tax or to issue licenses and to access or restrict or deny access to the benefits embodied in intangible resources, like the electromagnetic spectrum, are examples of public sector- specific powers and rights that may give rise to assets.
Liability	A **liability** is a present obligation of an entity for an outflow of resources that result from a past event. A **present obligation** is a legally binding obligation (legal obligation) or non-legally binding obligation, which an entity has little or no realistic alternative to avoid. A liability must involve **an outflow of resources** from the entity for it to be settled. Liability can only **arise** with third parties in an either legally or non-legally binding contract, with or without indicative settlement dates. Non legal contract could be as a result of past practices. **Net financial position** is the difference between assets and liabilities after adding other resources and deducting other obligations recognized in the statement of financial position. Net financial position can be a positive or negative residual amount.

Revenue and Expense	**Revenue** is increases in the net financial position of the entity, other than increases arising from ownership contributions. **Expense** is decreases in the net financial position of an entity, other than decreases arising from ownership distributions. Revenue and expense **arise** from exchange and non-exchange transactions, other events such as unrealized increases and decreases in the value of assets and liabilities, and the consumption of assets through depreciation and erosion of service potential and ability to generate economic benefits through impairments. The entity's **surplus or deficit** for the period is the difference between revenue and expense reported on the statement of financial performance.
Ownership contributions and ownership distributions	Ownership contributions are Inflows of resources to an entity, contributed by external parties in their capacity as owners, which establish or increase an interest in the net financial position of the entity. Ownership distributions are Outflows of resources from the entity, distributed to external parties in their capacity as owners, which return or reduce an interest in the net financial position of the entity.

2.4.3 Recognition of Elements in Financial Statements

a) **Recognition** is the process of incorporating and including in amounts displayed on the face of the appropriate financial statement an item that meets the definition of an element and can be measured in a way that achieves the qualitative characteristics and takes account of the constraints on information included in GPFRs.

b) Recognition involves an assessment of uncertainty of an element' existence and measurement and conditions giving rise to them may change.

c) An element should be **recognized** in financial statements if:

- it satisfies the definition of an element; and
- Can be reliably measured.

d) An entity must **disclose** information about items that meet many, but not all the characteristics of the definition of an element and those that meet the definition of an element but cannot be measured in a manner that achieves the qualitative characteristics sufficiently to meet the objectives of financial reporting.

e) **De-recognition** is the process of evaluating whether changes have occurred since the previous reporting date that warrant removing an element that has been previously recognized from the financial statements, and removing the item if such changes have occurred.

f) **Measurement of Assets and Liabilities in Financial Statements**

2.4.3.1 Objective of Measurement

The objective of measurement is to select those measurement bases that most fairly reflect the cost of services, operational capacity and financial capacity of the entity in a manner that is useful in holding the entity to account, and for decision-making purposes.

a) **Measurement Bases and their Selection**

It is not possible to identify a single measurement basis that best meets the measurement objective at a Conceptual Framework level. Tables 1 and 2 depict measurement bases for assets and liabilities respectively recommended by the IPSAS conceptual framework.

Table 1: **Measurement Bases for Assets**

Measurement Basis	Entry or Exit	Observable or Unobservable in a market	Entity or Non Entity Specific
Historical cost	Entry	Generally observable	Entity specific
Market value in open active and orderly market	Entry and exit	Observable	Non entity
Market value in inactive market	Exit	Dependent on valuation technique	Dependent on valuation technique
Replacement cost	Entry	Observable	Entity specific
Net selling price	Exit	Observable	Entity specific
Value in use	Exit	Unobservable	Entity specific

Table 2: **Measurement Bases for Liabilities**

Measurement Basis	Entry or Exit	Observable or Unobservable in a market	Entity or Non Entity Specific
Historical cost	Entry	Generally Observable	Entity specific
Cost fulfilment	Exit	unobservable	Entity specific
Market value in open, active and orderly market	Entry and Exit	Observable	Non entity specific
Market value in inactive market	Exit	Dependent on valuation technique	Dependent on valuation technique
Cost of release	Exit	Observable	Entity specific
Assumption price	Entry	Observable	Entity specific

Entry and Exit Values

b) For assets, entry values reflect the cost of purchase. Historical cost and replacement cost are entry values. Exit values reflect the economic benefits from sale. An exit value also reflects the amount that will be derived from use of the asset.

c) Measurement bases for liabilities may also be classified in terms of whether they are entry or exit values. Entry values relate to the transaction under which an obligation is received or the amount that an entity would accept to assume a liability. Exit values reflect the amount required fulfilling an obligation or the amount required to release the entity from an obligation.

Observable and unobservable measures

d) Certain measures may be classified according to whether they are observable in an open, active and orderly market.

e) Measures that are observable in a market are likely to be more understandable and verifiable than measures that are not observable.
f) They may also be more faithfully representative of the phenomena they are measuring.

Entity specific and non-entity specific measures

g) Measurement bases that are entity-specific reflect the economic and current policy constraints that affect the possible uses of an asset and the settlement of a liability by an entity.
h) Entity-specific measures may reflect economic opportunities that are not available to other entities and risks that are not experienced by other entities.
i) Non-entity- specific measures reflect general market opportunities and risks.
j) The decision on whether to use an entity-specific or non-entity- specific measure is taken by reference to the measurement objective and the qualitative characteristics.

4.5.2.3 Measurement Bases for Assets

k) **Historical cost** refers to the consideration given to acquire or develop an asset, which is the cash or cash equivalents or the value of the other consideration given, at the time of its acquisition or development.
l) **Current value measurement**

Current value measurements reflect the economic environment prevailing at the reporting date.

There are four current value measurement bases for assets:

- ***Market value*** *– the amount at which an asset could be exchange between knowledgeable willing parties at arm's length transaction.*
- ***Replacement cost*** *is the most economic cost required for the entity to replace the service potential of an asset (including the amount that the entity will receive from its disposal at the end of its useful life) at the reporting date.*
- ***Net selling price*** *is the amount that the entity can obtain from sale of the asset, after deducting the costs of sale.*
- ***Value in use*** *is the present value to the entity of the asset's remaining service potential or ability to generate economic benefits if it continues to be used, and of the net amount that the entity will* receive from its disposed at the end of its useful life.

m) **Measurement Bases for Liabilities**

- ***Historical cost*** *is the consideration received to assume an obligation, which is the cash or cash equivalents, or the value of the other consideration received at the time the liability is incurred.*
- ***Cost of fulfilment*** *are the costs that the entity will incur in fulfilling the obligations represented by the liability, assuming that it does so in the least costly manner.*
- ***Market value for liabilities*** *refers to the amount for which a liability could be settled between knowledgeable, willing parties in an arm's length transaction.*
- ***Cost of release*** *refers to the amount of an immediate exit from the obligation. Cost of release is the amount that either the creditor will accept in settlement of its claim, or a third party would charge to accept the transfer of the liability from the obligor.*
- ***Assumption price*** *is the amount which the entity would rationally be willing to accept in exchange for assuming an existing liability. Exchange transactions carried out on arms-length terms will provide evidence of assumption price—this is not the case for non-exchange transactions.*

SESSION 2.5 GOVERNANCE FRAMEWORK

- **Corporate governance** refers to structures and processes for the direction and control of entities. It is also concerned with the relationships amongst the board, management, and the owners.
- The **purpose of corporate governance** is to build an environment of accountability, transparency and trust necessary for promoting long term investment, financial stability and business integrity thereby sustaining stronger growth and more inclusive societies.
- Good governance and accountability are essential for equitable allocation and distribution of public resources and efficient delivery of public services, and to spur investor confidence which can ignite the social economic transformation of a country.

2.5.1 Malawi Corporate Governance Code

a) The Institute of Directors in Malawi published a **Code of Best Practice for Corporate Governance in Malawi in 2011** called the "Malawi Code II" which contains corporate governance frameworks and guidance for use by the Public, Private and NGO sectors in Malawi.

b) The **aim of the code** is to establish an environment conducive to enable organizations to grow, thrive, survive and create sustainable development for Malawi whilst acting as good corporate citizens hence its wish to have all organizations from all sectors of the Malawi economy to comply with the code.

d) The code guides organizations on
key issues of governance in areas such as:

- The roles of the owners, the board, company secretary and the chairperson;
- Board structure, appointment, subcommittees, evaluation, remuneration and training and development;
- Related party transactions, ethics, risk management and internal controls; and
- Good citizenship, sustainability, external communication and integrated reporting and auditing.

e) LAs are encouraged to comply with the Malawi Code II where applicable and also use the same to assess their corporate governance performance based on this framework, in order to profit from the benefits of good corporate governance practices.

2.5.2 Governance in Local Authorities

a) The LA are governed by Council which is headed by the Chairman in case of a District Council and a Mayor if it is a City or municipal council respectively, assisted by the DC and CEO as head of the secretariat

b) The DC and Mayor are designated as Cos under Section 10 of the PFMA from where their authority is derived.

c) supervision and regulation of LA accounting and finance management is done by both LA and Central government institutions within prescribed legal mandates

d) at the LA level, the Council, as provided in the LGA, and in line with the decentralization Policy 1998, has overall mandate over accounting and financial management function of the LA

e) the finance committee of the council has delegated authority of the Council over specific and operational oversight function of the LA accounting and financial management system as provided for by Section 15 of the LGA 1998

f) Section 3 of the PFMA stipulates that the overall responsibility for PFM rests with the MoF.

g) the secretary to the treasury therefore, under the delegated authority of the MoF, must fulfil this responsibility in terms of the Constitution and PFMA
h) Section 149 of the Constitution mandates the NLGC with accounting and financial management regulatory functions of the LA at the centre therefore, the MoF (Both treasury and Accountant General) and the NLGFC provide the accounting and financial management oversight to LA.

2.5.3 Institutional Reporting and Roles of Regulating Bodies and Officers

2.5.3.1 Institutional Reporting Framework

The LA accounting and financial management institutional reporting framework is illustrated in Appendix 2.

2.5.3.2 Roles of Regulating Bodies and Officers

a) Key regulating bodies and officers involved in financial management in LAs include the Full Council, the Finance Committee, the CEO / DC, Director of Finance, National Local Government Finance Committee, Accountant General and the Auditor General.
b) For details of specific roles of each one of them, kindly refer to Appendix 2 of the manual.

SESSION 2.6 SUMMARY

This module discussed the conceptual and governance frameworks for financial reporting in Local Authorities in Malawi. Firstly, the module covered the roles of IFAC, IPSASB and the IPSAS conceptual framework, defined and characterized public sector entities and general purpose financial reports, defined and explained the criteria for recognizing and measuring elements of financial statements. Then, it clarified the role of corporate governance in a country, and the provisions of the Malawi Code of Corporate Governance code. Finally, the module examined the governance roles of regulating bodies and officers in Local Authorities in Malawi. The next module deals with presentation of financial statements.

SESSION 2.7 ACTIVITIES

Activity 2.2

a) Mention any two reasons why the IPSAS conceptual framework is necessary
b) State the purposes of the following: (i) IFAC, IPSASB; (ii) General Purpose Financial Reports.
c) Describe any four characteristics of Public Sector Entities
d) List the contents of general purpose financial reports and their uses.
e) Define the following terms: (i) element of financial statements (ii) recognition (ii) measurement.
f) Explain conditions that must be met for assets and liabilities to be recognized in financial statements
g) Evaluate the IPSAS based measurement bases for assets and liabilities
h) Explain the importance of good governance in LAs

Solutions for these questions are available in the module

SECTION II: PRESENTATION OF FINACIAL STATEMENTS

MODULE 3: PRESENTATION OF FINANCIAL STATEMENTS

Session 3.1 Introduction

Session 3.2 Learning Outcomes

Session 3.3 Financial Statement

Session3.4 Structure and Content of Financial Statements

Session 3.5 Statement of Financial Position

Session 3.6 Statement of Financial performance

Session 3.7 Statement of Changes in Assets/ Equity, Cash Flow and Notes.

Session 3.8 Summary

Session 3.9 Activities

SESSION 3.1 INTRODUCTION

a) This module prescribes the manner in which general purpose financial statements should be presented to ensure comparability both within the entity's financial statements of previous periods and with the financial statements of other entities.

b) It sets out overall considerations for presentation of financial statements, guidance for their structure, and minimum requirements for the content of financial statements prepared under the accrual basis of accounting in accordance with IPSAS 1.

SESSION 3.2 LEARNING OUTCOMES

By the end of this session, participants should be able to:

- Explain the purpose and objectives of general purpose financial statements;
- Outline the components of financial statements;
- Describe factors that must be considered when presenting financial statements;
- Explain the structure and contents of financial statements;
- Distinguish current from noncurrent assets/liabilities;
- Present assets and liabilities in financial statements;
- Calculate the surplus or deficit realized by an entity over a period;
- Identify information to be presented on the face of the statement of financial performance.
- Present a statement of changes in net assets/equity;
- Explain the uses of the cash flow statement;
- Explain the uses of the notes in the financial statements; and
- Present notes and other disclosures to financial statements.

SESSION 3.3 FINANCIAL STATEMENTS

3.3.1 Purpose of General Purpose Financial Statements

The purposes of general purpose financial statements are to:

a) Provide information about the financial position, financial performance and the cash flows of an entity that is useful to a wide range of users in making and evaluating decisions about the allocation of resources.

The objectives of general purpose financial reporting in public sector are to:

- provide information useful for decision making; and
- to demonstrate the accountability of the entity for resources entrusted to it.

The accountability is achieved through:

- providing information about the resources, allocation, and uses of financial resources
- providing information about how the entity financed its activities and met its cash requirements
- provide information that is useful in evaluating the entity's ability to finance its activities and to meet its liabilities
- provide information about the financial condition of the entity and changes in it; and
- provide aggregate information useful in evaluating the entity's performance in terms of service costs, efficiency, and accomplishments.

b) Provide information for predicting the level of resources required to continue, the resources that may be generated by the continued operations and the associated risks and uncertainty

Financial reporting may also provide users with information:

- indicating whether resources were obtained and used in accordance with legally adopted budget
- whether resources were obtained and used in accordance with the legal and contractual requirements, including financial limits established by appropriate legislative authority

3.3.2 Components of Financial Statements

A complete set of financial statements comprise:

- statement of financial position;
- statement of financial performance;
- statement of changes in Net assets/equity;
- cash flow statement;
- a comparison of budget and actual amounts either as a separate additional financial statement or as a budget column in the financial statements;
- notes, comprising a summary of significant accounting policies and other explanatory notes; and
- Comparative information in respect of proceeding period.

3.3.3 Factors to Consider when Presenting Financial Statements

a) **Fair presentation and compliance with IPSASs**

- Financial statements should present fairly the financial position, financial performance, and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events, and conditions in accordance with the definitions and recognition criteria for assets, liabilities, revenue, and expenses set out in IPSASs. The application of IPSASs, with additional disclosures when necessary, is presumed to result in financial statements that achieve a fair presentation.

- An entity whose financial statements comply with IPSASs should make an explicit and unreserved statement of such compliance in the notes. Financial statements should not be described as complying with IPSASs unless they comply with all the requirements of IPSASs.

b) **Going concern**

- When preparing financial statements, an assessment of an entity's ability to continue as a going concern should be made. This assessment should be made by those responsible for the preparation of financial statements. Financial statements should be prepared on a going concern basis unless there is an intention to liquidate the entity or to cease operating, or if there is no realistic alternative but to do so.
- When those responsible for the preparation of the financial statements are aware, in making their assessment, of material uncertainties related to events or conditions that may cast significant doubt upon the entity's ability to continue as a going concern, those uncertainties should be disclosed.
- When financial statements are not prepared on a going concern basis, that fact should be disclosed, together with the basis on which the financial statements are prepared and the reason why the entity is not regarded as a going concern.

c) **Consistency of presentation.** The presentation and classification of items in the financial statements should be retained from one period to the next unless:

- It is apparent, following a significant change in the nature of the entity's operations or a review of its financial statements, that another presentation or classification would be more appropriate having regard to the criteria for the selection and application of accounting policies in IPSAS 3; or
- An IPSAS requires a change in presentation.

d) **Materiality and aggregation**. Each material class of similar items should be presented separately in the financial statements. Items of a dissimilar nature or function should be presented separately, unless they are immaterial.

e) **Offsetting.** Assets and liabilities, and revenue and expenses, should not be offset unless required or permitted by an IPSAS.

f) **Comparative information**. Except when an IPSAS permits or requires otherwise, an entity should present comparative information in respect of the preceding period for all amounts reported in the financial statements. An entity should include comparative information for narrative and descriptive information if it is relevant to understanding the current period's financial statements

SESSION 3.4 STRUCTURE AND CONTENT OF FINANCIAL STATEMENTS

3.4.1 Identification of financial statements

a) The financial statements should be clearly identified and distinguished from other information in the same published document.

b) The following information should be displayed prominently and repeated when it is necessary for properly understanding of the information presented: name of the reporting entity, whether financial statements cover the individual entity or an economic entity, the reporting date, the presentation currency ad level of precision (level of rounding in presenting amounts in financial statements).

3.4.2 Reporting Period

a) Financial statements should be presented annually.
b) when an entity has presented financial statements for a period more than or shorter than twelve months it should disclose the reason for using a longer or shorter period, the fact that comparative amounts for certain statements like statement of financial position, statement of financial performance and statement of cash flow are not comparable

3.4.3 Timeliness

For financial statements to be useful, they must be issued not more than six months from the reporting period date.

SESSION 3.5 STATEMENT OF FINANCIAL POSITION

3.5.1 Distinction between current and non-current

- An entity should present current and non-current assets, and current and non-current liabilities, as separate classifications on the face of its statement of financial position.
- All assets and liabilities should be presented broadly in order of liquidity.
- An entity should also disclose for each asset and liability line item that combines amounts expected to be recovered or settled (a) no more than twelve months after the reporting date, and (b) more than twelve months after the reporting date, an entity should disclose the amount expected to be recovered or settled after more than twelve months.

3.5.2 Current Assets

An asset should be classified as current when it satisfies any of the following criteria:

- It is expected to be realized in, or is held for sale or consumption in, the entity's normal operating cycle;
- It is held primarily for the purpose of being traded;
- It is expected to be realized within twelve months after the reporting date; or
- It is cash or a cash equivalent (as defined in IPSAS 2), unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date.

All other assets should be classified as non-current.

3.5.3 Current Liabilities

A liability should be classified as current when it satisfies any of the following criteria:

- It is expected to be settled in the entity's normal operating cycle;
- It is held primarily for the purpose of being traded;
- It is due to be settled within twelve months after the reporting date; or
- The entity does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

All other liabilities should be classified as non-current.

Refer to Appendix 3 for a Sample of Statement of Financial Position

SESSION 3.6 STATEMENT OF FINANCIAL PERFORMANCE

a) **Surplus or Deficit for the period**.
b) All items of revenue and expense recognized in a period should be included in the surplus or deficit.

Refer to Appendix 3 for a Sample of Statement of Financial Performance

SESSION 3.7 STATEMENT OF CHANGES IN NET ASSETS/ EQUITY, CASH FLOW STATEMENT AND NOTES

3.7.1 Statement of Changes in net Assets / Equity

a) **Net assets/equity** is the residual interest in the assets of the entity after deducting all its liabilities.
b) The **components of net assets/equity** are contributed capital, accumulated surpluses or deficits, reserves, and non-controlling interests.
c) **Types of reserves** include: changes in revaluation surplus (IPSAS 17 PPE, IPSAS 31 IA), measurements of defined benefit plans (IPSAS 39 Employee Benefits), Gains and losses arising from translating the financial statements of a foreign operation (IPSAS 4 Effect of Changes in Foreign Exchange Rates), and Gains and losses from investments in equity instruments designated at fair value through net assets/equity (IPSAS 41 Financial Instruments).

d) An entity should present a statement of changes in net assets/equity showing on the face of the statement:

- Surplus or deficit for the period;
- Each item of revenue and expense for the period that, as required by other Standards, is recognized directly in net assets/equity, and the total of these items;
- Total revenue and expense for the period (calculated as the sum of (a) and (b)), showing separately the total amounts attributable to owners of the controlling entity and to non-controlling interest; and
- For each component of net assets/equity separately disclosed, the effects of changes in accounting policies and corrections of errors recognized in accordance with IPSAS 3.

e) An entity should also present, either on the face of the statement of changes in net assets/equity or in the notes:

- The amounts of transactions with owners acting in their capacity as owners, showing separately distributions to owners;
- The balance of accumulated surpluses or deficits at the beginning of the period and at the reporting date, and the changes during the period; and
- To the extent that components of net assets/equity are separately disclosed, reconciliation between the carrying amount of each
- Component of net assets/equity at the beginning and the end of the period, separately disclosing each change.

Sample of Statement of changes in Net Assets / Equity is appended to Appendix 3 of this manual.

3.7.2 Cash flow Statement

a) Cash flow information provides users of financial statements with a basis to assess:

- The ability of the entity to generate cash and cash equivalents, and
- The needs of the entity to utilize those cash flows.

b) IPSAS 2 sets out requirements for the presentation of the cash flow statement and related disclosures. **Refer to Module 18.**

3.7.3 Notes

- **Notes** contain information in addition to that presented in the statement of financial position, statement of financial performance, statement of changes in net assets/equity and cash flow statement.
- They provide narrative descriptions or disaggregation of items disclosed in those statements and information about items that do not qualify for recognition in those statements.

a) Notes are **important** because they:

- Present information about the basis of preparation of the financial statements and the specific accounting policies used,
- Disclose the information required by IPSASs that is not presented on the face of the statement of financial position, statement of financial performance, statement of changes in net assets/equity, or cash flow statement; and
- Provide additional information that is not presented on the face of the statement of financial position, statement of financial performance, statement of changes in net assets/equity, or cash flow statement, but that is relevant to an understanding of any of them.

b) **Order of presentation**

- Notes should, as far as practicable, be presented in a systematic manner.
- Each item on the face of the statement of financial position, statement of financial performance, statement of changes in net assets/equity, and cash flow statement should be cross-referenced to any related information in the notes.

c) **Accounting policies**. An entity should disclose in the summary of significant accounting policies:

- The measurement basis (or bases) used in preparing the financial statements;
- The extent to which the entity has applied any transitional provisions in any IPSAS;
- The other accounting policies used that are relevant to an understanding of the financial statements; and
- The judgments management has made in the process of applying the entity's accounting policies that have the most significant effect on the amounts recognized in the financial statements.

d) **Key sources of estimation uncertainty**

An entity should disclose in the notes information about:

- The key assumptions concerning the future, and
- Other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

e) **Other disclosures**. An entity should disclose the following, if not disclosed elsewhere in information published with the financial statements:

- The domicile and legal form of the entity, and the jurisdiction within which it operates;
- A description of the nature of the entity's operations and principal activities;
- A reference to the relevant legislation governing the entity's operations;
- The name of the controlling entity and the ultimate controlling entity of the economic entity (where applicable); and
- If it is a limited life entity, information regarding the length of its life.

Refer to Appendix 3 for a sample of notes

SESSION 3.8 SUMMARY

This module has provided guidance on the presentation of financial statements for LAs to ensure comparability both within the entity's financial statements of previous periods and with the financial statements of other entities. The module has reminded readers about the purpose and components of financial statements and factors to consider when presenting financial statements. Then, it has explained the structure and contents of financial statements, distinguished current from noncurrent assets/liabilities, described the criteria of presenting assets, liabilities, income and expenses in the financial statements. Lastly, the module has prescribed the contents and importance of notes to financial statements in line with IPSAS1. The next module focuses on statement of cash flows.

SESSION 3.9 ACTIVITIES

Activity 3.1

a) Explain the purpose of general purpose financial reports
b) Describe the criteria that is used to classify the following in the financial statements

- Assets and liabilities
- Current assets and current liabilities

c) Define net assets/equity
d) write short notes on the following: Going concern, fair presentation, materiality, and "all current assets/liabilities should be presented in order of liquidity"
e) Explain the importance of the following to users of financial statements

- Cash flow statement
- Notes

Activity 3.2

The financial statements of Mbang'ombe District Council for the year ended 30 June, 2019 are as follows:

Required:

Comment on the presentation of the financial statements in line with the requirements of IPSAS 1.

Activity 3.3

In September 20X9 Mphomwa Council has prepared a seven (7) year backlog of financial statements for the years ending June: 20X3, 20X4,20X5,20X6,20X7,20X8, and 20X9. The financial statements were prepared on cash basis, and have the following components: Statement of Financial Position, Statement of Financial Performance, and Cash flow Statement (indirect method) as presented in the Appendices 1-3. In the year 20X9-20XX0 Mphomwa Council is required to prepare the financial statements which are IPSAS stage 3 transition.

In the 20X9 – 20XX0 the following information is available:

a) The expenditure items and amounts for the year are as presented in Appendix 4.
b) Revenue items and amounts are presented in Appendix 5.
c) Mphomwa Council collects all revenue on cash basis except for property rates; and property rentals
d) In 20X7, Central Government engaged donor AA to finance the construction of a national stadium. Central government contribution to the stadium was the connection of the stadium to the sewerage line. Developer BB Ltd constructed a shopping mall in the same area where the national stadium was constructed. In the construction of the shopping mall, the developer was also required to connect the shopping mall to the sewerage line. Central Government negotiated with the developer to include the connection of the national stadium to the sewerage line. The developer did the connection at a cost of MWK600m and Central Government instructed the developer to bill Mphomwa Council. Mphomwa Council received the invoice and included the bill in the 20X7-X8 accounts. In 20X9-XX0, Mphomwa Council requested Ministry of Finance Government for bail out funding to pay off the MWK600m.

Ministry of Finance advised Mphomwa Council to transfer MWK600m outstanding bill to Ministry of Local Government and Rural Development.

e) In October 20X9, Mphomwa Council valued its building. An additional value of MWK13 billion was added to the buildings.

f) In June 20XX0, Mphomwa Council signed a contract valued at MWK88m for delivery of utility vehicles with Supplier JJ. The vehicles were delivered on 20th June 20XX0. Payment of these vehicles was done in July 20XX0 and August 20XX0. This amount has not been included in Fixed Asset figure provided in Appendix 7

g) Mphomwa Council main source of revenue is property rates. In 20X9-20XX0, a total of MWK1.819 billion invoices were sent to ratepayers, and MWK1.824 billion was collected.

h) Mphomwa Council has properties which it lets out to business persons in its jurisdiction. Total rent invoice issued in the 20X9-20XX0 amounted to MWK127.55 million. In the same year a total of MWK99. 54million was collected.

i) In 20X1, Mphomwa Council conducted a QVR of properties for property rates billing. Included in the QVR are properties which Mphomwa Council owns. These properties have been invoiced in the past years and the amounts accumulated to MWK509.677 million. Added to this the property rates debtors include MWK259 million for properties which the Council does not know the owners.

Appendix 1: Statement of Financial as at 30th June 20X9

	Note	2019 (Million MWK)	2018 (Million MWK)
ASSETS			
Current assets			
Cash and cash equivalents		116	(49)
Accounts receivables		11,889	11,561
Inventories		-	-
Total Current assets		12,006	11,512
Non-current assets			
Property, Plant and Equipment		1,489	1,088
Total Assets		13,496	12,600
LIABILITIES **Current Liabilities**			
Accounts Payables/Creditors		218	198
Non-Current Liabilities			
Long Term Borrowing		3,009	2,961
Total Liabilities		3,228	3,160
Net Assets		10,268	9,440
NET ASSETS/EQUITY			
Capital funds unapplied (Development Fund)		45	44
Accumulated Surplus from GRF		10,222	9,396
Total Net Assets/Equity		10,268	9,440

Appendix 2: Statement of Financial Performance for the year ended 30 June 2019

	Note	20X9 (Million MWK)	20X8 (Million MWK)
REVENUES			
Government Transfers		507	725
Other Transfers		415	280
Locally Generated Revenue		2,886	2,635
TOTAL REVENUE		3,809	3,641
EXPENDITURE			
Personal emoluments		1,753	1,655
Other recurrent transactions		1,690	1,420
Capital Outlay		659	538
TOTAL EXPENDITURE		4,103	3,613
Net Surplus/(Deficit) from operating activities		(294)	27
Income from Commercial undertakings		108	122
Operating Surplus/(Deficit)		(185)	149

Appendix 3: Statement of Cash Flows for the year ended 30 June 2019

	Note	20X9 (Million MWK)	20X8 (Million MWK
Operating activities			
Surplus /(Deficit) from operations		**(185)**	**149**
Add: Depreciation of plant and equipment	7	**180**	**96**
Operating profit before working capital		**(5)**	**246**
(Increase)/Decrease in trade and other receivables	9	**(328)**	**(731)**
(Increase)/Decrease in inventory	8	-	-
Increase/(Decrease) in trade and other payables	11	**19**	**109**
Net cash flows from operating activities		**(313)**	**(374)**
Investing activities			
Purchase of property, plant and equipment	7	**(581)**	-
Net cash used in investing activities		**(581)**	-
Financing activities			
Changes in Equity (Capital Funds Unapplied)	13	1	11
Adjustments for Opening Equity		1,358	485
Repayment of Long Term Loans		(298)	(147)
Net Cash Flow from Financing Activities		**1,061**	**350**
Net increase/(decrease) in cash and cash equivalents		**165**	**(24)**
Cash Equivalents at the Beginning of the Year		**(49)**	**(24)**
Cash and Cash Equivalents at the End of the Year		**116**	**(49)**

Appendix 4: Revenue Items for 20X9/20XX0

Item Description	Amount (Million MWK)
Constituency Development Fund	120
COVID 19 Funding	50
Development Fund	129
Donor Receipts	56
Fees, Fines & Service Charges	811
Fire Fighting Training Fees	3
General Resource Fund	113
Infrastructure Development Fund	171
Licences	742
Market fees	168
Plant & Flower Sales	6
Property Rates	1,820
Property rentals	128
Refuse Collection Fees	35
Sector funds	245
Septic Tank Emptying Fees	1

Appendix 5: Expenditures for 20X9/20XX0

Item No.	Description	Amount (Million MWK)
29	Acquis'n of tech. services	33
36	Agricultural Subsidies	0
31	Agriculture inputs	8
49	Assembly and Functions	100
55	Constituency Development Fund	103
3356	Depreciation of Assets	625
5699	Development Fund: GRF II	71
46	Direct Staff (other depart)	2124
57	Donor expenses	56
27	Education supplies	22
22	External Travel	26
2	FDH Bank Loan Interest	96
32	Food and rations	7
40	Grants and subventions	70
39	Grants to Inter. Org.	2
50	HIV/AIDS Intervention	14
5649	Infrastructure Development Fund	163
30	Insurance expenses	0
21	Internal travel	179
25	Medical supplies	12
34	Motor veh running costs	258
24	Office supplies and Services	288
33	Other goods and services	25
54	Own capital contribution	14
23	Public utilities	214
3360	Refuse Management - Sanitation	32
4105	Rehabilitation of Buildings	2
26	Rent expenses	2
35	Routine Maint. of Assets	125
28	Training expenses	38
48		0

Appendix 6: Debtors and Creditors

Item Description	Amount (Million MWK)
UNION CONTRIBUTION	0.16
Car Loans	1
Cash at Bank	388
COUNCILLORS MOTOR CYCLE LOANS REMITTANCE	2
Debtors over 1 year	11,541
Deferred Income: Business Licenses	47
Deferred Income: Property Rates	132
Deferred Income: Property Rentals	1
Development Loans	2
Emergency Advance	5
FDH Bank loan	109
FDH Loan over 1 year	463
General Rate Fund Adjustments	245
GPA Staff Loans	69
House Loans	19
MRA – PAYE	130
NICO PENSION	32
OLD MUTUAL PENSION	1
Property Rates - current	185
Property Rentals - current	48
Provision for Doubtful Debts	638

MODULE 4: CASH FLOW STATEMENTS – SINGLE ENTITIES

Session 4.1 Introduction

Session 4.2 Learning Outcomes

Session 4.3 Cash Flow Statement

Session 4.4 Cash Flows from Operating Activities

Session 4.5 Cash Flows from Investing Activities

Session 4.6 Cash Flows from Financing Activities

Session 4.7 Other Items

Session 4.8 Summary

Session 4.9 Activities

SESSION 4.1 INTRODUCTION

a) A cash flow statement identifies the source of cash inflows, the items on which cash was expended during a reporting period, and the cash balance as at the reporting date.
b) Information about the cash flows of an entity is useful in providing users of financial statements with information for both accountability and decision making purposes.
c) Cash flow information allows users to ascertain how a public sector entity raised the cash it required to fund its activities, and the manner in which that cash was used.
d) In making and evaluating decisions about the allocation of resources, such as the sustainability of the entity's activities, users require an understanding of the timing and certainty of cash flows.
e) This module outlines how a public sector entity, that prepares and presents its financial statements under the accrual basis of accounting, should prepare its cash flow statement and present it as an integral part of its financial statements in line with IPSAS 2.
f) The entity should present its historical changes in cash and cash equivalents by means of a cash statement that clarifies cash flows during the period from operating, investing, and financing activities.

SESSION 4.2 LEARNING OUTCOMES:

By the end of this module, participants should be able to:

- Explain the benefits of a cash flow statement;
- Classify cash flows into operating, investing and financing activities;
- Explain the importance of classifying cash flows into operating, investing and financing;
- Explain the significance of an entity's net cash flows from operating, investing and financing activities; and
- Give examples of cash flows from operating, investing and financing activities.

SESSION 4.3 PRESENTATION AND BENEFITS OF CASH FLOW STATEMENTS

4.3.1 Definitions

- ***Cash*** *comprises cash on hand and demand deposits.*
- ***Cash equivalents*** *are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.*
- ***Cash flows*** *are inflows and outflows of cash and cash equivalents*
- ***Control****. An entity controls another entity when the entity is exposed, or has rights, to variable benefits from its involvement with the other entity and has the ability to affect the nature or amount of those benefits through its power over the other entity*
- ***Reporting date*** *means the date of the last day of the reporting period to which the financial statements relate.*

4.3.2 Presentation

a) The cash flow should report cash flows during a period classified into operation, investing and financing activities
b) Classification by activities provides information to users which they can use to assess the impact of each activity on the financial position of the entity and also the impact of each activity on the other.

4.3.3 Benefits

Cash flow statements are useful to users of financial statements because they assist them to:

a) Assess the entity's cash flows;
b) Appraise the entity's compliance with legislation and regulations (including authorized budgets);
c) Making decisions whether to provide resources to, or enter into transactions with an entity;
d) Predict the future cash requirement of an entity;
e) Forecast its ability to generate cash flows in the future;
f) Project its ability to fund changes in the scope and nature of its activities;
g) Review how accountable an entity has been on its cash inflows and outflows;
h) Evaluate changes in net assets/equity when used together with other financial statements;
i) Assess an entity's financial structure, liquidity and solvency;
j) Appraise an entity's ability to effect the amounts and timing of cash flows in order to adopt to changing circumstances and opportunities;
k) Compare operating performance of an entity with other entities as it eliminates different accounting treatments for the same transactions and events;
l) Gauge the amount, timing and certainty of future cash flows; and
m) Check accuracy of past assessments of future cash flows.

SESSION 4.4 CASH FLOWS FROM OPERATING ACTIVITIES

Operating activities are the activities of the entity that are not investing or financing activities.

4.4.1 Importance of Classification

An entity's net cash flows from operating activities are indicators of:

- The extent to which the operations of an entity are funded i.e. by way of taxes (direct or indirect) or from recipients of goods and services provided by the entity
- The entity's capability to maintain its operating capability, pay its debts or pay dividends or similar distribution to its owners, make new investments without recourse to external sources of finance
- The whole government operating cash flow provides an indication of the extent to which a government has financed its current activities through taxation and charges
- Future cash flows (in conjunction with other information)

4.4.2 Source of Information

a) Cash flows from operating activities are primarily derived from the principal cash-generating activities of the entity.
b) Examples of cash flows from operating activities are:

- Cash receipts from taxes, levies, and fines;
- Cash receipts from charges for goods and services provided by the entity;
- Cash receipts from grants or transfers and other appropriations or other budget authority made by central government or other public sector entities;
- Cash receipts from royalties, fees, commissions, and other revenue;
- Cash payments to beneficiaries of social benefit schemes;
- Cash payments to other public sector entities to finance their operations (not including loans);
- Cash payments to suppliers for goods and services;
- Cash payments to and on behalf of employees;
- Cash receipts and cash payments of an insurance entity for premiums and claims, annuities, and other policy benefits;
- Cash payments of local property taxes or income taxes (where appropriate) in relation to operating activities;
- Cash receipts and payments from contracts held for dealing or trading purposes;
- Cash receipts or payments from discontinuing operations; and
- Cash receipts or payments in relation to litigation settlements.

4.4.3 Method of Reporting

An entity should report cash flows from operating activities using either:

a) The direct method, whereby major classes of gross cash receipts and gross cash payments are disclosed; or
b) The indirect method, whereby surplus or deficit is adjusted for the effects of transactions of a noncash nature, any deferrals or accruals of past or future operating cash receipts or payments, and items of revenue or expense associated with investing or financing cash flows.

c) the standard encourages Public sector entities to report cash flows using the direct method because it provides information that can be used by users to estimate future cash flows of entities

d) information about major classes of gross cash receipts and gross cash payments may be obtained from the following sources:

- From the accounting records of the entity; or
- By adjusting operating revenues, operating expenses (interest and similar revenue, and interest expense and similar charges for a public financial institution), and other items in the statement of financial performance for: Changes during the period in inventories and operating receivables and payables; Other noncash items; and Other items for which the cash effects are investing or financing cash flows.

SESSION 4.5 CASH FLOWS FROM INVESTING ACTIVITIES

Investing activities are the acquisition and disposal of long-term assets and other investments not included in cash equivalents

4.5.1 Importance of Classification

Cash flows from investing activities are important because they provide users with information that enables them to assess the extent to which cash outflows have been made to resources that are intended to contribute to the entity's future service delivery.

4.5.2 Source of information

a) Only cash outflows that result in a recognized asset in the statement of financial position are eligible for classification as investing activities.
b) Examples of cash flows arising from investing activities are:

- Cash payments to acquire property, plant, and equipment, intangibles, and other long-term assets. These payments include those relating to capitalized development costs and self-constructed property, plant, and equipment;
- Cash receipts from sales of property, plant, and equipment, intangibles, and other long-term assets;
- Cash payments to acquire equity or debt instruments of other entities and interests in joint ventures (other than payments for those instruments considered to be cash equivalents or those held for dealing or trading purposes);
- Cash receipts from sales of equity or debt instruments of other entities and interests in joint ventures (other than receipts for those instruments considered to be cash equivalents and those held for dealing or trading purposes);
- Cash advances and loans made to other parties (other than advances and loans made by a public financial institution);
- Cash receipts from the repayment of advances and loans made to other parties (other than advances and loans of a public financial institution);
- Cash payments for futures contracts, forward contracts, option contracts, and swap contracts, except when the contracts are held for dealing or trading purposes, or the payments are classified as financing activities; and
- Cash receipts from futures contracts, forward contracts, option contracts, and swap contracts, except when the contracts are held for dealing or trading purposes, or the receipts are classified as financing activities

c) An entity should report separately major classes of gross cash receipts and gross cash payments arising from investing and financing activities

SESSION 4.6 CASH FLOWS FROM FINANCING ACTIVITIES

Financing activities are activities that result in changes in the size and composition of the contributed capital and borrowings of the entity

4.6.1 Importance of classification

This classification is useful because it provides users with information for predicting claims on future cash flows by providers of capital to the entity.

4.6.2 Source of Information

a) Examples of cash flows arising from financing activities are:

- Cash proceeds from issuing debentures, loans, notes, bonds, mortgages, and other short or long-term borrowings;
- Cash repayments of amounts borrowed; and
- Cash payments by a lessee for the reduction of the outstanding liability relating to a finance lease.

b) An entity should report separately major classes of gross cash receipts and gross cash payments arising from investing and financing activities

SESSION 4.7 OTHER ITEMS

4.7.1 Reporting Cash Flow on a Net Basis

Cash flows arising from the following operating, investing, or financing activities may be reported on a net basis:

- Cash receipts collected and payments made on behalf of customers, taxpayers, or beneficiaries when the cash flows reflect the activities of the other party rather than those of the entity; and
- Cash receipts and payments for items in which the turnover is quick, the amounts are large, and the maturities are short.

4.7.2 Interest and Dividends or Similar Distribution

- Cash flows from interest and dividends or similar distributions received and paid should each be disclosed separately.
- Each should be classified in a consistent manner from period to period as operating, investing, or financing activities.

4.7.3 Acquisitions and Disposals of Controlled Entities and Other Operating Units

a) The aggregate cash flows arising from acquisitions and from disposals of controlled entities or other operating units should be presented separately and classified as investing activities.

b) An entity should disclose, in aggregate, in respect of both acquisitions and disposals of controlled entities or other operating units during the period, each of the following:

- The total purchase or disposal consideration;

- The portion of the purchase or disposal consideration discharged by means of cash and cash equivalents;
- The amount of cash and cash equivalents in the controlled entity or operating unit acquired or disposed of; and
- The amount of the assets and liabilities, other than cash or cash equivalents, recognized by the controlled entity or operating unit acquired or disposed of, summarized by each major category.

4.7.4 Non Cash Transactions

Investing and financing transactions that do not require the use of cash or cash equivalents should be excluded from a cash flow statement.

Such transactions should be disclosed elsewhere in the financial statements in a way that provides all the relevant information about these investing and financing activities.

4.7.5 Changes in Liabilities arising from financing Activities

An entity should provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes.

4.7.6 Components of Cash and Cash equivalents

An entity should disclose the components of cash and cash equivalents, and should present a reconciliation of the amounts in its cash flow statement with the equivalent items reported in the statement of financial position.

4.7.7 Other Disclosures

An entity should disclose, together with a commentary by management in the notes to the financial statements, the amount of significant cash and cash equivalent balances held by the entity that are not available for use by the economic entity.

Refer to appendix 3 of the manual for a Sample of a Cash Flow Statement

SESSION 4.8 SUMMARY

This module has outlined how the cash flow statement should be presented according to IPSAS 2. It has provided the format and benefits of the cash flow statement, the importance, sources of information and examples of operating, investing and financing activities and the method that the standard prescribes local authorities should adopt. The next module looks at accounting policies, changes in accounting estimates and errors.

SESSION 4.9 ACTIVITY

Activity 4.1 Activity 4.1

a) Write short notes on the usefulness to the users of the following: cash flow statement; operating activities, investment activities and financing activities.

MODULE 5 : ACCOUNTING POLICIES, CHANGES IN ACCOUNTING ESTIMATES AND ERRORS

Session 5.1 Introduction

Session 5.2 Learning Outcomes

Session 5.3 Accounting Policies

Session 5.4 Accounting estimates

Session 5.5 Errors

Session 5.6 Summary

Session 5.7 Activities

SESSION 5 .1 INTRODUCTION

a) The previous module looked at the cash flow statement in line with IPSAS 2, this module prescribe the criteria for (i) selecting and applying accounting policies, (ii) accounting for changes in accounting policies, (iii) changes in accounting estimates, and (iv) corrections of prior period errors in accordance with IPSAS 3.

b) IPSAS 3 is intended to enhance the relevance and faithful representativeness of an entity's financial statements and the comparability of those financial statements over time and with the financial statements of other entities.

SESSION 5 .2 LEARNING OUTCOMES:

By the end of this module, participants will be able to:

- Select and apply accounting policies;
- Account for a change in accounting policy;
- Account for a change in accounting estimates; and
- Correct prior period errors.

SESSION 5 .3 ACCOUNTING POLICIES

5.3.1 Selection and Application of Accounting Policies

Accounting policies are specific principles, bases and conventions, rules and practices applied by an entity in preparing and presenting financial statements.

a) IPSAS 3 requires an entity to select and apply appropriate accounting policies complying with IPSASs and interpretations to ensure that the financial statements provide information that is relevant to the accountability and decision making needs of users and reliable.

b) In the absence of an IPSAS that specifically applies to a transaction, other event, or condition, management should use its judgment in developing and applying an accounting policy that results in information that is:

- Relevant to the accountability and decision-making needs of users,

- Faithfully represents the financial position, financial performance, and cash flows of the entity,
- Meets the qualitative characteristics of understand-ability, timeliness, comparability, and verifiability and
- Takes account of the constraints on information included in general purpose financial reports and the balance between the qualitative characteristics.

c) Once selected, an entity should apply its accounting policies consistently for similar transactions, other events and conditions, unless an IPSAS specifically requires otherwise.

5.3.2 Changing Accounting Policies

a) A change in accounting policy refers to a change from one basis of accounting to another basis of accounting.
b) The general rule is that accounting policies are normally kept the same from period to period to ensure comparability of financial statements over time.
c) IPSAS 3 requires accounting policies to be changed only if the change:

- Is required by an IPSAS; or
- Results in the financial statements providing faithfully representative and more relevant information about the effects of transactions, other events, and conditions on the entity's financial position, financial performance, or cash flows.

d) A change in accounting policy occurs if there has been a change in:

- The accounting treatment, e.g. depreciation is now included in administration expenses from cost of services
- Recognition, e.g. an expense is now recognized than an asset, or
- Measurement basis, e.g. stating assets at replacement cost rather historical cost

5.3.3 Accounting for a change in accounting Policies

Retrospective application is applying a new accounting policy to transactions, other events, and conditions as if that policy had always been applied.

Retrospective treatment is correcting the recognition, measurement, and disclosure of amounts of elements of financial statements as if a prior period error had never occurred

The required treatment when there has been a change in accounting policy is that:

- The change should be applied retrospectively, with an adjustment to the opening balance of the net assets/equity in the statement of changes in equity.
- Comparative amounts should be restated unless it is impracticable to do so.
- If the adjustment to the opening balance of the net assets/equity cannot be reasonably determined, the change should be adjusted prospectively i.e. included in the current period's surplus and deficit.

5.3.4 Disclosure

When a change in accounting policy has a material effect on the current period or any prior period presented, or may have a material effect in subsequent periods, the following disclosures should be made:

- The reasons for the change.
- The amounts of the adjustments recognized in the current period and the previous period presented (i.e. comparative figures).
- The amount of the adjustment relating to periods prior to those included in the financial statements.

Activity 5.1 Activity 5.1

During the year ended 30 June, 20X9, **Phalombe District Council** changed its accounting policy for the treatment of borrowing costs that are directly attributable to the acquisition of an Office complex that is under construction. In previous periods, the entity had capitalized such costs. The council has now decided to expense, rather than capitalize them. Management judges that the new policy is preferable, because it results in a more transparent treatment of finance costs and is consistent with local industry practice, making the entity's financial statements more comparable.

Phalombe District Council capitalized borrowing costs incurred of MK2.6million during the year ended 30 June, 20X8 and MK5.2million in periods prior to 20X8. All borrowing costs incurred in previous years with respect to the acquisition of the Office complex were capitalized. The accounting records for 20X9 show surplus before interest of Mk30million; and interest expense of MK3million (which relates only to 20X9). The council has not recognized any depreciation on the football ground because it is not yet in use.

In 20X8, the entity reported:

MK' million	
Surplus before interest	18
Interest expense	0
Surplus	18

20X8 opening accumulated surpluses was MK20million and closing accumulated surpluses was MK38million. The entity had MK10million of contributed capital throughout, and no other components of net assets/equity except for accumulated surplus.

Required:

Show how the change in accounting policy on the new office complex will be reflected in the financial statements of Phalombe District Council for the year ended 30 June, 20X9.

Suggested Treatment

Table 3: Phalombe District Council Statement of Financial Performance

	20X9	(restated) 20X8	
	MK'm		MK'm
Surplus before interest	30		18

	20X9	(restated) 20X8	
Interest expense	(3)		(2.6)
Surplus	27		15.4

Statement of Changes in Net Assets/Equity			
	Contributed capital	(restated) Accumulated Surplus	Total
	MK'm	MK'm	MK'm
Balance at 30 June 20X7 as previously reported	10	20	30
Change in accounting policy with respect to the capitalization of interest (Note 1)	-	(5.2)	(5.2)
Balance at 30 June 20X7 as restated	10	14.8	24.8
Surplus for the year ended 30 June 20X8 (restated)	-	15.4	15.4
Balance at 30 June 20X8	10	30.2	40.2
Surplus for the year ended 30 June 20X9	-	27	27
Closing at 30 June 20X9	10	57.2	67.2

Extracts from Notes to the Financial Statements

During 20X9, the Phalombe District Council changed its accounting policy for the treatment of borrowing costs related to an office complex. Previously, the entity capitalized such costs. They are now written off as expenses as incurred. Management judges that this policy provides faithfully representative and more relevant information, because it results in a more transparent treatment of finance costs and is consistent with local industry practice, making the entity's financial statements more comparable. This change in accounting policy has been accounted for retrospectively, and the comparative statements for 20X8 have been restated. The effect of the change on 20X8 is tabulated below. Opening accumulated surpluses for 20X8 have been reduced by MK5.2million, which is the amount of the adjustment relating to periods prior to 20X8.

Effect on 20X8	*MK'm*
(Increase) in interest expense	(2.6)
(Decrease) in surplus	(2.6)
Effect on periods prior to 20X8	
(Decrease) in surplus	(5.2)
(Decrease) in assets in the course of construction and in accumulated surplus	(7.8)

SESSION 5.4 ACCOUNTING ESTIMATES

An accounting estimate is a method adopted by an entity to arrive at estimated amounts in the financial statements.

- Most figures in the financial statements require some estimation. For instance, if a non-current asset with a depreciable amount of K40, 000, 000 to be written off over four years, different depreciation methods such as straight line, reducing balance, sum of the digits etc., all represent different estimation techniques.
- The choice of the method of depreciation would be the estimation technique whereas the policy of writing off the cost of the noncurrent assets over their useful lives would be the accounting policy.
- Estimation techniques therefore implement the measurement aspects of accounting policies.

5.4.1 Changes in Accounting Estimates

A change in Accounting Estimates is an adjustment of the carrying amount of an asset or liability that results from an assessment of the present status of, and expected future benefits and obligations associated with assets and liabilities. Changes in accounting estimates result from new information or new developments and accordingly are not correction of errors.

Examples of estimates in councils include:

- Tax revenue due to government
- bad debts arising from uncollected taxes
- inventory obsolescence
- The fair value of financial assets or financial liabilities;
- The useful lives of, or expected pattern of consumption of future economic benefits or service potential embodied in, depreciable assets, or the percentage completion of road construction; and
- Warranty obligations.

IPSAS 3 requires that the effect of a change in an accounting estimate should be recognized prospectively by including it in surplus or deficit in:

- The period of the change, if the change affects the period only; or
- The period of the change and future periods, if the change affects both.

To the extent that a change in an accounting estimate gives rise to changes in assets and liabilities, or relates to an item of net assets/equity, it should be recognized by adjusting the carrying amount of the related asset, liability, or net assets/equity item in the period of change.

Prospective application of a change in accounting policy and of recognizing the effect of a change in accounting estimate respectively are (i) Applying the new accounting policy to transactions, other events, and conditions occurring after the date as at which the policy is changed; and (ii) Recognizing the effect of the change in the accounting estimate in the current and future periods affected by the change.

Examples of changes in accounting estimates are changes in:

- The useful lives of noncurrent assets
- The residual values of noncurrent assets
- The method of depreciating noncurrent assets

Activity 5.2

Which of the following is a change in accounting policy as opposed to a change in accounting estimation technique?

a) **Blantyre District Council** has previously charged interest incurred in connection with the construction of a Market to its surplus or deficit. following the adopting of IPSAS and in compliance with IPSAS 5, it is now capitalizing this interest.
b) **Dedza District Council** has previously depreciated vehicles using the reducing balance method at 40% per annum. it now uses the straight line method over a period of five years
c) **Nkhatabay District Council** has previously shown certain overheads within other expenses. it now shows those overheads within operational expenses
d) **Mangochi Town Council** has previously measured inventory at weighted average cost (WAC). It now measures inventory using the first in first out (FIFO) method.

5.4.2 Disclosure

a) An entity should disclose the nature and amount of a change in an accounting estimate that has an effect in the current period or is expected to have an effect on future periods, except for the disclosure of the effect on future periods when it is impracticable to estimate that effect.
b) If the amount of the effect in future periods is not disclosed because estimating it is impracticable, the entity should disclose that fact

SESSION 5.5 ERRORS

5.5.1 Correction of Prior Period errors

Prior period errors are omissions from, or misstatements in the entity's financial statements for one or more prior periods arising from a failure to use, misuse of, faithfully representative information that:

- was available when financial statements for those periods were authorized for issue; and
- Could reasonably be expected to have been obtained and taken into account in the preparation and presentation of those financial statements.

Examples of such errors include the effects of mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud.

Prior period errors are dealt with retrospectively by:

- Restating the opening balances of assets, liabilities and net assets/ equity as if the error had not occurred, and presenting the necessary adjustment to the opening balance of retained accumulated surpluses/deficit in the statement of changes in net assets/equity.
- Restating the comparative amounts for prior period(s) as if the error had never occurred

5.5.2 Disclosure

An entity should disclose the following:

- The nature of the prior period error;
- For each prior period presented, to the extent practicable, the amount of the correction for each financial statement line item affected;
- The amount of the correction at the beginning of the earliest prior period presented; and
- If retrospective restatement is impracticable for a particular prior period, the circumstances that led to the existence of that condition and a description of how and from when the error has been corrected.
- Financial statements of subsequent periods need not repeat these disclosures.

Activity 5.3 **Activity 5.3**

During the year ended 30 June, 20X9, Mbelwa District Council discovered that revenue from income taxes were incorrect. Income taxes of MK6.5million that should have been recognized in the year ended 30 June 20X8 were incorrectly omitted from 20X8 and recognized as revenue in 20X9. The entity's accounting records for 20X2 show revenue from taxation of MK60million (including the MK6.5million taxation that should have been recognized in opening balances), and expenses of MK86.5million.

In 20X8, the council reported:

	MK'million
Revenue from taxation	34
User charges	3
Other operating revenue	30
Total revenue	67
Expenses	(60)
Surplus	7

20X8 opening accumulated surplus was Mk20million, and closing accumulated surplus was MK27million. The entity had no other revenue or expenses. Mbelwa District Council had MK5million of contributed capital throughout, and no other components of net assets/equity except for accumulated surplus.

Required: Show how the correction of the error will be presented in the financial statements of Mbelwa district Council in line with IPSAS 3.

Suggested Treatment

Statement of Financial Performance

	20X9	(restated) 20X8
	Mk'm	MK'm
Revenue from taxation	53.5	40.5
User charges	4	3
Other operating revenue	40	30
Total revenue	97.5	73.5
Expenses	(86.5)	(60)

	20X9	(restated) 20X8
	Mk'm	MK'm
Surplus	11	13.5

Statement of Changes in Equity

Revenue from taxation of MK6.5m was incorrectly omitted from the financial statements of 20X8. The financial statements of 20X8 have been restated to correct this error. The effect of the restatement on those financial statements is summarized below. There is no effect in 20X9.

Equity

	Contributed Capital	Accumulated Surpluses	Total
	MK'm	MK'm	MK'm
Balance at 30 June 20X7	5	20	25
Surplus for the year ended June 30, 20X8 as restated	-	13.5	13.5
Balance at 30 June 20X8	5	33.5	38.5
Surplus for the year ended 30 June, 20X9	-	11	11
Balance at 30 June 20X9	5	44.5	49.5

Extracts from Notes to the Financial Statements

Revenue from taxation

	Effect on 20X8 MK'm
Increase revenue	6.5
Increase in surplus	6.5
Increase in debtors	6.5
Increase in net assets/equity	6.5

SESSION 5.6 SUMMARY

This module has emphasized that when preparing financial statements, entities should chose accounting policies provided by the standards. However, in the event that an entity meets a transaction or event which is not covered by the standard, they should use their judgment guided by the IPSAS conceptual framework. The module has also stressed that if an entity has changed an accounting policy, they must be accounted for retrospectively just like when they are correcting prior period errors. Nevertheless, if there is a change in accounting estimates, it must be accounted for prospectively. The next module looks at accounting for revenue.

SESSION 5.7 ACTIVITIES

Activity 5.4

a) Write short notes on the following: accounting policies, retrospective and prospective applications, and prior period errors.
b) According to IPSAS 3, when should accounting policies be changed?

SECTION III: REVENUE

MODULE 6: REVENUE FROM NON-EXCHANGE TRANSACTIONS (TAXES AND TRANSFERS) AND GOVERNMENT GRANTS

Session 6.1 Introduction
Session 6.2 Learning Outcomes
Session 6.3 Non Exchange Transactions
Session 6.4 Taxes
Session 6.5 Transfers
Session 6.6 Disclosure
Session 6.7 Summary
Session 6.6 Activities

SESSION 6.1 INTRODUCTION

a) This module prescribes requirements for the financial reporting of revenue arising from non-exchange transactions as provided for by IPSAS 23, other than non-exchange transactions that give rise to a public sector combination.
b) The module deals with issues that need to be considered in recognizing and measuring revenue from non-exchange transactions, including the identification of contributions from owners by entities that prepare and present their financial statements under the accrual basis of accounting but does not apply to a public sector combination that is a non-exchange transaction; and Contributions to social benefit schemes that are handled by IPSAS 42.

SESSION 6.2 LEARNING OUTCOMES:

By the end of this module, participants should be able to:

a) Account for revenue arising from non-exchange transactions such as assets and present obligations; and
b) Account for revenue from non-exchange transactions such as taxes and transfers (i.e. debt forgiveness, fines, bequests, gifts, donations, goods or services in kind, pledges, advance receipts and concessionary loans).

SESSION 6.3 NON EXCHANGE TRANSACTIONS

a) An entity will recognize an asset arising from a non-exchange transaction when it gains control of resources that meet the definition of an asset and satisfy the recognition criteria.
b) IPSAS 23 provides a flow chart on the following page, which illustrates the analytic process an entity undertakes when there is an inflow of resources to determine whether revenue arises. illustration of the initial inflow of resources

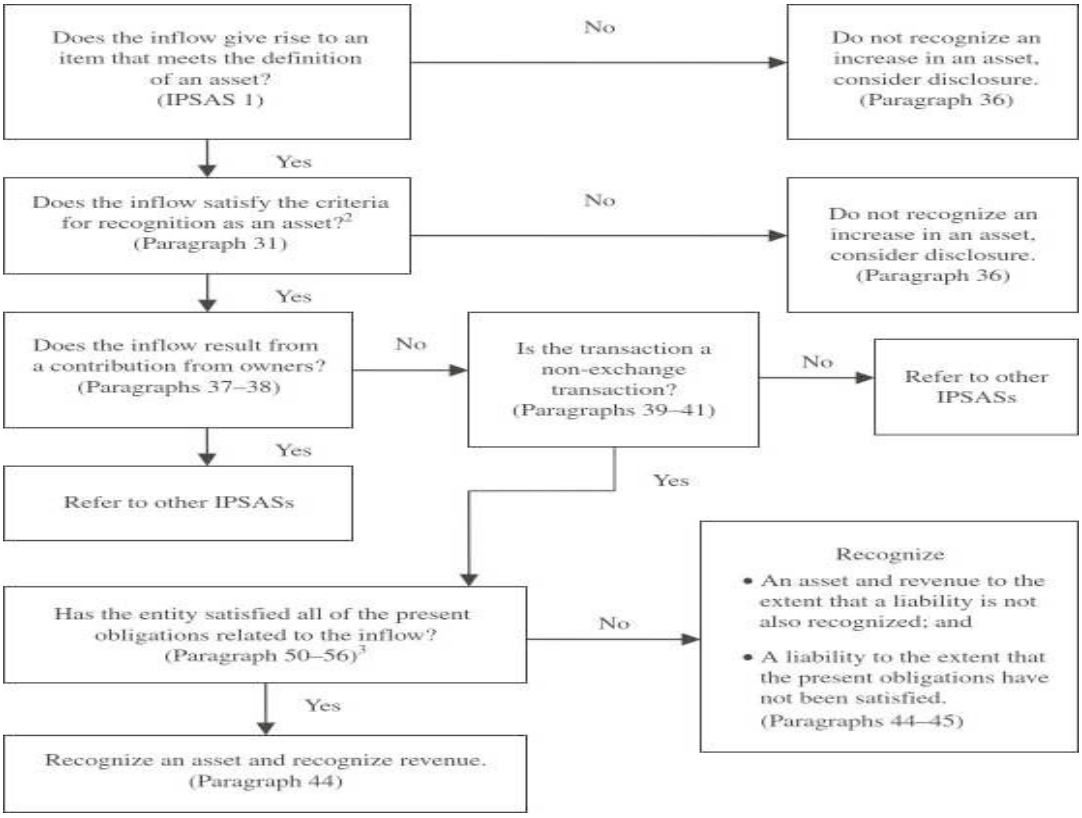

Figure 6.1 **Determination of whether Revenue Arises.**

NOTE:

- The flowchart is illustrative only; it does not take the place of IPSAS 23. It is provided as an aid to interpreting the Standard.
- In certain circumstances, such as when a creditor forgives a liability, a decrease in the carrying amount of a previously recognized liability may arise. In these cases, instead of recognizing an asset, the entity decreases the carrying amount of the liability.
- In determining whether the entity has satisfied all of the present obligations, the application of the definition of conditions on a transferred asset, and the criteria for recognizing a liability, are considered.

6.3.1 Assets

Recognition of an Asset

An inflow of resources from a non-exchange transaction, other than services in-kind, that meets the definition of an asset should be recognized as an asset when, and only when:

- It is probable that the future economic benefits or service potential associated with the asset will flow to the entity; and
- The fair value of the asset can be measured reliably.

Exchange and Non exchange components of a transaction

- Where an asset is acquired by means of a transaction that has an exchange component and a non-exchange component, the entity recognizes the exchange component according to the principles and requirements of other IPSASs.
- The non-exchange component is recognized according to the principles and requirements of IPSAS 23.
- In determining whether a transaction has identifiable exchange and non-exchange components, professional judgment is exercised.
- Where it is not possible to distinguish separate exchange and non-exchange components, the transaction is treated as a non-exchange transaction.

Measurement of Assets on Initial Recognition

An asset acquired through a non-exchange transaction should initially be measured at its fair value as at the date of acquisition.

6.3.2 Revenue from Non-Exchange Transactions

Recognition of Revenue from Non Exchange Transactions

- An inflow of resources from a non-exchange transaction recognized as an asset should be recognized as revenue, except to the extent that a liability is also recognized in respect of the same inflow.
- As an entity satisfies a present obligation recognized as a liability in respect of an inflow of resources from a non-exchange transaction recognized as an asset, it should reduce the carrying amount of the liability recognized and recognize an amount of revenue equal to that reduction.

Measurement of Revenue from non-exchange transactions

Revenue from non-exchange transactions should be measured at the amount of the increase in net assets recognized by the entity.

6.3.3 Present Obligations Recognised as Liabilities

Present Obligations Recognition

A present obligation arising from a non-exchange transaction that meets the definition of a liability should be recognized as a liability when and only when:

- It is probable that an outflow of resources embodying future economic benefits or service potential will be required to settle the obligation; and
- A reliable estimate can be made of the amount of the obligation.

Measurement of liabilities on initial recognition

The amount recognized as a liability should be the best estimate of the amount required to settle the present obligation at the reporting date.

NOTE:

- **Conditions on transferred assets** are stipulations that specify that the future economic benefits or service potential embodied in the asset is required to be consumed by the recipient as specified or future economic benefits or service potential must be returned to the transferor.
- **Control of an asset** arises in a situation when the entity can use or otherwise benefit from the asset in pursuit of its objectives and can exclude or otherwise regulate the access of others to that benefit.
- **Restrictions on transferred assets** are stipulations that limit or direct the purposes for which a transferred asset may be used, but do not specify that future economic benefits or service potential is required to be returned to the transferor if not deployed as specified.
- Stipulations on transferred assets are terms in laws or regulation, or a binding arrangement, imposed upon the use of a transferred asset by entities external to the reporting entity

SESSION 6.4 TAXES

- **Taxes** are economic benefits or service potential compulsorily paid or payable to public sector entities, in accordance with laws and/or regulations, established to provide revenue to the government. Taxes do not include fines or other penalties imposed for breaches of the law.
- **Tax expenditures** are preferential provisions of the tax law that provide certain taxpayers with concessions that are not available to others.
- The **taxable event** is the event that the government, legislature, or other authority has determined will be subject to taxation.
- **Expenses paid through the tax system** are amounts that are available to beneficiaries regardless of whether or not they pay taxes.

6.4.1 Recognition

An entity should recognize an asset in respect of taxes when

- the taxable event occurs and
- the asset recognition criteria are met.

6.4.2 Examples of taxable events for:

- **Income tax** is the earning of assessable income during the taxation period by the taxpayer;
- **Value-added tax** is the undertaking of taxable activity during the taxation period by the taxpayer;
- **Goods and services tax** is the purchase or sale of taxable goods and services during the taxation period;
- **Customs duty** is the movement of dutiable goods or services across the customs boundary;
- **Death duty** is the death of a person owning taxable property; and
- **Property tax** is the passing of the date on which the tax is levied, or the period for which the tax is levied, if the tax is levied on a periodic basis.

6.4.3 Advance Receipt of taxes

Resources for taxes received prior to the occurrence of the taxable event are recognized as an asset and a liability (advance receipts), because

- the event that gives rise to the entity's entitlement to the taxes has not occurred, and
- the criteria for recognition of taxation revenue have not been satisfied.

6.4.4 Measurement

Measurement of assets arising from taxation transactions should be measured at their fair value as at the date of acquisition.

Note:

- Taxation revenue should be determined at gross amount. It should not be reduced for expenses paid through the tax system.
- Taxation revenue should not be grosses up for the amount of tax expenditure (i.e. mortgage interest).

SESSION 6.5 TRANSFERS

Transfers are inflows of future economic benefits or service potential from non-exchange transactions, other than taxes.

Recognition

An entity should recognize an asset in respect of transfers when

- the transferred resources meet the definition of an asset and
- satisfy the criteria for recognition as an asset.

Examples of Transfers

Transfers include grants, debt forgiveness, fines, bequests, gifts, donations, and goods and services in-kind.

All these items have the common attribute that they transfer resources from one entity to another without providing approximately equal value in exchange, and are not taxes as defined.

Measurement

Transferred assets are measured at their fair value at the date of acquisition

6.5.1 Debt Forgiveness and Assumption of Liabilities

Lenders will sometimes waive their right to collect a debt owed by a public sector entity, effectively cancelling the debt.

Recognition

Entities recognize revenue in respect of debt forgiveness when the former debt no longer meets the definition of a liability or satisfies the criteria for recognition as a liability

Measurement

Revenue arising from debt forgiveness is measured at the carrying amount of the debt forgiven

6.5.2 Fines

Fines are economic benefits or service potential received or receivable by a public sector entity, from an individual or other entity, as determined by a court or other law enforcement body, as a consequence of the individual or other entity breaching the requirements of laws or regulations

Recognition

Fines are recognized as revenue when the receivable meets the definition of an asset and satisfies the criteria for recognition as an asset set

Measurement

Assets arising from fines are measured at the best estimate of the inflow of resources to the entity

6.5.3 Bequests

A bequest is a transfer made according to the provisions of a deceased person's will.

Recognition

Bequests that satisfy the definition of an asset are recognized as assets and revenue when

- it is probable that the future economic benefits or service potential will flow to the entity, and
- the fair value of the assets can be measured reliably.

Measurement

- Bequests are measured at their fair value

6.5.4 Gifts, Donations including Goods in-Kind

a) **Gifts and donations** are voluntary transfers of assets, including cash or other monetary assets, goods in-kind, and services in-kind that one entity makes to another, normally free from stipulations.
b) These are recognized as assets and revenue when it is probable that the future economic benefits or service potential will flow to the entity and the fair value of the assets can be measured reliably.
c) **Goods in-kind** are tangible assets transferred to an entity in a non-exchange transaction, without charge, but may be subject to stipulations.
d) These are recognized as assets when the goods are received, or there is a binding arrangement to receive the goods. If goods in-kind are received without conditions attached, revenue is recognized immediately. If conditions are attached, a liability is recognized, which is reduced and revenue recognized as the conditions are satisfied.

e) On initial recognition, gifts and donations including goods in-kind are measured at their fair value as at the date of acquisition, which may be ascertained by reference to an active market or by appraisal by a valuation professional.

6.5.5 Services in Kind

- Services in-kind are services provided by individuals to public sector entities in a non-exchange transaction.
- An entity may, but is not required to, recognize services in-kind as revenue and as an asset.
- Due to the uncertainty surrounding service in kind in terms of control of services in kind and coming up with a fair value for them, it is recommended that services in kind must not be recognized in financial statements. however, material services in kind must be disclosed in the notes.

6.5.6 Pledges

- Pledges are unenforceable undertakings to transfer assets to the recipient entity. Pledges do not meet the definition of an asset, because the recipient entity is unable to control the access of the transferor to the future economic benefits or service potential embodied in the item pledged.
- Entities should not recognize pledged items as assets or revenue. If the pledged item is subsequently transferred to the recipient entity, it must be recognized as a gift or donation

6.5.7 Advance Receipts of Transfers

- Where an entity receives resources before a transfer arrangement becomes binding, the resources are recognized as an asset when they meet the definition of an asset and satisfy the criteria for recognition as an asset.
- The entity will also recognize an advance receipt liability if the transfer arrangement is not yet binding.
- Advance receipts in respect of transfers are not fundamentally different from other advance receipts, so a liability is recognized until the event that makes the transfer arrangement binding occurs and all other conditions under the agreement are fulfilled.
- When that event occurs and all other conditions under the agreement are fulfilled, the liability is discharged and revenue is recognized.

6.5.8 Concessionary Loans

Concessionary loans are loans received by an entity at below market terms.

The portion of the loan that is repayable, along with any interest payments, is an exchange transaction and is accounted for in accordance with IPSAS 41.

Recognition and Measurement

- An entity considers whether any difference between the transaction price (loan proceeds) and the fair value of the loan on initial recognition (see IPSAS 41) is non-exchange revenue that should be accounted for in accordance with this Standard.
- Where an entity determines that the difference between the transaction price (loan proceeds) and the fair value of the loan on initial recognition is non-exchange revenue, an entity recognizes the difference as revenue, except if a present obligation exists, e.g., where specific conditions imposed on the transferred assets by the recipient result in a present obligation.
- Where a present obligation exists, it is recognized as a liability. As the entity satisfies the present obligation, the liability is reduced and an equal amount of revenue is recognized.

SESSION 6.6 DISCLOSURE

a) An entity should disclose either on the face of, or in the notes to, the general purpose financial statements:

- The amount of revenue from non-exchange transactions recognized during the period by major classes showing separately:
- Taxes, showing separately major classes of taxes; and
- Transfers, showing separately major classes of transfer revenue.
- The amount of receivables recognized in respect of non-exchange revenue;
- The amount of liabilities recognized in respect of transferred assets subject to conditions;
- The amount of liabilities recognized in respect of concessionary loans that are subject to conditions on transferred assets;
- The amount of assets recognized that are subject to restrictions and the nature of those restrictions;
- The existence and amounts of any advance receipts in respect of non-exchange transactions; and
- The amount of any liabilities forgiven.

b) An entity should disclose in the notes to the general purpose financial statements:

- The accounting policies adopted for the recognition of revenue from non-exchange transactions;
- For major classes of revenue from non-exchange transactions, the basis on which the fair value of inflowing resources was measured;
- For major classes of taxation revenue that the entity cannot measure reliably during the period in which the taxable event occurs, information about the nature of the tax; and
- The nature and type of major classes of bequests, gifts, and donations, showing separately major classes of goods in-kind received.

SESSION 6.7 SUMMARY

This module has explained the accounting treat arising from non-exchange transactions revenue and assets. The module covered recognition and measurement criteria for revenue in form of assets and proper

revenue which mainly comprise taxes and transfers. The next module looks at accounting for revenue from exchange transactions.

Activity 6.1

Mwanza District Council collected the following non exchange revenue for the year ended 30 June, 2019: Income tax, Value added tax, customs duty, Death duties, property taxes, grants, debt forgiveness, bequests and fines.

Required:

Explain how these non-exchange revenues are recognized in line with IPSAS 23.

Suggested Treatment

Income tax	when the taxable event occurs, which is the earning of assessable income by taxpayers
Value Added Tax	when the taxable event occurs, which is the undertaking of taxable activity, that is, the sale of value-added goods or services, during the reporting period
Customs duty	when the taxable event occurs, which is the movement of goods across the customs boundary
Death duties (estate duty)	when the taxable event occurs, which is the death of a person owning taxable property
Property taxes	when the taxable event occurs, which is the passing of the date on which the taxes are levied
Grants	There are no stipulations attached to these grants, and no performance obligation, so the transfers are recognized as assets and revenue in the general purpose financial statements of the reporting period in which they are received or receivable by the local government
Debt forgiveness	When it receives the letter and documentation from the national government, which communicates this decision, the local government derecognizes the liability for the loan and recognizes revenue in the statement of financial performance of the reporting period in which the liability is derecognized
Proposed bequest	The past event for a bequest is the death of the testator (transferor), which has not occurred
Fine	When it is imposed

SESSION 6.8 ACTIVITIES

Activity 6.2

a) List examples of tax incomes according to IPSAS 23.
b) Name any five examples of income in form of transfers.

MODULE 7 : REVENUE FROM EXCHANGE TRANSACTIONS

Session 7.1 Introductions
Session 7.2 Learning Outcomes
Session 7.3 Exchange Transactions
Session 7.4 Identification of Transaction
Session 7.5 Measurement of Revenue
Session 7.6 Disclosure
Session 7.7 Summary
Session 7.8 Activities

SESSION 7.1 INTRODUCTION

a) The IASB's *Framework for the Preparation and Presentation of Financial Statements* defines income as "increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants." The IASB definition of income encompasses both revenue and gains.

b) In this module the term "revenue," encompasses both revenues and gains, in place of the term "income." Certain specific items to be recognized as revenues are addressed in other modules, and are excluded from the scope of this module. For example, gains arising on the sale of property, plant, and equipment are specifically addressed in the module on property, plant, and equipment and are not covered in this one.

c) This module prescribes the accounting treatment of revenue arising from exchange transactions and events in line with IPSAS 9.

d) The primary issue in accounting for revenue is determining when to recognize revenue. Revenue is recognized when it is probable that (a) future economic benefits or service potential will flow to the entity, and (b) these benefits can be measured reliably. This module identifies the circumstances in which these criteria will be met and, therefore, revenue will be recognized. It also provides practical guidance on the application of these criteria.

e) The module covers entities that prepare and present financial statements under the accrual basis of accounting.

SESSION 7.2 LEARNING OUTCOMES:

By the end of this session, participants should be able to:

a) Distinguish revenue from exchange transactions from that from non-exchange transactions; and
b) Identify exchange transactions;
c) Account for revenue from exchange transactions such as rendering of services, sale of goods, interest, royalties and dividends.

SESSION 7.3 EXCHANGE TRANSACTIONS

a) **Exchange transactions** are transactions in which one entity receives assets or services, or has liabilities extinguished, and directly gives approximately equal value (primarily in the form of cash, goods, services, or use of assets) to another entity in exchange
b) **Non exchange transactions** are transactions that are not exchange transactions. In a non-exchange transaction, an entity either receives value from another entity without directly giving approximately equal value in exchange, or gives value to another entity without directly receiving approximately equal value in exchange.

Examples of revenue from exchange transactions include revenue arising from the following exchange transactions and events:

- The rendering of services;
- The sale of goods; and
- The use by others of entity assets yielding interest, royalties, and dividends or similar distributions.

SESSION 7.4 IDENTIFICATION OF TRANSACTIONS

a) The recognition criteria are usually applied separately to each transaction.
b) However, in certain circumstances, it is necessary to apply the recognition criteria to the separately identifiable components of a single transaction in order to reflect the substance of the transaction.
c) For example, when the price of a product includes an identifiable amount for subsequent servicing, that amount is deferred, and recognized as revenue over the period during which the service is performed.
d) Conversely, the recognition criteria are applied to two or more transactions together when they are linked in such a way that the effect cannot be understood without reference to the series of transactions as a whole.
e) For example, an entity may sell goods and, at the same time, enter into a separate agreement to repurchase the goods at a later date, thus negating the substantive effect of the transaction; in such a case, the two transactions are dealt with together.

SESSION 7.5 MEASUREMENT OF REVENUE

a) Revenue should be measured at the fair value of the consideration received or receivable.
b) In most cases, the consideration is in the form of cash or cash equivalents, and the amount of revenue is the amount of cash or cash equivalents received or receivable.

c) **Fair value** is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

7.5.1 Rendering Services

a) When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction should be recognized by reference to the stage of completion of the transaction at the reporting date.

b) The outcome of a transaction can be estimated reliably when all the following conditions are satisfied:

- The amount of revenue can be measured reliably;
- It is probable that the economic benefits or service potential associated with the transaction will flow to the entity;
- The stage of completion of the transaction at the reporting date can be measured reliably; and
- The costs incurred for the transaction and the costs to complete the transaction can be measured reliably

c) The stage of completion of a transaction may be determined by a variety of methods. An entity uses the method that measures reliably the services performed.

d) Depending on the nature of the transaction, the methods may include:

- Surveys of work performed;
- Services performed to date as a percentage of total services to be performed; or
- The proportion that costs incurred to date bear to the estimated total costs of the transaction. Only costs that reflect services performed to date are included in costs incurred to date. Only costs that reflect services performed or to be performed are included in the estimated total costs of the transaction.

Progress payments and advances received from customers often do not reflect the services performed.

e) When the outcome of the transaction involving the rendering of services cannot be estimated reliably, revenue should be recognized only to the extent of the expenses recognized that are recoverable.

d) When

- the outcome of a transaction cannot be estimated reliably, and
- it is not probable that the costs incurred will be recovered,

Revenue is not recognized and the costs incurred are recognized as an expense.

7.5.2 Sale of Goods

Revenue from the sale of goods should be recognized when all the following conditions have been satisfied:

- The entity has transferred to the purchaser the significant risks and rewards of ownership of the goods (i.e. in most cases it is on passing of legal title or actual items);
- The entity retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- The amount of revenue can be measured reliably;
- It is probable that the economic benefits or service potential associated with the transaction will flow to the entity; and
- The costs incurred or to be incurred in respect of the transaction can be measured reliably.

Examples of situations in which the entity may retain the significant risks and rewards of ownership are:

- When the entity retains an obligation for unsatisfactory performance not covered by normal warranty provisions;
- When the receipt of the revenue from a particular sale is contingent on the derivation of revenue by the purchaser from its sale of the goods (for example, where a government publishing operation distributes educational material to schools on a sale or return basis);
- When the goods are shipped subject to installation and the installation is a significant part of the contract that has not yet been completed by the entity; and
- When the purchaser has the right to rescind the purchase for a reason specified in the sales contract, and the entity is uncertain about the probability of return.

7.5.3 Interest, Royalties and Dividends

Revenue arising from the use by others of entity assets yielding interest, royalties, and dividends or similar distributions should be recognized when:

- It is probable that the economic benefits or service potential associated with the transaction will flow to the entity; and
- The amount of the revenue can be measured reliably.

Revenue should be recognized using the following accounting treatments:

- Interest should be recognized on a time proportion basis that takes into account the effective yield on the asset;
- Royalties should be recognized as they are earned in accordance with the substance of the relevant agreement; and
- Dividends or similar distributions should be recognized when the shareholder's or the entity's right to receive payment is established.

SESSION 7.6 DISCLOSURE

An entity should disclose:

a) The accounting policies adopted for the recognition of revenue, including the methods adopted to determine the stage of completion of transactions involving the rendering of services;
b) The amount of each significant category of revenue recognized during the period, including revenue arising from:

- The rendering of services;
- The sale of goods;
- Interest;
- Royalties; and
- Dividends or similar distributions; and

c) The amount of revenue arising from exchanges of goods or services included in each significant category of revenue.

Activity 7.1

d) **Lilongwe District Council** provides services as a source of revenue to run its operations. the Council offer the following services to its customers: Houses for rental; management of toll roads; management of facilities, assets like rest houses; transport for travellers; and also processes court cases.
e) **Nkhata bay District Council** charges fees for the following: admission for artistic performances.
f) **Nsanje District Council** sales items by cash on delivery and also sold a property which was dilapidated
g) **Blantyre City Council** franchises (concession) its public toilets to third parties to run them

Required:

Explain how each of these transactions should be recognized in line with IPSAS 9.

Suggested Treatment

Service	Revenue Recognition Criteria
Housing	As the income is earned in accordance with the terms of the tenancy agreement.
Management of toll roads	As it is earned, based on the usage of the roads.
Management of facilities	Over the term of the contract as services are being provided
Transport	As the transport is provided.
Court cases	either by reference to the stage of completion of the processing, or based on the periods during which the courts are in session
Artistic performances	When event takes place
Cash on delivery	When delivery is made and cash is received by the seller or agent
Property sold	when title passes to the purchaser
Concession or franchising public toilets	As services are being offered or rights being used

SESSION 7.7 SUMMARY

This module has explained how to account for income arising from exchange transactions in general. In particular it has dealt with income from rendering of services, sale of goods and revenue arising from interest, royalties and dividends or similar distributions in line with IPSAS 9. The module has also looked at how to identify transactions so that they can be grouped appropriately. The next module will look at accounting treatment of provisions, contingent liabilities and contingent assets.

SESSION 7.8 ACTIVITIES

Activity 7.2

a) Distinguish exchange from non-exchange transaction

SECTION IV:
EXPENSES AND LIABILITIES

MODULE 8: PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

Session 8.1 Introduction

Session 8.2 Learning Outcomes

Session 8.3 Provisions

Session 8.4 Contingent Liabilities and Contingent Assets

Session 8.5 Summary

Session 8.6 Activities

SESSION 8.1 INTRODUCTION

a) The purpose of this module is to: (a) define provisions, contingent liabilities, and contingent assets, and (b) identify the circumstances in which provisions should be recognized, how they should be measured, and the disclosures that should be made about them in line with IPSAS 19.

b) IPSAS 19 also requires that certain information be disclosed about contingent liabilities and contingent assets in the notes to the financial statements, to enable users to understand their nature, timing, and amount.

SESSION 8.2 LEARNING OUTCOMES

By the end of this module, participants should be able to:

- Distinguish between an accrual and a provision;
- Account for provisions; and
- Account for contingent liabilities and contingent assets.

SESSION 8.3 PROVISIONS

8.3.1 Definitions

*A **provision** is a liability of uncertain timing or amount.*

*A **liability** is a present obligation of an entity arising from past events, the settlement of which is expected to result in an outflow from the entity or resources embodying economic benefits.*

A provision may be necessary as a result of

- *a legal or*
- *a constructive obligation*

A legal obligation is an obligation that derives from:

- *a contract,*
- *legislation or*
- *other operating law*

*A **constructive obligation** is an obligation that derives from an entity's actions where:*

By an established pattern of past practice, published policies, or a sufficiently specific current statement, the entity has indicated to other parties that it will accept certain responsibilities; and

As a result, the entity has created a valid expectation on the part of those other parties that it will discharge those responsibilities.

Activity 8.1

A retail shop has a policy of refunding purchases by dissatisfied customers, even though it is under no legal obligation to do so. Its policy of making refunds is generally known.

Required: **Should a provision be made at the year end**?

8.3.2 Recognition

A provision should be recognized when:

- An entity has a present obligation (legal or constructive) as a result of a past event;
- It is probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation; and

A reliable estimate can be made of the amount of the obligation.

If these conditions are not met, no provision should be recognized.

8.3.3 Measurement

a) The amount recognized as a provision should be the best estimate of the expenditure required to settle the present obligation at the reporting date.
b) The risks and uncertainties that inevitably surround many events and circumstances should be taken into account in reaching the best estimate of a provision.
c) Provisions should be reviewed at each reporting date, and adjusted to reflect the current best estimate.

8.3.3 Disclosure

For each class of provision, an entity should disclose:

- opening and closing balance and movements during the year
- a brief description of the nature of the obligation and the expected timing of any resulting outflows, including an indication of uncertainties about the amount and timing of outflows.

SESSION 8.4 CONTINGENT LIABILITIES AND CONTINGENT ASSETS

8.4.1 Definitions

A contingent liability is:

- A possible obligation that arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or
- A present obligation that arises from past events, but is not recognized because:
- It is not probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation; or
- The amount of the obligation cannot be measured with sufficient reliability.

A Contingent Asset

A contingent asset is a possible asset that arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Example

If **Machinga District Council** sues **Balaka District Council** because it believes it failed to implement its activities as a result of Balaka District Council's actions, then Balaka District Council may be liable for damages. whether or not the damages will actually be paid depends on the outcome of the case.

Until this is known, Balaka District council has a contingent **liability** and Machinga District council has a contingent **asset**.

8.4.2 Accounting for Contingent Liabilities

Contingent liabilities:

- should not be recognized in financial statements
- should be disclosed in notes unless the possibility of a transfer of economic benefits is remote

8.4.3 Accounting for Contingent Asset

Contingent Assets

- Usually arise from unplanned or other unexpected events that (a) are not wholly within the control of the entity, and (b) give rise to the possibility of an inflow of economic benefits or service potential to the entity. An example is a claim that an entity is pursuing through legal processes, where the outcome is uncertain.
- Are not recognized in financial statements, since this may result in the recognition of revenue that may never be realized. However, when the realization of revenue is virtually certain, then the related asset is not a contingent asset and its recognition is appropriate.

8.4.4 Disclosure

The principal disclosure requirements regarding contingencies are:

- nature of the contingency
- the uncertainties expected to affect the ultimate outcome
- the estimate of the potential financial effect

Activity 8.2 Activity 8.2

During the year to 30 June, 20X9, a resident of Ndirande township started legal proceedings Against **Blantyre City Council**, claiming that he drank water from a river nearby which was heavily polluted and he suddenly became ill. Blantyre City council lawyers have advised that this action will probably not succeed.

Required: Should Blantyre City Council disclose this is the financial statements?

SESSION 8.5 SUMMARY

The accounting treatment can be summarized in table 3

Table 4: Accounting Treatment of Provisions, Contingent Liabilities and Contingent Assets.

Degree of probability of an outflow / inflow of resources	Liability	Asset
Virtually certain	Provide	Recognise
Probable	Provide	Disclose by Note
Possible	Disclose by Note	No disclosure
Remote	No disclosure	No disclosure

The module has provided criteria for recognizing and measuring provisions, contingent assets and contingent liabilities in line with IPSAS 19. The next module looks at presentation of budget information in financial statements.

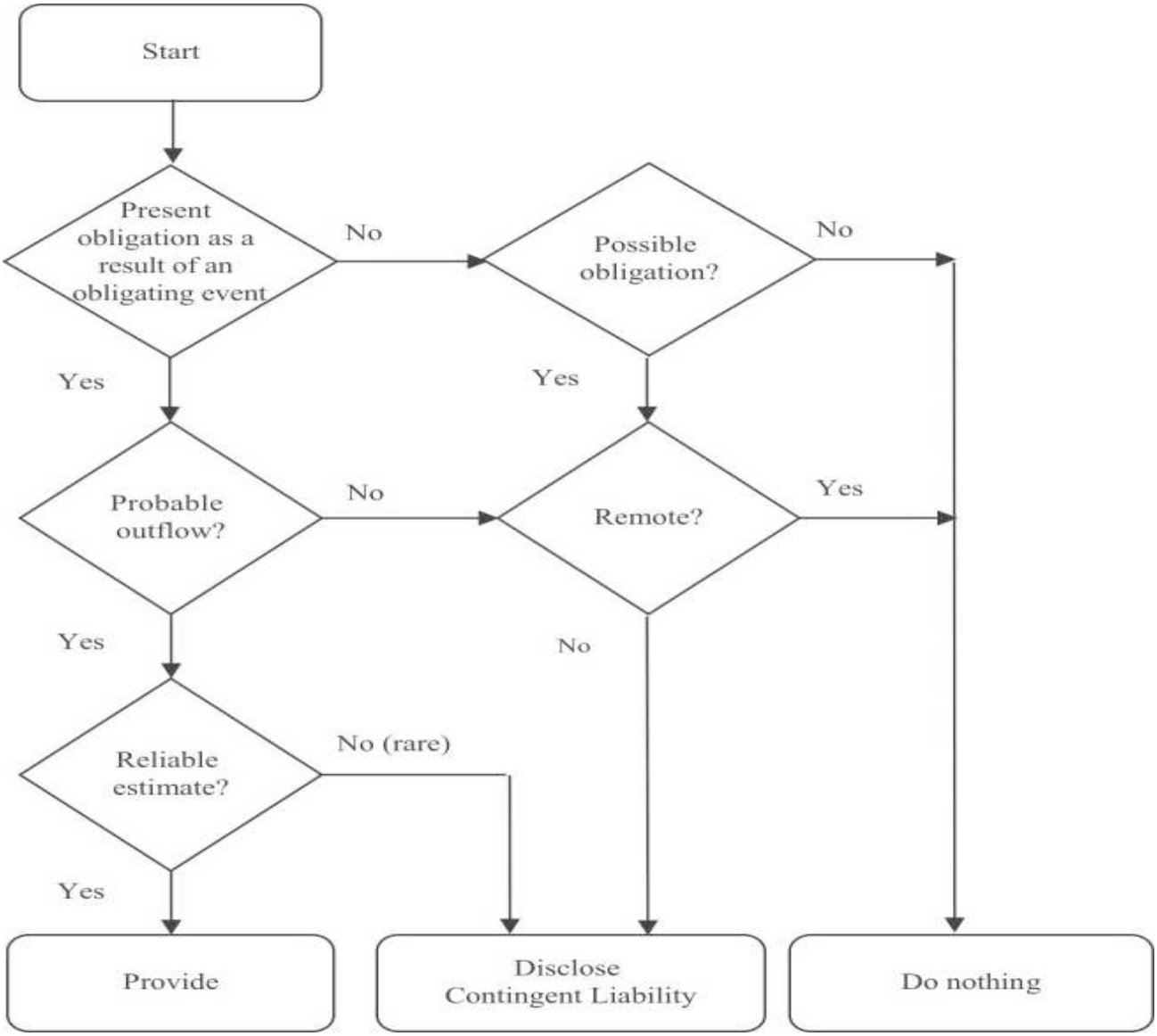

Figure Two: Decision tree for Provisions, Contingent Liabilities and Assets

SESSION 8.6 ACTIVITIES

Activity 8.3

Write short notes on the recognition and measurement of provisions, contingent assets and contingent liabilities.

Activity 8.4

Contamination and Constructive Obligation

Mulanje District Council has a widely published environmental policy in which it undertakes to clean up all contamination that it causes. The council has a record of honouring this published policy. There is no environmental legislation in place though. During the course of undertaking its operations, a truck is damaged and leaks a substantial amount of oil in the Thuchila river. The council agrees to pay for the costs of the immediate clean-up and the on-going costs of monitoring and assisting marine animals and birds.

Analysis

Present obligation as a result of a past obligating event - The obligating event is the contamination of the environment, which gives rise to a constructive obligation because the policy and previous conduct of the council has created a valid expectation that the council will clean up the contamination.

An outflow of resources embodying economic benefits or service potential in settlement - Probable.

Conclusion

A provision is recognized for the best estimate of the costs of the clean-up.

Activity 8.5

Refunds Policy

Salima District Council operates as a centralized purchasing agency and allows the public to purchase surplus supplies. It has a policy of refunding purchases by dissatisfied customers, even though it is under no legal obligation to do so. Its policy of making refunds is generally known.

Analysis

Present obligation as a result of a past obligating event - The obligating event is the sale of the supplies, which gives rise to a constructive obligation, because the conduct of the agency has created a valid expectation on the part of its customers that the agency will refund purchases.

An outflow of resources embodying economic benefits or service potential in settlement - Probable that a proportion of goods are returned for refund.

Conclusion

A provision is recognized for the best estimate of the costs of refunds (the definition of a constructive obligation).

MODULE 9: EMPLOYEE BENEFITS

Session 9.1 Introduction
Session 9.2 Learning Outcomes
Session 9.3 Short Term Benefits
Session 9.4 Post-Employment Benefits
Session 9.5 Other Long Term Benefits
Session 9.6 Termination Benefits
Session 9.7 Summary
Session 9.8 Activities

SESSION 9.1 INTRODUCTION

a) This module prescribes the accounting and disclosure for employee benefits according to IPSAS 39. The Standard requires an entity to recognize:

- A liability when an employee has provided service in exchange for employee benefits to be paid in the future; and
- An expense when the entity consumes the economic benefits or service potential arising from service provided by an employee in exchange for employee benefits.

b) IPSAS 39 cover employee benefits provided:

- Under formal plans or other formal agreements between an entity and individual employees, groups of employees, or their representatives;
- Under legislative requirements, or through industry arrangements, whereby entities are required to contribute to national, state, industry, or other multi-employer plans, or where entities are required to contribute to the composite social security program; or
- By those informal practices that give rise to a constructive obligation. Informal practices give rise to a constructive obligation where the entity has no realistic alternative but to pay employee benefits. An example of a constructive obligation is where a change in the entity's informal practices would cause unacceptable damage to its relationship with employees.

SESSION 9.2 LEARNING OUTCOMES

By the end of this module, participants should be able to:

- Define employment benefits;
- Classify employment benefits;
- Distinguish defined contributions plans from defined benefits plans; and
- Account for defined contributions plans.

SESSION 9.3 SHORT TERM EMPLOYEE BENEFITS

a) **Employee benefits** are all forms of consideration given by an entity in exchange for service rendered by employees or for the termination of employment.

b) IPSAS 39 classifies employee benefits into short term, post-employment, other long term and termination benefits.

c) **Short-term employee benefits** are employee benefits (other than termination benefits) that are due to be settled wholly before twelve months after the end of the reporting period in which the employees render the related service.

d) Examples of short term employee benefits include:

- Wages, salaries and social security contributions;
- Paid annual leave and paid sick leave;
- Profit-sharing and bonuses; and
- Non-monetary benefits (such as medical care, housing, cars and free or subsidized goods or services) for current employees;

9.3.1 Recognition and Measurement

An entity should recognize the amount of short-term employee benefits expected to be paid in exchange for the rendered service to that entity the entity has enjoyed the economic benefits from the service provided, as

- an expenses when the entity has enjoyed the economic benefits rendered to it by the employee
- a liability (accrual) if not paid, and
- an asset (prepayment) if paid in advance.

SESSION 9.4 POST EMPLOYMENT BENEFITS

a) **Post-employment benefits** are employee benefits (other than termination benefits and short-term employee benefits) that are payable after the completion of employment.

b) Examples of post-employment benefits include:

- Retirement benefits (e.g., pensions and lump sum payments on retirement); and
- Other post-employment benefits, such as post-employment life insurance and post-employment medical care;

c) IPSAS 39 classifies post-employment benefits as either defined contributions plans or defined benefits plans.

d) The standard also gives guidance on the multi-employer plans and state plans where the employer I given an option whether to treat it under the defined contribution plans or defined benefits plans. This manual will bundle them under the defined contributions plan because the policy in Local Authorities is to use the defined contributions plans.

e) Both defined contribution plans and defined benefits plans are given under post-employment plans.

Post-employment benefit plans are formal or informal arrangements under which an entity provides post-employment benefits for one or more employees.

Multi-employer plans are defined contribution plans (other than state plans) or defined benefit plans (other than state plans) that:

- Pool the assets contributed by various entities that are not under common control; and
- Use those assets to provide benefits to employees of more than one entity, on the basis that contribution and benefit levels are determined without regard to the identity of the entity that employs the employees.

State plans are plans established by legislation that operate as if they are multi-employer plans for all entities in economic categories laid down in legislation.

9.4.1 Defined Contribution Plans

a) **Defined contribution plans** are post-employment benefit plans under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.
b) Under defined contribution plans the entity's legal or constructive obligation is limited to the amount that it agrees to contribute to the fund. Thus, the amount of the post-employment benefits received by the employee is determined by the amount of contributions paid by an entity (and perhaps also the employee) to a post-employment benefit plan or to an insurance company, together with investment returns arising from the contributions.
c) In consequence, actuarial risk (that benefits will be less than expected) and investment risk (that assets invested will be insufficient to meet expected benefits) fall, in substance, on the employee.

Recognition and Measurement

a) Accounting for payments into defined contribution plans is straight forward

- the obligation is determined by the amount paid into the plan in each period;
- there are no actuarial assumptions to make
- if the obligation is settled in the current period (or at least no later than 12 months after the end of the current period) there is no requirement for discounting

b) IPSAS 39 requires the following:

- contributions to a defined contribution plan should be recognized as an expense in the period they are payable
- any liability for unpaid contributions that are due as at the end of the period should be recognized as a liability (accrued expense)
- any excess contributions paid should be recognized as an asset (prepaid expense)

In the event that contributions to a defined contribution plan do not fall due entirely within 12 months after the end of the period in which the employees perform the related service, then these should be discounted.

Disclosure

An entity should disclose the following:

- a description of the plan
- the amount recognized as an expense in the period

9.4.2 Defined Benefits Plans

a) **Defined benefit plans** are post-employment benefit plans other than defined contribution plans.
b) Considering that the current policy in Local Authorities is to use the defined contribution plans which the standard require that they include the multi-employer as well as the state plans, this manual will not cover the details of recognition and measurement requirements of the defined benefits plans.

SESSION 9.5 OTHER LONG TERM BENEFITS

a) **Other long-term employee benefits** are all employee benefits other than short-term employee benefits, post-employment benefits and termination benefits.
b) Examples of other long term benefits include:

- Long-term paid absences such as long-service leave or sabbatical leave;
- Jubilee or other long-service benefits; and
- Long-term disability benefits;
- profit sharing sharing and bonuses
- differed remuneration; and
- compensation paid by an entity until an individual enters new employment.

SESSION 9.6 TERMINATION BENEFITS

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment as a result of either:

- An entity's decision to terminate an employee's employment before the normal retirement date; or
- An employee's decision to accept an offer of benefits in exchange for the termination of employment.

Recognition and Measurement

An entity should recognize a liability and expense for termination benefits at the earlier of the following dates:

- When the entity can no longer withdraw the offer of those benefits; and
- When the entity recognizes costs for a restructuring that is within the scope of IPSAS 19 and involves the payment of termination benefits.

SESSION 9.7 SUMMARY

This module has covered the accounting treatment of employee benefits in line with IPSAS 39. The module has dealt with the recognition and measurement criteria for short term benefits, post-employment benefits, other long term benefits and termination benefits. It has also provided more guidance on the defined contributions plan as opposed to the defined benefits plan, as a post-employment benefit since the LAs adopted the defined contributions plan as their policy on employee benefits. The next module looks at accounting for social benefits.

SESSION 9.8 ACTIVITIES

Activity 9.1

a) What are the categories of employee benefits given by IPSAS 39?
b) Give two types of post-employment benefits plans.
c) What is the difference between defined contribution and defined benefits plans?
d) Which plan does your authorize use?
e) What is constructive obligation compared to legal obligation?
f) How should defined contributions be recognized in financial statements for local authorities?
g) write short notes on actuarial and investment risks

MODULE 10: SOCIAL BENEFITS

Session 10.1 Introduction

Session 10.2 Learning Outcomes

Session 10.3 Social Benefits

Session 10.4 Recognition of Social Benefit Scheme

Session 10.5 Measurement of Social Benefit Scheme

Session 10.6 Reporting of the Long Term Sustainability of an Entity's Finances

Session 10.7 Summary

Session 10.8 Activities

SESSION 10.1 INTRODUCTION

a) The purpose of this module is to improve the relevance, faithful representativeness and comparability of the information that a reporting entity provides in its financial statements about social benefits as defined in IPSAS 42.

b) The information provided should help users of the financial statements and general purpose financial reports assess:

- The nature of such social benefits provided by the entity;
- The key features of the operation of those social benefit schemes; and
- The impact of such social benefits provided on the entity's financial performance, financial position and cash flows.

c) To accomplish this, IPSAS 42 establishes principles and requirements for:

- Recognizing expenses and liabilities for social benefits;
- Measuring expenses and liabilities for social benefits;
- Presenting information about social benefits in the financial statements; and
- Determining what information to disclose to enable users of the financial statements to evaluate the nature and financial effects of the social benefits provided by the reporting entity.

SESSION 10.2 LEARNING OUTCOMES

By the end of this module, participants will be able to:

a) Define social benefits and social risks;
b) Account for social benefits scheme in the financial statements; and
c) Disclose relevant social benefits scheme information in the financial statements.

SESSION 1 0.3 SOCIAL BENEFITS

Social benefits are cash transfers provided to:

- Specific individuals and/or households who meet eligibility criteria;
- Mitigate the effect of social risks; and
- Address the needs of society as a whole.

Social risks are events or circumstances that:

- Relate to the characteristics of individuals and/or households - for example, age, health, poverty and employment status; and
- May adversely affect the welfare of individuals and/or households, either by imposing additional demands on their resources or by reducing their income.

SESSION 1 0.4 RECOGNITION OF SOCIAL BENEFIT SCHEME

10.4.1 Liability

An entity should recognize a liability for a social benefit scheme when:

- The entity has a present obligation for an outflow of resources that results from a past event; and
- The present obligation can be reliably measured. (In a way that achieves the qualitative characteristics and takes account of constraints on information in general purpose financial reports as set out in the Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities).

Activity 10.1

Question:

Describe the past event that gives rise to a liability for a social benefit scheme.

10.4.2 Expense

a) An entity should recognize an expense for a social benefit scheme at the same point that it recognizes a liability.

b) An entity should not recognize an expense for a social benefit scheme where a social benefit payment is made prior to all eligibility criteria for the next payment being satisfied. Rather, an entity should recognize a payment in advance as an asset in the statement of financial position, unless the amount becomes irrecoverable, in which case it should recognize an expense.

SESSION 1 0.5 MEASUREMENT OF SOCIAL BENEFIT SCHEME

10.5.1 Liability

Initial measurement

The liability for a social benefit scheme should be measured at the best estimate of the costs (i.e., the social benefit payments) that the entity will incur in fulfilling the present obligations represented by the liability.

Subsequent measurement

Any difference between the cost of making the social benefit payments and the carrying amount of the liability in respect of the social benefit scheme is recognized in surplus or deficit in the period in which the liability is settled.

10.5.2 Expense

Social benefit scheme expense should be initially measured at an amount equivalent to the amount of the liability.

Where the entity makes a social benefit payment prior to all eligibility criteria for the next payment being satisfied, it should measure the payment in advance or expense recognized at the amount of the cash transferred.

10.5.3 Disclosure

a) The objective of the disclosures, together with the information provided in the statement of financial position, statement of financial performance, statement of changes in net assets/ equity and statement of cash flows, is for entities to give users of the financial statements a basis to assess the effect that social benefits may have on the financial position, financial performance and cash flows of the entity.

b) An entity should disclose information that:

- Explains the characteristics of its social benefit schemes i.e.

- The nature of the social benefits provided by the schemes (for example, retirement benefits, unemployment benefits, child benefits).
- Key features of the social benefit schemes, such as a description of the legislative framework governing the schemes,
- A summary of the main eligibility criteria that must be satisfied to receive the social benefits, and a statement about how additional information about the scheme can be obtained.
- A description of how the schemes are funded, including whether the funding for the schemes is provided by means of a budget appropriation, a transfer from another public sector entity, or by other means.
- If a scheme is funded (whether in full or in part) by social contributions, the entity should provide:
- A cross reference to the location of information about those social contributions and any dedicated assets (where this information is included in the entity's financial statements); or
- A statement regarding the availability of information on those social contributions and any dedicated assets in another entity's financial statements and how that information can be obtained.

- Explains the demographic, economic and other external factors that may affect its social benefit schemes.

- A description of the key demographic, economic and other external factors that influence the level of expenditure under the social benefit schemes. This description may be presented in aggregate where the same demographic, economic and other external factors impact a number of social benefit schemes in a similar manner.
- The total expenditure on social benefits recognized in the statement of financial performance, analysed by social benefit scheme.
- A description of any significant amendments to the social benefit schemes made during the reporting period, along with a description of the expected effect of the amendments. Amendments to a social benefit scheme include, but are not limited to:
- Changes to the level of social benefits provided; and
- Changes to the eligibility criteria, including the individuals and/or households covered by the social benefit scheme.

SESSION 10.6 REPORTING OF THE LONG-TERM SUSTAINABILITY OF AN ENTITY'S FINANCES

a) Entities with social benefits are encouraged, but not required, to prepare general purpose financial reports that provide information on the long-term sustainability of the entity's finances.
b) Recommended Practice Guideline (RPG) 1, *Reporting on the Long-Term Sustainability of an Entity's Finances*, provides guidance on the preparation of such reports.

Sample financial report – Appendix 4

SESSION 10.7 SUMMARY

This module has defined social benefits and also explained the criteria that must be met for social benefits to be recognized and measured in financial statements in line with IPSAS 42. The next module focuses on accounting for property, plant and equipment.

SESSION 10.8 ACTIVITIES

Activity 10.1

Solution

The past event that gives rise to a liability for a social benefit scheme is the satisfaction by each beneficiary of all eligibility criteria to receive a social benefit payment.

The satisfaction of eligibility criteria for each social benefit payment is a separate past event

PART V:
ASSETS AND VALUATIONS

MODULE 11: PROPERTY, PLANT AND EQUIPMENT

Session 11.1 Introduction
Session 11.2 Learning outcomes
Session 11.3 Recognition
Session 11.4 Measurement
Session 11.5 Depreciation
Session 11.6 Cost and Revaluation Models
Session 11.7 De-recognition
Session 11.8 Disclosure
Session 11.9 Summary
Session 11.10 Activities

SESSION 11.1 INTRODUCTION

a) This module sets out the accounting treatment for property, plant, and equipment so that users of financial statements can tell the difference between information about the entity's investment in its property, plant and equipment and the changes in such investment.

b) The session details the criteria for recognising assets, determining their carrying amounts, and depreciating and impairing assets when an entity prepares and presents its financial statements using IPSAS 17 under the accrual basis.

SESSION 11.2 LEARNING OUTCOMES:

By the end of this module, participants will be able to:

- Define PPE;
- Describe composition of cost of PPE; and
- Account for PPE.

SESSION 11.3 RECOGNITION

11.3.1 Definition

Property plant and equipment are tangible items that:

- are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes, and
- are expected to be used during more than one reporting period.

11.3.2 Recognition

An item of property plant and equipment should be recognized as an asset when:

- it is probable that future economic benefit or service potential associated with the item will flow to the entity; and
- the cost or fair value of an item can be measured reliably

SESSION 11.4 MEASUREMENT

11.4.1 Initial Measurement

An item of PPE should initially be measured at its

- Cost.
- fair value, where an asset is acquired through a non-exchange transaction,

Cost should include:

- all costs involved in bringing the asset into working condition
- capital costs such as the cost of site preparation, delivery and handling costs, installation and assembly costs

Note:

If an entity constructed the item of PPE, rather than buying it, it might incur other costs, which may also be included such as materials costs, labour costs, architect's fees and direct overheads like power etc.

SESSION 11.5 DEPRECIATION

11.5.1 Definition of Terms

Depreciation *is the systematic allocation of the depreciable amount of an asset over its useful life*

Depreciable amount *is the cost of an asset or other amount substituted for cost less its residual value*

Useful life *is (a) the period over which an asset is expected to be available for use by an entity; or (b) the number of production or similar units expected to be obtained from the asset by an entity.*

The residual value *of an asset is the estimated amount that an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.*

Carrying amount *is amount at which an asset is recognized after deducting any accumulated depreciation and any accumulated impairment losses*

11.5.2 IPSAS 17 Requirements

The standard requires that:

- Item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item should be depreciated separately.
- The depreciation charge for each period should be recognized in surplus or deficit.

11.5.3 Commencement of Depreciation

a) Depreciation must be charged from the date the asset is available for use, i.e. it is capable of operating in the manner intended by management.

b) This may be earlier than the date it is actually brought into use, for example when staff needs to be trained to use it. Depreciation is continued even if the asset is idle.

11.5.4 Method of Depreciation

a) The depreciation method should reflect the pattern in which the asset's future economic benefits or service potential is expected to be consumed by the entity.
b) Possible methods include:

- straight line
- reducing balance
- machine hours

c) A change from one method of providing depreciation to another:

- is permissible only on grounds that the new method will give a fairer presentation of the results and financial position
- does not constitute to a change in accounting policy
- is a change in accounting estimate

d) The carrying amount should be written off over the remaining useful life, commencing with the period in which the change is made.

11.5.5 Review of useful lives and Residual Values

e) Useful life and residual value should be reviewed at the end of each reporting period and revised if expectations are significantly different from previous estimates
f) The carrying amount of the asset at the date of revision less any residual value should be depreciated over the revised remaining useful life.
g) The depreciation charge for the current and future periods should be accounted for as a change in an accounting estimate in accordance with IPSAS 3, ***Accounting Policies, Changes in Accounting Estimates and Errors.***

Activity 11.1

Kasungu District Council bought an asset for K50million on 1 July, 20X6 and straight line depreciation of K10million per annum is being charged (five-year life, no residual value). the annual review of asset lives is undertaken and for this particular asset, the remaining useful life as at 1 July, 20X8 is six years.

The financial statements for the year ended 30 June, 20X9 are being prepared.

Required: What is the depreciation charge for the year ended 30 June, 20X9?

11.5.5 Separate Component

a) A complex asset is an asset that may be thought of as having separate components within a single asset e.g. an engine within a piece of plant
b) Each separate part of the asset should be depreciated over their useful life.
c) Major inspection and overhaul costs are generally expensed as they are incurred.
d) They are however, capitalized as a noncurrent asset to the extent that they satisfy the standard rules of separate components.

e) where this is the case they are then depreciated over their useful lives

Activity 11.2

Lilongwe City Council purchases an aircraft that has an expected useful life of 20 years with no residual value. The aircraft requires substantial overhaul at the end of years 5, 10, and 15. the aircraft cost K25billion and K5billion of this figure is estimated to be attributable to the economic benefits or service potential that are restored by the overhauls.

Required: Calculate the annual depreciation charge for the years 1-5 and years 6-10

SESSION 11.6 COST AND REVALUATION MODELS

11.6.1 after Recognition

IPSAS 17 gives an option of accounting treatment for PPE:

- the cost model
- the revaluation model

11.6.2 The Cost Model

PPE should be valued at cost less accumulated depreciation and any accumulated impairment losses.

a) **Revaluation Model**

PPE may be carried at a re-valued amount less any subsequent accumulated depreciation and accumulated impairment losses

After recognition as an asset, an item of property, plant, and equipment whose fair value can be measured reliably should be carried at a re-valued amount, being its fair value at the date of the revaluation, less any subsequent accumulated depreciation, and subsequent accumulated impairment losses.

If the revaluation alternative is adopted, two conditions must be complied with:

- Revaluations must be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.
- When an item of property, plant, and equipment is re-valued, the entire class of property, plant, and equipment to which that asset belongs must be re-valued.

Class of property plant and equipment means a grouping of assets of a similar nature or function in an entity's operations that is shown as a single item for the purpose of disclosure in the financial statements.

Accounting Treatment

- If the carrying amount of a class of assets is increased as a result of a revaluation, the increase should be credited directly to revaluation surplus. However, the increase should be recognized in surplus or deficit to the extent that it reverses a revaluation decrease of the same class of assets previously recognized in surplus or deficit.
- If the carrying amount of a class of assets is decreased as a result of a revaluation, the decrease should be recognized in surplus or deficit.
- However, the decrease should be debited directly to revaluation surplus to the extent of any credit balance existing in the revaluation surplus in respect of that class of assets.
- Revaluation increases and decreases relating to individual assets within a class of property, plant, and equipment must be offset against one another within that class but must not be offset in respect of assets in different classes.

Activity 11.3

Neno District Council re-values its buildings and decides to incorporate the revaluation into financial statements.

Extracts from the statement of financial position at 30 June, 20X8	K 000
Buildings:	
Cost	1, 200
Depreciation	(144)
	1, 056

The building is re-valued at 1 July, 20X8 at K1, 400, 000. Its useful life is 40 years at that date.

Show the relevant extracts from the final accounts at 30 June, 20X9

Depreciation of Re-valued Asset

Once an asset has been re-valued the following treatment is required:

Depreciation must be charged, based on valuation less residual value, over the remaining useful life.

Impairment

IPSAS 21 or IPSAS 26 provides guidance on determination of whether an item of PPE is impaired.

SESSION 11.7 DERECOGNITION

The carrying amount of an item of PPE should be derecognized on:

- disposal
- when no future economic benefits or service potential is expected from its use or disposal

The gain or loss arising from de-recognition of an item of PPE should be in included in the surplus or deficit when the item is de-recognized.

The gain or loss arising from the de-recognition of an item of PPE should be determined as the difference between the net disposal proceeds, if any and the carrying amount of the item.

Activity 11.4

Phalombe District Council procured a property at K750, 000 on 1 July, 20X4 and is being depreciated over its useful life of 10 years.

It has no residual value.

At 30 June, 20X5 the property was re-valued at K810, 000.

There was no change in its useful life.

On 30 June, 20X6 the property was sold for K900, 000

Required: What is the gain or loss on disposal?

SESSION 11.8 DISCLOSURE

The financial statements should disclose, for each class of property, plant, and equipment recognized in the financial statements:

- The measurement bases used for determining the gross carrying amount;
- The depreciation methods used;
- The useful lives or the depreciation rates used;
- The gross carrying amount and the accumulated depreciation (aggregated with accumulated impairment losses) at the beginning and end of the period;
- A reconciliation of the carrying amount at the beginning and end of the period showing: Additions; Disposals; Acquisitions through public sector combinations;
- Increases or decreases resulting from revaluations and from impairment losses (if any) recognized or reversed directly in net assets/equity.

SESSION 11.9 SUMMARY

This module has dealt with the accounting treatment of PPE. The module has clarified the criteria for recognizing, measuring and de-recognising items of property, plant, and equipment, explained the reasons and methods of depreciating items of PPE as well as complex assets, and also when to use cost or revaluation methods in accounting for PPE in line with IPSAS 17. The next module focuses on accounting for investment properties.

SESSION 11.10 ACTIVITIES

Activity 11.5

a) Write short notes on the following terms: Plant, Property and equipment, depreciation, useful life, residual value
b) Explain the accounting treatment for a re-valued PPE in line with IPSAS 17.

MODULE 12: INVESTMENT PROPERTY

Session 12.1 Introduction
Session 12.2 Learning Outcomes
Session 12.3 Investment Property
Session 12.4 Recognition
Session 12.5 Measurement
Session 12.6 Transfers
Session 12.7 Disposals
Session 12.8 Disclosure
Session 12.9 Summary
Session 12.10 Activities

SESSION 12.1 INTRODUCTION

This module prescribes the accounting treatment for investment property and related disclosure requirements to be followed by an entity that prepares and presents financial statements under the accrual basis of accounting in line with IPSAS 16.

SESSION 12.2 LEARNING OUTCOMES

By the end of this module, participants will be able to:

- Define investment property; and
- Account for investment property.

SESSION 12.3 INVESTMENT PROPERTY

Investment property is property (land or a building - or part of a building - or both) held to earn rentals or for capital appreciation, or both, rather than for:

- Use in the production or supply of goods or services, or for administrative purposes; or
- Sale in the ordinary course of operations.

Carrying amount (for the purpose of this Standard) is the amount at which an asset is recognized in the statement of financial position.

Owner-occupied property is property held (by the owner or by the lessee under a finance lease) for use in the production or supply of goods or services, or for administrative purposes.

SESSION 12.4 RECOGNITION

Investment property should be recognized as an asset when and only when:

- It is probable that the future economic benefits or service potential that are associated with the investment property will flow to the entity; and
- The cost or fair value of the investment property can be measured reliably

Cost is the amount of cash or cash equivalents paid or the fair value of other consideration given to acquire an asset at the time of its acquisition or construction.

SESSION 12.5 MEASUREMENT

12.5.1 Measurement at Recognition

Investment property should be measured initially at its cost (transaction costs should be included in this initial measurement).

Where an investment property is acquired through a non-exchange transaction, its cost should be measured at its fair value as at the date of acquisition.

The initial cost of a property interest held under a lease and classified as an investment property should be as prescribed for a finance lease by IPSAS 13

The asset should be recognized at the lower of the

- fair value of the property and
- Present value of the minimum lease payments.

An equivalent amount should be recognized as a liability.

12.5.2 Measurement after Recognition

An entity should choose as its accounting policy either the fair value model or the cost model and should apply that policy to all of its investment property.

Fair Value Model

- After initial recognition, an entity that chooses the fair value model should measure all of its investment property at fair value, except in the cases where it is unable to reliably determine the fair value.
- When a property interest held by a lessee under an operating lease is classified as an investment property, the fair value model should be applied (there is no option for the cost model).
- A gain or loss arising from a change in the fair value of investment property should be recognized in surplus or deficit for the period in which it arises.

Cost Model

After initial recognition, an entity that chooses the cost model should measure all of its investment property at cost, i.e., at cost less any accumulated depreciation and any accumulated impairment losses.

SESSION 12.6 TRANSFERS

a) An entity should transfer a property to or from investment property when, and only when, there is a change in use.
b) A change in use occurs when the property meets, or ceases to meet, the definition of investment property and there is evidence of the change in use.
c) In isolation, a change in management's intentions for the use of a property does not provide evidence of a change in use.

d) Examples of evidence of a change in use include:

- Commencement of owner-occupation, or of development with a view to owner-occupation, for a transfer from investment property to owner-occupied property;
- Commencement of development with a view to sale, for a transfer from investment property to inventories;
- End of owner-occupation, for a transfer from owner-occupied property to investment property; and
- Inception of an operating lease (on a commercial basis) to another party, for a transfer from inventories to investment property.
- For a transfer from investment property carried at fair value to owner- occupied property or inventories, the property's cost for subsequent accounting in accordance with IPSAS 17 or IPSAS 12, should be its fair value at the date of change in use.

e) If an owner-occupied property becomes an investment property that will be carried at fair value, an entity should apply IPSAS 17 up to the date of change in use. The entity should treat any difference at that date between the carrying amount of the property in accordance with IPSAS 17, and its fair value in the same way as a revaluation in accordance with IPSAS 17.

f) For a transfer from inventories to investment property that will be carried at fair value, any difference between the fair value of the property at that date and its previous carrying amount should be recognized in surplus or deficit.

g) When an entity completes the construction or development of a self- constructed investment property that will be carried at fair value, or when its fair value becomes reliably measurable (whichever is earlier), any difference between the fair value of the property at that date and its previous carrying amount should be recognized in surplus or deficit.

SESSION 1 2.7 DISPOSAL

a) An investment property should be derecognized (eliminated from the statement of financial position)

- on disposal or
- when the investment property is permanently withdrawn from use and no future economic benefits or service potential is expected from its disposal.

b) Gains or losses arising from the retirement or disposal of investment property should be determined as the difference between the net disposal proceeds and the carrying amount of the asset, and should be recognized in surplus or deficit (unless IPSAS 13 requires otherwise on a sale and leaseback) in the period of the retirement or disposal.

c) Compensation from third parties for investment property that was impaired, lost, or given up should be recognized in surplus or deficit when the compensation becomes receivable.

SESSION 12.8 DISCLOSURE

The entity should disclose:

- whether it applies fair value or cost model
- Amounts recognised in surplus or deficit for rental revenue from investment property

Fair value model:

Reconciliation between carrying amount of investment property at the beginning and end of the period showing (i) additions (ii) disposals, (iii) net gains or losses from fair value adjustment (iv) net exchange difference on translation of financial statements (v) transfers to and from inventories and owner occupied property

Cost model

Depreciation method, useful life, gross carrying amount and accumulated depreciation, reconciliation of carrying amount of investment property at the beginning and end of period showing: - additions, disposals, depreciation, amount impaired, transfers, net exchange difference arising from translation of financial statements.

SESSION 12.9 SUMMARY

This module has looked at the accounting treatment of investment property. it has explained the criteria that need to be met for an entity to recognize an item as IP, if recognized as such, how to measure it, account for transfers to and from IP and also when to use fair value or cost models to value an item of IP. The next module will focus on intangible assets.

SESSION 12.10 ACTIVITIES

Activity 12.1

a) Write short notes on Owner occupied property,
b) At what value should IP acquired under lease be recognized?

MODULE 13: INTANGIBLE ASSETS

Session 13.1 Introduction

Session 13.2 Learning Outcomes

Session 13.3 Intangible Assets

Session 13.4 Recognition and Measurement

Session 13.5 Internally Generated Assets

Session 13.6 Subsequent Measurement

Session 13.7 Useful Life

Session 13.8 Intangible Assets with Finite Useful Life

Session 13.9 Intangible Assets with Indefinite Useful Life

Session 13.10 Retirement and Disposal

Session 13.11 Disclosure

Session 13.12 Summary

Session 13.13 Activities

SESSION 13.1 INTRODUCTION

a) The objective of this module is to prescribe the accounting treatment for intangible assets. IPSAS 31 requires an entity to recognize an intangible asset if, and only if, specified criteria are met.
b) The Standard also specifies how to measure the carrying amount of intangible assets, and requires specified disclosures about intangible assets.
c) Among other things, expenditure on advertising, training, start-up, research, and development activities. Research and development activities are directed to the development of knowledge computer software, patents, copyrights, motion picture films, lists of users of a service, acquired fishing licenses, acquired import quotas, and relationships with users of a service.
d) However, most of these are outside the scope of this module.

SESSION 13.2 LEARNING OUTCOMES

By the end of this module, participants should be able to:

a) account for intangible assets

SESSION 13.3 INTANGIBLE ASSETS

13.3.1 Terms

Amortization *is the systematic allocation of the depreciable amount of an intangible asset over its useful life.*

Carrying amount *is the amount at which an asset is recognized after deducting any accumulated amortization and accumulated impairment losses.*

Development *is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use.*

An intangible asset is an identifiable nonmonetary asset without physical substance.

Research *is original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding.*

13.3.2 Identifiability of Intangible Assets

An asset is identifiable if it either:

- Is **separable,** i.e., is capable of being separated or divided from the entity and sold, transferred, licensed, rented, or exchanged, either individually or together with a related contract, identifiable asset or liability, regardless of whether the entity intends to do so; or
- Arises from **binding arrangements** (including rights from contracts or other legal rights), regardless of whether those rights are transferable or separable from the entity or from other rights and obligations.

SESSION 13.4 RECOGNITION AND MEASUREMENT

13.4.1 Recognition

An intangible asset should be recognized if, and only if:

- It is probable that the expected future economic benefits or service potential that are attributable to the asset will flow to the entity; and
- The cost or fair value of the asset can be measured reliably.

13.4.2 Measurement

An intangible asset should be measured

- Initially at cost.
- At fair value, where an intangible asset is acquired through a non-exchange transaction.

13.4.3 Intangible Assets acquired through non exchange transactions

- In some cases, an intangible asset may be acquired through a non-exchange transaction. This may happen when another public sector entity transfers to an entity in a non-exchange transaction, intangible assets such as airport landing rights, licenses to operate radio or television stations, import licenses or quotas or rights to access other restricted resources.
- A private citizen, for example a Nobel Prize winner, may bequeath his or her personal papers, including the copyright to his or her publications to the national archives (a public sector entity) in a non-exchange transaction.
- Under these circumstances the cost of the item is its fair value at the date it is acquired.

Internally generated goodwill should not be recognized as an asset, similarly, internally generated brands, mastheads, publishing titles, lists of users of a service, and items similar in substance should not be recognized as intangible assets.

SESSION 13.5 INTERNALLY GENERATED INTANGIBLE ASSETS

Research

No intangible asset arising from research should be recognized as an asset, expenditure on research should be recognized as an expense when it is incurred.

Development stage

An intangible asset arising from development (or from the development phase of an internal project) should be recognized if, and only if, an entity can demonstrate all of the following:

- The technical feasibility of completing the intangible asset so that it will be available for use or sale;
- Its intention to complete the intangible asset and use or sell it;
- Its ability to use or sell the intangible asset;
- How the intangible asset will generate probable future economic benefits or service potential. Among other things, the entity can demonstrate the existence of a market for the output of the intangible asset or the intangible asset itself or, if it is to be used internally, the usefulness of the intangible asset;
- The availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- Its ability to measure reliably the expenditure attributable to the intangible asset during its development.

SESSION 13.6 SUBSEQUENT MEASUREMENT

a) An entity should choose either the cost model or the revaluation model as its accounting policy.
b) If an intangible asset is accounted for using the revaluation model, all the other assets in its class should also be accounted for using the same model, unless there is no active market for those assets.

13.6.1 Cost Model

After initial recognition, an intangible asset should be carried at its cost less any accumulated amortization and any accumulated impairment losses.

13.6.2 Revaluation Model

- After initial recognition, an intangible asset should be carried at a re-valued amount, being its fair value at the date of the revaluation less any subsequent accumulated amortization and subsequent accumulated impairment losses.
- For the purpose of revaluations under this Standard, fair value should be determined by reference to an active market.
- Revaluations should be made with such regularity that at the reporting date the carrying amount of the asset does not differ materially from its fair value.
- If an intangible asset in a class of re-valued intangible assets cannot be re-valued because there is no active market for this asset, the asset should be carried at its cost less any accumulated amortization and impairment losses.
- If the fair value of a re-valued intangible asset can no longer be determined by reference to an active market, the carrying amount of the asset should be its re-valued amount at the date of the last revaluation by reference to the active market less any subsequent accumulated amortization and any subsequent accumulated impairment losses.
- If an intangible asset's carrying amount is increased as a result of a revaluation, the increase should be credited directly to revaluation surplus.
- However, the increase should be recognized in surplus or deficit to the extent that it reverses a revaluation decrease of the same asset previously recognized in surplus or deficit.
- If an intangible asset's carrying amount is decreased as a result of a revaluation, the decrease should be recognized in surplus or deficit. However, the decrease should be recognized directly in net assets/equity to the extent of any credit balance in the revaluation surplus in respect of that asset. The decrease recognized directly in net assets/equity reduces the amount accumulated in net assets/equity under the heading of revaluation surplus.

SESSION 13.7 USEFUL LIFE

a) An entity should assess whether the useful life of an intangible asset is finite or indefinite and, if finite, the length of, or number of production or similar units constituting, that useful life.

b) An intangible asset shall be regarded by the entity as having an indefinite useful life when, based on an analysis of all of the relevant factors, there is no foreseeable limit to the period over which the asset is expected to generate net cash inflows for, or provide service potential to, the entity.

c) Factors to consider in determining the useful life of an intangible asset include:

- The expected usage of the asset by the entity and whether the asset could be managed efficiently by another management team;
- Typical product life cycles for the asset and public information on estimates of useful lives of similar assets that are used in a similar way;
- Technical, technological, commercial, or other types of obsolescence;
- The stability of the industry in which the asset operates and changes in the market demand for the products or services output from the asset;
- Expected actions by competitors or potential competitors;
- The level of maintenance expenditure required to obtain the expected future economic benefits or service potential from the asset and the entity's ability and intention to reach such a level;
- The period of control over the asset and legal or similar limits on the use of the asset, such as the expiry dates of related leases; and
- Whether the useful life of the asset is dependent on the useful life of other assets of the entity.

d) The useful life of an intangible asset that arises from binding arrangements (including rights from contracts or other legal rights) should not exceed the period of the binding arrangement (including rights from contracts or other legal rights), but may be shorter depending on the period over which the entity expects to use the asset.

e) If the binding arrangements (including rights from contracts or other legal rights) are conveyed for a limited term that can be renewed, the useful life of the intangible asset should include the renewal period(s) only if there is evidence to support renewal by the entity without significant cost.

SESSION 13.8 INTANGIBLE ASSETS WITH FINITE USEFUL LIVES

13.8.1 Amortization Period and Amortization Method

- The depreciable amount of an intangible asset with a finite useful life should be allocated on a systematic basis over its useful life.
- Amortization should begin when the asset is available for use, i.e., when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.
- Amortization shall cease at the date that the asset is derecognized.
- The amortization method used shall reflect the pattern in which the asset's future economic benefits or service potential are expected to be consumed by the entity.
- If that pattern cannot be determined reliably, the straight-line method shall be used.
- The amortization charge for each period shall be recognized in surplus or deficit unless this or another Standard permits or requires it to be included in the carrying amount of another asset.

13.8.2 Residual Value

The residual value of an intangible asset with a finite useful life shall be assumed to be zero unless:

- There is a commitment by a third party to acquire the asset at the end of its useful life; or
- There is an active market for the asset, and:
- Residual value can be determined by reference to that market; and
- It is probable that such a market will exist at the end of the asset's useful life.

13.8.3 Review of Amortization Period and Amortization Method

- The amortization period and the amortization method for an intangible asset with a finite useful life shall be reviewed at least at each reporting date.
- If the expected useful life of the asset is different from previous estimates, the amortization period shall be changed accordingly.
- If there has been a change in the expected pattern of consumption of the future economic benefits or service potential embodied in the asset, the amortization method shall be changed to reflect the changed pattern.
- Such changes shall be accounted for as changes in accounting estimates in accordance with IPSAS 3.

SESSION 13.9 INTANGIBLE ASSETS WITH INDEFINITE USEFUL LIVES

An intangible asset with an indefinite useful life shall not be amortized.

13.9.1 Review of Useful Life Assessment

- The useful life of an intangible asset that is not being amortized shall be reviewed each reporting period to determine whether events and circumstances continue to support an indefinite useful life assessment for that asset.
- If they do not, the change in the useful life assessment from indefinite to finite shall be accounted for as a change in an accounting estimate in accordance with IPSAS 3.

SESSION 13.10 RETIREMENTS AND DISPOSALS

An intangible asset shall be derecognized:

- On disposal (including disposal through a non-exchange transaction); or
- When no future economic benefits or service potential are expected from its use or disposal.

The gain or loss arising from the de-recognition of an intangible asset shall be determined as the difference between the net disposal proceeds, if any, and the carrying amount of the asset.

It shall be recognized in surplus or deficit when the asset is derecognized (unless IPSAS 13 requires otherwise on a sale and leaseback).

SESSION 13.11 DISCLOSURE

An entity shall disclose the following for each class of intangible assets, distinguishing between internally generated assets and other intangible assets:

- whether the useful lives are indefinite or finite, if finite, the useful lives or the amortization rates used
- the amortization methods used for intangible assets with finite useful lives
- the gross carrying amount and any accumulated amortization at the beginning and at the end of the period
- the line items of the statement of financial performance in which any amortization of intangible assets is included
- a reconciliation of the carrying amount at the beginning and end of the period showing:

Additions, indicating separately those from internal development, those acquired separately, and those acquired through acquisitions;

Disposals;

- Increases or decreases during the period resulting from revaluations;
- Impairment losses recognized in surplus or deficit during the period;
- Any amortization recognized during the period; and
- Net exchange differences arising on the translation of the financial statements into the presentation currency and on the translation of a foreign operation into the presentation currency of the entity.

SESSION 1 3.1 2 SUMMARY

This module has presented accounting treatment for intangible assets. The module has specified the criteria that must be met for an entity to identify, recognize and measure an item as an intangible asset, how to account for internally generated intangible assets, intangible assets with finite and indefinite useful lives and also when to retire intangible assets. The next module looks at accounting for inventories.

SESSION 1 3.1 3 ACTIVITIES

Activity 13.1

a) Write short notes on the following terms: identification of intangible assets internally generated intangible assets, intangible assets with finite useful life, and intangible assets with indefinite useful life.

Activity 13.2 Activity 13.2

. **Mzuzu City Council** is developing a system which produces statistical reports for its internal use and for sale to third-parties. The system is technically feasible, the entity is aware that there is a demand for this type of report and which third- parties are willing to pay for the product and therefore will generate probable future economic benefits

Required:

Should the Council recognize this as an intangible asset?

Suggested Treatment

Yes. The expenditure attributable to the development of this system can be identified and measured reliably.

Activity 13.3 Activity 13.3

Ntchisi District Council acquires a patent over a formula for a vaccine (Vitamin Rubella), from Entity B to secure the council's ability to provide free vaccinations to its constituents. The vaccine protected by the patent is expected to be a source of service potential for at least 15 years. The Council has a commitment from

UNICEF to purchase that patent in five years for 60 per cent of the fair value of the patent at the date it was acquired, and Ntchisi District Council intends to sell the patent in five years.

Required:

Over how long would the patent be amortised?

Suggested Treatment

The patent would be amortized over its five-year useful life to Ntchisi District Council, with a residual value equal to 60 per cent of the patent's fair value at the date it was acquired. The patent would also be reviewed for impairment in accordance with IPSAS 21.

MODULE 14: INVENTORIES

Session 14.1 Introduction

Session 14.2 Learning outcomes

Session 14.3 Inventories

Session 14.4 Measurement of inventories

Session 14.5 Recognition of Inventory as an Expense

Session 14. 6 Disclosure

Session 14.7 Summary

Session 14.8 Activities

SESSION 14.1 INTRODUCTION

a) The purpose of this module is to prescribe the accounting treatment for inventories as directed by IPSAS 12.
b) A primary issue in accounting for inventories is the amount of cost to be recognized as an asset and carried forward until the related revenues are recognized.
c) This module provides guidance on the determination of cost and its subsequent recognition as an expense, including any write-down to net realizable value. It also provides guidance on the methods that are used to assign costs to inventories.

SESSION 14.2 LEARNING OUTCOMES

By the end of this module, participants should be able to:

a) Define the cost of inventories;
b) Distinguish net realizable value from replacement cost of inventories; and
c) Account for inventories.

SESSION 14.3 INVENTORIES

a) Inventories are assets:

- In the form of materials or supplies to be consumed in the production process;
- In the form of materials or supplies to be consumed or distributed in the rendering of services;
- Held for sale or distribution in the ordinary course of operations; or
- In the process of production for sale or distribution.

b) The **cost of inventories** should comprise all costs of purchase, costs of conversion, and other costs incurred in bringing the inventories to their present location and condition.
c) **Cost of purchase** includes (a) the purchase price, (b) import duties and other taxes (other than those subsequently recoverable by the entity from the taxing authorities), and (c) transport, handling, and other costs directly attributable to the acquisition of finished goods, materials, and supplies. Trade discounts, rebates, and other similar items are deducted in determining the costs of purchase

d) The **costs of conversion** of inventories include costs directly related to the units of production, such as direct labour. They also include a systematic allocation of fixed and variable production overheads that are incurred in converting materials into finished goods

Activity 14.1

Give common examples of inventories in Local Authorities in Malawi

SESSION 1 4.4 MEASUREMENT OF INVENTORIES

a) Inventories should be measured at the lower of cost and net realizable value,
b) Where inventories are acquired through a non-exchange transaction, their cost should be measured at their fair value as at the date of acquisition.
c) Inventories should be measured at the lower of cost and current replacement cost where they are held for:

- Distribution at no charge or for a nominal charge; or
- Consumption in the production process of goods to be distributed at no charge or for a nominal charge.

d) Some definitions:

IPSAS 12 recommend the use of **First in First Out** (FIFO) or **Weighted Average Cost** (WAC) to value inventories.

Net realizable value is the estimated selling price in the ordinary course of operations, less the estimated costs of completion and the estimated costs necessary to make the sale, exchange, or distribution.

Current replacement cost is the cost the entity would incur to acquire the asset on the reporting date.

SESSION 1 4.5 RECOGNITION AS AN EXPENSE

a) Inventories should be recognized as an expense when they have been:

- Sold or exchanges or upon billing for chargeable service;
- Distributed or related service is rendered, if there is no related revenue; and
- Written down or lost.

b) The expense should be recognized in the period in which the related revenue is recognized.
c) The amount of any reversal of any write-down of inventories should be recognized as a reduction in the amount of inventories recognized as an expense in the period in which the reversal occurs.

SESSION 1 4.6 DISCLOSURE

The financial statements should disclose the following:

- The accounting policies adopted in measuring inventories including the valuation method;
- The total carrying amount of inventories and the carrying amount in classifications appropriate to the entity;
- The carrying amount of inventories carried at fair value less costs to sell;
- The amount of inventories recognized as an expense during the period;
- The amount of any write-down of inventories recognized as an expense in the period;
- The amount of any reversal of any write-down that is recognized in the statement of financial performance in the period;
- The circumstances or events that led to the reversal of a write down of inventories; and
- The carrying amount of inventories pledged as security for liabilities.

SESSION 1 4.7 SUMMARY

This module has dealt with accounting for inventories in line with IPSAS 12. The module has provided typical components of inventories in LAs, explained the procedure to be followed to measure inventories and also recognize inventories as an expense in the surplus or deficit or statement of financial performance. The next module focuses impairment of non-cash generating assets.

SESSION 1 4.8 ACTIVITIES

SOLUTIONS

Activity 14.1

Common examples of inventories in Local Authorities may include:

- Consumable stores;
- Maintenance materials;
- Spare parts for plant and equipment, other than those dealt with in standards on Property, Plant and Equipment;
- Strategic stockpiles (for example, energy reserves such as fuel and oil);
- Postal service supplies held for sale (for example, stamps);
- Educational/training course materials;
- Military inventories consist of single-use items, such as ammunition, missiles, rockets and bombs delivered by weapons or weapons systems. However, some types of missiles may be accounted for in accordance with IPSAS 17, *Property, Plant, and Equipment*, if they satisfy the criteria to be classified in that standard; and land/property held for sale.

MODULE 15: IMPAIRMENT OF NON-CASH GENERATING

Session 15.1 Introduction

Session 15.2 Learning Outcomes

Session 15.3 Impairment

Session 15.4 Indications of Impairment

Session 15.5 Recognition and Measurement of an Impairment

Session 15.6 Reversal of Impairment Loss

Session 15.7 Disclosure

Session 15.8 Summary

Session 15.9 Activities

SESSION 15.1 INTRODUCTION

a) This module prescribes the procedures that an entity must apply to determine whether a non-cash-generating asset is impaired, and to ensure that impairment losses are recognized in line with IPSAS 21.
b) IPSAS 21 also specifies when an entity would reverse an impairment loss, and prescribes disclosures.

SESSION 15.2 LEARNING OUTCOMES:

By the end of this session, participants should be able to:

a) Distinguish cash generating and non-cash generating asset;
b) Assess whether an asset has been impaired; and
c) Account for impairment loss of a non cash generating asset.

SESSION 15.3 IMPAIRMENT

Cash-generating assets are assets held with the primary objective of generating a commercial return. For the purposes of impairment, goodwill is considered a cash-generating asset.

Non-cash-generating assets are assets other than cash-generating assets.

A **non-cash-generating** asset is impaired when the carrying amount of the asset exceeds its recoverable service amount

Recoverable service amount is the higher of

- a non-cash-generating asset's fair value less costs to sell and
- its value in use.

Impairment exists if carrying amount is higher than the recoverable amount. recoverable amount is the greater of fair value less costs to sell and value in use

Fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal.

Fair value less costs to sell may be measured by way of:

- a binding sell agreement
- the current market price less costs of disposal (where active market exists)

Value in use of a non-cash-generating asset is the present value of the asset's remaining service potential.

The present value of the remaining service potential of an asset is determined as the depreciated replacement cost of the asset

Activity 15.1

Rumphi District Council owns a tractor that was involved in an accident at the year end. It is barely useable, so the value in use is estimated at K1million. However, the tractor is classic and there is a demand for parts. This results in net realizable value of K3million. The opening carrying value was K8million and the tractor was estimated to have a life of eight years from the start of the year.

Identify the recoverable amount of the tractor

SESSION 15.4 INDICATIONS OF IMPAIRMENT

IPSAS 21 requires that at each reporting date, an entity must assess whether there are indicators of impairment

Indicators may be derived from within the entity itself (internal sources) or the external market (external sources)

External sources of information

- Cessation, or near cessation, of the demand or need for services provided by the asset;
- Significant long-term changes with an adverse effect on the entity have taken place during the period, or will take place in the near future, in the technological, legal, or government policy environment in which the entity operates;

Internal sources of information

- Evidence is available of physical damage of an asset;
- Significant long-term changes with an adverse effect on the entity have taken place during the period, or are expected to take place in the near future, in the extent to which, or manner in which, an asset is used or is expected to be used. These changes include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, or plans to dispose of an asset before the previously expected date and reassessing the useful life of an asset as finite rather than indefinite;
- A decision to halt the construction of the asset before it is complete or in a usable condition; and
- Evidence is available from internal reporting that indicates that the service performance of an asset is, or will be, significantly worse than expected.

SESSION 15.5 RECOGNITION AND MEASUREMENT OF AN IMPAIRMENT

Where there is an indication of impairment, an impairment review should be carried out:

- the recoverable amount should be calculated,
- the asset should be written down to recoverable amount,
- the impairment loss should be immediately recognized in the surplus or deficit, and
- the depreciation (amortization) charge should be adjusted in future periods.

Activity 15.2 **Activity 15.2**

Mangochi Town Council owns a property which was originally purchased for K3million. The property has been re-valued to K5million with the revaluation of k2million being recognized as other reserves. The property has a current carrying value of K4.6million but the recoverable amount of the property has just been estimated at only K2million

What is the amount of impairment and how should this be treated in the financial statements?

SESSION 15.6 REVERSAL OF IMPAIRMENT LOSS

An impairment loss recognized in prior periods for an asset must be reversed when there has been a change in the estimates used to determine the asset's recoverable service amount since the last impairment loss was recognized and:

- the carrying amount of the asset should be increased to its recoverable service amount (reversal of an impairment loss)
- the reversal in impairment loss should be immediately recognized in the surplus or deficit.
- the depreciation (amortization) charge should be adjusted in future periods.

SESSION 15.7 DISCLOSURE

An entity should disclose the following:

- The criteria used by an entity to distinguish cash generating assets from non-cash generating assets
- The amount of impairment losses recognized in surplus or deficit during the period,
- The amount of reversals of impairment losses recognized in surplus or deficit during the period, -valued assets recognized directly in revaluation surplus during the period; and
- The amount of reversals of impairment losses on re-valued assets recognized directly in revaluation surplus during the period.

SESSION 15.8 SUMMARY

This module has explained the procedure to be used to impair non cash generating assets in line with IPSAS 21. It has distinguished cash generating from non-cash generating assets, provided both internal and external factors to an entity that may indicate that a non cash generating asset has been impaired. The module has also explained the recognition and measurement criteria to be used for an impaired non cash generating asset and how to account for and reverse an impairment loss. The next module looks at how to assess for impairment of cash generating assets.

SESSION 15.9 ACTIVITIES

Activity 15.3

a) Write short notes on the following terms: impairment, cash generating asset, non-cash generating asset, accounting for an impairment loss.
b) Explain factors which may indicate that a non cash generating asset has been impaired?

Activity 15.4

In 1998, **Zomba District Council** acquired a bus at the cost of MK20millin to help students from a nearby village to commute free of charge. The council estimated a useful life of 10 years for the bus. In 2003, the bus sustained damage in a road accident, requiring MK4million to be restored to a usable condition. The restoration was not going to affect the useful life of the asset. The cost of a new bus to deliver a similar service then was MK25million in 2003.

Required:

Should the bus be impaired?

Suggested Treatment

Evaluation of Impairment

Impairment is indicated because the bus had sustained physical damage in the road accident. Impairment loss using the restoration cost approach would be determined as follows:

		MK'm
a	Acquisition cost, 1998	20
Accumulated depreciation, 2003 (a x 5 10)		10
b	Carrying amount, 2003	10
c	Replacement cost	25
Accumulated depreciation (c x 5 -h 10)		12
d	Depreciated replacement cost (undamaged state)	12.5
Less: restoration cost		4
e	Recoverable Service Amount	8.5
Impairment loss (b - e)		1.5

Activity 15.5

In 1988, **Chikwawa District Council** constructed an office building for use by the Council at a cost of MK80 million. The building was expected to have a useful life of 40 years. In 2003, the Department of Buildings required that some rooms in the building should be left unoccupied for the foreseeable future on safety

grounds. The building had a fair value less costs to sell of MK45 million in 2003 after regulations came into force. The current replacement cost of a similar Office building is MK85 million.

Required:

Should this building be impaired? Justify your stand.

Suggested Treatment

Evaluation of Impairment

Impairment is indicated because the extent of use of the office building has changed from all the rooms to just a few as the result of new National Safety Regulations. The reduction in the extent of use is significant, and the occupation of the building is expected to remain at the reduced level for the foreseeable future. Impairment loss using the service units approach would be determined as follows:

		MK'm
a	Acquisition cost, 1988	80
Accumulated depreciation, 2003 (a **x** 15	40)	30
b	Carrying amount, 2003	50
c	Replacement cost	85
Accumulated depreciation	(c x 15 40)	31.875
Depreciated replacement cost before adjustment for remaining c x 25/40		53.125
service units		
Value in Use of the building after the regulation came into force (d e &		42.5
x 16 - 20)	—	
f Fair value less costs to sell of the building after regulation came into f	&	& 45
g Recoverable service amount (higher of e and f)		45
Impairment loss (b - g)		5

MODULE 16: IMPAIRMENT OF CASH GENERATING ASSETS

Session 16.1 Introduction

Session 16.2 Learning Outcomes

Session 16.3 Impairment

Session 16.4 Indications of Impairment

Session 16.5 Recognition and Measurement of an Impairment

Session 16.6 Reversal of Impairment Loss

Session 16.7 Cash Generating Units

Session 16.8 Disclosure

Session 16.9 Summary

Session 16.10 Activities

SESSION 16.1 INTRODUCTION

a) This module prescribes the procedures that an entity should apply to determine whether a cash-generating asset is impaired, and to ensure that impairment losses are recognized in line IPSAS 26.
b) IPSAS 26 also specifies when an entity should reverse an impairment loss, and prescribes disclosures.

SESSION 16.2 LEARNING OUTCOMES

By the end of this module, participants will be able to:

a) Define Cash generating units;
b) Assess impairment of assets;
c) Account for impairment of cash generating assets; and
d) Account for impairment of cash generating units.

SESSION 16.3 IMPAIRMENT

Cash-generating assets are assets held with the primary objective of generating a commercial return. For the purposes of impairment, goodwill is considered a cash-generating asset.

A **Cash-generating** asset is impaired when the carrying amount of the asset exceeds its recoverable service amount

Recoverable service amount is the higher of

- a cash-generating asset's fair value less costs to sell and
- its value in use.

Impairment exists if carrying amount is lower than the recoverable amount. Recoverable amount is the greater of fair value less costs to sell and value in use

Fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal.

Fair value less costs to sell may be measured by way of:

- a binding sell agreement
- the current market price less costs of disposal (where active market exists)
- **Examples of costs to sell** are legal costs, stamp duty and similar transaction taxes, costs of removing the asset, and direct incremental costs to bring an asset into condition for its sale.

Value in use of a cash-generating asset is the present value of the estimated future cash flows expected to be derived from the continuing use of an asset and from its disposal at the end of its useful life.

The following **elements should be reflected in the calculation of an asset's value in use**:

- An estimate of the future cash flows the entity expects to derive from the asset;
- Expectations about possible variations in the amount or timing of those future cash flows;
- The time value of money, represented by the current market risk free rate of interest;
- The price for bearing the uncertainty inherent in the asset; and
- Other factors, such as illiquidity, that market participants would reflect in pricing the future cash flows the entity expects to derive from the asset.

Activity 16.1: Recoverable Amount

Dowa District Council owns a car that was involved in an accident at the year end. It is barely useable, so the value in use is estimated at K1million. However, the car is classic and there is a demand for parts. This results in net realizable value of K3million. The opening carrying value was K8million and the car was estimated to have a life of eight years from the start of the year.

Identify the recoverable amount of the car.

SESSION 16.4 INDICATIONS OF IMPAIRMENT

IPSAS 26 requires that at each reporting date, an entity must assess whether there are indicators of impairment

Indicators may be derived from within the entity itself (internal sources) or the external market (external sources)

External sources of information

- Cessation, or near cessation, of the demand or need for services provided by the asset;
- Significant long-term changes with an adverse effect on the entity have taken place during the period, or will take place in the near future, in the technological, legal, or government policy environment in which the entity operates;

Internal sources of information

- Evidence is available of physical damage of an asset;
- Significant long-term changes with an adverse effect on the entity have taken place during the period, or are expected to take place in the near future, in the extent to which, or manner in which, an asset is used or is expected to be used. These changes include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, or plans to dispose of an asset before the previously expected date and reassessing the useful life of an asset as finite rather than indefinite;
- A decision to halt the construction of the asset before it is complete or in a usable condition; and
- Evidence is available from internal reporting that indicates that the service performance of an asset is, or will be, significantly worse than expected.

SESSION 1 6.5 RECOGNITION AND MEASUREMENT OF AN IMPAIRMENT

Where there is an indication of impairment, an impairment review should be carried out:

- the recoverable amount should be calculated,
- the asset should be written down to recoverable amount,
- the impairment loss should be immediately recognized in the surplus or deficit, and
- the depreciation (amortization) charge should be adjusted in future periods.

Activity 16.2 Impairment

Chitipa District Council owns a property which was originally purchased for K3million. The property has been re-valued to K5million with the revaluation of k2million being recognized as other reserves. The property has a current carrying value of K4.6million but the recoverable amount of the property has just been estimated at only K2million

What is the amount of impairment and how should this be treated in the financial statements?

Reversal of Impairment Loss

An impairment loss recognized in prior periods for an asset must be reversed when there has been a change in the estimates used to determine the asset's recoverable service amount since the last impairment loss was recognized and:

- The carrying amount of the asset should be increased to its recoverable service amount (reversal of an impairment loss)
- The reversal in impairment loss should be immediately recognized in the surplus or deficit.
- The depreciation (amortization) charge should be adjusted in future periods.

SESSION 1 6.6 CASH GENERATING UNITS (CGUS)

- When assessing the impairment of assets, it will not always be possible to base the impairment review on individual assets.
- the value in use calculation will be impossible on a single asset because the asset does not generate distinguishable cash flows
- in this case, the impairment calculation should be based on a CGU
- A **cash-generating unit** is the smallest identifiable group of assets held with the primary objective of generating a commercial return that generates cash inflows from continuing use that are largely independent of the cash inflows from other assets or groups of assets.

Example

In a restaurant chain, the smallest group of assets might be the assets within a single restaurant, but with a mining company, all the assets of the company might make up a single cash generating unit.

16.6.1 Impairment Calculation

The impairment calculation is done by:

- assuming the cash generating unit is one asset
- comparing the carrying value of the CGU to the recoverable amount of the CGU
- as previously, an impairment exists where the carrying amount exceeds the recoverable amount

16.6.2 Impairment of CGU

If the CGU is impaired the assets must be written down in a strict order:

- any obviously impaired asset
- good will allocated to the CGU
- other assets (prorate according to carrying value)

No individual asset should be written down below recoverable amount

Activity 16.3 Impairing a CGU

Likoma District Council runs a unit that suffers a massive drop in income due to the failure of its technology on 1 July, 20X9. The following carrying values were recorded in the books immediately prior to the impairment:

K'm	
Goodwill	20
Technology	5
Brands	10
Land	50
Buildings	30
Other Assets	40

The recoverable value of the unit is estimated at K85million. The technology is worthless, following its complete failure. the other net assets include inventory, receivables and payables. it is considered that the book value of other net assets is a reasonable representation of its net realizable value.

Show the impact of the impairment on 1 July

SESSION 16.7 DISCLOSURE

An entity should disclose the following:

- the criteria used by an entity to distinguish cash generating assets from non-cash generating assets
- The amount of impairment losses recognized in surplus or deficit during the period,
- The amount of reversals of impairment losses recognized in surplus or deficit during the period,
- The amount of impairment losses on re-valued assets recognized directly in revaluation surplus during the period; and
- The amount of reversals of impairment losses on re-valued assets recognized directly in revaluation surplus during the period.

SESSION 16.8 SUMMARY

This module has detailed the procedure that should be followed in order to assess cash generating assets for impairment. It has prescribed internal as well as external factors that may indicate that a cash generating asset has been impaired, criteria that must be followed to recognize and measure impairment loss for a cash generating asset and how to reverse it. Finally, the module has also explained how cash generating units can be accounted for. The next module looks at accounting for leases.

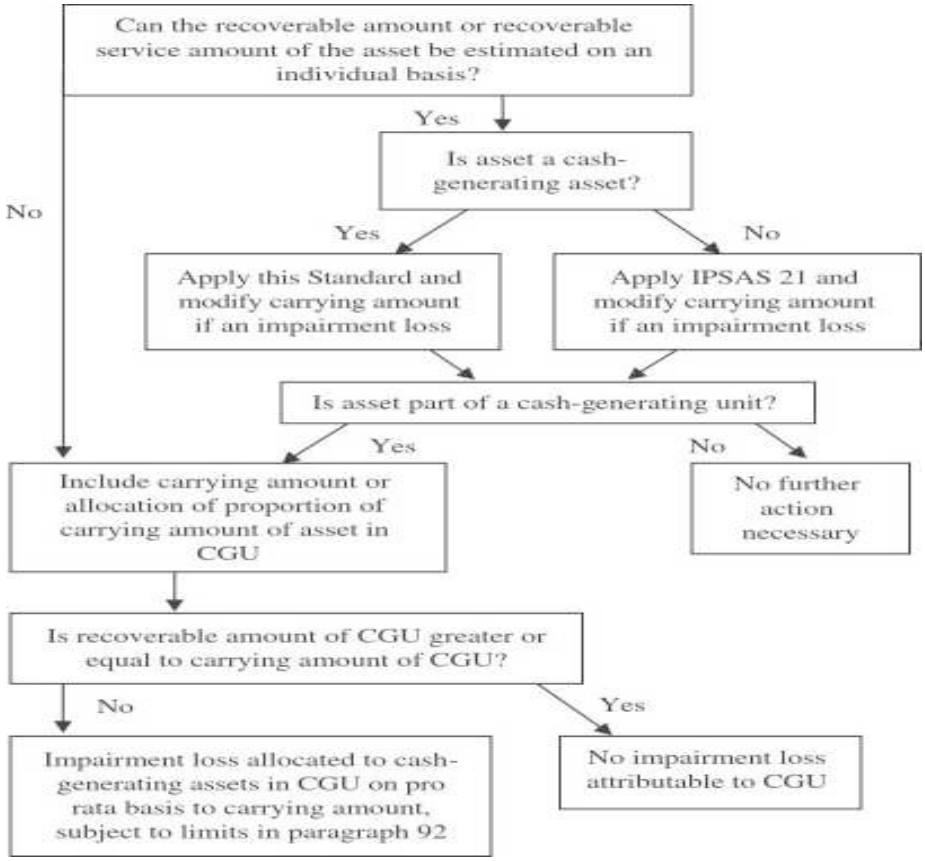

Figure 3: Decision Tree for Assessing Impairment of Cash Generation Assets

SESSION 16.9 ACTIVITIES

Activity 16.4

a) Write short notes on the accounting treatment of cash generation units

Activity 16.5

Nkhota Kota District Council runs a waste disposal entity that owns a crushing plant to support its waste disposal activities. The crushing plant could be sold only for scrap value, and it does not generate cash in-flows that are largely independent of the cash inflows from the other assets of the waste disposal entity.

Analysis

It is not possible to estimate the recoverable amount of the crushing plant, because its value in use cannot be determined and is probably different from the scrap value. Therefore, the Council estimates the recoverable amount of the cash-generating unit to which the crushing plant belongs, i.e., the waste disposal entity as a whole.

Activity 16.6

Non-Cash-Generating Asset that Contributes to a Cash-Generating Unit

Background

Blantyre District Council owns and operates a Magnetic Resonance Imaging (MRI) scanner that is primarily used by wards for non-fee paying patients. However, 20% of its usage is for treatment of fee-paying patients. The fee-paying patients are accommodated and treated in a separate building that includes wards, an operating theatre, and numerous pieces of capital equipment used solely for fee-paying patients. At June 30, 20X8, the carrying value of the building and capital equipment is MK30million. It is not possible to estimate the recoverable amount of the building and the items of capital equipment on an individual basis. Therefore, the building and capital equipment are considered as a cash-generating unit (CGU). At July 1, 20X7 the MRI scanner had a carrying value of MK3million. A depreciation expense of MK600, 000 is recognized for the MRI scanner at June 30, 20X8. Because there have been significant technological advances in the field, the MRI scanner is tested for impairment at June 30, 20X8 and an impairment loss of MK400,000 is determined, so that the carrying value of the MRI scanner at June 30, 20X8 is MK2million.

Suggested Treatment

Determination of Recoverable Amount of Cash-Generating Unit

During the year there had been a significant reduction in the number of fee paying patients at the hospital. The CGU is therefore tested for impairment. The recoverable amount of the CGU, based on its value in use, is assessed as MK27.4million. 20% of the revised carrying value of the MRI scanner (MK400, 000) is allocated to the carrying amount of the CGU before determining the impairment loss (MK3million). The impairment loss is allocated to the building and capital equipment pro rata based on their carrying values. No further impairment loss is allocated to the MRI scanner, as an impairment loss has already been determined under the requirements of IPSAS *21, Impairment of Non-Cash-Generating Assets.*

SECTION VI:
FINANCING, FINANCIAL INSTRUMENTS AND FOREIGN EXCHANGE

MODULE 17: LEASES

Session 17.1 Introduction

Session 17.2 Learning Outcomes

Session 17.3 Classification of leases

Session 17.4 Financial Statements of the Lessee

Session 17.5 Financial Statements of the Lessor

Session 17.6 Summary

Session 17.7 Activities

SESSION 17.1 INTRODUCTION

This module prescribes, for lessees and lessors, the appropriate accounting policies and disclosures to apply in relation to finance and operating leases in line with IPSAS 13.

SESSION 17.2 LEARNING OUTCOMES

By the end of this module, participants should be able to:

- Define a lease;
- Differentiate between finance and operating leases;
- Account for finance leases on behalf of the lessee; and
- Account for operating leases in the books of the lessor.

SESSION 17.3 CLASSIFICATION OF LEASES

a) A lease is an agreement whereby the lessor conveys to the lessee, in return for a payment or series of payments, the right to use an asset for an agreed period of time.
b) IPSAS 13 classifies leases into finance and operating leases. The standard categorise leases on the basis of the extent to which risks and rewards incidental to ownership of a leased asset lie with the lessor or the lessee.
c) Risks include the possibilities of losses from idle capacity, technological obsolescence, or changes in value because of changing economic conditions.
d) Rewards may be represented by the expectation of service potential or profitable operation over the asset's economic life and of gain from appreciation in value or realization of a residual value.

17.3.1 Finance Leases

a) A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership. Title may or may not be transferred.
b) Some of the characteristics of a finance lease include:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset, even if title is not transferred;
- At the inception of the lease, the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset;
- The leased assets are of such a specialized nature that only the lessee can use them without major modifications; and
- The leased assets cannot easily be replaced by another asset.

17.3.2 Operating Leases

A lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership.

17.3.3 Leases and Other Contracts

a) A lease may also be one element in a broader set of agreements with private sector entities to construct / build, own, operate, and/or transfer assets (BOT). Public sector entities often enter into such agreements, particularly in relation to long-lived physical assets and infrastructure assets.
b) Other agreements may involve a public sector entity leasing infrastructure from the private sector. The entity determines whether the arrangement is a service concession arrangement, as defined in IPSAS 32 Service Concession Arrangements: Grantor which is outside the scope of this manual.

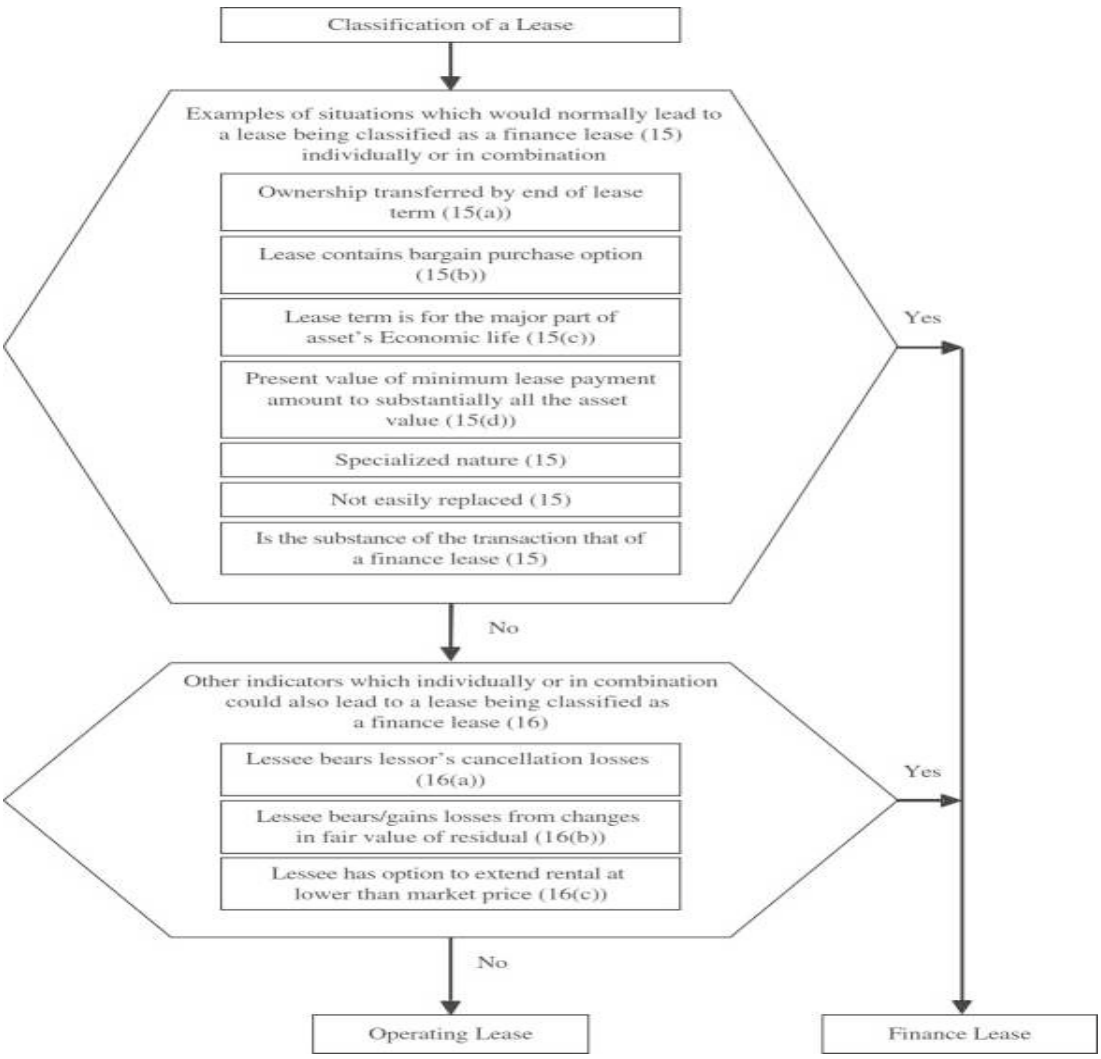

Figure 17.1 **Decision Tree for Classifying Leases**

SESSION 17.4 FINANCIAL STATEMENTS OF THE LESSEE

17.4.1 Finance Lease

Asset and Liability

a) Lessees should recognize assets acquired under finance leases as assets and associated lease obligations as liabilities in their financial statements

b) The assets and liabilities should be recognized at

- amounts equal to the fair value of the leased property or, if lower,
- the present value of the minimum lease payments, each determined at the inception of the lease.

c) The discount rate to be used in calculating the present value of the minimum lease payments is the interest rate implicit in the lease, if this is practicable to determine; if not, the lessee's incremental borrowing rate should be used.

d) The costs identified as directly attributable to activities performed by the lessee for a finance lease are added to the amount recognized as an asset.

Minimum Lease Payments

IPSAS 13 require that:

- Minimum lease payments should be apportioned between the finance charge and the reduction of the outstanding liability.
- The finance charge should be allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.
- Contingent rents should be charged as expenses in the period in which they are incurred.

Finance Charges and Depreciation

e) **A** finance lease gives rise to a depreciation expense for depreciable assets as well as a finance expense for each accounting period.

f) The depreciation policy for depreciable leased assets should be consistent with that for depreciable assets that are owned, and the depreciation recognized should be calculated in accordance with IPSAS 17, ***Property, Plant, and Equipment*, and IPSAS 31, *Intangible Assets*, as appropriate.**

Disclosure

Lessees should disclose the following for finance leases:

- For each class of assets, the net carrying amount at the reporting date;
- A reconciliation between the total of future minimum lease payments at the reporting date, and their present value;
- In addition, an entity should disclose the total of future minimum lease payments at the reporting date, and their present value, for each of the following periods: (a) not later than one year; (b) Later than one year and not later than five years; and (c) Later than five years;
- Contingent rents recognized as an expense in the period; and
- Restrictions imposed by lease arrangements, such as those concerning return of surplus, return of capital contributions, dividends or similar distributions, additional debt, and further leasing.

17.4.2 Operating Lease

a) Lease payments under an operating lease should be recognized as an expense on a straight-line basis over the lease term.

b) Lessees should disclose the following for operating leases:

- The total of future minimum lease payments under non-cancellable operating leases for each of the following periods:

Not later than one year;

- Later than one year and not later than five years; and
- Later than five years;

SESSION 17.5 FINANCIAL STATEMENTS OF THE LESSOR

17.5.1 Finance Lease

a) Lessors should recognize lease payments receivable under a finance lease as assets in their statements of financial position. They should present such assets as a receivable at an amount equal to the net investment in the lease.
b) The recognition of finance revenue should be based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the finance lease.
c) Manufacturer or trader lessors should recognize gains or losses on sale of assets in the period, in accordance with the policy followed by the entity for outright sales.
d) If artificially low rates of interest are quoted, any gains or losses on sale of assets should be restricted to what would apply if a market rate of interest were charged.
e) Costs incurred by manufacturer or trader lessors in connection with negotiating and arranging a lease should be recognized as an expense when the gain or loss is recognized.

17.5.2 Operating Lease

a) Lessors should present assets subject to operating leases in their statements of financial position according to the nature of the asset.
b) Lease revenue from operating leases should be recognized as revenue on a straight-line basis over the lease term.
c) Initial direct costs incurred by lessors in negotiating and arranging an operating lease should be added to the carrying amount of the leased asset, and recognized as an expense over the lease term on the same basis as the lease revenue.
d) The depreciation policy for depreciable leased assets should be consistent with the lessor's normal depreciation policy for similar assets, and depreciation should be calculated in accordance with IPSAS 17 or IPSAS 31, as appropriate.

SESSION 17.6 SUMMARY

This module has detailed the accounting treatment of leases in the books of the lessee and lessor. It has prescribed the recognition and measurement criteria of finance and operating leases in the financial statements of both the lessee and lessor in line with IPSAS 13. The next module covers financial instruments.

SESSION 17.7 ACTIVITIES

Activity 17.1

Write short notes on the following: difference between finance and operating leases, criteria for recognizing and measuring leases in the books of the lessee.

MODULE 18: FINANCIAL INSTRUMENTS

Session 18.1 Introduction

Session 18.2 Learning Outcomes

Session 18.3 Financial Instruments

Session 18.4 Recognition and De-recognition

Session 18.5 Measurements

Session 18.6 Disclosure

Session 18.7 Summary

Session 18.8 Activities

SESSION 18.1 INTRODUCTION

a) This module establishes principles for the financial reporting of financial assets and financial liabilities that will present relevant and useful information to users of financial statements for their assessment of the amounts, timing and uncertainty of an entity's future cash flows.
b) The module covers only provisions that are relevant to Local Authorities as guided by IPSASs 28, 29, 30 and 41.

SESSION 18.2 LEARNING OUTCOMES

By the end of this module, participants will be able to:

a) Define financial instruments in terms of financial assets and financial liabilities; and
b) Account for financial assets and financial liabilities.

SESSION 18.3 FINANCIAL INSTRUMENTS

a) **An equity instrument** is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.
b) **A financial instrument** is any contract that gives rise to both a financial asset of one entity and a financial liability or equity instrument of another entity.
c) **A financial asset** is any asset that is:

- Cash;
- An equity instrument of another entity;
- A contractual right to receive cash or another financial asset from another entity
- A contractual right to exchange financial assets or financial liabilities with another entity under conditions that are potentially favourable to the entity
- A contract that will or may be settled in the entity's own equity instruments.

Examples of financial assets include:

- trade receivables
- options
- investment in equity shares

d) A **financial liability** is any liability that is a contractual obligation:

- To deliver cash or another financial asset to another entity; or
- To exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity; or
- that will or may be settled in the entity's own equity instruments

Examples of financial liabilities

- trade payables
- debenture loans
- redeemable preference shares

Activity 18.1

Identify which of the following are financial instruments:

a) Inventory
b) Investment in ordinary shares
c) Prepayments for goods or services
d) Liability for income tax
e) A share option (an entity's obligation to issue its own shares)

SESSION 18.4 RECOGNITION AND DERECOGNITION

18.4.1 Initial Recognition of Financial Instruments

a) An entity should recognize a financial asset or a financial liability in its statement of financial position

- when, and only when, the entity becomes party to the contractual provisions of the instrument

b) When an entity first recognizes a financial asset or financial liability, it should classify and measure them in line with the guidance provided in this module.

18.4.2 De-recognition of Financial Instruments

Financial instruments should be derecognized as follows:

Financial assets

- when and only when, the contractual rights provided by the asset expire or the entity loses control of the contractual rights that comprise the financial asset, or
- it transfers the financial asset's contractual rights to receive the cash flows including risks and rewards attached to it

Financial liabilities

- When and only when, it is extinguished—i.e., when the obligation specified in the contract is discharged, waived, cancelled or expires.

On de-recognition

- the difference between the carrying amount of the financial asset or financial liability and the amount received or paid should be included in the surplus or deficit

SESSION 18.5 MEASUREMENT

18.5.1 Initial Measurement

- An entity should measure a financial asset or financial liability at its fair value plus transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability.
- The best evidence of fair value is quoted prices in an active market. If the market for a financial instrument is not active, an entity establishes fair value by using a valuation technique.

18.5.2 Impairment

a) all financial assets should be reviewed for impairment at each reporting date
b) if there is any objective evidence that a financial asset is impaired, it should be written down to its estimated recoverable amount.
c) An entity should recognize a loss allowance for ***expected credit losses*** on a financial asset like a lease receivable, or a loan commitment and a financial guarantee contract to which the impairment requirements apply.

18.5.3 Gain or Loss on Financial Assets or Financial Liabilities

A gain or loss on a financial asset or financial liability that is measured at fair value should be recognized in surplus or deficit

SESSION 18.6 DISCLOSURE

IPSAS 30 require entities to disclose information that enables users of its financial statements to evaluate the

a) Significance of financial instruments for its financial position and performance. information such as

- investment in equity instruments
- financial assets pledged as collateral
- allowance for credit losses
- default breaches on loans
- net gains or losses arising from assets or liabilities

b) Nature and extent of risks arising from financial instruments to which the entity is exposed at the end of reporting period, such as (define them and state how they have been mitigated)

- **Credit risk** is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.
- **Currency risk** is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates
- **Interest rate risk** is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates
- **liquidity risk** is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset
- **Market risk** is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: currency risk, interest rate risk, and other price risk

SESSION 18.7 SUMMARY

This module has prescribed the accounting treatment of financial liabilities and financial assets in financial statements of Local Authorities. It has provided conditions that must be met for an entity to recognize and derecognize a financial asset or liability and how to measure them after they have been recognized. the module has also explained the accounting treatment of any gain or loss arising from financial instruments. The next module looks at accounting for borrowing costs.

SESSION 18.8 ACTIVITIES SOLUTIONS

Activity 18.1

- **Inventory** (or any other physical asset such as noncurrent assets) is not a financial instrument since there is no present contractual right to receive cash or other financial instrument.
- **an investment in ordinary shares** is a financial asset since it an equity instrument of another entity
- **prepayments for goods and services** are not financial instruments since the future economic benefit will be the receipt of goods or services rather than a financial asset
- **a liability for income taxes** is not a financial instrument since the obligation is statutory rather than contractual
- **a share option** is a financial instrument since a contractual obligation does exist to deliver an equity instrument. note however that an option to buy or sell an asset other than financial instrument (i.e. a commodity) would not qualify for a financial instrument.

MODULE 19: BORROWING COSTS

Session 19.1: Introduction

Session 19.2: Learning Outcomes

Session 19.3: Borrowing Costs

Session 19.4: Recognition and Measurement of Borrowing Costs

Session 19.5: Capitalisation of Borrowing Costs

Session 19.6: Disclosure

Session 19.7: Summary

Session 19.8: Activities

SESSION 19.1 INTRODUCTION

a) This module covers the treatment of borrowing costs. IPSAS 5 requires that borrowing costs should be expensed immediately.
b) However, it also gives an option to entities to capitalize borrowing costs that are attributable to the acquisition, construction or production of a qualifying asset.

SESSION 19.2 LEARNING OUTCOMES

By the end of this session participants should be able to:

- Define Borrowing costs and a qualifying assets; and
- Account for borrowing costs.

SESSION 19.3 BORROWING COSTS

a) **Borrowing costs** are interest or other expenses incurred by an entity in connection with the borrowing of funds.
b) Borrowing costs may include:

- Interest on bank overdrafts and short-term and long-term borrowings;
- Amortization of discounts or premiums relating to borrowings;
- Amortization of ancillary costs incurred in connection with the arrangement of borrowings;
- Finance charges in respect of finance leases and service concession arrangements; and
- Exchange differences arising from foreign currency borrowings, to the extent that they are regarded as an adjustment to interest costs.

c) **Qualifying asset** is an asset that necessarily takes a substantial period of the time to get ready for its intended use or sale.
d) **Examples** of qualifying assets include: office buildings, hospitals, infrastructure assets such as roads, bridges and power generation facilities, and inventories that require a substantial period of time to bring them to a condition ready for use or sale

SESSION 19.4 RECOGNITION

19.4.1 General Rule

- Borrowing costs should be recognized as an expense in the period in which they are incurred.
- The financial statements should disclose the accounting policy adopted for borrowing costs.

19.4.2 Alternative Approach

a) Borrowing costs should be recognized as an expense in the period in which they are incurred, except when they are capitalized
b) borrowing costs that are directly attributable to acquisition, construction or production of a qualifying assets, should be capitalized as cost of the asset
c) borrowing costs are capitalized as part of the asset when:

- It is probable that they will result in future economic benefits or service potential to the entity, and
- The costs can be measured reliably.

d) Where the entity adopts the alternative approach, that treatment should be consistently in all borrowing costs that are directly attributable to acquisition, construction and production of all qualifying assets of the entity.

SESSION 19.5 CAPITALISATION OF BORROWING COSTS

19.5.1 Borrowing costs eligible for capitalization include:

- Actual borrowing costs incurred on the funds borrowed specifically for the purpose of obtaining a qualifying asset, less any investment income on the temporary investment of those borrowings.
- If funds are borrowed from more than one lender, and used for purposes of obtaining a qualifying asset, the amount of borrowing costs eligible for capitalization should be determined by applying a capitalization rate to the outlay on that asset.
- The capitalization rate should be the weighted average of the borrowing costs applicable to all borrowings of the entity that are outstanding during the period.

19.5.2 Commencement of Capitalization

The capitalization of borrowing costs as part of the cost of a qualifying asset should commence when:

- Outlays for the asset are being incurred;
- Borrowing costs are being incurred; and
- Activities that are necessary to prepare the asset for its intended use or sale are in progress.

19.5.3 Suspension of Capitalisation

Capitalization of borrowing costs should be suspended during extended periods in which active development is interrupted, and expensed.

19.5.4 Cessation of Capitalisation

- Capitalization of borrowing costs should cease when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete
- When the construction of a qualifying asset is completed in parts, and each part is capable of being used while construction continues on other parts, capitalization of borrowing costs should cease when substantially all the activities necessary to prepare that part for its intended use or sale are completed.

SESSION 19.6 DISCLOSURE

Financial statements should disclose the following:

- The accounting policy adopted for borrowing costs;
- The amount of borrowing costs capitalized during the period and costs eligible for capitalization (when it was necessary to apply a capitalization rate of funds borrowed)

SESSION 19.7 SUMMARY

This module has covered the accounting treatment of borrowing costs in line with IPSAS 5. It has explained the components of borrowing cost, provided criteria on recognition and measurement of borrowing costs, and also clarified when to capitalize or suspend capitalisation of borrowing costs. The next module looks at effects of changes in foreign exchange rates.

SESSION 19.8 ACTIVITIES

Activity 19.1

a) write short notes on the following terms: Components of Borrowing costs, qualifying assets, capitalization and suspension of borrowing costs.

MODULE 20: THE EFFECTS OF CHANGES IN FOREIGN EXCHANGE RATES

Session 20.1 Introduction

Session 20.2 Learning outcomes

Session 20.3 Definition of terms

Session 20.4 Recognition

Session 20.5 Measurement

Session 20.6 Disclosure

Session 20.7 Summary

Session 20.8 Activities

SESSION 20.1 INTRODUCTION

a) The purpose of this module is to prescribe how to include foreign currency transactions in the financial statements of an entity, and translate financial statements into a presentation currency in line with IPSAS 4.

b) The key issues for consideration are which exchange rate (s) to use, and how to report the effects of changes in the exchange rates in the financial statements.

SESSION 20.2 LEARNING OUTCOMES

By the end of this module, participants should be able to:

- State the functional currency of local authorities in Malawi; and
- Account for foreign currency transactions.

SESSION 20.3 DEFINITION OF TERMS

- ***Closing rate*** *is the spot exchange rate at the reporting date.*
- ***Exchange difference*** *is the difference resulting from translating a given number of units of one currency into another currency at different exchange rates.*
- ***Exchange rate*** *is the ratio of exchange for two currencies.*
- ***Foreign currency*** *is a currency other than the functional currency of the entity.*
- ***Functional currency*** *is the currency of the primary economic environment in which the entity operates.*
- ***Monetary items*** *are units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.*
- ***Presentation currency*** *is the currency in which the financial statements are presented.*
- ***Spot exchange rate*** *is the exchange rate for immediate delivery.*

SESSION 20.4 RECOGNITION

20.4.1 Initial

IPSAS 4 requires that a foreign currency transaction should be initially recorded:

- in the functional currency, in case of local authorities, it is the Malawi kwacha.
- by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

20.4.2 Reporting at Subsequent Reporting Dates

An entity should report foreign currency at reporting date as follows:

- Foreign currency monetary items must be translated using the closing rate;
- Non-monetary items that are measured in terms of historical cost in a foreign currency must be translated using the exchange rate at the date of the transaction; and
- Non-monetary items that are measured at fair value in a foreign currency must be translated using the exchange rates at the date when the fair value was determined.

SESSION 20.5 MEASUREMENT

IPSAS 4 requires that exchange differences arising on the settlement of monetary items, or on translating monetary items must be recognized in surplus or deficit in the period in which they arise.

SESSION 20.6 DISCLOSURE

The entity should disclose:

- The amount of exchange differences recognized in surplus or deficit
- When the presentation currency is different from the functional currency, that fact should be stated, together with disclosure of the functional currency and the reason for using a different presentation currency.

Activity 20.1

On March 1,20X8, **Karonga District Council** entered into a contract with a supplier to purchase a machine for use in its operations. Under the terms of the contract, the council was to pay the supplier a fixed purchase price of $1,000 on April 1, 20X8. On April 15, 20X8, the council received the machine.

Required:

Which explain rates was the council supposed to use to translate the amount in order to record the transaction in their books in line with IPSAS 4?

Suggested Treatment

On 1 April, 20X8 - Payment

Rate: Spot rate ruling on 1 April, 20X8 (rate used to pay the supplier)

Entries: Dr non-monetary asset (prepayment) Cr. Bank

On 15 September, 20X8 – Delivery of the machine

Rate: Not necessary

Entries: Dr Property, Plant and Machinery (Machine), Cr. Non-monetary asset (prepayment)

Activity 20.2

On June 1, 20X9, **Mchinji District Council** entered into a contract with a customer to deliver goods on September 1, 20X9. The total fixed contract price was an amount of (South African Rand) R100, of R40 was due and received on August 1, 20X9 and the balance was received on September 30, 20X9.

Required:

Which explain rates was the council supposed to use to translate the amount in order to record the transaction in their books in line with IPSAS 4?

Suggested Treatment

On 1 August, 20X9 – customer paid R40

Rate: Spot rate ruling on 1.8.X9 (rate used to receive the amount)

Entries: Dr Bank Cr Non-Monetary liability (accrual)

On 1 September, 20X9 – goods were delivered to customer

Rate: the non-monetary liability is derecognized and transferred to revenue. the revenue of R60 is translated using the spot rate on 1 September 20X9

Entries: Dr Nonmonetary liability R40, Dr Receivables R60, Cr Revenue R100

SESSION 20.7 SUMMARY

This module has looked at the initial and subsequent recognition and measurement criteria for foreign currency transactions in Local Authorities. The next module focuses on events after the reporting date.

SESSION 20.8 ACTIVITIES

Activity 20.3

Explain how foreign currency should be initially and subsequently be measured?

SECTION VII: DISCLOSURE

MODULE 21 : EVENTS AFTER THE REPORTING DATE

Session 21.1: Introduction

Session 21.2: Learning Outcomes

Session 21.3: Events after the Reporting Period

Session 21.4: Adjusting Events after the Reporting Date

Session 1.5: Non-Adjusting Events after the Reporting Period

Session 21.6: Disclosure

Session 21.7: Summary

Session 21.8 Activities

SESSION 21 .1 INTRODUCTION

a) This module prescribes:

- When an entity should adjust its financial statements for events after the reporting date; and
- The disclosures that an entity should give about the date when the financial statements were authorized for issue, and about events after the reporting date.

b) IPSAS 14 also requires that an entity should not prepare its financial statements on a going concern basis if events after the reporting date indicate that the going concern assumption is not appropriate.

c) These guidelines are applicable to public sector entities that prepare and present financial statements under the accrual basis of accounting.

SESSION 21 .2 LEARNING OUTCOMES:

By the end of this module, participants should be able to:

- Define events after the reporting date;
- Describe the two types of events after the reporting date;
- Recognize adjusting and non-adjusting events after the reporting date;
- Account for adjusting and non-adjusting events in financial statements; and
- Explain what an entity needs to disclose in respect of events after the reporting date.

SESSION 21 .3 EVENTS AFTER THE REPORTING DATE

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the financial statements are authorized for issue. Two types of events can be identified:

- Those providing evidence of conditions that existed at the reporting date (**adjusting events after the reporting date**); and
- Those indicative of conditions that arose after the reporting date (**non-adjusting events after the reporting date**).

Activity 21.1

- State the reporting date of financial statements in your entity.
- Who is responsible for authorizing financial statements in your entity?
- State date on which your last financial statements were authorized.

SESSION 21 .4 ADJUSTING EVENTS AFTER THE REPORTING DATE

a) An entity should adjust the amounts recognized in its financial statements to reflect adjusting events after the reporting date.

b) Examples of adjusting events after the reporting date include:

- The settlement after the reporting date of a court case that confirms that the entity had a present obligation at the reporting date;
- The receipt of information after the reporting date indicating that an asset was impaired at the reporting date, or that the amount of a previously recognized impairment loss for that asset needs to be adjusted. For example:
  - The bankruptcy of a debtor that occurs after the reporting date usually confirms that the debtor was credit-impaired at the end of the reporting period; and
  - The sale of inventories after the reporting date may give evidence about their net realizable value at the reporting date;
- The determination after the reporting date of the cost of assets purchased, or the proceeds from assets sold, before the reporting date;
- The determination after the reporting date of the amount of revenue collected during the reporting period to be shared with another government under a revenue-sharing agreement in place during the reporting period;
- The determination after the reporting date of performance bonus payments to be made to staff if the entity had a present legal or constructive obligation at the reporting date to make such payments as a result of events before that date; and
- The discovery of fraud or errors that show that the financial statements were incorrect.

SESSION 21 .5 NON-ADJUSTING EVENTS AFTER THE REPORTING DATE

a) An entity should not adjust the amounts recognized in its financial statements to reflect non-adjusting events after the reporting date.

b) Examples of non-adjusting events after the reporting period include:

- Where an entity has adopted a policy of regularly revaluing property to fair value, a decline in the fair value of property between the reporting date and the date when the financial statements are authorized for issue. The fall in fair value does not normally relate to the condition of the property at the reporting date, but reflects circumstances that have arisen in the following period. Therefore, despite its policy of regularly revaluing, an entity would not adjust the amounts recognized in its financial statements for the properties. Similarly, the entity does not update the amounts disclosed for the property as at the reporting date, although it may need to give additional disclosure;
- Where an entity charged with operating particular community service programs decides after the reporting date, but before the financial statements is authorized, to provide/distribute additional benefits directly or indirectly to participants in those programs. The entity would not adjust the expenses recognized in its financial statements in the current reporting period, although the additional benefits may meet the conditions for disclosure as non-adjusting events; and

- Outsourcing of all or substantially all major service activities undertaken by the entity after reporting date.
- major purchase or disposal of assets
- introduction of legislation to forgive loans made to entities or individuals as part of the program
- If an entity declares dividends or similar distributions after the reporting date, the entity should not recognize those distributions as a liability at the reporting date.

Going Concern

An entity should not prepare its financial statements on a going concern basis if those responsible for the preparation of the financial statements or the governing body determine after the reporting date either

a) That there is an intention to liquidate the entity or to cease operating, or
b) That there is no realistic alternative but to do so.

SESSION 21 .6 DISCLOSURE

a) An entity should disclose the date when the financial statements were authorized for issue and who gave that authorization. If another body has the power to amend the financial statements after issuance, the entity should disclose that fact.
b) If an entity receives information after the reporting date, but before the financial statements are authorized for issue, about conditions that existed at the reporting date, the entity should update disclosures that relate to these conditions in the light of the new information.
c) for each material non adjusting event, an entity should disclose the following:

- The nature of the event; and
- An estimate of its financial effect or a statement that such an estimate cannot be made.

SESSION 21 .7 SUMMARY

This module has covered accounting treatment of events after the reporting date in line with IPSAS 14. The module has defined events after reporting date, and also prescribed conditions that must be met for after reporting date events to be included in the financial statements. The next module looks at presentation of budget information in financial statements.

SESSION 21 .8 ACTIVITIES

Activity 21.2

Write short notes on adjusting and non-adjusting events after the reporting date.

MODULE 22: PRESENTATION OF BUDGET INFORMATION IN FINANCIAL STATEMENTS

Session 22.1 Introduction

Session 22.2 Learning Outcomes

Session 22.3 Definition of Terms

Session 22.4 Budget and Actual

Session 22.5 Reconciliation of Actual Amounts on a Comparable Basis and Actual Amounts in the Financial Statements.

Session 22.6 Summary

Session 22.7 Activities

SESSION 22.1 INTRODUCTION

a) IPSAS 24 requires a comparison of budget amounts and the actual amounts arising from execution of the budget to be included in the financial statements of entities that are required to, or elect to, make publicly available their approved budget(s), and for which they are, therefore, held publicly accountable.

b) The Standard also requires disclosure of an explanation of the reasons for material differences between the budget and actual amounts.

c) Compliance with the requirements of IPSAS 24 will ensure that public sector entities discharge their accountability obligations and enhance the transparency of their financial statements by demonstrating (a) compliance with the approved budget(s) for which they are held publicly accountable and (b) where the budget(s) and the financial statements are prepared on the same basis, their financial performance in achieving the budgeted results.

d) All entities that prepare and present financial statements under the accruals basis are required to comply with the provisions of IPSAS 24, whose provisions are covered in this module.

SESSION 22.2 LEARNING OUTCOMES:

By the end of this session participants should be able to:

- Define various terms in relation with budget information in financial statements;
- Present a comparison of budgets and actual amounts; and
- Reconcile actual amounts on comparable basis.

SESSION 22.3 DEFINITION OF TERMS

- ***Accounting basis*** *means the accrual or cash basis of accounting as defined in the accrual basis IPSASs and the Cash Basis IPSAS.*
- ***Appropriation*** *is an authorization granted by a legislative body to allocate funds for purposes specified by the legislature or similar authority.*
- ***Approved budget*** *means the expenditure authority derived from laws, appropriation bills, government ordinances, and other decisions related to the anticipated revenue or receipts for the budgetary period.*
- ***Budgetary basis*** *means the accrual, cash, or other basis of accounting adopted in the budget that has been approved by the legislative body.*
- ***Comparable basis*** *means the actual amounts presented on the same accounting basis, same classification basis, for the same entities, and for the same period as the approved budget.*
- ***Multi-year budget*** *is an approved budget for more than one year. It does not include published forward estimates or projections for periods beyond the budget period.*

SESSION 22.4 BUDGET AND ACTUAL AMOUNTS

- **Annual budget** means an approved budget for one year. It does not include published forward estimates or projections for periods beyond the budget period.
- **Original budget** is the initial approved budget for the budget period.
- **Final budget** is the original budget, adjusted for all reserves, carry-over amounts, transfers, allocations, supplemental appropriations, and other authorized legislative or similar authority changes applicable to the budget period.

a) An entity should present a comparison of the budget amounts for which it is held publicly accountable and actual amounts, either as a separate additional financial statement or as additional budget columns in the financial statements currently presented in accordance with IPSASs.

b) The comparison of budget and actual amounts should present separately for each level of legislative oversight:

- The original and final budget amounts;
- The actual amounts on a comparable basis; and
- By way of note disclosure, an explanation of material differences between the budget for which the entity is held publicly accountable and actual amounts, unless such explanation is included in other public documents issued in conjunction with the financial statements, and a cross reference to those documents is made in the notes.

22.4.1 Presentation and Disclosure:

An entity should present a comparison of budget and actual amounts as additional budget columns in the financial statements only where the financial statements and the budget are prepared on a comparable basis.

22.4.2 Changes from Original to Final Budget

An entity should present an explanation of whether changes between the original and final budget are a consequence of reallocations within the budget, or of other factors:

- By way of note disclosure in the financial statements; or
- In a report issued before, at the same time as, or in conjunction with, the financial statements, and should include a cross reference to the report in the notes to the financial statements.

22.4.3 Comparable Basis

All comparisons of budget and actual amounts should be presented on a comparable basis to the budget.

22.4.4 Note Disclosure of Budgetary Basis, Period and Scope

An entity should:

- Explain in notes to the financial statements the budgetary basis and classification basis adopted in the approved budget.
- Disclose in notes to the financial statements the period of the approved budget.
- Identify in notes to the financial statements the entities included in the approved budget.

SESSION 22.5 RECONCILIATION OF ACTUAL AMOUNTS ON COMPARABLE BASIS AND ACTUAL AMOUNTS IN THE FINANCIAL STATEMENTS

a) The actual amounts presented on a comparable basis to the budget should, where the financial statements and the budget are not prepared on a comparable basis, be reconciled to the following actual amounts presented in the financial statements, identifying separately any basis, timing, and entity differences:

- If the accrual basis is adopted for the budget, total revenues, total expenses, and net cash flows from operating activities, investing activities, and financing activities; or
- If a basis other than the accrual basis is adopted for the budget, net cash flows from operating activities, investing activities, and financing activities.

b) The reconciliation should be disclosed on the face of the statement of comparison of budget and actual amounts, or in the notes to the financial statements.

Table 5: **Sample Presentation**

					He ***Difference:***
			Final	**Original**	***Original***
Actual		**Actual**	**Budget**	**Budget**	***Budget and***
20XX-1	(in currency units)	**20XX**	**20XX**	**20XX**	***Actual***
	Revenue				
X	Taxes	X	X	X	X
X	Fees, fines, penalties, and licenses	X	X	X	X
X	Revenue from exchange transactions	X	X	X	X
X	Transfers from other governments	X	X	X	X
X	Other revenue	X	X	X	X

X	**Total revenue**	**X**	**X**	**X**	**X**
	Expenses				
(X)	Wages, salaries, employee benefits	(X)	(X)	(X)	(X)
(X)	Grants and other transfer payments	(X)	(X)	(X)	(X)
(X)	Supplies and consumables used	(X)	(X)	(X)	(X)
(X)	Depreciation/ amortization expense	(X)	Pi)	(X)	(X)
(X)	Other expenses	(X)	(X)	(X)	(X)
(X)	Finance costs	(X)	Pi)	(X)	(X)
(X)	**Total expenses**	**(X)**	**Pi)**	**(X)**	**(X)**
X	Share of surplus of associates	X	X	X	X
X	**Surplus/(deficit) for the period**	**X**	**X**	**X**	**X**
	Attributable to:				
X	Owners of the controlling entity	X	X	X	X
X	Non-controlling interest	X	X	X	X
X		**X**	**X**	**X**	**X**

Figure: Original, Final Budget and Actual Amount Required.

SESSION 22.6 SUMMARY

This module has explained how budgets should be presented in financial statements of public sector entities. The next module looks at separate financial statements including investments.

MODULE 23: SEPERATE FINANCIAL STATEMENTS (INVOLVING INVESTMENTS)

Session 23.1 Introduction

Session 23.2 Leaning Outcomes

Session 23.3 Separate Financial Statements

Session 23.4 Disclosure

Session 23.4 Summary

SESSION 23.1 INTRODUCTION

This module prescribes the accounting and disclosure requirements for investments in controlled entities, joint ventures and associates when an entity prepares separate financial statements as guided by IPSAS 34.

SESSION 23.2 LEARNING OUTCOMES

By the end of this module, participants will be able to:

a) Distinguish separate financial statements from consolidated ones;
b) Prepare separate financial statements
c) Disclose relevant information in the separate financial statements

SESSION 23.3 SEPARATE FINANCIAL STATEMENTS

Separate financial statements are those presented by an entity, in which the entity could elect, subject to the requirements by IPSAS 24, to account for its investments in controlled entities, joint ventures and associates either at cost, in accordance with IPSAS 41, Financial Instruments or using the equity method as described in IPSAS 36, Investments in Associates and Joint Ventures.

When an entity prepares separate financial statements, it should account for similar investments in controlled entities, joint ventures and associates either:

- At cost; or
- equity method

Dividends or similar distributions from a controlled entity, a joint venture or an associate are recognized in the separate financial statements of an entity

- When the entity's right to receive the dividend or similar distribution is established.
- The dividend or similar distribution is recognized in surplus or deficit unless the entity elects to use the equity method, in which case the dividend or similar distribution is recognized as a reduction from the carrying amount of the investment.

SESSION 23.4 DISCLOSURE

When a controlling entity, elects not to prepare consolidated financial statements and instead prepares separate financial statements, it should disclose in those separate financial statements:

- The fact that the financial statements are separate financial statements; that the exemption from consolidation has been used; the name of the entity whose consolidated financial statements that comply with IPSASs have been produced for public use; and the address where those consolidated financial statements are obtainable.
- A list of significant investments in controlled entities, joint ventures and associates, including:
- The name of those controlled entities, joint ventures and associates.
- The jurisdiction in which those controlled entities, joint ventures and associates operate (if it is different from that of the controlling entity).
- Its proportion of the ownership interest held in those entities and a description of how that ownership interest has been determined.
- A description of the method used to account for the controlled entities, joint ventures and associates as listed

SESSION 23.5 SUMMARY

This module has looked at the accounting and disclosure requirements for investments in controlled entities, joint ventures and associates when an entity prepares separate financial statements. The next module looks at disclosure of financial information about the general government sector.

MODULE 24: DISCLOSURE OF FINANCIAL INFORMATION ABOUT THE GENERAL GOVERNMENT SECTOR

Session 24.1 Introduction

Session 24.2 Learning Outcomes

Session 24.3 Ac@counting Policies

Session 24.4 Disclosure

Session 24.5 Summary

Session 24.6 Activities

SESSION 24.1 INTRODUCTION

a) This module prescribes disclosure requirements for governments that elect to present information about the general government sector (GGS) in their consolidated financial statements as guided by IPSAS 22.

b) The disclosure of appropriate information about the GGS of a government can enhance the transparency of financial reports and provide for a better understanding of the relationship between the market and non-market activities of the government, and between financial statements and statistical bases of financial reporting.

SESSION 24.2 LEARNING OUTCOMES

By the end of this module, participants will be able to:

- Disclose information about general government sector in financial statements.

SESSION 24.3 ACCOUNTING POLICIES

a) IPSAS 22 demands that financial information about the GGS should be disclosed in conformity with the accounting policies adopted for preparing and presenting the consolidated financial statements of the government.

b) In presenting financial information about the GGS, entities should not apply the requirements of IPSAS 35, ***Consolidated Financial Statements,***

c) The GGS should recognize its investment as an asset, and should account for that asset at the carrying amount of the net assets of its investees.

SESSION 24.4 DISCLOSURE

a) Disclosures made in respect of the GGS should include at least the following:

- Assets by major class, showing separately the investment in other sectors;
- Liabilities by major class;
- Net assets/equity;
- Total revaluation increments and decrements and other items of revenue and expense recognized directly in net assets/equity;
- Revenue by major class;
- Expenses by major class;
- Surplus or deficit;
- Cash flows from operating activities by major class;
- Cash flows from investing activities; and
- Cash flows from financing activities.

The manner of presentation of the GGS disclosures should be no more prominent than the government's financial statements prepared in accordance with IPSASs.

b) Entities preparing GGS disclosures should disclose the significant controlled entities that are included in the GGS and any changes in those entities from the prior period, together with an explanation of the reasons why any such entity that was previously included in the GGS is no longer included.

c) Reconciliation to the Consolidated Financial statements. The GGS disclosures should be reconciled to the consolidated financial statements of the government, showing separately the amount of the adjustment to each equivalent item in those financial statements.

SESSION 24.5 SUMMARY

This module has prescribed disclosure requirements for governments that elect to present information about the general government sector (GGS) in their consolidated financial statements as guided by IPSAS 22. The next module covers first time adoption of accrual basis.

MODULE 25: FIRST TIME ADOPTION OF ACCRUAL BASIS

Session 25.1 Introduction

Session 25.2 Learning Outcomes

Session 25.3 First Time Adoption of Accrual Basis

Session 25.4 Recognition and Measurement

Session 25.5 Fair Presentation and Compliance with IPSASs

Session 25.6 Exemptions that Affect Fair Presentation and Compliance with Accrual Basis IPSAS during the Period of Transition

Session 25.7 Exemptions that Do Not Affect Fair Presentation and Compliance with Accrual Basis IPSAS during Period of Adoption

Session 25.8 Disclosure

Session 25.9 Summary

Session 25.10 Activity

SESSION 25.1 INTRODUCTION

25.1.1 Objective

a) The objective of this module, which is based on IPSAS 33, is to provide guidance to a first-time adopter that prepares and presents financial statements following the adoption of accrual basis IPSASs, in order to present high quality information:

- That provides transparent reporting about a first-time adopter's transition to accrual basis IPSASs;
- That provides a suitable starting point for accounting in accordance with accrual basis IPSASs irrespective of the basis of accounting the first-time adopter has used prior to the date of adoption; and
- Where the benefits are expected to exceed the costs.

25.1.2 Scope

- An entity should apply this IPSAS when it prepares and presents its annual financial statements on the adoption of, and during the transition to, accrual basis IPSASs.
- IPSAS 33 applies when an entity first adopts accrual basis IPSASs and during the transitional period allowed in the standard.
- The Standard should be applied from the date on which a first-time adopter adopts accrual basis IPSASs and during the period of transition.
- IPSAS 33 permits a first-time adopter to apply transitional exemptions and provisions that may impact fair presentation.
- Where these transitional exemptions and provisions are applied, a first-time adopter is required to disclose information about the transitional exemptions and provisions adopted, and progress towards fair presentation and compliance with accrual basis IPSASs.
- At the end of the transitional period a first-time adopter must comply with the recognition, measurement, presentation and disclosure requirements in the other accrual basis IPSAS in order to assert compliance with accrual basis IPSASs as required in IPSAS 1, *Presentation of Financial Statements*.

SESSION 25.2 LEARNING OUTCOMES

By the end of this module, participants will be able to:

- accurately prepare and present financial statements for first time adopters of accrual basis IPSAS

SESSION 25.3 FIRST TIME ADOPTION OF ACCRUAL BASIS

- **A First-time adopter** is an entity that adopts accrual basis IPSASs for the first time and presents its first transitional IPSAS financial statements or its first IPSAS financial statements.
- **First IPSAS financial statements** are the first annual financial statements in which an entity complies with the accrual basis IPSASs and can make an explicit and unreserved statement of compliance with those IPSASs because it adopted one or more of the transitional exemptions in this IPSAS that do not affect the fair presentation of the financial statements and its ability to assert compliance with accrual basis IPSASs.
- **Transitional IPSAS financial statements** are the financial statements prepared in accordance with this IPSAS where a first-time adopter cannot make an explicit and unreserved statement of compliance with other IPSASs because it adopted one or more of the transitional exemptions in this IPSAS that affect the fair presentation of the financial statements and its ability to assert compliance with accrual basis IPSASs.
- **Period of transition** is the period during which a first-time adopter applies one or more of the exemptions in this IPSAS before it comply with the accrual basis IPSASs, and before it are able to make an explicit and unreserved statement of such compliance with IPSASs.
- **Previous basis of accounting** is the basis of accounting that a first-time adopter used immediately before adopting accrual basis IPSASs.

SESSION 25.4 RECOGNITION AND MEASUREMENT

25.4.1 Opening Statement of Financial Position on Adoption of IPSASs

a) **Opening statement of financial position** is a first-time adopter's statement of financial position at the date of adoption of IPSASs.
b) **Date of adoption of IPSASs** is the date an entity adopts accrual basis IPSASs for the first time, and is the start of the reporting period in which the first-time adopter adopts accrual basis IPSASs and for which the entity presents its first transitional IPSAS financial statements or its first IPSAS financial statements.

- A first-time adopter should prepare and present an opening statement of financial position at the date of adoption of IPSASs.
- This is the starting point for its accounting in accordance with accrual basis IPSASs.

Example / exercise

25.4.2 Accounting Policies

a) On the date of adoption of accrual basis IPSASs, a first-time adopter should apply the requirements of the IPSASs **retrospectively** except if required, or otherwise permitted, in this IPSAS.
b) A first-time adopter should use the same accounting policies in its opening statement of financial position and throughout all periods presented, unless if they take advantage of the exemptions covered later in this manual
c) The accounting policies should comply with each IPSAS effective at the date of adoption of IPSASs, except if they take advantages of exemptions covered later in this manual.

Example / exercise

25.4.3 Exceptions to the Retrospective Application of IPSAS

Estimates

A first-time adopter's estimates in accordance with IPSASs at the date of adoption of IPSASs, should be consistent with estimates made in accordance with the previous basis of accounting (after adjustments to reflect any difference in accounting policies), unless there is objective evidence that those estimates were inconsistent with the requirements in IPSASs.

Exceptions to Retrospective Application

a) IPSAS 33 **prohibits retrospective application** of some aspects of accrual basis IPSASs.
b) A first-time adopter may receive information after the date of adoption of IPSASs about **estimates** that it had made under its previous basis of accounting.

c) The entity should, in this case, treat the receipt of that information in the same way as non-adjusting events after the reporting period in accordance with IPSAS 14, *Events after the Reporting Period.*

Examples of Estimates

a) A first-time adopter may need to make estimates in accordance with IPSASs at the date of adoption of IPSASs or during the period of transition that were not required at that date under the previous basis of accounting.
b) To achieve consistency with IPSAS 14, those estimates in accordance with IPSASs shall reflect conditions that existed at the date of adoption of IPSASs or at the date during the period of transition.
c) In particular, estimates determined at the date of adoption of IPSASs or during the period of transition of market prices, interest rates or foreign exchange rates shall reflect market conditions at that date.
d) For non-financial assets, such as property, plant and equipment, estimates about the asset's useful life, residual value or condition reflect management's expectations and judgment at the date of adoption of IPSASs or the date during the period of transition.

SESSION 25.5 FAIR PRESENTATION AND COMPLIANCE WITH IPSASS

25.5.1 Fair Presentation

a) A first-time adopter's first IPSAS financial statements must fairly present the financial position, financial performance, and cash flows of the entity.
b) Fair presentation requires the faithful representation of the effects of transactions, other events, and conditions in accordance with the definitions and recognition criteria for assets, liabilities, revenue, and expenses set out in IPSASs.

25.5.2 Effect of Exemptions

If a first-time adopter takes advantage of the exemptions, these exemptions will affect the fair presentation of the financial statements and the first-time adopter's ability to assert compliance with accrual basis IPSASs, until the exemptions that provided the relief have expired and/or when the relevant items are recognized and/or measured in accordance with the applicable IPSAS (whichever is earlier).

25.5.3 Full Compliance with IPSAS

A first-time adopter should claim full compliance with IPSASs only when it has complied with all the requirements of the applicable IPSASs effective at that date,

If a first-time adopter adopts one or more of the exemptions in paragraph, the fair presentation of the financial statements and its ability to assert compliance with accrual basis IPSASs will be affected.

An entity's whose financial statements comply with IPSASs should make an explicit and unreserved statement of such compliance in the notes.

Financial statements should not be described as complying with IPSASs unless they comply with all the requirements of IPSASs, and should be qualified as accrual basis IPSAS complaint financial statements.

25.5.4 Exemptions: Factors to Consider

A first-time adopter should assess whether the transitional exemptions adopted affect the fair presentation of the financial statements and the first time adopter's ability to assert compliance with accrual basis IPSASs.

Example

A first-time adopter adopts the three year transitional relief period for the recognition and measurement of traffic fines because insufficient data is available about the value of fines issued, fines written off, the compromises reached with offenders etc. The relief period is not applied to any other class of non-exchange revenue. The revenue received from fines is not material in relation to the financial statements as a whole. The entity concludes that, by adopting the transitional exemption and provisions, fair presentation and compliance with IPSASs will not be affected. As a result, the first-time adopter will still be able to achieve fair presentation and assert compliance with accrual basis IPSASs at the date of adoption of accrual basis IPSASs or during the period of transition.

SESSION 25.6 EXEMPTIONS THAT AFFECT FAIR PRESENTATION AND COMPLIANCE WITH ACCRUAL BASIS IPSASS DURING PERIOD OF TRANSITION

25.6.1 Requirements

a) A first-time adopter may adopt the exemptions in as described by IPSAS 33; however, these exemptions will affect the fair presentation of a first-time adopter's financial statements and its ability to assert compliance with accrual basis IPSASs during the period of transition while they are applied.

b) Notwithstanding the exemptions provided, a first time adopter is encouraged to comply in full with all the requirements of the applicable IPSASs as soon as possible.

c) when a first-time adopter applies the exemptions, the entity will not apply any associated presentation and/or disclosure requirements in the applicable IPSASs until the exemptions that provided the relief have expired or the relevant items are recognized and/or measured in the financial statements in accordance with the applicable IPSASs (whichever is earlier).

25.6.2 Period and Rationale of Transition

- IPSAS 33 recommends that first time adopters should undergo a transitional period of three years before they attain full compliance with IPSASs.
- The three year period will allow first time adopters to develop reliable models of recognizing and measuring assets and/or liabilities, revenue and/or expenses in their financial statements, or identify and appropriately classify its interests in other entities as controlled entities, associates or joint ventures during the period of transition.

25.6.3 Exemptions Affecting Fair Presentation

Table 25.1 provides exemptions that affect fair presentation of financial statements

Table 6: Exemptions Affecting Fair Presentation of Financial Statements

AREA / STANDARD	NATURE OF EXEMPTION
Recognition and/or Measurement of Assets and/or Liabilities.	
Where a first-time adopter has not recognized assets and/or liabilities under its previous basis of accounting.	Inventories (IPSAS 12, *Inventories);* Investment property (IPSAS 16, *Investment Property);* Property, plant and equipment (IPSAS 17, *Property, Plant and Equipment);* Defined benefit plans and other long-term employee benefits (IPSAS 39, *Employee Benefits);* Biological assets and agricultural produce (IPSAS 27, *Agriculture);* Intangible assets (IPSAS 31, *Intangible Assets);* Service concession assets and the related liabilities, either under the financial liability model or the grant of a right to the operator model (IPSAS 32, *Service Concession Arrangements: Grantor);* Financial instruments (IPSAS 41, *Financial Instruments);* and Social benefits (IPSAS 42, *Social Benefits).*
	It shall recognize the obligations relating to defined benefit plans and other long-term employee benefits and any related plan assets at the same time.
Where a first-time adopter has recognized the assets and/or liabilities included under its previous basis of accounting.	It is not required to change its accounting policy(ies) in respect of the measurement of these assets and/or liabilities for reporting periods beginning on a date within three years following the date of adoption of IPSASs. The first-time adopter may apply accounting policies for the recognition and/or measurement of such assets and/or liabilities that do not comply with the provisions of other IPSASs.
Where a first-time adopter has not recognized assets and/or liabilities under its previous basis of accounting or has recognized the assets and/or liabilities included under its previous basis of accounting.	it is not required to recognize and/or measure any related revenue in terms of IPSAS 9, *Revenue from Exchange Transactions*, or other receivables settled in cash or another financial asset in terms of IPSAS 23, *Revenue from Non- Exchange Transactions (Taxes and Transfers).*

AREA / STANDARD	NATURE OF EXEMPTION
B. Recognition and/or Measurement on Non exchange Revenue	
Change of accounting policy and three year transitional period.	A first-time adopter is not required to change its accounting policy in respect of the recognition and measurement of non-exchange revenue for reporting periods beginning on a date within three years following the date of adoption of IPSASs. The first-time adopter may apply accounting policies for the recognition and/ or measurement of revenue from non-exchange transactions that do not comply with the provisions of IPSAS 23. The transitional provision allows a first-time adopter to apply IPSAS 23 incrementally to different classes of revenue from non-exchange transactions. For example, a first-time adopter may be able to recognize and measure property taxes and some other classes of transfers in accordance with IPSAS 23 from the date of adoption of IPSASs, but may require three years to fully develop a reliable model for recognizing and measuring income tax revenue.
C. Other Exemptions	
IPSAS 5: Borrowing Costs: Where a first-time adopter applies the exemption which allows a three year transitional relief period to not recognize and/or measure assets, and elects to account for borrowing costs in terms of the allowed alternative treatment.	it is not required to capitalize any borrowing costs on qualifying assets for which the commencement date for capitalization is prior to the date of adoption of accrual basis IPSASs, until the exemption that provided the relief has expired and/or when the relevant assets are recognized and/or measured in accordance with the applicable IPSASs (whichever is earlier).
IPSAS 13: Leases: Where a first-time adopter takes advantage of the exemption which allows a three year transitional relief period to not recognize assets.	it is not required to apply the requirements related to finance leases until the exemption that provided the relief has expired, and/or when the relevant assets are recognized in accordance with the applicable IPSASs (whichever is earlier). it is not required to recognize finance lease assets and/or liabilities until the exemptions that provided the relief have expired, and/or when the relevant assets are recognized in accordance with the applicable IPSASs (whichever is earlier).

AREA / STANDARD	NATURE OF EXEMPTION
IPSAS 19: Provisions, Contingent Assets and Contingent Liabilities: Where a first-time adopter takes advantage of the exemption which allows a three year transitional relief period to not recognize and/or measure property, plant and equipment.	it is not required to recognize and/ or measure the liability relating to the initial estimate of costs of dismantling and removing the item and restoring the site on which it is located until the exemption for IPSAS 17 has expired, and/or the relevant asset is recognized and/or measured in accordance with IPSAS 17 (whichever is earlier). it shall recognize and/or measure the obligation and any related asset at the same time.
IPSAS 34: Separate Financial Statements: Where a first-time adopter has not recognized its interests in controlled entities, associates or joint ventures under its previous basis of accounting.	it is not required to recognize and/or measure its interests in other entities as a controlled entity, associate or joint venture for reporting periods beginning on a date within three years following the date of adoption of accrual basis IPSAS. a first-time adopter is not required to change its accounting policy in respect of the recognition and/or measurement of its interests in controlled entities, associates or joint ventures for reporting periods beginning on a date within three years following the date of adoption of IPSASs. The first-time adopter may apply accounting policies for the recognition and/or measurement of its interests in controlled entities, associates or joint ventures that do not comply with the provisions of other IPSASs.

SESSION 25.7 EXEMPTIONS THAT DO NOT AFFECT FAIR PRESENTATION AND COMPLIANCE WITH ACCRUAL BASIS IPSAS DURING THE PERIOD OF ADOPTION

- A first-time adopter is required, or may elect, to adopt the exemptions.
- These exemptions will not affect the fair presentation of a first-time adopter's financial statements and its ability to assert compliance with accrual basis IPSASs during the period of transition while they are applied.

25.7.1 Using Deemed Cost to Measure Assets and/or Liabilities

a) **Deemed cost** is an amount used as a substitute for acquisition cost or depreciated cost at a given date.

b) A first-time adopter may elect to measure the following assets and/or liabilities at their fair value when reliable cost information about the assets and liabilities is not available, and use that fair value as the deemed cost for:

- Inventory (IPSAS 12);
- Investment property, if the first-time adopter elects to use the cost model in IPSAS 16;
- Property, plant and equipment (IPSAS 17);
- Intangible assets, other than internally generated intangible assets (IPSAS 31) that meets:
- The recognition criteria in IPSAS 31 (excluding the reliable measurement criterion); and
- The criteria in IPSAS 31 for revaluation (including the existence of an active market);
- Financial Instruments (IPSAS 41); or
- Service concession assets (IPSAS 32).

c) A first-time adopter may elect to use the revaluation amount of property, plant and equipment under its previous basis of accounting as deemed cost if the revaluation was, at the date of the revaluation, broadly comparable to:

- Fair value; or
- Cost or depreciated cost, where appropriate, in accordance with IPSASs adjusted to reflect, for example, changes in a general or specific price index.

d)If reliable market-based evidence of fair value is not available for inventory, or investment property that is of a specialized nature, a first time adopter may consider the following measurement alternatives in determining a deemed cost:

- For inventory, current replacement cost; and
- For investment property of a specialized nature, depreciated replacement cost.

25.7.2 Using Deemed Cost to Measure Assets Acquired through a Non Exchange Transaction

A first-time adopter may elect to measure an asset acquired through a non-exchange transaction at its fair value when reliable cost information about the asset is not available, and use that fair value as its deemed cost.

25.7.3 Using Deemed cost for Investments in Controlled Entities, Joint Ventures and Associates

Where a first-time adopter measures an investment in a controlled entity, joint venture or associate at cost in its separate financial statements, it may, on the date of adoption of IPSASs, elect to measure that investment at one of the following amounts in its separate opening statement of financial position:

- Cost; or
- Deemed cost. The deemed cost of such an investment shall be its fair value (determined in accordance with IPSAS 41) at the first time adopter's date of adoption of IPSASs in its separate financial statements.

25.7.4 Date at which Deemed Cost can be Determined

a) The date at which deemed cost is determined may vary depending on whether the first-time adopter takes advantage of the exemptions that provides a three year transitional relief period to not recognize and/or measure certain assets and/or liabilities.

b) When the first-time adopter takes advantage of the exemption, deemed cost can be determined at any date during this period, or on the date that the exemption expires (whichever is earlier), and the adjustment should be recognized against the opening accumulated surplus or deficit in the year in which the deemed cost of the asset and/or liability is recognized and/or measured.
c) If a first-time adopter does not adopt the exemption, deemed cost should be determined at the beginning of the earliest period for which the first-time adopter presents IPSAS financial statements.

25.7.5 Other Exemptions

Table 5 detail other exemptions that do not affect fair presentation and compliance with accrual basis IPSASs during period of adoption.

Table 5: Exemptions that Do not Affect Fair Presentation of Financial Statements

STANDARD	NATURE OF THE EXEMPTION

IPSAS 1: Presentation of Financial Statements:	• A first-time adopter is encouraged, but not required, to present comparative information in its first transitional IPSAS financial statements or its first IPSAS financial statements presented in accordance with this IPSAS. When a first-time adopter presents comparative information, it shall be presented in accordance with the requirements of IPSAS 1.
	• Where a first-time adopter elects to present comparative information, the first transitional IPSAS financial statements or the first IPSAS financial statements presented in accordance with this IPSAS shall include:
	  • One statement of financial position with comparative information for the preceding period, and an opening statement of financial position as at the beginning of the reporting period prior to the date of adoption of accrual basis IPSAS;
	  • One statement of financial performance with comparative information for the preceding period;
	  • One statement of changes in net assets/equity with comparative information for the preceding period;
	  • One cash flow statement with comparative information for the preceding period;
	  • A comparison of budget and actual amounts for the current year as a separate additional financial statement or as a budget column in the financial statements if the first-time adopter makes its approved budget publicly available; and
	  • Related notes including comparative information, and the disclosure of narrative information about material adjustments.
	• Where a first-time adopter elects to not present comparative information, its first transitional IPSAS financial statements following the adoption of accrual basis IPSASs or its first IPSAS financial statements presented in accordance with this IPSASs shall include:
	  • One statement of financial position, and an opening statement of financial position at the date of adoption of accrual basis IPSAS;
	  • One statement of financial performance;
	  • One statement of changes in net assets/equity;
	  • One cash flow statement;
	  • A comparison of budget and actual amounts for the current year as a separate additional financial statement or as a budget column in the financial statements if the first-time adopter makes its approved budget publicly available; and
	  • Related notes and the disclosure of narrative information about material adjustments.
	• Where a first-time adopter takes advantage of the exemptions which allow a three year transitional relief period to not recognize and/or measure an item, comparative information for the year following the date of adoption of IPSASs shall be adjusted only when information is available about the items following their recognition and/or measurement during the relief period.

IPSAS 4: Effects of Changes in Foreign Exchange Rates	• The cumulative translation differences for all foreign operations are deemed to be zero at the date of adoption of IPSASs; and • The gain or loss on a subsequent disposal of any foreign operation should exclude translation differences that arose before the date of adoption of IPSASs and should include later translation differences • A first-time adopter should apply the requirement to treat any goodwill (see IPSAS 40) arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition of that foreign operation, as assets and liabilities of the foreign operation, prospectively on the date of adoption of IPSASs.

STANDARD	NATURE OF THE EXEMPTION
IPSAS 5: Borrowing Costs	• A first-time adopter is encouraged, but not required, to apply the requirements of IPSAS 5 retrospectively where it adopts or changes its accounting policy to the benchmark treatment. • Where a first-time adopter adopts or changes its accounting policy to the benchmark treatment it is allowed to designate any date before the date of adoption of IPSASs and apply IPSAS 5 prospectively on or after that designated date. • Where a first-time adopter changes its accounting policy to the allowed alternative treatment, any borrowing costs incurred both before and after date of adoption of IPSASs on qualifying assets for which the commencement date for the capitalization is prior to the date of adoption of IPSASs, should be recognized retrospectively in accordance with the allowed alternative treatment.
IPSAS 13: Leases	• A first-time adopter should on the date of adoption of IPSAS, classify all existing leases as operating or finance leases on the basis of circumstances existing at the inception of the lease, to the extent that these are known on the date of adoption of IPSASs. • If, however, the lessee and the lessor have agreed to change the provisions of the lease between the date of inception of the lease and the date of adoption of accrual basis IPSASs in a manner that would have resulted in a different classification of the lease at the date of adoption, the revised agreement shall be regarded as a new agreement. A first-time adopter should consider the provisions of the new agreement at the date of adoption of accrual basis IPSASs in classifying the lease as an operating or finance lease.
IPSAS 21: Impairment of Non Cash Generating Assets	• A first-time adopter should apply the requirements in IPSAS 21 prospectively from the date of adoption of IPSASs, except in relation to those assets where a first-time adopter takes advantage of the exemption in paragraph 36 which allows a three year transitional relief period to not recognize and/or measure assets. When a first-time adopter takes advantage of the exemption that provides a three year transitional relief period in IPSAS 16, 17, 27, 31 and 32, it applies IPSAS 21 when the exemption that provided the relief has expired, and/or the relevant assets are recognized and/or measured in accordance with the applicable IPSASs (whichever is earlier). • On the date that the transitional exemption that provided the relief has expired, and/or when the relevant assets are recognized and/or measured in the financial statements (whichever is earlier), a first-time adopter should assess whether there is any indication that the non-cash-generating assets recognized and/or measured are impaired. Any impairment loss should be recognized in opening accumulated surplus or deficit on the date of adoption of IPSASs, or in opening accumulated surplus or deficit in the reporting period in which the transitional exemption expires, and/or the relevant assets are recognized and/or measured (whichever is earlier).

STANDARD	NATURE OF THE EXEMPTION

IPSAS 39: Employee Benefits	• A first-time adopter should recognize and/or measure all employee benefits on the date of adoption of IPSASs, except for defined benefit plans and other long-term employee benefits where it takes advantage of the exemption.
	• On the date of adoption of IPSASs, or where a first-time adopter takes advantage of the three year transitional exemption, the date on which the exemption expires, or when the relevant liabilities are recognized and/or measured in the financial statements (whichever is earlier), a first-time adopter should determine its initial liability for defined benefit plans and other long-term employee benefits at that date as:
	  • The present value of the obligation at the date of adoption of IPSASs, or where a first-time adopter takes advantage of the three year transitional relief period, the date on which the exemption expires, or when the relevant liabilities are recognized and/or measured in the financial statements (whichever is earlier), by using the Projected Unit Credit Method; and
	  • Minus the fair value, at the date of adoption of IPSASs, or where a first-time adopter takes advantage of the three year transitional relief period, the date on which the exemption expires, or when the relevant liabilities are recognized and/or measured in the financial statements (whichever is earlier) of plan assets (if any) out of which the obligations are to be settled directly.
	• If the initial liability is more or less than the liability that was recognized and/or measured at the end of the comparative period under the first-time adopter's previous basis of accounting, the first-time adopter should recognize that increase/decrease in opening accumulated surplus or deficit in the period in which the items are recognized and/or measured.
	• A first-time adopter should recognize all cumulative measurements in opening accumulated surplus or deficit in the period in which the items are recognized and/or measured.

IPSAS 26: Impairment of Cash generating Assets	• A first-time adopter should apply the requirements in IPSAS 26 prospectively from the date of adoption of IPSASs, except in relation to those assets where a first-time adopter takes advantage of the exemption which allows a three year transitional relief period to not recognize and/or measure assets. When a first-time adopter takes advantage of the exemption that provides a three year transitional relief period in IPSASs 16, 17, 27, 31 and 32, it applies IPSAS 26 when the exemption that provided the relief has expi requirements for cumulative translation differences that exist at that red, and/or the relevant assets are recognized and/or measured in accordance with the applicable IPSASs (whichever is earlier). • On the date that the transitional exemption that provided the relief has expired, and/or when the relevant assets are recognized and/or measured in the financial statements (whichever is earlier), a first-time adopter should assess whether there is any indication that the cash-generating assets recognized and/or measured are impaired. Any impairment loss should be recognized in opening accumulated surplus or deficit on the date of adoption of IPSASs, or in opening accumulated surplus or deficit in the reporting period in which the transitional exemption expires, and/or the relevant assets are recognized and/or measured (whichever is earlier).

STANDARD	NATURE OF THE EXEMPTION
IPSAS 28, 41, 30: Financial Instruments	• On the date of adoption of IPSASs, a first-time adopter should evaluate the terms of the financial instrument to determine whether it contains both a liability component and a net asset/equity component. If the liability component is no longer outstanding on the date of adoption of IPSASs, the first-time adopter need not separate the compound financial instrument into a liability component and a net asset/equity component. • A first-time adopter may designate a financial asset or financial liability as a financial asset or financial liability at fair value through surplus or deficit that meet the criteria for designation in IPSAS 41. A first-time adopter should disclose the fair value of financial assets and financial liabilities designated into each category at the date of designation, their classification and carrying amount. • IPSAS 41 permits a financial asset to be designated on initial recognition as a financial instrument (provide it meets certain criteria) to be designated as a financial asset or financial liability at fair value though surplus or deficit. Despite this requirement, exceptions apply in the following circumstance: A first-time adopter is permitted to designate, at the date of adoption of IPSASs, any financial asset or financial liability as at fair value through surplus or deficit provided the asset or liability meets the criteria of IPSAS 41 at that date. • Where the first-time adopter elects to present comparative information, it is not required to present information about the nature and extent of risks arising from financial instruments for the comparative period in its first transitional IPSAS financial statements or its first IPSAS financial statements. • A first-time adopter should apply the requirements in IPSAS 30 prospectively from the date of adoption of IPSASs, or when the exemptions that provided the relief have expired, and/or when the relevant financial instrument is recognized and/or measured in accordance with IPSAS 41 (whichever is earlier).
IPSAS 31: Intangible Assets	• A first-time adopter should recognize and/or measure an internally generated intangible asset if it meets the definition of an intangible asset and the recognition criteria in IPSAS 31, even if the first-time adopter has, under its previous basis of accounting, expensed such costs. A deemed cost may not be determined for internally generated intangible assets.
IPSAS 42: Social Benefits	• If the initial liability is more or less than the liability that was recognized and/or measured at the end of the comparative period under the first-time adopter's previous basis of accounting, the first-time adopter should recognize that increase/decrease in opening accumulated surplus or deficit in the period in which the items are recognized and/or measured.

SESSION 25.8 DISCLOSURE

25.8.1 Items to Disclose

a) A first-time adopter with financial statements that comply with the requirements of this IPSAS while taking advantage of the transitional exemptions and provisions that affect fair presentation and its ability to assert compliance with accrual basis IPSASs, should make an explicit and unreserved statement of compliance with this IPSAS in the notes to the financial statements. This statement should be accompanied by a statement that the financial statements do not fully comply with accrual basis IPSASs.

b) Where a first-time adopter takes advantage of the transitional exemptions in this IPSAS, the first-time adopter should disclose:

- The extent to which it has taken advantage of the transitional exemptions that affect the fair presentation of the financial statements and its ability to assert compliance with accrual basis IPSASs; and/or
- The extent to which it has taken advantage of the transitional exemptions that do not affect the fair presentation of the financial statements and its ability to assert compliance with accrual basis IPSASs.

c) To the extent that a first-time adopter has taken advantage of the transitional exemptions and provisions in this IPSAS that affect fair presentation and compliance with accrual basis IPSASs in relation to assets, liabilities, revenue and/or expenses, it should disclose:

- Progress made towards recognizing, measuring, presenting and/or disclosing assets, liabilities revenue and/or expenses in accordance with the requirements of the applicable IPSAS;
- The assets, liabilities, revenue and/or expenses that have been recognized and measured under an accounting policy that is not consistent with the requirements of applicable IPSAS;
- The assets, liabilities, revenue and/or expenses that have not been measured, presented and/or disclosed in the previous reporting period, but which are now recognized and/or measured, and/or presented and/or disclosed;
- The nature and amount of any adjustments recognized during the reporting period; and
- An indication of how and by when it intends to comply in full with the requirements of the applicable IPSAS.

d) The disclosure requirements will assist users to track the progress of the first-time adopter in conforming its accounting policies to the requirements in the applicable IPSASs during the period of transition.

25.8.2 Explanation of Transition to IPSASs

A first-time adopter should disclose:

- The date of adoption of IPSASs; and
- Information and explanations about how the transition from the previous basis of accounting to IPSASs affected its reported financial position, and, where appropriate, its reported financial performance and cash flows.

25.8.3 Reconciliations

a) A first-time adopter should present in the notes to its first transitional IPSAS financial statements or its first IPSAS financial statements:

- A reconciliation of its balance of net assets/equity reported in accordance with its previous basis of accounting to its opening balance of net assets/equity at the date of adoption of IPSASs; and
- A reconciliation of its accumulated surplus or deficit in accordance with its previous basis of accounting to its accumulated surplus or deficit at the date of adoption of IPSASs.

b) A first-time adopter that has applied a cash basis of accounting in its previous financial statements is not required to present such reconciliations.

c) If an entity did not present financial statements for previous periods, its transitional IPSAS financial statements or its first IPSAS financial statements should disclose that fact.

d) Where a first-time adopter takes advantage of the exemptions which allow a three year transitional relief period to not recognize and/or measure items, it should present as part of the notes, a reconciliation of items that have been recognized and/or measured during the reporting period when these items were not included in the previous reported financial statements. The reconciliation should be presented in each period when new items are recognized and/or measured in accordance with this IPSAS.

25.8.4 Disclosures where Deemed Cost is used for Inventory, Investment Property, Property, Plant and Equipment, Intangible Assets, Financial Instruments or Service Concession Assets

If a first-time adopter uses fair value, or the alternative, as deemed cost for inventory, investment property, property, plant and equipment, intangible assets, financial instruments, or service concession assets, its financial statements should disclose:

- The aggregate of those fair values or other measurement alternatives that were considered in determining deemed cost;
- The aggregate adjustment to the carrying amounts recognized under the previous basis of accounting; and
- Whether the deemed cost was determined on the date of adoption of IPSASs or during the period of transition.

25.8.5 Disclosures Where Deemed Cost is used for Investments in Controlled Entities, Joint Ventures or Associates

a) If a first-time adopter uses fair value as deemed cost in its opening statement of financial position for an investment in a controlled entity, joint venture or associate in its separate financial statements, its separate financial statements should disclose:

- The aggregate deemed cost of those investments for which deemed cost is fair value; and
- The aggregate adjustment to the carrying amounts reported under the previous basis of accounting.

b) The disclosure requirements required in paragraph 148 and 149 should be disclosed in each period when new items are recognized and/or measured until the exemptions that provided the relief have expired and/or when the relevant assets are recognized and/or measured in accordance with the applicable IPSASs (whichever is earlier).

25.8.6 Exemptions from Disclosure Requirements in IPSASs During the Period of Transition

a) To the extent that a first-time adopter takes advantage of the exemption that provides a three year relief period to not recognize and/or measure items, it is not required to apply any associated presentation and/or disclosure requirements related to such items as required in IPSAS 1, IPSAS 18 and/or the applicable IPSASs until such time as the exemptions that provided the relief have expired and/or when the relevant items have been recognized and/or measured in accordance with the applicable IPSASs (whichever is earlier).
b) Notwithstanding the transitional provision, a first-time adopter is encouraged to disclose the information required by IPSAS 1, IPSAS 18 and/or the applicable IPSAS as soon as possible.

25.8.7 Transitional Provision

a) Where a first-time adopter has adopted the existing transitional provisions in other accrual basis IPSASs, it should continue to apply those transitional provisions until they expire and/or the relevant items are recognized and/or measured in accordance with the applicable IPSAS (whichever is earlier).

b) If the first-time adopter elects to adopt the transitional exemptions in this IPSAS, the relief period applied in adopting accrual basis IPSASs, may not be longer than the relief period provided in this IPSAS.

SESSION 25.9 SUMMARY

This module has covered and provided guidance to first time adopters that prepare and present financial statements following the adoption of accrual basis IPSAS and the module has outlined recognition and measurement criteria for first time adopters, explained what it takes to prepare and present fair and IPSAS compliant financial statements, and described exemptions that affect and those that do not affect fair presentation and compliance with accrual basis IPSAS during the period of adoption. The next module looks at financial reporting under the Cash Basis IPSAS.

SECTION VIII: OTHERS

MODULE 26: FINANCIAL REPORTING UNDER THE CASH BASIS OF ACCOUNTING

Session 26.1 Introduction

Session 26.2 Learning Outcomes

Session 26.3 Introduction to IPSAS under the Cash Basis of Accounting

Session 26.4 Objectives, Role and Scope of the Standard

Session 26.5 Cash Basis of Accounting

Session 26.6 Presentation and Disclosure Requirement

Session 26.7 General Considerations

Session 26.8 Correction of Errors

Session 26.9 Foreign Currency

Session 26.10 Presentation of Budget Information in Financial Statements

Session 26.11 Encouraged Additional Disclosures

Session 26.12 Governments and Other Public Sector Entities Completing the Transition to the Accrual Basis Financial Reporting and Adoption of Accrual IPSAS

Session 26.13 Summary

Session 26.14 Activities

SESSION 26.1 INTRODUCTION

The purpose of this module is to introduce the IPSAS under the Cash Basis of Accounting which is divided into two parts; Part 1, which is mandatory and part 2 which is not. Specifically, the module sets out the requirements which are applicable to all public sector entities preparing general purpose financial statements under the cash basis of accounting. It defines the cash basis of accounting, establishes requirements for the disclosure of information in the financial statements and supporting notes, and deals with a number of specific reporting issues.

The module further identifies additional accounting policies and disclosures that a public sector entity is encouraged to adopt to enhance the usefulness of its financial statements for accountability and decision-making purposes and to support its transition to the accrual basis of financial reporting and adoption of accrual IPSAS.

Finally, the module emphasises that the role the Cash Basis IPSAS is intended to play in the IPSASB's overall standards setting strategy is primarily as a step on the path to adoption of the accrual basis IPSAS, rather than as an end in itself.

SESSION 26.2 LEARNING OUTCOMES

By the end of this module, participants will be able to prepare and present financial statements under the IPSAS cash basis accounting.

SESSION 26.3 INTRODUCTION TO IPSAS UNDER THE CASH BASIS OF ACCOUNTING

26.3.1 Introduction

a) The IPSAS under the Cash Basis accounting was developed by the International Public Sector Accounting Standards Board (IPSASB), a body that also developed the IPSAS under the accruals basis of accounting

b) As pointed out in the earlier module, the objective of IPSASB in developing the cash basis (as well as the accruals basis) of accounting is to realize consistency, quality and comparability of financial information across jurisdictions through the standard

c) The cash basis accounting standard comprises two parts: part 1 and 2. these are described under the structure of this standard in the next section, however, for financial statements prepared under the cash basis to be described as complying with the IPSAS, they must comply with part 1 of the cash basis IPSAS.

26.3.2 Structure of the Standard

This standard comprises two parts as depicted in Table 26.1

Table 7: Structure of the IPSAS Cash Basis Accounting Standard

PART	DESCRIPTION
One: Mandatory	It sets out the requirements which are applicable to all public sector entities preparing general purpose financial statements under the cash basis of accounting. It defines the cash basis of accounting, establishes requirements for the disclosure of information in the financial statements and supporting notes, and deals with a number of specific reporting issues. The requirements in this part of the Standard must be complied with by public sector entities which claim to be reporting in accordance with the International Public Sector Accounting Standard *Financial Reporting under the Cash Basis of Accounting*.
Two: Not mandatory	It identifies additional accounting policies and disclosures that a public sector entity is encouraged to adopt to enhance the usefulness of its financial statements for accountability and decision-making purposes and to support its transition to the accrual basis of financial reporting and adoption of accrual IPSAS.

PART 1 REQUIREMENTS

Part 1 of the Standard sets out the requirements for reporting under the cash basis of accounting. The following sections cover the requirements provided by the standard.

SESSION 26.4 OBJECTIVE, ROLE AND SCOPE OF THE STANDARD

26.4.1 Objective of the Standard

The purpose of the cash basis standard is to prescribe the manner in which general purpose financial statements are to be presented under the cash basis of accounting.

The objectives of financial reporting by public sector entities are to provide information about the entity that is useful to users of general purpose financial statements and other general purpose financial reports (GPFRs) for accountability and decision-making purposes.

- Information about the cash receipts, cash payments and cash balances of an entity is necessary for:
- accountability purposes;
- assessments of the ability of the entity to generate adequate cash in the future;
- assessments of the likely sources of cash
- assessments of uses of cash. In
- evaluating decisions about the allocation of cash resources
- evaluation decisions about the sustainability of the entity's activities through an understanding of the timing and certainty of cash receipts and cash payments.

Compliance with the requirements and encouragements of the Standard will enhance comprehensive and transparent financial reporting of the cash receipts, cash payments and cash balances of the entity.

It will also enhance comparability with the entity's own general purpose financial statements of previous periods and with the financial statements of other entities which adopt the cash basis of accounting.

26.4.2 Role of the Cash Basis IPSAS

a) The Cash Basis IPSAS has been developed as an intermediate step to assist in the transition to the accrual basis of financial reporting and adoption of accrual IPSAS. It is not intended as an end in itself.
b) The role of the encouraged disclosures in Part 2 of the Standard is to support an entity's transition to the accrual basis of financial reporting and adoption of the accrual IPSAS.

26.4.3 Scope of the Standard

The International Public Sector Accounting Standards are designed to apply to public sector entities that meet all the following criteria:

- Are responsible for the delivery of services (including goods and policy advice) to benefit the public and/ or to redistribute income and wealth;
- Mainly finance their activities, directly or indirectly, by means of taxes and/or transfers from other levels of government, social contributions, debt or fees; and
- Do not have a primary objective to make profits

a) A public sector entity which prepares and presents general purpose financial statements (financial statements) under the cash basis of accounting, as defined in this Standard, should apply the requirements of Part 1 of this Standard in the presentation of its annual financial statements.
b) An entity whose financial statements comply with the requirements of Part 1 of this Standard must disclose that fact. Financial statements should not be described as complying with this Standard unless they comply with all the requirements in Part 1 of this Standard.

SESSION 26.5 CASH BASIS OF ACCOUNTING

Cash basis *means a basis of accounting that recognizes transactions and other events only when cash is received or paid.*

Cash *comprises cash on hand, demand deposits and cash equivalents.*

Cash equivalents *are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.*

Cash flows *are inflows and outflows of cash.*

Cash payments *are cash outflows.*

Cash receipts *are cash inflows.*

Control of cash *arises when the entity can use or otherwise benefit from the cash in pursuit of its objectives and can exclude or regulate the access of others to that benefit.*

Control of an entity: *An entity controls another entity when the entities is exposed, or has rights, to variable benefits front its involvement with the other entity and has the ability to affect the nature or amount of those benefits through its power over the other entity.*

Controlled entity *is an entity that is under the control of another entity (known as the controlling entity).*

SESSION 26.6 PRESENTATION AND DISCLOSURE REQUIREMENTS

26.6.1 Financial Statements

a) Financial statements result from processing large quantities of transactions that are structured by being aggregated into groups according to their nature or function.
b) The final stage in the process of aggregation and classification is the presentation of condensed and classified data that form line items either on the face of the financial statements or in the notes.

c) An item that is not sufficiently material to warrant separate presentation on the face of the financial statements may nevertheless be sufficiently material that it should be presented separately in the notes.

Materiality: information is material if its omission or misstatement could influence the discharge of accountability by the entity, or the decisions that users make on the basis of the entity's financial statements prepared for that reporting period. Materiality depends on both the nature and amount of the item judged in the particular circumstances of each entity.

Reporting date means the date of the last day of the reporting period to which financial statements relate.

Components

a) An entity shall prepare and present financial statements which include the following components:

- **A statement of cash receipts and payments** which recognizes all cash receipts, cash payments and cash balances controlled by the entity;
- **Accounting policies and explanatory notes**; and
- When the entity makes publicly available it's approved budget, a **comparison of budget and actual amounts either as a separate additional financial statement or as a budget column in the statement of cash receipts and payments**.

b) When an entity elects to disclose information prepared on a different basis from the cash basis of accounting as defined in this Standard or otherwise, such information shall be disclosed in the notes to the financial statements.

26.6.2 Information to be presented in the Statement of Cash Receipts and Payments

a) The statement of cash receipts and payments should present the following amounts for the reporting period:

- Total cash receipts of the entity showing separately a sub-classification of total cash receipts using a classification basis appropriate to the entity's operations;
- Total cash payments of the entity showing separately a sub-classification of total cash payments using a classification basis appropriate to the entity's operations; and
- Beginning and closing cash balances of the entity.

b) Total cash receipts and total cash payments, and cash receipts and cash payments for each sub-classification of cash receipt and payment, should be reported on a gross basis, except that cash receipts and payments may be reported on a net basis when:

- They arise from transactions which the entity administers on behalf of other parties and which are recognized in the statement of cash receipts and payments; or
- They are for items in which the turnover is quick, the amounts are large, and the maturities are short.

c) Line items, headings and sub-totals should be presented in the statement of cash receipts and payments when such presentation is necessary to present fairly the entity's cash receipts, cash payments and cash balances.

26.6.3 Accounting Policies and Explanatory Notes

Accounting policies are the specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting financial statements.

Structure of the Notes

a) The notes to the financial statements of an entity should:

- Present information about the basis of preparation of the financial statements and the specific accounting policies selected and applied for significant transactions and other events; and
- Provide additional information which is not presented on the face of the financial statements but is necessary for a fair presentation of the entity's cash receipts, cash payments and cash balances.

b) Notes to the financial statements should be presented in a systematic manner. Each item on the face of the statement of cash receipts and payments and other financial statements should be cross referenced to any related information in the notes.

Selection and Disclosure of Accounting Policies

a) Financial statements should present information that is:

Understandable; Relevant to the decision-making and accountability needs of users;

A faithful representation of the cash receipts, cash payments and cash balances of the entity and the other information disclosed in the financial statements in that it is: Complete; Neutral; and

"Free from material error; Comparable; Timely; and Verifiable".

b) The accounting policies section of the notes to the financial statements should describe each specific accounting policy that is necessary for a proper understanding of the financial statements, including the extent to which the entity has applied any transitional provisions in this Standard.

c) Inappropriate accounting treatments are not rectified either by disclosure of the accounting policies used, or by notes or explanatory material.

SESSION 26.7 GENERAL CONSIDERATIONS

a) **Reporting Period**
b) The general purpose financial statements should be presented at least annually.
c) When, in exceptional circumstances, an entity's reporting date changes and the annual financial statements are presented for a period longer or shorter than one year, an entity should disclose in addition to the period covered by the financial statements:

- The reason(s) for a period other than one year being used; and
- The fact that comparative amounts may not be comparable.

26.7.1 Timeliness

An entity should be in a position to issue its financial statements within six months of the reporting date, although a timeframe of no more than three months is strongly encouraged. On-going factors such as the complexity of an entity's operations are not sufficient reason for failing to report on a timely basis. More specific deadlines are dealt with by legislation and regulations in many jurisdictions.

26.7.2 Authorisation Date

An entity shall disclose the date when the financial statements were authorized for issue and who gave that authorization. If another body has the power to amend the financial statements after issuance, the entity shall disclose that fact.

26.7.3 Information about the Entity

An entity should disclose the following in the notes to the financial statements if not disclosed elsewhere in information published with the financial statements:

- The domicile and legal form of the entity, and the jurisdiction(s) within which it operates;
- A description of the nature of the entity's operations and principal activities;
- A reference to the relevant legislation governing the entity's operations, if any; and
- The significant entities or sectors of government that are presented in the financial statements, and changes in the significant entities or sectors that comprise the reporting entity and were presented in the previous periods financial statements.

26.7.4 Restrictions on Cash Balances and Access to Borrowings

An entity should disclose in the notes to the financial statements together with a commentary, the nature and amount of:

- Significant cash balances that are not available for use by the entity;
- Significant cash balances that are subject to external restrictions; and
- Undrawn borrowing facilities that may be available for future operating activities and to settle capital Commitments, indicating any restrictions on the use of these facilities.

26.7.5 Consistency Presentation

The presentation and classification of items in the financial statements should be retained from one period to the next unless:

- It is apparent, following a significant change in the nature of the operations of the entity or a review of its financial statements that another presentation or classification would be more appropriate having regard to the criteria for the selection and application of accounting policies; or
- A change in presentation is required by a future amendment to this Standard.

26.7.6 Comparative Information

a) Comparative information should be disclosed in respect of the previous period for all numerical information required by this Standard to be disclosed in the financial statements, except in respect of the financial statements for the reporting period to which this Standard is first applied. Comparative

information should be included in narrative and descriptive information when it is relevant to an understanding of the current period's financial statements.

b) When the presentation or classification of items required to be disclosed in the financial statements is amended, comparative amounts should be reclassified, unless it is impracticable to do so, to ensure comparability with the current period, and the nature, amount of, and reason for any reclassification shall be disclosed. When it is impracticable to reclassify comparative amounts, an entity should disclose the reason for not reclassifying and the nature of the changes that would have been made if amounts were reclassified.

26.7.7 Identification of Financial Statements

a) The financial statements should be clearly identified and distinguished from other information in the same published document.

b) Each component of the financial statements should be clearly identified. In addition, the following information shall be prominently displayed and repeated when it is necessary for a proper understanding of the information presented:

- The name of the reporting entity or other means of identification;
- Whether the financial statements cover an individual entity or a group of entities;
- The reporting date or the period covered by the financial statements, whichever is appropriate to the related component of the financial statements;
- The presentation currency; and
- The level of precision used in the presentation of figures in the financial statements.

SESSION 26.8 CORRECTIONS OF ERRORS

a) When an error arises in relation to a cash balance reported in the financial statements, the amount of the error that relates to prior periods should be reported by adjusting the cash at the beginning of the period. Comparative information should be restated, unless it is impracticable to do so.

b) An entity should disclose in the notes to the financial statements the following:

- The nature of the error that relates to a prior period;
- The amount of the correction; and
- The fact that comparative information has been restated or that it is impracticable to do so.

SESSION 26.9 FOREIGN CURRENCY

26.9.1 Definition of Terms

- ***Closing rate*** *is the spot exchange rate at the reporting date.*
- ***Exchange difference*** *is the difference resulting from translating a given number of units of one currency into another currency at different exchange rates.*
- ***Exchange rate*** *is the ratio of exchange for two currencies.*
- ***Foreign currency*** *is a currency other than the presentation currency of the entity.*
- ***Presentation currency*** *is the currency in which the financial statements are presented.*
- ***Spot exchange rate*** *is the exchange rate for immediate delivery.*

26.9.2 Treatment of foreign currency cash Receipts, Payments and Balances

a) Cash receipts and payments arising from transactions in a foreign currency should be incorporated in the Statement of Receipts and Payments in an entity's presentation currency by applying to the foreign currency amount the spot exchange rate between the reporting currency and the foreign currency at the date of the receipts and payments.

b) Cash balances held in a foreign currency should be translated using the closing rate.

c) The cash receipts and cash payments of a foreign controlled entity should be translated at the exchange rates between the presentation currency and the foreign currency at the dates of the receipts and payments.

d) An entity should disclose the amount of exchange differences included as reconciling items between opening and closing cash balances for the period.

e) When the presentation currency is different from the currency of the country in which the entity is domiciled, the reason for using a different currency should be disclosed. The reason for any change in the presentation currency should also be disclosed.

SESSION 26.10 PRESENTATION OF BUDGET INFORMATION IN FINANCIAL STATEMENTS

26.10.1 Definition of Terms

Accounting basis means the accrual or cash basis of accounting as defined in the accrual basis International Public Sector Accounting Standards and the Cash Basis International Public Sector Accounting Standard.

Annual budget means an approved budget for one year. It does not include published forward estimates or projections for periods beyond the budget period.

Appropriation is an authorization granted by a legislative body to allocate funds for purposes specified by the legislature or similar authority.

Approved budget means the expenditure authority derived from laws, appropriation bills, government ordinances and other decisions related to the anticipated revenue or receipts for the budgetary period.

Budgetary basis means the accrual, cash or other basis of accounting adopted in the budget that has been approved by the legislative body.

Comparable basis means the actual amounts presented on the same accounting basis; same classification basis; for the same entities and for the same period as the approved budget.

Final budget is the original budget adjusted for all reserves, carry over amounts, transfers, allocations, supplemental appropriations, and other authorized legislative or similar authority changes applicable to the budget period.

Multiyear budget is an approved budget for more than one year. It does not include published forward estimates or projections for periods beyond the budget period.

Original budget is the initial approved budget for the budget period.

26.10.2 Presentation of a Comparison of Budget and Actual Amounts

An entity that makes publicly available its approved budget(s) should present a comparison of the budget amounts for which it is held publicly accountable and actual amounts either as a separate additional financial statement or as additional budget columns in the statement of cash receipts and payments currently presented in accordance with this Standard.

The comparison of budget and actual amounts should present separately for each level of legislative oversight:

- The original and final budget amounts;
- The actual amounts on a comparable basis; and
- By way of note disclosure, an explanation of material differences between the budget for which the entity is held publicly accountable and actual amounts, unless such explanation is included in other public documents issued in conjunction with the financial statements, and a cross reference to those documents is made in the notes.

26.10.3 Presentation

An entity should present a comparison of budget and actual amounts as additional budget columns in the statement of cash receipts and payments only where the financial statements and the budget are prepared on a comparable basis.

26.10.4 Change from Original to Final Budget

An entity should present an explanation of whether changes between the original and final budget are a consequence of reallocations within the budget, or of other factors, either:

- By way of not
- ued before, at the same time as, or in conjunction with the financial statements, and shall include a cross reference to the report in the notes to the financial statements.

26.10.5 Comparable Basis

All comparisons of budget and actual amounts should be presented on a comparable basis to the budget.

26.10.6 Note Disclosures of Budgetary Basis, Period and Scope

- An entity should explain in notes to the financial statements the budgetary basis and classification basis adopted in the approved budget.
- An entity should disclose in notes to the financial statements the period of the approved budget.
- An entity should identify in notes to the financial statements the entities included in the approved budget.

26.10.7 Reconciliation of Actual Amounts on a Comparable Basis and Actual Amounts in the Financial Statements

- The actual amounts presented on a comparable basis to the budget should, where the financial statements and the budget are not prepared on a comparable basis, be reconciled to total cash receipts and total cash payments, identifying separately any basis, timing and entity differences.
- The reconciliation should be disclosed on the face of the statement of comparison of budget and actual amounts or in the notes to the financial statements.
- The disclosure of comparative information in respect of the previous period in accordance with the requirements of this Standard is not required.

Sample of the budget and Actual Comparison

PART 2: ENCOURAGED ADDITIONAL DISCLOSURES

This part of the Standard is not mandatory. It is has been prepared to support those entities transitioning from the cash basis of accounting to the accrual basis of financial reporting and adoption of the accrual IPSAS. It sets out encouraged additional disclosures for reporting under the cash basis of accounting. It should be read together with Part 1 of this Standard, which sets out the requirements for reporting under the cash basis of accounting.

Reporting entities should plot their path to adoption of the accrual IPSAS, and commence the process of building the information necessary to comply with those IPSAS consistent with the transition path that has been adopted.

SESSION 26.11 ENCOURAGED ADDITIONAL DISCLOSURES

26.11.1 Definition of Terms

- ***Accrual basis*** *means a basis of accounting under which transactions and other events are recognized when they occur (and not only when cash or its equivalent is received or paid). Therefore, the transactions and events are recorded in the accounting records and recognized in the financial statements of the periods to which they relate. The elements recognized under accrual accounting are assets, liabilities, net assets/ equity, revenue and expenses.*
- ***Assets*** *are resources controlled by an entity as a result of past events and from which future economic benefits or service potential are expected to flow to the entity.*
- ***Borrowing costs*** *are interest and other expenses incurred by an entity in connection with the borrowing of funds.*
- ***Closing rate*** *is the spot exchange rate at the reporting date.*
- ***Distributions to owners*** *are future economic benefits or service potential distributed by the entity to all or some of its owners, either as a return on investment or as a return of investment.*
- ***Expenses*** *are decreases in economic benefits or service potential during the reporting period in the form of outflows or consumption of assets or incurrences of liabilities that result in decreases in net assets/equity, other than those relating to distributions to owners.*
- ***Liabilities*** *are present obligations of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits or service potential.*
- ***Revenue*** *is the gross inflow of economic benefits or service potential during the reporting period when those inflows result in an increase in net assets/ equity, other than increases relating to contributions from owners.*

26.11.2 Going Concern

- When preparing the financial statements of an entity, those responsible for the preparation of the financial statements are encouraged to make an assessment of the entity viability to continue as a going concern.
- When those responsible for the preparation of the financial statements are aware, in making their assessment, of material uncertainties related to events or conditions which may cast significant doubt upon the entity's ability to continue as a going concern, the disclosure of those uncertainties is encouraged.

26.11.3 Disclosure of Major Classes of Cash Flow

An entity is encouraged to disclose, either on the face of the statement of cash receipts and payments or other financial statements or in the notes to those statements:

- An analysis of total cash payments using a classification based on either the nature of the payments or their function within the entity, as appropriate; and
- Proceeds from borrowings. In addition, the amount of borrowings may be further classified into type and source.

26.11.4 Disclosure of Assets, Liabilities, Revenue, Expenses and Comparison with Budget

a) An entity is encouraged to disclose in the notes to the financial statements:

- Information about the assets, liabilities, revenues and expenses of the entity; and
- If the entity does not make publicly available its approved budget, a comparison with budgets.

b) Entities which disclose in their financial statements a comparison of actual with budgeted amounts are encouraged to include in the financial statements a cross reference to reports which include information about service achievements.

26.11.5 Payments by Third Parties on Behalf of the Entity

When during the reporting period a reporting entity has been formally advised that payments have been made to directly settle its obligations or purchase goods and services for its benefit by third parties, or the entity has otherwise verified that such payments have been made, the entity is encouraged to disclose in notes to the financial statements:

- Total payments made by such third parties; and
- A sub-classification of the total amount of such payments using a classification basis appropriate to the entity's operation.

26.11.5 Recipients of External and Other Assistance

Definition of Terms

- ***Assistance*** *means external assistance and other assistance.*
- ***Bilateral External Assistance Agencies*** *are agencies established under national law, regulation or other authority of a nation for the purpose of or including the purpose of providing some or all of that nation's external assistance.*
- ***Exchange transactions*** *are transactions in which one entity receives assets or sendees, or has liabilities extinguished, and directly gives approximately equally value (primarily in the form of cash, goods, services, or use of assets) to another entity in exchange.*
- ***External Assistance*** *means all official resources which the recipient can use or otherwise benefit from in pursuit of its objectives.*
- ***Multilateral External Assistance Agencies*** *are all agencies established under international agreement or treaty for the purpose of, or including the purpose of providing external assistance.*
- ***Non-Governmental Organizations (NGOs)*** *are all foreign or national agencies established independent of control by any government for the purpose of providing assistance to governments), government agencies, other organizations or individuals.*
- ***Official Resources*** *means all loans, grants, technical assistance, guarantees or other forms of assistance provided or committed under a binding agreement by multilateral or bilateral external assistance agencies or by a government, or agencies of a government, other than to a recipient of the same nation as the government or government agency providing, or committing to provide, the assistance.*
- ***Other Assistance*** *means resources provided by non-governmental organizations (NGOs) and gifts and donations or other forms of assistance voluntarily provided by individuals and private sector organizations which the recipient can use or otherwise benefit from in pursuit of its objectives. Other assistance does not include official resources, taxes, fines and fees, resources provided in an exchange transaction or resources provided by the government or agencies of a government of the same nation as the recipient.*

External Assistance Received

An entity is encouraged to disclose separately in notes to the financial statements:

- The total amount of external assistance received in cash during the period unless disclosed as a separate class of cash receipt on the face of the statement of cash receipts and payments;
- The total external assistance paid by third parties during the period to directly settle obligations of the entity or purchase goods and services on behalf of the entity when advised by the third party or otherwise verified by the recipient;
- The total amount of external assistance received during the period as loans and the total amount received as grants;
- The significant classes of providers of external assistance and the amount provided;
  - By significant class and amount, the purposes for which external assistance was received and used during the reporting period showing separately amounts provided by way of loans and grants; and
  - The balance of undrawn external assistance loans and grants available at reporting date to fund future operations when the amount of the loans or grants available to the recipient is specified in a binding agreement and the satisfaction of any substantial terms and conditions that determine, or affect access to, that amount is highly likely, showing separately:
- Total external assistance loans;
- Total external assistance grants; and

- The purposes for which the undrawn loan assistance and undrawn grant assistance may be used.

Other Assistance Received

Where practicable, an entity is encouraged to apply to other assistance received, the disclosures identified above.

Goods and Services Received

An entity is encouraged to disclose separately in the notes to the financial statements the value of assistance received during the period in the form of goods or services, and the basis on which that value is determined.

SESSION 26.1 2 GOVERNMENTS AND OTHER PUBLIC SECTOR ENTITIES COMPLETING THE TRANSITION TO THE ACCRUAL BASIS OF FINANCIAL REPORTING AND ADOPTION OF ACCRUAL IPSAS

26.12.1 Presentation of Statement of Cash Receipts and Payments

An entity which is completing its transition to the accrual basis of financial reporting and adoption of accrual IPSAS is encouraged to present a statement of cash receipts and payments in the same format as that required by International Public Sector Accounting Standard 2 (IPSAS 2), Cash Flow Statements.

Required and Encouraged Disclosure under Cash Basis IPSAS

a) The requirements and encouragements of this Standard are not inconsistent with the requirements and encouragements of the equivalent accrual IPSAS to the extent they apply to financial reporting under the cash basis.
b) However, in some cases this Standard encourages disclosures that are not required by the accrual IPSAS.
c) This occurs in respect of, for example, encouraged disclosures about such matters as third party payments and external and other assistance.
d) These disclosures are encouraged in this Standard to provide additional information useful in assessing how the entity is resourced.
e) Such information is useful to all users of general purpose financial statements for accountability and decision-making purposes.
f) It may also be relevant to the "special purpose" needs of, for example, providers of external and other assistance for information useful in monitoring the provision and use of assistance provided to the entity.

26.12.2 IPSAS 33 First Time Adoption of Accrual Basis IPSAS

IPSAS 33, *First Time Adoption of Accrued Basis International Public Sector Accounting Standards (IPSASs)* identifies transitional provisions that provide entities with relief from adoption of certain of the requirements of accrual IPSAS for three (3) years from the date of first adoption of accrual IPSAS. IPSAS 33 provides that on the date of adoption of IPSAS, a first-time adopter may elect to adopt one of more of the exemptions included in IPSAS 33 and, subject to the nature of the exemptions adopted, identify its financial statements as either:

- *Transitional IPSAS financial statements*, when it adopts exemptions identified in IPSAS 33 as "Exemptions that Affect Fair Presentation and Compliance with Accrual Basis IPSAS"; or
- *Financial statements that comply with the accrued IPSAS*, when it adopts other of the exemptions identified in IPSAS 33. That is the exemptions identified in IPSAS 33 as "Exemptions that Do Not Affect Fair Presentation and Compliance with Accrual Basis IPSAS"

SESSION 26.13 SUMMARY

This module has sets out the requirements which are applicable to all public sector entities preparing general purpose financial statements under the cash basis of accounting. It has defined the cash basis of accounting, established requirements for the disclosure of information in the financial statements and supporting notes, and dealt with a number of specific reporting issues. The module has further identified additional accounting policies and disclosures that a public sector entity is encouraged to adopt to enhance the usefulness of its financial statements for accountability and decision-making purposes and to support its transition to the accrual basis of financial reporting and adoption of accrual IPSAS. Finally the module has emphasised the role the Cash Basis IPSAS is intended to play in the IPSASB's overall standards setting strategy is primarily as a step on the path to adoption of the accrual basis IPSAS, rather than as an end in itself.

MODULE 27: ACTION COMMITTMENT

SESSION 27.1 LEARNING OUTCOMES

By the end of this module, participants will be able to:

- Apply what they have learnt to their own situation;
- Develop a solution to a specific problem at their work place with the assistance group; and
- Commit themselves to its implementation by a given time.

SESSION 27.2 SESSION GUIDE

Stage One:

Remind trainees of the difference between the training room experiences they are just completing and the reality of preparing financial statements under the IPSAS accrual based accounting. The two may very easily become unrelated. The goal of this training however, is that trainees should apply what they have learnt in the training room to the daily practices of preparing financial statements using the IPSAS accrual based accounting.

Stage Two:

It is very helpful to have a "bridge" between the training room and the workplace. Remind trainees of their obligations to make an "action commitment" at the end of the training, by describing something they are going to do as a result of the training and by committing themselves to have reached a certain stage in its implementation by a certain date.

During the training, trainees should have been continuously reminded of their responsibility to make this action commitment. This final day gives them the opportunity to develop a solution to this problem, using what they have learned during the training and in consultation with a number of other trainees, and then to present the solution to the whole group for criticism and comment.

Stage Three:

The time available should be divided into two periods; the "**consultancy period**" and the "**presentation period**". During the consultancy period, the trainees should be divided into groups of three to four people. The groups should not comprise trainees from the same Local Authority. In this period each trainee should be allowed about 30 minutes to present his/her problem and proposed solution to the other members of the

group, who are expected to comment and help, develop a solution to the problem, together with a timetable for its implementation.

During the presentation period each trainee should have at least ten minutes to present his problem and solution to the whole group, and to hear and react to at least a few of their comments. In this brief period, the trainees must:

- Describe the problem
- Describe the solution
- Describe how he solution will be "sold" to whoever is involved
- State a specific date by which the plan will be implemented.

Trainees who are in a position of authority in the Local Authorities may feel that it is unnecessary to "sell" their ides to their subordinates or to committee members. Such trainees should be warned that subordinate staff will contribute more efficiently to the work of the Council if they believe what they are doing is useful rather than if they do it out of fear or simple obedience.

The actual timing of the "consultancy" period and the "presentation" period will depend on the number of participants in the training room. in order to ensure that sufficient time is allowed to each trainee the normal session hours should be extended or some time should be allowed during the previous day. The session is important since it provides an effective "bridge" between the training material and the normal environment of the trainees. it also ensures that the trainees regard the completion of the training not as the end of training but as the beginning of personal improvement on the job.

The problems and their solutions will of course be unique to each trainee and his or her organization.

Stage Four:

Trainees should be encouraged to arrange to meet each other at work after the training for continued group "consultancies". the instructor should also undertake to visit or otherwise contact each trainee around the promised date of completion of the action plan, in order to ascertain whether or not it has been implemented. it must be stressed that this is not in order to evaluate trainees, but the training course itself.

If possible a brief reunion should also be arranged, to take place after appropriate intervals. if this can be done, trainees should be asked in this session to state exactly what they plan to have achieved by the date chosen for the reunion, so that they can on that occasion compare progress with the stated intention. This is not only a useful evaluation device but more importantly, the public commitment and knowledge of the forthcoming reunion will be a powerful incentive to actual implementation.

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- Ministry of Local Government and Rural Development: National Local Government Finance
- Committee, (2020), *Local Authorities Accounting and Financial Management Manual*,
- Malawi Government (2010), *Local Government Act* No. 42 of 1998, Amendment 2010
- Malawi Government (2013), *Public Accountants and Auditors' Act* No. 5 of 2013.
- Malawi Government (2018), *Public Audit Act* No. 6 of 2003, amendment No. 10 of 2018.
- Malawi Government (2003), *Public Finance Management Act* No. 7 of 2003, Bill 2020.
- Malawi Government (2017), *Public Procurement Act* No. 8 of 2003, Amendment Public
- Procurement and Disposal of Public Assets No. 27 of 2017.
- Review of the Public Finance Management Act: *Final Key Issues Report*, PFI Partnerships, 2019
- Recommended Practice Guidelines 1, 2 and 3.

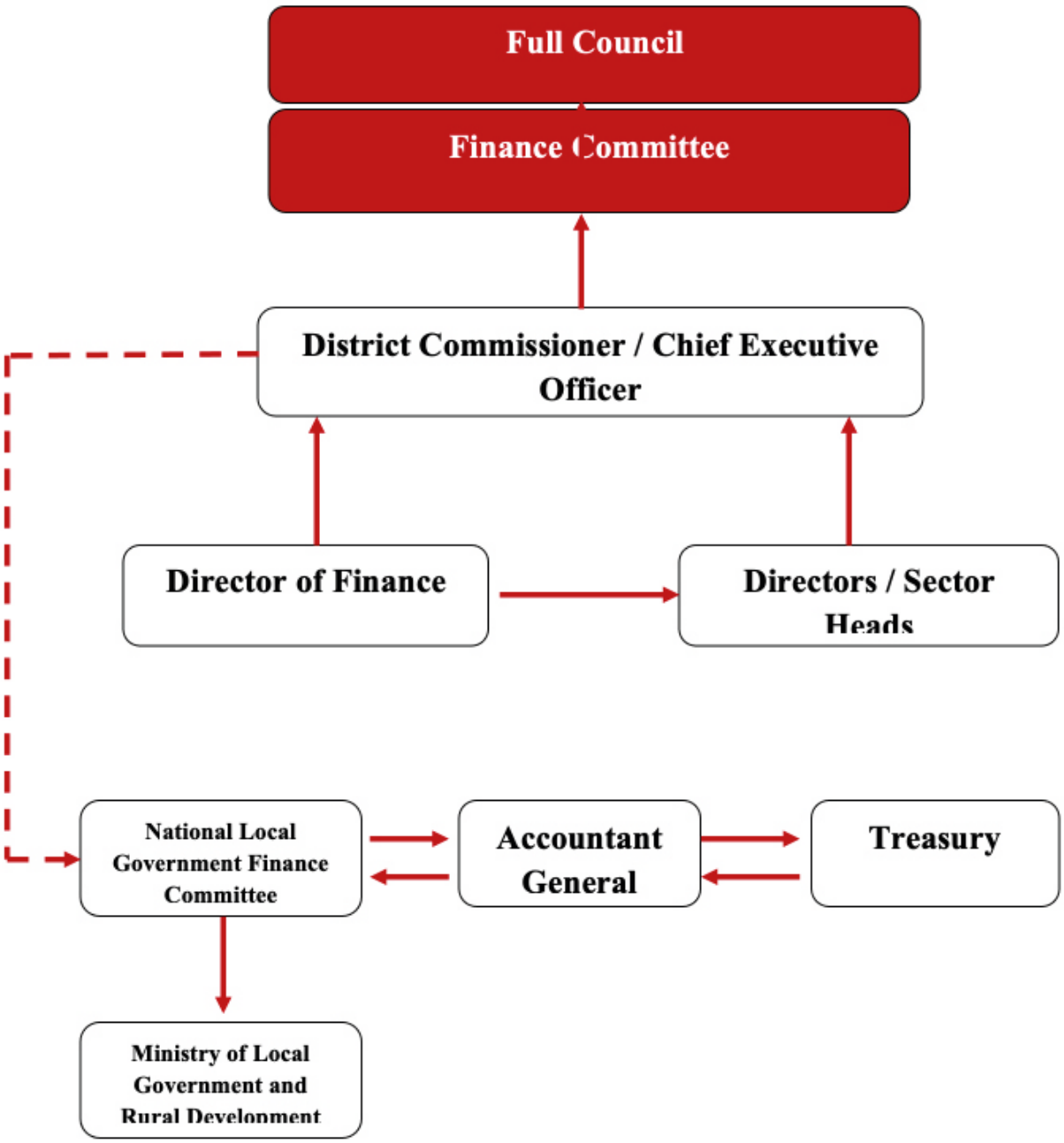
APPENDICES

Appendix 1: International Public Sector Accounting Standards In Issue in 2019.

IPSAS Number	Topic
IPSAS 1	Presentation of financial statements
IPSAS 2	Cash flow statements
IPSAS 3	Accou rors
IPSAS 4	The effects of changes in foreign exchange rates
IPSAS 5	Borrowing costs
IPSAS 6	Consolidated and separate financial statements
IPSAS 7	Investments in associates
IPSAS 8	Interest in joint ventures
IPSAS 9	Revenue from exchange transactions
IPSAS 10	Financial reporting in hyperinflationary economies
IPSAS 11	Construction contracts
IPSAS 12	Inventories
IPSAS 13	Leases
IPSAS 14	Events after the reporting date
IPSAS 15	Fianancial instruments: Disclosure and presentation
IPSAS 16	Investment property
IPSAS 17	Property, plant, and equipment
IPSAS 18	Segment reporting
IPSAS 19	Provisions, contingent liabilities and contingent assets
IPSAS 20	Related party disclosures
IPSAS 21	Impairment of non-cash-generating assets
IPSAS 22	Disclosure of financial information about the general government sector
IPSAS 23	Revenue from non-exchange transactions
PSAS 24	Presentation of budget information in financial statements
IPSAS 25	Employee benefits
IPSAS 26	Impairment of cash-generating assets
IPSAS 27	Agriculture
IPSAS 28	Financial instruments: presentation
IPSAS 29	Financial instruments: recognition and measurement
IPSAS 30	Financial instruments: disclosures
IPSAS 31	Intangible assets

IPSAS 32	Service concession arrangements: grantor
IPSAS 33	First-time adoption of accrual basis international public sector accounting standards IPSAS)
IPSAS 34	Separate financial statements
IPSAS 35	Consolidated financial statements
IPSAS 36	Investments in associates and joint ventures
IPSAS 37	Joint arrangements
IPSAS 38	Disclosure of interests in other entities
IPSAS 39	Employee benefits
IPSAS 40	Public sector combinations
IPSAS 41	Financial instruments
IPSAS 42	Social benefits
	Introduction to the international public sector accounting standard under the cash basis of accounting
	International public sector accounting standard: financial reporting under the cash basis of accounting
	Introduction to recommended practice guidelines
RPG 1	Reporting on the long-term sustainability of an entity's finances
RPG 2	Financial statement discussion and analysis
RPG 3	Reporting service performance information

Appendix 2: Institutional Reporting Framework in Local



Appendix 3: Roles of Regulating Bodies and Officers

#	Regulating Body / Officer Responsibilities and Roles	
1	**Full Council**	**Responsibilities** • The full Council has ultimate overall responsibility (mandate) over financial management policy formulation at LA level • In the absence of the Council, financial management policy issues are referred to the Ministry for Local Governments through NLGFC. **Roles:** • The Council shall establish and maintain a General Rate Fund, and any other fund as deemed necessary, and monies received by the Local Authority by way of revenue and grants shall be paid into such a fund, and all expenses incurred by the Local Authority in the execution of the powers and duties conferred upon it by the LGA, 1998 shall be defrayed out of such fund; • The Council may, from time to time issue instructions with regard to the general management, supervision and control of funds; • The Council shall sanction the opening and maintenance of a bank account(s) for all revenues and other monies raised or received by it under the LGA, 1998 or any other written law; • The Council may, subject to the provisions of the PFMA, 2003 and LGA, 1998 raise loans within Malawi of such amounts, from such sources, in such manner, for such purposes and upon conditions as the Minister responsible for Local Governments, in consultation with the Minister responsible for Finance may approve; • The Local Authority may invest any portion of its monies in Government Treasury Bills or in other investments as may be approved by the Council; • The Council shall, not later than ninety days before the commencement of the financial year next ensuing, approve detailed estimates of its revenue and expenditure for such financial year, and shall submit such estimates to the NLGFC for consolidation; • The Council may in any year prepare and approve supplementary estimates of revenue and expenditure and such estimates shall be submitted to the NLGFC for consideration; • The Council shall consider, on a quarterly basis, a report from the Finance Committee, on the financial performance of the Local Authority; and • The Council shall approve final audited accounts of the Local Authority within six months from the end of each financial year.
2	**Finance Committee**	**Responsibilities:** The finance committee is responsible for general oversight over implementation of financial management policies and control of public funds and reports to the full Council. **Roles:** • review the annual estimates of expenditure and revenue from Service Committees of the Council, consolidate and submit its recommendations to the Full Council for approval; • recommend applicable rate levies to the Full Council; • make recommendations on investments to the Full Council; • receive and consider reports from both internal and external auditors and take appropriate action; • make sure that all Local Authority assets are properly owned, valued and adequately insured; • make recommendations regarding the write off of irrecoverable debts or deficiencies in cash and stores; • consider all proposals to raise loans and to make recommendations to the Full Council; • consider and make recommendations on supplementary estimates and the reallocation of estimates; • compare and monitor the actual revenues and expenditure with the approved estimates on a monthly basis and recommend necessary measures; • consider, not less than once in every quarter, the collection of revenue and to issue instructions as it may deem fit to improve its collection.

3	**District Commissioner (DC) / Chief Executive Officer (CEO)**	As CO at LA, the DC / CE has overall authority on the management of public funds at LA level in terms of control and authorization of financial resources The responsibility of a Controlling Officer shall not be derogated or reduced by reason of any delegation of functions by him to another person. A Controlling Officer in breach of his responsibilities is liable to disciplinary action under Section 87 of the PFMA, 2003. **Roles:** Ensure that the provisions of the PFMA, 2003 are complied with; Provide advice on financial management to the Council; Ensure that all accounts and records relating to the functions and operations of the Local Authority are properly maintained; Ensure that all necessary precautions are taken to safeguard the collection and custody of public funds; Ensure that all expenditure is properly authorized and applied to the specific purposes for which it is appropriated; Ensure that there is no over-expenditure or over-commitment of funds and a review is undertaken each month to ensure that there is no such over-expenditure or over-commitment; Ensure that the collection of public money is according to approved plans and the estimates; Ensure that all expenditures is incurred with due regard to economy, efficiency and effectiveness and the avoidance of waste; Ensure that all necessary precautions are taken to safeguard public resources; Ensure that any tax, duty, fee, levy or other charge imposed by legislation for which the Local Authority is responsible is collected promptly and to the fullest extent; Confirm that any proposal to charge for the supply of goods or services is consistent with the economic and fiscal policy of the Government; Ensure that accurate and reliable monthly financial reports are prepared and submitted to the Finance Committee, the NLGFC and Ministry of Finance by the 10th of the ensuing month; Ensure that final accounts are prepared within four months of the financial year end and audited and submitted to the Local Authority within six months of the financial year end; Ensure that after the first six (6) months of each financial year and at such other times as required by the NLGFC reports are submitted on management of funds provided for the achievement of the outputs of the Local Authority; Ensure that an effective system of internal control is developed and maintained including an effective internal audit function; Ensure that all officers of the Local Authority are aware of their duties and responsibilities under the Local Government Act, 1998 and any other written law; Ensure that all financial obligations of the Local Authority, irrespective of the officer's tenure of office, are settled; and To ensure that all audit queries, irrespective of the officer's tenure of office, are adequately responded to within 14 days of receipt of the auditor's report in line with the provisions of Section 14 (1) of the PAA, 2003.

4	**Director of Finance (DoF)**	DOF is responsible for day to day management of public funds and is accountable to the DC/CE DOF is responsible for provision of accounting functions at LA **Roles:** Advising management of the Local Authority on all financial matters; Preparation and consolidation of draft annual estimates for the consideration of management and the Finance Committee; Maintenance of proper books of accounts of the Local Authority; Preparation of monthly financial reports and annual financial statements; Ensuring that the Local Authority accounting and internal control system is operating properly; Preparation of a revenue performance analysis report, aimed at enhancing revenue mobilisation strategies of the Local Authority, on a quarterly basis for the consideration of management and the Finance Committee; Ensuring the timely collection of debts and payment of Local Authority obligations; Coordinating the compilation of timely and adequate audit responses; Ensuring that all assets are adequately insured; Preparation and submission to management of an analysis, in terms of viability and profitability, of proposed and actual investments of the Local Authority; Ensuring that all payments are within the approved estimates; Facilitating internal training of finance personnel on accounting and financial management; Supervising the staff under his or her control.
5	**National Local Government Finance Committee (NLGFC)**	**Responsibilities:** NLGFC is responsible for regulating the LA accounting and financial management system **Roles:** Providing policy guidelines regarding the Local Authority accounting and financial management system; Receiving, reviewing and consolidating Local Authority budgets for submission to Parliament for noting by the Minister responsible for Local Governments; Ensuring that Council budgets are prepared in accordance with policy guidelines and set procedures and that development programmes are in line with national priorities; Administering the system of Intergovernmental Fiscal transfers to Local Authorities; Assisting Local Authorities in the implementation of revenue mobilisation strategies; Receiving, reviewing and consolidating financial reports from Local Authorities; Facilitating the preparation of Local Authority final accounts; Facilitating the external audit of Local Authority final accounts by the Auditor General; and Following up on audit queries arising from the audit of Local Authorities and imposing surcharges on officers responsible for financial mismanagement.
6	**Accountant General**	The Accountant General is responsible for setting policies and standards regarding accounting practices in respect of financial management by Government ministries and departments The Accountant General in liaison with NLGFC, advises LA on policies regulating management of public resources
7	**Auditor General**	AG or his appointee is responsible for auditing LA On request from NLGFC, the AG or his appointee will conduct investigative audits.

Appendix 4: Sample of Statement of Financial Position

XXXXXXXXXXXXCOUNCIL			
STATEMENT OF FINANCIAL POSITION AS AT 30 JUNEXXXXXXX			
		20xxxx	20xxxx
ASSETS	NOTES	K'000	K'000
Current Assets			
Cash and cash equivalent	1	-	-
Receivables	2	-	-
Inventory	3	-	-
Prepayments	4	-	-
Other Current Assets	5	-	-
Non Current Assets			
Receivables	6	-	
Investments in Associates	7	-	
Property, Plant and Equipment	8	-	-
Land and Buildings	9	-	
Intangible Assets	10	-	
TOTAL ASSETS		-	-
EQUITY AND LIABILITIES:			
Current Liabilities			
Payables	11	-	-
Short-Term Borrowings	12	-	-
Current portion of long-term borrowings	13	-	-
Short-term provisions	14		
Employee Benefits**	15		
Superannuation**	16		
Total Current Liabilities		-	-
Non- Current Liabilities			
Payables	17	-	-
Long-term Borrowings	18		
Long-term Provisions	19		
Employee Benefits**	20		
Superannuation**	21		
Total Non-Current Liabilities		-	-
Total Liabilities		-	-
Net Assets/Equity			
Capital Contributed by Other Government Entities	22	-	-
Reserves	23	-	-
Accumulated Surpluses/Deficits	24	-	-
Non-Controlling Interest	25	-	-
Total Net Assets/Equity		-	-
TOTAL EQUITY AND LIABILITIES		-	-
**** For Full Accrual Basis**			

Appendix 5: Sample of Statement of Financial Performance

XXXXXXXXXXXCOUNCIL			
STATEMENT OF FINANCIAL PERFORMANCE BY NATURE FOR THE PERIOD ENDING 30TH JUNEXXXX			
	Notes	20XX	ACTUAL 20XX
REVENUE			
Rates and Taxes	26		
Fees, Fines, Penalties & Licenses	27	-	-
Revenue from Exchange Transactions	28	-	-
Central Government Transfers	29		
Donor Funds	30		
Transfers from other government entities	31	-	-
Other Revenue	32	-	-
Sub total		-	-
EXPENSES			
Operational Expenses(Items 21,22,23,26,28,29,30,34,35,49)	33		
Wages, Salaries & Employee Benefits(Items 11,45,46,47)	34	-	-
Grants & Other Transfer Payments (Items 39, 40)	35	-	-
Donor Expenses (Item 57)	36		
Supplies & Consumables used(Items 24,25,27,31,32,33,36)	37	-	-
Depreciation & armotization expenses (Item 41)	38	-	-
Impairment of Property, Plant & Equipment	39	-	-
Other Expenses (Items 33, 48, 50, 52)	40	-	-
Finance Costs (Item 51)	41	-	-
Capital Outlay(Items 54, 55,56)	42	-	-
Total Expenses		-	-
Share of Surplus of Associates		-	-
Surplus/(Deficit) for the period		-	-
		-	-
Attributable to:			
Owners of the controlling entity			
Non-controlling interest			

Appendix 6: Sample of Statement of Changes in Net Assets / Equity

XXXXXXXXXCOUNCIL							
STATEMENT OF CHANGES IN NET ASSETS/EQUITY FOR 20XX							
	Contributed Capital	Other Reserves	Translation Reserve	Accumulated Surplus/(Deficit)	Sub-Total	Non-Controlling Interest	Total Net Assets/Equity
Balance as at 1st July	XXXX	XXXX	-		-		
Changes in Accounting Policies			-				
Re-stated Balance							
Changes in Net Assets/Equity			-		-		
Revaluation suplus/Deficit	XXXX	XXXX	-		-		
Net Revenue Recognized directly in net assets/equity					-		
Surplus for the period							
Total recognized revenue & expense for the period							
Balance carried forward	XXXX	XXXX	-		-	-	-

Appendix 7: Sample of Cash Flow Statement

XXXXXXXXXCOUNCIL		
STATEMENT OF CASHFLOW FOR THE YEAR ENDED 30 JUNEXXXX		
	20XX	20XX
	K'000	K'000
Cashflow from operating activities		
Receipts		
Rates and Taxes	X	X
Fees, Fines, Penalties & Licenses	X	X
Revenue from Exchange Transactions	X	X
Central Government Transfers	X	X
Donor Funds	X	X
Transfers from other government entities	X	X
Other Revenue	X	X
Total receipts	X	X
Payments		
Operational Expenses(Items 21,22,23,26,28,29,30,34,35,49)	X	X
Wages, Salaries & Employee Benefits(Items 11,45,46,47)	X	X
Grants & Other Transfer Payments (Items 39, 40)	X	X
Donor Expenses (Item 57)	X	X
Supplies & Consumables used(Items 24,25,27,31,32,33,36)	X	X
Depreciation & armotization expenses (Item 41)	X	X
Impairment of Property, Plant & Equipment	X	X
Other Expenses (Items 33, 48, 50, 52)	X	X
Finance Costs (Item 51)	X	X
Capital Outlay(Items 54, 55,56)	X	X
Total Payments	X	X
Net cashflows from Operating activities	XX	XX
Cashflow from Investing Activities		
Purchase of Plant and Equipment	(X)	(X)
Proceeds from Sale of Plant and Equipment	X	X
Proceeds from sale of investments	X	X
Net Cashflow from Investing activities	XX	XX
Cashflow from Financing activities		
Proceeds from Borrowings	X	X
Repayments of borrowings	(X)	(X)
Net Cashflows from Financing activites	XX	XX
Net Increase/ (Decrease) in cash and cash equivalents	XX	XX
Cash and cash equivalents at the beginning of period	X	X
Cash and cash equivalents at the end of period	X	X

Direct Method Cash Flow Statement

Public Sector Entity— Consolidated Cash Flow Statement for Year Ended June 30, 20X9

(in thousands of Mkw) **CASH FLOWS FROM OPERATING ACTIVITIES** **Receipts**	20X9	20X8
Taxation	X	X
Sales of goods and services	X	X
Grants	X	X
Interest received	X	X
Other receipts **Payments**	X	X
Employee costs	(X)	(X)
Superannuation	(X)	(X)
Suppliers	(X)	(X)
Social benefits	(X)	(X)
Interest paid	(X)	(X)
Other payments	(X)	(X)
Net cash flows from operating activities	X	X
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of plant and equipment	(X)	(X)
Proceeds from sale of plant and equipment	X	X
Proceeds from sale of investments	X	X
Purchase of foreign currency securities	(X)	(X)
Net cash flows from investing activities	(X)	(X)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from borrowings	X	X
Repayment of borrowings	(X)	(X)
Distribution/dividend to government	(X)	(X)
Net cash flows from financing activities	X	X
Net increase/(decrease) in cash and cash equivalents	X	X
Cash and cash equivalents at beginning of period	X	X
Cash and cash equivalents at end of period	X	X

Notes to the Cash Flow Statement

(a) *Cash and Cash Equivalents*

Cash and cash equivalents consist of cash on hand, balances with banks, and investments in money market instruments. Cash and cash equivalents included in the cash flow statement comprise the following statement of financial position amounts:

(in thousands of currency units)	20X9	20X8
Cash on hand and balances with banks	X	X
Short-term investments	X	X
	X	X

The entity has undrawn borrowing facilities of X, of which X must be used on infrastructure projects.

a) *Property, Plant and Equipment*

During the period, the economic entity acquired property, plant, and equipment with an aggregate cost of X, of which X was acquired by means of capital grants by the national government. Cash payments of X were made to purchase property, plant and equipment.

b) *Reconciliation of Net Cash Flows from Operating Activities to Surplus/ (Deficit)*

(in thousands of currency units)	20X9	20X8
Surplus/(deficit)	X	X
Non-cash movements		
Depreciation	X	X
Amortization	X	X
Increase in provision for doubtful debts	X	X
Increase in payables	X	X
Increase in borrowings	X	X
Increase in social benefits liabilities	X	X
Increase in provisions relating to employee costs	X	X
(Gains)/losses on sale of property, plant and equipment	(X)	(X)
(Gains)/losses on sale of investments	(X)	(X)
Increase in other current assets	(X)	(X)
Increase in investments due to revaluation	(X)	(X)
Increase in receivables	(X)	(X)
Net Cash flow from operating activities	X	X

(d) Reconciliation of Liabilities Arising from Financing Activities

	20X8	Cash flows	Non-cash changes		20X9
			Acquisition	New leases	
Long-term	X	X	X	X	X
borrowings					
Lease liabilities	X	X	X	X	X
Long-term debt	X	X	X	X	X

Indirect Method Cash Flow Statement

Public Sector Entity—Consolidated Cash Flow Statement for Year Ended June 30, 20X9

(in thousands of MKw) CASH FLOWS FROM OPERATING ACTIVITIES	20X9	20X8
Surplus/(deficit) Non-cash movements	X	X
Depreciation	X	X
Amortization	X	X
Increase in provision for doubtful debts	X	X
Increase in payables	X	X
Increase in borrowings	X	X
Increase in social benefits liabilities	X	X
Increase in provisions relating to employee costs	X	X
(Gains)/losses on sale of property, plant and equipment	(X)	(X)
(Gains)/losses on sale of investments	(X)	(X)
Increase in other current assets	(X)	(X)
Increase in investments due to revaluation	(X)	(X)
Increase in receivables	(X)	(X)
Net cash flows from operating activities	**X**	**X**

Notes to the Cash Flow Statement

(a) *Cash and Cash Equivalents*

Cash and cash equivalents consist of cash on hand, balances with banks, and investments in money market instruments. Cash and cash equivalents included in the cash flow statement comprise the following statement of financial position amounts:

(in thousands of currency units)	20X9	20X8
Cash on hand and balances with banks	X	X
Short-term investments	X	X
	X	X

The entity has undrawn borrowing facilities of X, of which X must be used on infrastructure projects.

c) *Property, Plant and Equipment*

During the period, the economic entity acquired property, plant, and equipment with an aggregate cost of X, of which X was acquired by means of capital grants by the national government. Cash payments of X were made to purchase property, plant and equipment.

d) *Reconciliation of Liabilities Arising from Financing Activities*

	20X8	Cash flows	Non-cash changes		20X9
			Acquisition	New leases	
Long-term borrowings	X	X	X	X	X
Lease liabilities	X	X	X	X	X
Long-term debt	X	X	X	X	X

Reconciliation of Liabilities Arising from Financing Activities

e) This example illustrates one possible way of providing the disclosures required.
f) The example shows only current period amounts. Corresponding amounts for the preceding period are required to be presented in accordance with IPSAS

1, *Presentation of Financial Statements.*

	20X8	Cash flows	Acquisition	Non-cash changes Foreign exchange movement	Fair value changes	20X9
Long-term borrowings	X	X	X	X	X	X
Short-term borrowings	X	X	X	X	X	X
Lease liabilities	X	X	X	X	X	X
Assets held to hedge long-term borrowings	X	X	X	X	X	X
Total liabilities from financing activities	X	X	X	X	X	X

Appendix 8: Sample of Notes to Financial Statements

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 20XX

BASIS OF PREPARATION

Statement of compliance

The financial statements have been prepared in accordance with the International Public Sector Accounting Standards (IPSAS) Accrual basis transitional recommendations - Stage 3, the Public Finance Management Act, 2003 and the Revised Local Authorities Accounting and Financial Management Procedures, 2009.

The financial statements are prepared in terms of the historical cost convention with the exception of certain non-current assets, which are included at valuation and cost. No other procedures have been adopted to reflect the impact on the financial statements of specific price changes or changes in the general level of prices. The principal accounting policies are set out below.

Basis of measurement

The financial statements have been prepared under the historical cost modified for available for sale securities and the revaluation of certain assets. The Cash flow statement has been prepared using the direct/indirect method. The financial statements have been prepared on International Public Sector Accounting Standards (IPSAS) transitional recommendations - Stage X.

Functional and presentational currency

The financial statements are presented in Malawi Kwacha, which is the Councils' functional currency. All financial information presented in Malawi Kwacha has been rounded off to the nearest thousand.

Key judgments and sources of accounting estimates

The preparation of financial statements requires judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The key judgments management made in preparing the financial statements are as follows:

(a) Available for sale securities are realizable at their current market values.

(b) The lives of intangible assets and property, plant and equipment are at least that set out in notes.....

Key estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised, if the revision affects only that period, or in the period of the revision and future periods if the revision affects both the period of revision and future periods.

**The key estimate management made in preparing the financial statements concerns the impairment provision for xxxxxxxx as set out in note.....

ADOPTION OF NEW AND REVISED STANDARDS

***State the impact of new and revised standards adopted during the year and the expected impact of new and revised standards not yet adopted. Disclosure should advise whether the impact is likely to be material

or not and if it is material the impact should be quantified. ***State the basis of treatment of transactions in relation to the applicable standard used

*** In each of the standards/policies used, outline the applicable transactions falling under it

***Also group the standards in accordance with parts of financial statement they represent e.g. Revenue, Expenditure, Assets etc.

SIGNIFICANT ACCOUNTING POLICIES

The following are the accounting policies adopted by the Council which are in agreement with LA accounting practice and used consistently in the preparation of the financial statements.

Transitional IPSAS Financial Statements (IPSAS 33)

The financial statements of an entity which cannot make an explicit and unreserved statement of compliance with IPSAS because it has adopted one or more transitional exemptions from IPSAS 33 to the extent that a fair presentation of the statement is affected

Accounting Policies, changes in Accounting estimates and Errors (IPSAS 3)

In the application of the accounting policies, management is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily available from other sources. The estimates and associated assumptions are based on historical experience and other factors that are relevant. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an on-going basis.

Changes in accounting policy are recognized retrospectively and revisions to accounting errors and estimates are recognized prospectively in the financial statements

The Effects of Changes in Foreign Exchange Rates (IPSAS 4)

Items included in the financial statements are measured and presented in Malawi Kwacha, the functional currency of the primary economic environment in which the council operates. Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets

and liabilities denominated in foreign currencies are recognised in the statement of financial performance. The Council does not currently have any hedging arrangements

Revenue (IPSAS 23)

Revenue is gross inflow of economic benefits during the period arising in the course of the ordinary activities of the council. City rates which is the Councils main source of revenue is recognized on accrual basis.

Revenue from Exchange Transactions (IPSAS 9)

These are transactions from which an entity receives assets or services or has liabilities extinguished, and directly gives approximately equal value (primarily I form of cash, goods, services or use of assets) to another entity in exchange, e.g. rest house rentals and rates

Accounting for Government Grants (IPSAS 23)

The Council receives assistance from Government in form of transfer of resources relating to the operating activities of the Council. The Council recognizes government grants as income over the relevant periods to match them with related costs which they have been received to compensate in accordance with IPSAS 23.

Borrowing costs (IPSAS 5)

Borrowings are recognized initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortized cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognized in the statement of financial performance over the period of the borrowings using the effective interest method.

Fees paid on the establishment of loan facilities are recognized as transaction costs of the loan. The fee is capitalized and amortized over the period of the facility to which it relates.

Borrowings are classified as current liabilities unless Council has an unconditional right to defer settlement of the liability for at least 12 months after the statement of financial position date. Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalized and included in the cost of that asset. A qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale. Public Sector Entity had no such qualifying assets during the year.

All other borrowing costs are recognized as expenses in the period in which they are incurred.

Property plant and equipment (IPSAS 17)

All property, plant and equipment are stated at historical cost/ fair value less depreciation. Cost includes expenditure that is directly attributable to the acquisition of the items. Where an asset is acquired for nil or nominal consideration the asset is initially recognized at fair value, where fair value can be reliably determined, and a credit recognized as income in the statement of financial performance.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits or service potential associated with the item will flow to Council and the cost of the item can be measured reliably. The carrying amount of a replaced part is

derecognized. All repair and maintenance are charged to the statement of financial performance during the financial period in which it is incurred.

Depreciation on assets is charged on a straight-line basis at rates calculated to allocate the cost or valuation of the asset less any estimated residual value over its remaining useful life:

Property, plant and equipment are depreciated on the straight-line basis as follows;

Motor Vehicle	5 years
Motor cycles	5 years
Plant	7 years
Buildings	20 years
Computers	4 years
Office Equipment	4 years
Fixtures	4 years
Furniture	4 years
Leased Assets	XX years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Council's assesses annually whether there is any indication that an asset may be impaired. An asset's carrying amount is written down immediately to its recoverable amount or recoverable service amount if the asset's carrying amount is greater than its estimated recoverable amount or recoverable service amount.

An item of property plant and equipment is recognized in accordance with Council policy on fixed assets. An asset is derecognized upon disposal or when no future economic benefits from the asset are expected to flow to the Council.

Inventory (IPSAS 12)

Inventory is measured at the lower of cost and net realizable value. Costs include expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. Net realizable value

is the estimated selling price in the ordinary course of business, less the estimated Cost of completion and selling expenses.

Financial Instruments (IPSAS 29, 30)

Financial instruments are recognized in the statement of financial position when the entity becomes a party to the contractual provisions of the instrument.

The council presents its financial assets and financial liabilities in the statement of financial position in accordance with IPSAS 30. These financial instruments include cash, trade receivables and trade payables

The Council is exposed to a number of risks namely;

Credit Risk

This is when one party to the contract causes financial loss to another party by failing to discharge an obligation under the contract.

To mitigate against credit risk, the council ensures that it identifies, measures, controls and monitors this credit risk by putting in place internal controls.

Interest Rate Risks

This is when interest rates fluctuate unfavourably resulting in financial loss to the Council. The Council can mitigate against interest rate risk through hedging.

Market Risks

Market risk is the risk that changes in market prices, such as interest rate affect the Councils income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters.

During the year there were no significant market price changes that affected the Councils operations.

Financial guarantee contracts

The Council does not enter into financial guarantee contracts and currently does not have any financial guarantee obligation.

Liquidity risk

Liquidity risk is the risk of Council not being able to meet its obligations as they fall due. Council's approach to managing liquidity risk is to ensure that sufficient liquidity is available to meet its liabilities when due, without incurring unacceptable losses or risking damage to the Council's reputation. The Council ensures

that it has sufficient cash on demand to meet expected operating expenses through the use of cash flow forecasts.

Financial assets (IPSAS)

Loans to employees

Loans to employees are provided to assist with emergency support, schools, general purpose. Loans are repayable in 12 - 36 monthly instalments.

Receivables from exchange transaction and non-exchange transactions

Receivables from exchange transactions are recognized initially at fair value and subsequently measured at amortized cost using the effective interest method, less provision for impairment. A provision for impairment of receivables is established when there is objective evidence that Council will not be able to collect all amounts due according to the original terms of the receivables.

Receivables from non-exchange transactions comprises; fees, taxes and fines (and any penalties associated with these activities) as well as social benefit receivables that do not arise out of a contract. These receivables are initially assessed at nominal amount or face value; that is, the receivable reflects the amount of tax owed, levy, fine charged, or social benefit debt payable. These receivables are subsequently adjusted for penalties as they are charged, and tested for impairment. Interest and penalties charged on tax receivables are presented as tax revenue in the statement of financial performance.

The Cash Flow Statement (Cash and cash equivalents) (IPSAS 2)

Cash is actual money and on demand deposits.

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Bank overdraft is taken as part of cash equivalent and for the purpose of the statement of cash flows, cash and cash equivalents are presented net of bank overdrafts.

Employee Benefits (IPSAS 39

The Council provides for a Defined Contribution Plan to its employees where it pays a fixed amount (The employer contributes 19.5% and the employee contributes 5% of basic salaries) into funds administered by National Insurance Company (NICO). The Council has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

Leases (IPSAS 13)

Finance lease is a lease where the entire risks and rewards incidental to ownership of an asset are substantially transferred to the Council. IPSAS 13 requires that a finance lease should be recorded in the statement of financial position of lessee as an asset and as an obligation to pay future lease payments. Operating Lease is a lease of which a fee is expensed on the part of the lessor and risks and ownership does not transfer is an uncompleted contract committing the lessor to provide the use of an asset in future periods in exchange in exchange for consideration similar to a fee for a service.

Assets held under a finance lease are capitalized at the commencement of the lease at the fair value of the leased property or, if lower, at the present value of the future minimum lease payments. The Council also

recognizes the associated lease liability at the inception of the lease. The liability recognized is measured as the present value of the future minimum lease payments at initial recognition.

Operating Lease is a lease of which a fee is expensed on the part of the lessor and risks and ownership does not transfer to and is an uncompleted contract committing the lessor to provide the use of an asset in future periods in exchange in exchange for consideration similar to a fee for a service.

Payments made under operating leases (net of any incentives received from the lessor) are charged to the statement of financial performance on a straight-line basis over the period of the lease.

Subsequent to initial recognition, lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognized as finance costs in surplus or deficit.

An asset held under a finance lease is depreciated over the useful life of the asset. However, if it is not reasonably certain that the Council will obtain ownership of the asset by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Where the Council has entered into property leases of certain of its properties; the Council has determined, based on an evaluation of the terms and conditions of the arrangements, (such as the lease term not constituting a substantial portion of the economic life of the commercial property) that it retains all the signifi-

cant risks and rewards of ownership of these properties and accounts for the contracts as operating leases and recognize the fees/charges thereof as income to the Council.

Events after the reporting period (IPSAS 14)

These are events after the reporting period that provide further evidence of conditions and are indicative of condition that existed at the end of the reporting period.

There were no significant events after the reporting period.

Provisions, contingent liabilities and contingent assets (IPSAS 19)

These are provisions that are recognized when there is a present obligation resulting from a past event which will result in an outflow of economic benefit.

Councils to make provisions of not more than 5%

NOTE 1				
BANK BALANCES				
			20XX	
Code	Bank Name	Amount	Positive Balances	Negative Balances
	TOTALS			

NOTE 2							
RECEIVABLES							
Include a statement outlining a basis for provision for doubtful debts and any other key information							
		20XX			20XX		
	GROSS	PROVISION	NET	NET MOVEM	GROSS	PROVISION	NET
Sundry							
Commercial							
Rates							
TOTAL							

NOTE 8					
PROPERTY PLANT AND EQUIPMENT					
		20XX			
	LAND AND IMPROVEMENTS	PLANT & MOTOR VEHICLE	FURNITURE	EQUIPMENT	TOTAL
Cost as at 1 July 20XX					
Revaluation					
Additions					
Disposals					
Cost as at 30 June 20XX					
Opening					
Disposals					
charge for the year					
Accumulated depreciation					

NOTE 11			
PAYABLES AND ACCRUALS			
	As at 1st July 20XX	Movements	As at 1st June 20XX

Appendix 9: Sample of Budget Presentation in Financial Statements

XXXX COUNCIL					
STATEMENT OF FINANCIAL PERFORMANCE BY FUNCTION FOR THE YEAR ENDED 30th JUNE XXXX					
		Current Year		Prior Year 1	Prior Year 1
	NOTES	20XX Revised	20XX Approved	20xx Actual	20xx Actual
RECEIPTS					
Taxes	43	X	X	X	X
Fees, Fines, Penalties & Licenses	44	X	X	X	X
Revenue from Exchange Transactions	45	X	X	X	X
Central Government Transfers	46	X	X	X	X
Transfers from other government entities	47	X	X	X	X
Other Revenue	48	X	X	X	X
Total Receipts		XX	XX	XX	XX
Payments					
General Public Services (GRF)	49	X	X	X	X
Agriculture	50	X	X	X	X
Water	51	X	X	X	X
Rural Housing	52	X	X	X	X
Education	53	X	X	X	X
Health	54	X	X	X	X
Trade	55	X	X	X	X
Community Services	56	X	X	X	X
Gender	57	X	X	X	X
Environment andForestry	58	X	X	X	X
Fisheries	59	X	X	X	X
Labour and Youth	60	X	X	X	X
NRB	61	X	X	X	X
Irrigation	62	X	X	X	X
Immigration	63	X	X	X	X
Sports Disaster Management	64	X	X	X	X
Development Expenses (CDF & DDF)	65	X	X	X	X
Total Payments		XX	XX	XX	XX
Net Receipts (Payments)		XX	XX	XX	XX

Appendix 10: Sample of Financial Statements Incorporating Social Benefits.

Statement of Financial Position (Except)

LIABILITIES - Current liabilities

Payables

Short-term borrowings

Current portion of long-term borrowings

Short-term provisions

Social benefits

Employee benefits

Superannuation

Non-current liabilities

Payables

Long-term borrowings

Long-term provisions

Social benefits

Employee benefits

Superannuation

Public Sector Entity—Statement of Financial Performance for the Year Ended June 30, 20X2

(Illustrating the Classification of Expenses by Function)

(in thousands of currency units)

Revenue	20X2	20X1
Expenses		
General public services	(X)	(X)
Defence	(X)	(X)
Public order and safety	(X)	(X)
Education	(X)	(X)
Health	(X)	(X)
Social benefits	£X]	£X)
Other social protection	(X)	(X)
Housing and community amenities	(X)	(X)
Recreational, cultural and religion	(X)	(X)

Economic affairs	(X)	(X)
Environmental protection	(X)	(X)
Other expenses	(X)	(X)
Finance costs	(X)	(X)
Total Expenses	(X)	(X)
Public Sector Entity—Statement of Financial Performance for June 30, 20X2 (Illustrating the Classification of Expenses by Nature) (in thousands of currency units) 20X2 20X1 **Revenue**		
Expenses		
Wages, salaries, and employee benefits	(X)	(X)
Social benefits	(X)	(X)
Grants and other transfer payments	(X)	(X)
Supplies and consumables used	(X)	(X)
Depreciation and amortization expense	(X)	(X)
Impairment of property, plant, and equipment*	(X)	(X)
Other expenses	(X)	(X)
Finance costs	(X)	(X)
Total Expenses	(X)	(X)

In a statement of financial performance in which expenses are classified by nature, an impairment of property, plant, and equipment is shown as a separate line item. By contrast, if expenses are classified by function, the impairment is included in the function(s) to which it relates.

Direct Method Cash Flow Statement

Public Sector Entity—Consolidated Cash Flow Statement for Year Ended June 30, 20X2

(in thousands of currency units) 20X2 20X1

CASH FLOWS FROM OPERATING ACTIVITIES Receipts

Payments

Employee costs	(X)	(X)
Superannuation	(X)	(X)
Suppliers	(X)	(X)
Social benefits	QQ	QQ
Interest paid	(X)	(X)
Other payments	(X)	(X)

Net cash flows from operating activities X X

Notes to the Cash Flow Statement

(C) Reconciliation of Net Cash Flows from Operating Activities to Surplus/ (Deficit)

(in thousands of currency units)	20X2	20X1
Surplus/(deficit) Non-cash movements	X	X
Depreciation	X	X
Increase in borrowings	X	X
Increase in social benefits liabilities	X	X
Increase in provisions relating to employee costs	X	X
Increase in receivables	(X)	(X)

Net cash flows from operating activities **X** **X**

Appendix 11: Commitments

Commitments

There is no formal IPSAS covering commitments. However, there are recommendations to commitments across a number of IPSASs.

Commitments, it is important to emphasise, are an integral part of accounting information and standards as a whole, which is as a system is an accrual system a system. This accrual system is one that shows the closest view of a given entity status in monetary terms referred to as "true and fair" professionally. Unfortunately cash basis reports does not show a "true and fair" view, it is not "true and fair" because the financial statements do not show succinctly all known commitments, liabilities, assets and debtors for a given entity. These are at best shown in the form of notes.

These most relevant IPSAS references to commitments are shown in annex 1. Annex 2 shows some key relevant extracts from the Government of Malawi promulgated accounting manuals.

The purpose of this paper is to clarify the handling of commitments in the Malawi context to be in line with IPSAS recommendations.

What is a commitment?

A commitment can be defined as an explicit or implicit agreement to make a payment by an entity to a third party in exchange for supplying goods and services or fulfilling certain conditions with an exchange of value, generally being a payment in a currency, the value can also be another form of value.

In the case of a government entity such a Commitment can be for specific goods and services and may arise when a formal action is taken by a government entity, for example, issuing a purchase order or signing a contract, which once completed is shown in the books of account as a value set aside from the allocated budget received which is designated for the specific exchange of value agreed, that the sum agreed to be paid for the goods or services to be fulfilled.

Commitments as part of the government annual budget system

Governments and their direct entities work with an annual budget cycle.

- Once a budget has been approved,
- Amounts are allocated
- Units receiving their allocation can then begin spending
- Spending is in the form of either:
- recurring expenditures Salaries and related costs
- Other expenditures requiring process that leads to a part of the funds allocated being committed, a commitment.

Allocated budget that a given government entity receives is the right to spend. This spending follows for goods and services processes which in Malawi are mapped in the procedures manuals.

Once the spending process for a given good or service is commenced it is normal practice to create a commitment albeit estimated for the item being procured.

Once a formal signed off commitment is in place the estimated commitment should then be adjusted to the actual amount agreed by the contractual terms.

The word contract is used here for whilst in some cases a there may not be a formal contract but a simple signed agreement. Nevertheless all agreements have the basic ingredients for a commercial contract: Seller, Buyer, some item/s being sold by the Seller, value given by the Buyer in exchange for the item/s proposed by the Buyer.

The commitment is to set aside resources to meet a contractual obligation and is a control that ensures that resources from the budget allocation received may not be used for some other disbursement, which would put the entity and government as a whole in breach of contract.

By extension, as the process moves forward the confirmed the commitment becomes a liability to the entity at the given entity level, and as the entity is a subordinate of the greater entity central government, it is by law also a liability of central government.

How this commitment is recorded and handled in different accounting environments is where the real issue for commitments lies. The environments being:

- Cash accounting
- Modified Cash
- Accrual

Cash Accounting: In an IPSAS cash accounting environment ALL firm commitments must be shown in the notes to the financial statements with resources carried forward to meet these as to all intents and purposes the amounts have been spent, whilst the goods or services have not yet been delivered.

The appendix IPSAS Cash Accounting is quite clear on the treatment.

Modified Cash: Modified cash can follow either IPSAS Cash accounting, or the general approach throughout the IPSASs 1 to 42 which are grounded on accounting principles leading to a "True and Fair" approach based on accrual accounting.

Accrual accounting where all commitments are considered creditors, this issue of identifying the commitments as a separate note is no longer an issue as all such third party engagements are identified clearly.

Conclusion

Commitments once entered into on a firm basis, even on the last permitted engagement day of a budget year should in accordance with IPSAS be covered by cash or equivalent cash liquidities to ensure that these can be met by the government entity which has engaged in this said commitment. If this is not observed then government credibility with third parties is lost for future transactions.

Annex: IPSAS Extracts for reference

These extracts are some suggested extracts to illustrate the importance of recording and carrying commitments through to liquidation in the books of account.

IPSAS Conceptual Framework definition of commitment accounting Procedures

Commitments

BC5.36 Commitment accounting procedures are a central component of budgetary control for public sector entities in many jurisdictions. They are intended to assure that budgetary funds are available to meet the government's or other public sector entity's responsibility for a possible future liability, including intended or outstanding purchase orders and contracts, or where the conditions for future transfers of funds have not yet been satisfied. Commitments which satisfy the definition of a liability and the recognition crite-

ria are recognized in financial statements, in other cases information about them may be communicated in notes to the financial statements or other reports included in GPFRs. The IPSASB concluded that commitment accounting might be addressed in the future when dealing with elements for the more comprehensive areas of general purpose financial reporting outside the financial statements.

IPSAS 1 Presentation of Financial Statements

Purpose of Financial Statements

Point c) - Providing information that is useful in evaluating the entity's ability to finance its activities and to meet its liabilities and commitments,

Notes

Other disclosures, including:

(i) Contingent liabilities (see IPSAS 19), and unrecognized contractual commitments, and

(ii) Non-financial disclosures, e.g., the entity's Financial risk management objectives and policies (see IPSAS 30).

Loan commitments that are within the scope of IPSAS 41 are accounted for as derivatives and measured at fair value.

The amount of contractual commitments for the acquisition of property, plant, and equipment;

Original and Final Budget #11 . The original budget may include residual appropriated amounts automatically carried over from prior years by law. For example, governmental budgetary processes in some jurisdictions include a legal provision that requires the automatic rolling forward of appropriations to cover prior year commitments. Commitments encompass possible future liabilities based on a current contractual agreement. In some jurisdictions, they may be referred to as obligations or encumbrances, and include outstanding purchase orders and contracts where goods or services have not yet been received.

Comparable Basis: All comparisons of budget and actual amounts shall be presented on a comparable basis to the budget.

Entities may adopt different bases of accounting for the preparation of their financial statements and for their approved budgets. For example, a government may adopt the accrual basis for its financial statements and the cash basis for its budget. In addition, budgets may focus on, or include information about, commitments to expend funds in the future and changes in those commitments, while the financial statements will report assets, liabilities, net assets/equity, revenues, expenses, other changes in net assets/equity, and cash flows. However, the budget entity and financial reporting entity will often be the same. Similarly, the period for which the budget is prepared and the classification basis adopted for the budget will often be reflected in financial statements. This will ensure that the accounting system records and reports financial information in a manner that facilitates the comparison of budget and actual data for management and for accountability purposes, for example, for monitoring progress of execution of the budget during the budget period and for reporting to the government, the public, and other users on a relevant and timely basis.

Note Disclosures of Budgetary Basis, Period and Scope An entity shall explain in notes to the financial statements the budgetary basis and classification basis adopted in the approved budget.

There may be differences between the accounting basis (cash, accrual, or some modification thereof) used in preparation and presentation of the budget and the accounting basis used in the financial statements. These differences may occur when the accounting system and the budget system compile information from

different perspectives - the budget may focus on cash flows, or cash flows plus certain commitments, while the financial statements report cash flows and accrual information.

An entity shall disclose: (c) The amount of commitments for the development or acquisition of biological assets;

ISPAS 2 Cash Flow Statements

Cash and Cash Equivalents

Cash equivalents are held for the purpose of meeting short term cash commitments rather than for investment or other purposes. For an investment to qualify as a cash equivalent, it must be readily convertible to a known amount of cash and be subject to an insignificant risk of changes in value. Therefore, an investment normally qualities as a cash equivalent only when it has a short maturity of, say, three months or less from the date of acquisition. Equity investments are excluded from cash equivalents unless they are, in substance, cash equivalents. IPSAS 29 Financial Instruments: Recognition and Measurement

Derivative Financial Instruments

Many other types of derivative instruments embody a right or obligation to make a ligature exchange, including interest rate and currency swaps, interest rate caps, collars and floors, loan commitments, note issuance facilities, and letters of credit. An interest rate swap contract may be viewed as a variation of a forward contract in which the parties agree to make a series of Future exchanges of cash amounts, one amount calculated with reference to a floating interest rate and the other with reference to a fixed interest rate. Futures contracts are another variation of forward contracts, differing primarily in that the contracts are standardized and traded on an exchange.

Hedged Items

A hedged item can be a recognized asset or liability, an unrecognized Firm commitment, a highly probable forecast transaction or a net investment in a foreign operation. The hedged item can be (a) a single asset, liability, firm commitment, highly probable forecast transaction or net investment in a foreign operation, (b) a group of assets, liabilities, firm commitments, highly probable forecast transactions or net investments in foreign operations with similar risk characteristics, or (c) in a portfolio hedge of interest rate risk only, a portion of the portfolio of financial assets or financial liabilities that share the risk being hedged.

IPSAS 28 Financial Instruments: Presentation

IPSAS 30 Financial Instruments: Disclosures

Information about an entity's credit risk exposure (i.e., the credit risk inherent in an entity's financial assets and commitments to extend credit) including significant credit risk concentrations.

Credit Risk Exposure

To enable users of financial statements to assess an entity's credit risk exposure and understand its significant credit risk concentrations, an entity shall disclose, by credit risk rating grades, the gross carrying amount of Financial assets and the exposure to credit risk on loan commitments and financial guarantee contracts. This information shall be provided separately for financial instruments:

Point a) For which the loss allowance is measured at 12-month expected credit losses, an amount equal to

(b) For which the loss allowance is measured at an amount equal to lifetime expected credit losses and that are:

(i) Financial instruments for which credit risk has increased significantly since initial recognition but that are not credit-impaired financial assets,

(ii) Financial assets that are credit-impaired at the reporting date (but that are not purchased or originated credit-impaired), and

(iii) Receivables that result from exchange transactions that are within the scope of IPSAS 9; or non-exchange transactions that are within the scope of IPSAS 23; or lease receivables for which the loss allowances are measured in accordance with paragraph 87 of IPSAS 41.

(c) That are purchased, or originated credit-impaired financial assets.

Changes in the Loss Allowance

For loan commitments and financial guarantee contracts the loss allowance is recognized as a provision. An entity should disclose information about the changes in the loss allowance for Financial assets separately from those for loan commitments and financial guarantee contracts. However, if a financial instrument includes both a loan (i.e., financial asset) and an undrawn commitment (i.e., loan commitment) component and the entity cannot separately identify the expected credit losses on the loan commitment component from those on the financial asset of the expected credit losses on the loan commitment should be recognised together with the loss allowance for the financial asset. To the extent that the combined expected credit losses exceed the gross carrying amount of the financial asset, the expected credit losses should be recognized as a provision.

IPSAS 31—Intangible Assets

The amount of contractual commitments for the acquisition of intangible assets.

IPSAS 32 SERVICE CONCESSION ARRANGEMENTS: GRANTOR

Other Liabilities, Commitments, Contingent Liabilities and Contingent Assets

The grantor shall account for other liabilities, commitments, contingent liabilities, and contingent assets arising from a service concession arrangement in accordance with IPSAS 19, Provisions, Contingent Liabilities and Contingent Assets, IPSAS 28, IPSAS 30, and IPSAS 41.

Service concession arrangements may include various forms of financial guarantees (e.g., a guarantee, security, or indemnity related to the debt incurred by the operator to finance construction, development, acquisition, or upgrade of a service concession asset), or performance guarantees (e.g., guarantee of minimum revenue streams, including compensation for short-falls).

Guarantees and commitments that do not meet the requirements in IPSAS 28 and IPSAS 41 relating to Financial guarantee contracts or are not insurance contracts are accounted for in accordance with IPSAS 19.

IPSAS 33—First-time Adoption of Accrual Basis lPSASs At the date of adoption of IPSAS 41, when the exemptions that provided the relief have expired, and/ or when the relevant financial instruments are recognized and/or measured, a first-time adopter shall use reasonable and supportable information that is available without undue cost or effort to determine the credit risk at the date that financial instruments were initially recognized (or for loan commitments and financial guarantee contracts the date that the entity became a party to the irrevocable commitment in accordance with paragraph 78 of IPSAS 41) and compare that to the credit risk at the date of adoption of IPSASs (also see paragraphs AG350-AG351 of IPSAS 41).

IPSAS 38—Disclosure of Interests in Other Entities

IPSAS 41—Financial Instruments

Loan commitments other than those loan commitments described in paragraph 4. However, an issuer of loan commitments shall apply the impairment requirements of this Standard to loan commitments that are not otherwise within the scope of this Standard. Also, all loan commitments are subject to the de-recognition requirements of this Standard.

The following loan commitments are within the scope of this Standard:

(a) Loan commitments that the entity designates as financial liabilities at fair value through surplus or deficit (see paragraph 46). An entity that has a past practice of selling the assets resulting from its loan commitments shortly after origination shall apply this Standard to all its loan commitments in the same class.

(b) Loan commitments that can be settled net in cash or by delivering or issuing another financial instrument. These loan commitments are derivatives. A loan commitment is not regarded as settled net merely because the loan is paid out in instalments (for example, a mortgage construction loan that is paid out in instalments in line with the progress of construction).

(c) Commitments to provide a loan at a below-market interest rate (see paragraph 45(d)).

Cash Basis IPSAS—Financial Reporting Under the Cash Basis of Accounting—Issued in 2017

Cash equivalents are held for the purpose of meeting short-term cash commitments rather than for investment or other purposes. For an investment to qualify as a cash equivalent it must be readily convertible to a known amount of cash and be subject to an insignificant risk of changes in value. Therefore, an investment normally qualifies as a cash equivalent only when it has a short maturity of, say, three months or less from the date of acquisition. Equity investments are excluded from cash equivalents unless they are, in substance, cash equivalents.

Entities that report using the cash basis of accounting frequently collect information on items that are not recognized under cash accounting. Examples of the type of information that may be collected include details of:

(a) Receivables, payables, borrowings and other liabilities, non-cash assets and accruing revenues and expenses,

(b) Commitments and contingent liabilities, and

(c) Performance indicators and the achievement of service delivery objectives.

An entity shall disclose in the notes to the financial statements together with a commentary, the nature and amount of:

(A) Significant cash balances that are not available for use by the entity;

(b) Significant cash balances that are subject to external restrictions;

(c) Undrawn borrowing facilities that may be available for future operating activities and to settle capital commitments, indicating any restrictions on the use of these facilities.

Original and Final Budget

The original budget may include residual appropriated amounts automatically carried over from prior years by law. For example, governmental budgetary processes in some jurisdictions include a legal provision that requires the automatic rolling forward of appropriations to cover prior year commitments. Commitments

encompass possible future liabilities based on a current contractual agreement. In some jurisdictions, they may be referred to as obligations or encumbrances and include outstanding purchase orders and contracts where goods or services have not yet been received.

Service Dimension

Debt Dimension

Dimensions of Long-Term Fiscal Sustainability

Annex: Malawi Accounting manual extracts

8.1.6 EXPLANATORY NOTES ON MONTHLY EXPENDITURE RETURN

The monthly expenditure monitoring Return compares expenditure plus commitments with budget provisions. It is, therefore, necessary that the monthly Expenditure Return shall be accompanied by an Explanatory Notes in order to:

a) Highlight sub-items which show significant over expenditure or under expenditure as compared to budget provision
b) Compare expenditure trends with those in corresponding period of previous year to determine if variations are normal or abnormal
c) Analyse reasons for abnormal variations
d) Suggest remedial action to be taken to correct the diverse trends indicated.

PREPARATION OF MONTHLY EXPENDITURE RETURN (CHAPTER 11)

11.3 ACCRUALS ACCOUNTING

Councils process payments to settle commitments. Due to nature of contractual obligations entered into by the councils t-here is need that these are fully disclosed in order to be transparent.

The monthly reconciliation shall take into account any outstanding payment, or invoices which shall be adjusted according to period end to reflect the exact position of commitments and liabilities.

COMMITMENT ACCOUNTING

Commitment accounting takes accrual accounting one stage further. Instead of waiting for the invoice to be received, the LA brings into its financial reporting procedures the value of orders placed for goods and services. LAs shall maintain vote registers in each department, as a means of controlling commitments against individual budget votes.

Commitment accounting brings the equivalent of these registers into the accounting and reporting process, normally where there is a computer facility to deal with the many parallel transactions that arise. The source document shall be the Local Purchase Order (LPO) which shall be recorded in the commitments register as illustrated in Appendix 9.3.

When an LPO for goods or services is placed, a copy of the order is used to determine the value against the available budget line item provision. A contra entry (usually a collective total for the many orders issued in a period) is made in a Commitments Control Account. When payment is made, against an invoice, the entry in the commitments control account is eliminated. Any difference between the estimated value of the order and the actual amount paid will need to be adjusted by a Journal subsequent to payment.

All commitments shall be disclosed in the monthly financial reports.

Review Meetings on Financial Reports

e) Position on receivables, payables and commitments, loan repayment and other obligations;

FINAL ACCOUNTS

e) An evaluation of the Local Authorities' ability to finance its activities and to meet its liabilities and commitments.

ACCOUNTING PROCEDURES MANUAL - MINISTRY OF FINANCE

Expenditure: Expenditure is recognized when a commitment has been made even though cash has not been paid out. Sum total of cash paid out, outstanding bills and commitments to date constitute total expenditure for the period.

Commitments: Commitments should be made according to available provision on the budget line. However, where the Government is experiencing liquidity problems, commitment shall made against available funding.

Arrears: Ministries and Department should monitor commitments and outstanding bills to avoid creation of arrears. In accounting, the term Arrears means: overdue debt, liability or obligation. An account is said to be in arrears if one or more payments have been missed in transactions.

Controlling officers are required to monitor monthly expenditure and commitments against budgetary provision.

DETAILED BUDGET CALENDAR

October: Donor's funding commitments for financial year Established

Reports

Variance and exception reports comparing actual expenditure, commitments to date and approved budget

Project reports identifying expenditure to date and total expected cost, funding received, actual expenditure and commitments, within financial years (if project extends beyond current financial year). The system shall be able to compare total estimated costs with cumulative costs

Types of Commitments

There are two main types of commitments namely,

(i) Specific commitments; and

(ii) Continuing or Running Commitments.

(i) Specific Commitments are those that will require a single payment or a series of payments over a defined period of time. These include contracts for goods and services, or any similar arrangement, and occur when a formal action is taken by a line ministry, such as placing an order for supply of goods and services, issuing a local purchase order, or awarding a contract to a supplier or contractor.

(ii)Continuing Commitments are those that will require a series of payments or settlement actions over a period of time, and might not involve a specific contract. These include salaries and wages, utilities, scholarships, entitlement payments, and other similar arrangements.

9.3 Objectives of Commitments

The commitment of resources is a critical stage of the expenditure process. Controlling commitments is essential in expenditure management. The key objective of commitment control is to manage the initial incurrence of obligations, rather than the subsequent cash payments. It enforces expenditure ceilings to avoid expenditure overruns or arrears. Spending limits can be based on budget appropriations or on cash plans. Ideally, commitments should be regulated by annual budgetary provisions. However, this approach may prove to be difficult where expenditure is based on monthly cash releases or funding. In a cash strained environment, committing against budgetary provisions results into the creation of arrears. In such cases therefore, commitment should be made against available funding.

9.3 Long Term Capital projects.

This category is probably the most difficult to forecast in terms of both commitments and the associated cash payments. However, most projects are the result of contracts placed therefore, payment details should broadly be known when the contract is signed. The commitment can be for a long period of time, probably more than one year and in such cases expenditure flows tend to be lumpy. Delays can occur in construction and delivery of agreed outputs. It is therefore appropriate to regularly update cash flow forecasts as implementation of projects is undertaken. Commitments for capital projects should be managed and monitored through monthly or quarterly Cash Flow meetings. Under cash strained environment, commitment against available funding locks up resources unnecessarily over a long period of time and therefore those responsible for implementation of long term capital projects should exercise extra caution in committing available funding.

9.5 Multi-year commitments

These commitments impose additional responsibilities on Ministries and Departments. Commitments should be made only after obtaining the formal approval of the Ministry of Finance (MoF). The spending agencies are required to submit to the MoF full details of multi-year contracts including the anticipated commitments and payments for each year, which can then be included in the medium-term budget framework. At the annual budget formulation stage, the MoF needs to make full provision for annual commitments and include them in annual and quarterly Cash Flow Plans. During the budget implementation phase, project managers must keep each project under constant review and report to the budget office and Treasury any changes in the appropriations and cash plans.

9.6 Fixed Commitments

These commitments must be paid without fail whenever they fall due. Expenditures which are considered fixed commitments cannot be reduced from their appropriated level of budget estimates. These usually include debt payments, payments of salaries and wages, pensions and gratuities

9.7 Processes in Commitment Management

Commitment processes should be respected by all those involved in procurement including suppliers and contractors. Regulations and procedures should be at the heart of all staff in the MDA whether or not they are involved in procurement. Failure to observe regulations, policies, processes, and procedures results into accumulation of arrears or fraudulent procurement. Highlighted below are

Business Process Tables and Flow Charts.

9.7.1 Business Process Tables, Commitment Management

Pages 135 to 140

9.7.2 Business Process Flow Charts, Commitment Management

Commitment Block: This is used to record details of commitments made and cleared.

All commitments are required to be countersigned by an Officer of grade P7 and above. If the MDA does not have an office at P7 level, specific authority shall be obtained from the Treasury approving signatories in lower grades. The countersigning officer shall satisfy himself that funds are available before approval or the signature is appended.

A statement of outstanding commitment whose goods have been received but not paid for shall be carried forward to the next financial year. This applies to Deposit and Development account (Part 1). This statement shall indicate if any savings have resulted due to non-payment of the commitments during the previous financial year. In the space provided for 'Remarks" indicate the reasons for non-payment and additional provision, if any, required for meeting the commitments in the next financial year.

(h) The Director of Finance shall check that outstanding commitments have been recorded in the new commitment register

9.9.1.1 Procedures for Maintaining Commitment Register (GP113)

(i) The folio shall be held in one ledger binder. An index page of programmes/items/sub items shall be kept in the ledger.

(ii) The full allocation code (account number) shall be clearly written in the space provided at the top of each folio.

(iii) Entries in the commitments register shall be made in date sequence and serially numbered to facilitate matching.

(iv) If a mistake is detected after other entries have been made, the correction shall be made by writing back the wrong amount and then making the correct entry in the next line.

(v) New commitment registers/vote books shall be opened for each financial year.

Posting the Expenditure Detail Sheet (GP 114)

(viii) Commitments: Entries are made in this column whenever a payment transaction is posted. Enter the outstanding commitment on a particular date from the running balance column of the commitment register.

9.10 Monthly Balancing

The reader is referred to the Malawi manuals from this section on as these are well written. The above has been extracted to encourage the reader to do some personal research into official materials.

Appendix 12: Trainers' Facilitation Guide

The purpose of Appendix 11 is to summarise key issues that trainers who will use this manual to train staff from Local Authorities should always mind in order to effectively achieve the objectives of the series of training that they will embark on. So many things can be said on this area, however advice has been provided to trainers on six areas, namely: training approach and methodology, adopting the training materials, preparing the training materials, preparing oneself, facilitating the training and after the training activities. these have been detailed as follows:

1 . TRAINING APPROACH AND METHODS

The program is based on the assumption that training is expensive and that money for training LAs staff is scarce. There the program looks upon the training as an investment, and unless the training yields results, the return on the money invested will be zero.

On their return home from the training, trainees should be able to show **concrete results of improved financial management**. In order to prepare and equip the trainees to achieve this, the program should adopt a highly **active** learning approach through the use of "**participative" learning methods** and built it action commitment.

Trainees will not learn about IPSAS in a general and passive way. Their day to day management problems have, as much as possible, been translated into realistic case studies, role plays and other problem solving exercises. Trainees (working in groups and on their own) will learn by solving these problems as in real life, with the necessary assistance and guidance from the trainer, who will act more as a "facilitator" of learning than a lecturer

Every trainee even if he or she has never used or learnt about IPSASs, has some ideas and suggestions from which the others can learn; if any or all of them have some knowledge of IPSASs, they can contribute a great deal to the learning of the others. this material is intended to allow and encourage every trainee to contribute as much as possible from his/her own insights and experience, so that all will go away with accumulated knowledge that each brought to the program.

This sort of shared learning is in fact almost always more important than the knowledge that you, the instructor, or the material itself, can contribute. if you do more than allow every individual to put in what he knows, and to learn from what the others know, you will have achieved a great deal.

Remember that knowledge is like fire, you can share it with other people without losing anything yourself. You should treat each trainee as a source of ideas and suggestions which are at least as valuable as your own, and the material is designed to help you to draw out, or elicit these contributions.

the built inaction commitment at the end of the program will give each trainee the opportunity of using the knowledge and expertise of his colleagues in the training program to find a concrete and acceptable solution to a specific financial management problem he is face with – a solution to which the trainee will commit himself for implementation.

2. ADAPTING THE MATERIALS

Before using the materials from the manual in a real training situation, it will probably be necessary to adopt it. This can be done as follows: read through the materials and decide whether:

- the training can ran with the materials as they are;

- only certain topics or sessions should be used; or
- new topics or sessions should be added.

Your decision will depend on the training needs of your participants and the means you have at your disposal.

Carefully read through the topics and sessions you have decided to use. Check the subject matter in the sessions and hand-outs; modify them to include local currencies, names and so on. Such adaptation will help trainees identify themselves more easily with the people and situations described in the hand-outs and will increase impact and effectiveness of the training program.

Do not feel that this manual is like a book which contains the only answers. it is merely a collection of suggestions of ideas, which you must adapt, modify, use or reject as you think fit. The best evidence that you are using the material properly will be the amount of changes, additions, amendments you have yourself written in this copy.

3. PREPARING THE TRAINING MATERIALS

Hand-outs constitute an important part of the training material used in the training. They can be reproduced from the original hand out and included in files supplied to participants.

The only item of training equipment which are absolutely essential are the flip cart stand and overhead projectors, these must be prepared in advance of the training

The pre-course questionnaire should be sent to the participants in advance and trainees must be requested to complete and hand them before the date of the training

4. PREPARE YOURSELF

Some trainers may feel that materials of this sort means that they need only spend a few minutes preparing for each session. This is **not** the case. You should go through the following steps before facilitating a training which is based wholly or in part on this manual:

e) Read carefully, make sure you understand the content, and that you envisage what is intended to **happen** in the training room;
f) Work through all the calculations, be sure that you understand them completely and try to predict the errors that trainees are likely to make, and the different answers which may not be wrong, but which will be worth following up;
g) Work through the case studies yourself, and try to predict all the possible analyses and answers which trainees may come up with;
h) Look up and write down on the material itself, as many local examples as you can to illustrate the points that are raised;
i) **Plan** the whole session very carefully, try to predict approximately how many minutes, each section of the session is likely to take, and make the appropriate modifications to fit into the time you have available. Do **not** take the suggested time at the begging of the session too seriously

5. FACILITATING THE TRAINING:

Please observe the following in order to be an effective facilitator:

j) Arrange the sitting so that every trainee can see the **faces** of as many as possible of the others, do **not** put them in rows so that the only face they can see is your own
k) Be sure that the session is clearly structured in the trainees minds; outline the structure at the beginning, follow it or say that you are diverting from it, and summarise what has happened at the end;
l) Bear all the learning points in mind, and do not forget the learning outcomes of the session;
m) Be flexible, do not follow the material religiously and be prepared to change the approach depending on what the trainees themselves suggest;
n) Avoid whenever possible, **telling** the trainees anything, in a successful session all the points will have been elicited from them by skilful questioning;
o) If you fail to elicit a particular answer from the trainees, it is your fault not theirs. Persist by asking the same question in different ways by hinting and so on, and only make the point yourself if all else has failed;
p) Use silence as a weapon, if nobody answers the question, be prepared to wait for 20 to 30 seconds in order to embarrass somebody into making an attempt;
q) Avoid talking yourself, trainees discussions and suggestions should occupy around three quarters of the total time, ask, listen and guide rather than talk. the more you yourself talk, the more you are revealing your own insecurity and ignorance of the subject, in that you are not willing to risk questions or comments with which you cannot deal);
r) Never ridicule a trainee's answer or suggestion, there is bound to be some merit in it somewhere, and the very fact that he or she has put forward a suggestion is commendable.
s) If you cannot answer a trainees question, or comment on a suggestion (or even if you can) ask another trainee to answer or make a comment. you the facilitator and not the source of knowledge.
t) Write trainees own words on the flip chart board whenever possible do not follow the words in the material, even if they are more precise.
u) be prepared to act as a "devil's advocate", there usually no right or wrong answers to management questions, and trainees must see and understand both sides of every issue;
v) If trainees appear to be following a quiet different track from the one suggested in the material, do not dismiss this out of hand, it may be as useful or more so;
w) Call on the silent and, if necessary silence those who talk too much; and
x) Be sure that **everybody** understands what is going on, walk up and down the room, and generally keep everyone alert to your physical activity.

6. AFTER THE TRAINING

Note down each trainee's commitment, and be sure to contact every trainee, in person or at least by email, about six months after the end of the training to find out how they have managed to apply what they have learnt and how well they are implementing their action commitments. If they have failed, it is not them who were at fault, but the training; either the training was ineffective, the trainees were poorly selected or you failed to recognize problems which might prevent them from applying what they learnt.

Sample: Pre Course Questionnaire

Post Course Questionnaire

Appendix 14: Accounting Basics & Principles

This supplement is drafted to clarify of accounting basics and principles. Some of the material may seem obvious, yet it is presented most humbly with the request that all read it with an open mind. It is suggested that all participating in the move to IPSAS cash must be carried through with surety that all participants agree on the foundations for their on-going cooperation. The following key subjects:

- Accounting Policies;
- Accounting Standards;
- IPSAS Development Process;
- National and International Standards;
- IFRSs vs Accrual Basis IPSAS; and
- Modified Cash Basis vs Modified Accruals Basis.

There will be a source of constant confusion if the basic foundations of accounting are not clear for us all.

ACCOUNTING POLICIES

IPSAS 1, 2 and 3 set the basic parameters for all the other standards in the series, including its own foundations which are IFRS and IAS.

- IPSAS 1 Presentation of Financial Statements
- IPSAS 2 Cash Flow Statements
- IPSAS 3 Accounting Policies, Changes in Accounting Estimates and Errors

This manual will present these separately however, as a first step the authors will set the foundations by explaining why standards came about, their development with their international and national context, the basics of accounting to ensure an understanding of accounting basics and principles. Pure cash, Modified Cash, Modified accruals and accruals basis will be dealt with in a separate section with examples.

WHY STANDARDS?

IPSAS is a set of standards adapted for government type entities based on other standards. Whilst IPSAS is relatively recent, they do have a long historical foundation along with IFRS and IAS. An understanding their historical context and background puts IPSAS in perspective. This perspective makes it easier to understand why standards are important and what they aim to achieve.

The decision to create standards was made by the auditing profession not by governments. In the 1930's governments enacted laws to protect the citizens from dubious financial manipulations that were used by many companies and financial institutions to hide the true financial situation of those companies and banks that led to 1930's financial crash. These practices were sanctioned by all governments and the auditing profession acted to introduce standards to stop such irresponsible methods of accounting, manipulation of data, and valuation methods that helped cause this financial disaster.

The auditing profession undertook to introduce standards to protect its independence and credibility following this debacle. Created in 1933 the USA SEC by the Securities Act of 1933 sometimes called the "Truth in Securities Act".

The goal was to increase public trust in the capital markets by requiring uniform disclosure of information about public securities offerings. The professional bodies in the USA, and UK led the movement by developing statements to standardise how things should be valued, categorised, presented in financial statements

and documents that the profession had the responsibility to audit, that is to check, evaluate, confirm their veracity and finally sign off. A process of rebuilding trust and assuring that such a disaster would not happen again.

After WWI New York was the well on the way to becoming the new financial centre of the world, WWII completed the process. Whilst the City of London remained until a major centre and hub, New York is the present centre.

The SEC was the first of the policing organisations that have been since been introduced in many countries and groups of companies since; FCA in the UK, FINMA in Switzerland are other examples.

Policing the business world and the world of entities has been a slow process, just as has been the process of developing standards. These have gone through many mutations over the last ninety years.

The main aim of each financial authority aims to ensure that investors can have confidence published financial data. The aim of each authority remains to combat the production of fake information, fraudulent devices, get-rich-quick schemes; end the million-dollar insider manoeuvers by top officials of major corporations and entities, whereby insiders with access to much better information about the condition of the company or entity knew when to buy or sell their own securities or other assets. A crackdown on insider trading was given high priority. Drafting standards a key part of the process.

Auditors, the Association of Certified Public Accountants in the USA, took the leading role in developing such rules, which became guidelines, GAAP in the United States. In the UK in the 1930's starting with Statements of Standards Accounting Practice, then GAPP, drafted issued by the Accounting Standards developed by the Institutes of Chartered and Certified Accountants in the United Kingdom.

It is important to note that almost all of the standards around the world have been drafted and created by professional associations, not government authorities. They are not laws, but guidelines.

In the United States Accounting standards have historically been set by the American Institute of Certified Public Accountants (AICPA) subject to U.S. Securities and Exchange Commission (SEC) regulations. The AICPA first created the Committee on Accounting Procedure in 1939 and replaced that with the Accounting Principles Board in 1959.

Standards Board (FASB) under the supervision of the Financial Accounting Foundation with the Financial Accounting Standards Advisory Council serving to advise and provide input on the accounting standards. Other organizations involved in determining United States accounting standards include the Governmental Accounting Standards Board (GASB), formed in 1984; and the Federal Accounting Standards Advisory Board (FASAB), formed in 1990. Following the 2007 crash the FASB issued the FASB Accounting Standards Codification, which reorganized the thousands of U.S. GAAP pronouncements into roughly 90 accounting topics.

In 2008, the Securities and Exchange Commission issued a preliminary "roadmap" that may lead the United States to abandon Generally Accepted Accounting Principles in the future, and to join more than 100 countries around the world instead in using the London-based International Financial Reporting Standards (IFRS). Based in London the IFRS was chaired by a previous chairman of the US Federal Reserve.

As of 2010, the convergence project was underway with the FASB meeting routinely with the IASB. The SEC expressed their aim to fully adopt International Financial Reporting Standards in the U.S. by 2014. The move is towards convergence with US GAAP and the international IFRS accounting systems, as the highest

authority over International Financial Reporting Standards, with the International Accounting Standards Board.

Now the IFRS is the main source internationally devising, interpretations, conceptual frameworks and publishing standards, previously the undertaken by the International Accounting Standards (IAS) board. The aim for the IFRS being to rationalise and bring about a convergence between national accounting standards and the need for a globalised set of accounting standards.

During its first meeting the new Board adopted existing IAS and Standing Interpretations Committee standards (SICs). The IASB has continued to develop standards calling the new standards "International Financial Reporting Standards" (IFRS).

In 2002 the European Union (EU) agreed that, from 1 January 2005, IFRS would be the standards for the consolidated accounts of the EU listed companies, bringing about the introduction of IFRS to EU entities. Other countries have since followed the lead of the EU. Other countries being:

- Canada - Generally Accepted Accounting Principles
- China - Chinese Accounting Standards
  - (Zhōngguó qǐyè kuàijì zhǔnzé -中国企业会计准则)
- France - Generally Accepted Accounting Practice (
  - Plan Comptable Général)
- Germany - Generally Accepted Accounting Practice
  - (Grundsätze ordnungsmäßiger Buchführung)
- India - Indian Accounting Standards
- Luxembourg - Luxembourg Generally Accepted Accounting Principles (Lux GAAP)
- Nepal - Nepal Financial Reporting Standards
- Russia - Russian GAAP
- Switzerland - Swiss GAAP FER
  - (Fachempfehlungen zur Rechnungslegung)
- United Kingdom - Generally Accepted Accounting Practice (UK)
- United States - Generally Accepted Accounting Principles
  - (United States) Domestic firms typically report in this format.
  - Foreign firms that trade in the U.S. typically report in IFRS format (above).

Standards produced by the professional accounting bodies enable them to apply directives to the ensure that the information produced by entities presents a reliable measurement of a given entity's financial health, also these provide the professionals with appropriate cover for their own liability purposes. If something comes out that shows that they did not do their job properly then the professional firms themselves become liable. One notable incident in the last thirty years was the ENRON case which led to the break up and disappearance of the most prestigious auditing firm Arthur Anderson.

Information audited is not produced by the auditors it is produced responsible persons working in the entities, the management. The management of an entity produce the information; they are responsible for its underlying veracity. Between the employees and the auditors are the management who have the primary responsibility for the information that a given entity publishes. This is why all entities, here governments, must to disclose, in the summary of significant accounting policies or other notes, the judgments, apart from those involving estimations, that have made in the process of applying the entity's accounting policies and that have the most significant effect on the amounts recognized in the financial statements. Standards are produced to help provide additional guidance to ensure that the information is as reasonably accurate as possible.

IPSAS 3 is dedicated to Accounting Policies setting out definitions, specific principles, bases, conventions, rules, and practices that should be applied by an entity in preparing and presenting financial statements.

However, without a sound grounding in accounting technique and processes these definitions themselves are not sufficient. Those working in the auditing profession are trained in accounting and financial technique which whilst based on simple principles can become extremely complex, especially in an environment that must ensure that fiduciary responsibility and honesty is protected at all times for those who are third parties to the entity's actions. In the case of a country these third parties being what some call the "citizen shareholders", the debtors and creditors who interact with the entity on a daily basis in one way or another.

The Malawi government has developed sound financial manuals for both the central and local government which complement each other as the local administrations are subordinate to the central administration. These manuals are very complete and sound documents.

In these publications accounting principles are rules and conventions which are defined and must be applied by those working in all Malawian MDAs.

The principles presented are formulated in such a way that the practical aspects of the systems that are covered in the manuals are can be understood be all users. The accounting principles are and must be useful in coping with a practical recording problem. They must be objective, provide a similar answers and approaches to ensure common results. With the resultant financial reports being hopefully reasonably accurate with fiduciary responsibility fully respected.

STANDARDS ARE NOT LAWS

In some countries, such as the People's Republic of China standards have been laws, though this has changed. Standards have become as elsewhere rules and conventions for entities to follow. The aim is to present, not necessarily an accurate picture of a given situation, but a "true and fair" picture of a given situation.

"True and fair" does not mean accurate. This may seem paradoxical when accountants are meant to have systems that account every cent of a given transaction. Accountants have to make sure that the books are accurate which is true. This accuracy is a scientific method of agreeing individual accounts and their transactions with the same accounts and transactions as mirrored in the books of other entities. Bank accounts are a typical type of account that is used to validate data in a given system, so are debtors and creditors accounts. Amounts that cannot be identified and justified become indicators of issues and problems. This was the technique that the Venetians introduced in the sixteenth century, which has hardly changed till now. Now however, the digital world is introducing new tools of control, deep data, deep learning, artificial intelligence and block chain technologies. These will be discussed later for these will affect standards in the not too distant future.

The aim of standards is to ensure that the data presented in official accounts: Balance Sheets, Revenue and Expenditure accounts enable those receiving and analysing these to understand what the numbers are saying. It may sound trite, but the reports enable measurement and an appreciation of an entity's performance, assets, liabilities, intrinsic value, etc. All this helps people to make decisions. Where financial accounts use certain ways of doing things that is significantly depart from Standards, these methods must be fully disclosed and explained with demonstrations of how these changes affect financial data shown in the reports. All this has to be validated and audited by the external auditors. The aim being for them to be able to express their opinion on the validity of the information presented.

The information is not their information. It is the Entity's information prepared and presented by the Entity's management, their responsibility. The auditor is responsible for his opinion of the information. An auditor can give the information a clean bill of health, stating that the Balance Sheet and Revenue, Expense account, schedules, annexes and notes present a "True and fair view" of the Entity's situation at the given cut-off date shown on the Balance Sheet and of the results/ performance shown in the Revenue and Expense account, Cash Flow Statement, schedules and notes.

If this is not possible then the auditor will indicate that the opinion is qualified for a series of reasons, or go further to say that the complete set of reports is not acceptable and that these are misleading and incorrect. There are many things that an auditor can say. Any opinion that is not "true and fair" means that there are issues. If the auditor does not do the job properly in the commercial world of business then the auditor can be held responsible and financially liable, as in the ENRON situation.

In the world of governments the role of the auditor takes on a political aspect which can be quite uncomfortable. The Malawi "Cash Gate" event was such a situation. It is not the purpose of this document to go into this event. The serious nature is well enough known at all levels of the Malawi administration.

Nevertheless the State Auditor's current reports show that there are still numerous issues that engage a material amount of the nation's budgetary resources that remain unsatisfactory from the audit perspective. Auditors are not able to check one hundred percent of all transactions, at present; this will change with "block chain", deep learning and deep data as mentioned already. Their work is currently done on a selection basis generally using a randomly selected sample of transactions, offices, sites. Reports show that the samples identify over 5% of budget resources are subject to procedural errors, wrong accounting and resultant possible fraud. These values can then be extrapolated from the samples checked during the audit work to provide estimates for total government. When as is anticipated an audit will be able to cover 100% of transactions then this percentage could possibly rise into a serious double digit percentage.

The developments in Artificial Intelligence, machine learning, deep data and deep learning and block chain are all changing the way data is processed and handled. They open the way for the auditor's dream to be able to do one hundred percent auditing which is predicted to become a reality with accounting systems now in the process of being developed. All future financial information systems will be embedded with such tools. Many are already in place and functioning in the international financial systems starting with finance with crypto currencies and in the insurance industry.

ACCOUNTING PRINCIPLES AND SYSTEMS

Grasping the basics of accounting principles and systems Is important to understanding how information is stored, controlled, validated and categorised enabling the standards to be applied properly, whether these are Cash basis, modified cash basis, or accrual basis.

Accounting is basically the work of recording history. Book-keeping is the science and art of correctly recording in the books of account all those business transactions that result in a transfer of money, value in monetary terms, or money's worth within, or between entities.

There are seven basic concepts in underlying this "Science of accounting, there can be others and each Entity can define and declare its own specially related concepts. The Malawi financial manuals detail those related to Malawi. This manual starts with those underlying the art of accounting globally. These concepts are:

1. The Business Entity

All accounts are kept in respect of business entities which are distinct from the persons who own or manage these entities. Sometimes the law makes the same distinction, as in the case of a limited company which is a separate legal entity from the shareholders or its Directors.

In other cases the law does not make such a distinction, as in the case of partnership and sole traders, but even so, the books of account are kept so as to maintain the distinction.

In the case of companies, partnerships and accounts for taxation there are statutory requirements on the form and content of the accounts to be prepared and the accountant must, therefore, have sufficient knowledge of the relevant legislation if he or she is to account effectively. This is often referred to as statutory accounting in the profession.

2. Money as a Common Denominator

Accounting uses money to express certain facts about a business and its workings, in such a way that these can be added or subtracted. For instance, the ownership of plant or equipment worth MWK.10,000 can be added to the ownership of raw materials worth MWK.20,000 and a useful expression of the wealth of the business is obtained.

3. The Cost Concept

The resources acquired by a business are called assets and normally the price paid to acquire an asset is recorded in the books and forms a basis for subsequent treatment. The result is that at any moment of time the values recorded in books do not necessarily reflect the current value of the assets.

The income or revenue of the business is measured by the difference between the value obtained for selling its products compared to the cost of the resources used in making them. The costs not yet expended are shown in the balance sheet.

4. The Going Concern Concept

In most cases the accounting system will treat the values on the assumption that the business will continue trading. If a given business needs to be liquidated, or becomes bankrupt then a different approach to valuation is required, generally a value that is far lower than the "original cost" or "fair value" methods.

5. The Dual Aspect Concept

This principle is the central core of modern accountancy. All business events are regarded as having a dual aspect.

In the Balance Sheet, the dual aspect is static since it shows the state of the business at one moment of time. The accounts themselves are dynamic, since they record changes in the state of the business. The Balance Sheet is the statement of the position of an entity at a given date, similar to a family photograph at a moment in time.

A Balance Sheet shows on one side the assets being used by the business and on the other, the creditors being the sources of funds financing those assets. The sources are of two kinds:

y) Proprietors, owners capital, Shareholders Capital, or Government's Capital Value (This is one reason why accrual accounting is important)

(2) Liabilities or the claims of outsiders on the assets.

The Balance Sheet therefore takes the following form—

Liabilities + Proprietors' Capital = Assets in use.

Business Transactions represent a transfer of values. These values may be in the form of money, goods, or services and usually goods or services will be exchanged for money. In all business transactions equal values are exchanged. If XYZ buys furniture for MWK.400, he gives MWK.400 in cash and receives furniture to that value. If XYZ is to keep a double entry record of this transaction he must record each transaction in two accounts. In one will be shown value received, in the other, value given.

Accounts. An account is a form of record, originally kept in the general Ledger. In the old days of quills and paper accounting a page was taken for each account and the account was divided into two.

DEBIT (Dr)	CREDIT (Cr)
Value received	Value given

The debit side records value received; the credit, value given. In the case of Brown, above, the transaction would be recorded by debiting MWK.400 to his Furniture account and crediting MWK.400 to his Cash account.

Each transaction involves two entries in the same set of accounts, a debit entry and a credit entry. Every debit must have a corresponding credit, and vice versa.

Balancing individual accounts in an accounting system. Accounts may be balanced at the end of a period or at any-time when it is convenient.

The entries on the debit and credit sides of an account are unlikely to be equal. The balance is the difference between them. It is entered twice. Once above the line, i.e. above the totals. In this position it brings the smaller side to the same total as the larger. Once below the line, on the opposite side of the account. In this position it starts the new period of account.

Cash Account

Date	Details	MWK	Date	Details	MWK
1 Jan 2020	Captial	1,000	2 Jan 2020	Purchases	20
			3 Jan 2020	Expenses paid	10
			5 Jan 2020	Balance c/d	970
		1,000			1,000
06/01/2020	Balance b/d	970			

The Advantages of this Double Entry system. The double entry is based on Zero sum mathematics that is all transactions added together are equal to ZERO.

These advantages of this system may be summarised as follows—

z) A Complete Record of Each Transaction is kept. Any transaction with any third party entity is recorded by the system for example:

aa) When plant is purchased, wages paid, or discount received, etc., the business is affected in two respects by each transaction. As the number of transactions may be hundreds, thousands, millions each day it would be impossible to keep track of all these aspects through single records. Double entry not only keeps records of personal accounts for debtors (who owe value to the firm) and creditors (to whom value is owed) but it also shows gains, losses, and assets held.

ab) Internal transactions are fully tracked: depreciation, advances, and transactions between units of an entity, flows of value from one account to another e.g. depreciation of assets, revaluing of assets, inter-business unit/organisation movements, etc.

ac) Every type of transfer or movement of value, quantity that can be measured can be recorded accurately using this system[1].

ad) Enables Control of the Entity. As the information in the accounts covers all aspects of its affairs, day-to-day control is made easier, and it is easier produce reliable information reports for decision making purposes, to see the trend of the changes which are taking place all the time thus enabling choices for what to do next, how to adjust all manner of aspects of an entities activities in line with the objectives and targets set.

ae) Checks and controls on the Arithmetical Accuracy of the Clerical Work recording all the transactions relative to the entity's activities. Since every debit has a corresponding credit, the total debits must at any time equal the total credits. Whether this is so or not, is easily ascertained by means of a Trial Balance.

af) Preparation of Final Accounts and Balance Sheet. As the accounts contain full information, it is easy to prepare the accounts needed at the end of the year or at convenient interim times. These assess the present position and show how that position has changed during the year. With computers these can be instantaneous up to the date information that is in "Real Time".

6. The Accrual Concept

In accounting, the income accruing to the entity is not necessarily the amount of cash actually received in a period of account. Any event which increases the Entity's capital involves the accrual of income. Many difficult problems arise in deciding how much income has actually accrued in any period.

This work will look into some examples later with relation to government administrations. The commercial environment is pertinent to government as many aspects of government need to apply this concept, particularly to State Owned enterprises, utilities, etc.

Accrual of income is always measured over a period of time which is normally the accounting year, the matching principle. This year may be broken down into interim periods in which reports are made to management, the share-holders or in the case of government senior civil servants, country leaders, parliaments, elected political bodies, etc... Companies quoted on the Stock Exchanges for instance must publish interim statements of profits every six months. Governments must report to stakeholders at regular intervals.

Expenditure. Expenditure takes place whenever an asset or service is acquired. The acquisition may involve the immediate payment of cash, the payment of cash later or pre-payment. Again the accrual concept of matching expenditure to the correct time period plays a vital role.

Expense. Expenses are costs incurred in earning revenues. Those expenditures which may be charged against the revenues for a period will be considered as operating expenses. Expense implies a decrease in the Entity's capital base.

1 The Zero sum system is the underlying foundation for computers which are based on binary mathematics 0 and 1.

Cost. A cost is any monetary sacrifice whether or not this sacrifice has affected the Entity's equity base during a given accounting period. A cost is incurred when goods are produced, or services are provided, whether they are sold/delivered/provided or not.

Expense, on the other hand, is cost which has expired and been charged against revenues. The accrual concept is applied both in ascertaining the revenues for a period and in ascertaining the expenses to be charged against the revenues.

7. The Realisation Concept

Revenue is considered as earned on the day which is realised and this is when goods are transferred or services are provided to the customer in exchange for a valuable consideration, (This simple statement actually contains the basic ingredients of any contract: Something of value, being exchanged between two parties for an agreed value).

The recording accountants usually use the date the product is shipped to the customer or the date on the invoice, whichever is the later. Difficult problems arise in deciding, for instance, how far income from special arrangement transactions are agreed and used.

ACCOUNTING CONVENTIONS

Since the accounting concepts outlined above permit many differences in their application to actual circumstances that do occur, three conventions are generally observed in interpreting them. In accounting almost everything is a matter of interpreting, understanding. Standards themselves, and it is important to grasp this point, have to be interpreted and adapted to the given circumstances. This is why when an entity produces its financial statements the MANAGEMENT must explain the notes how they have interpreted the standards with clear reference to each number shown in the Balance Sheet, Revenue and expenditure account and Cash flow statement, which should actually be called a Sources and Applications of Funds statement. Cash flow is a misleading title which will be explained later.

1. Conservatism. The first convention is that whilst the accountant will be prepared to anticipate possible future losses, the said accountant should not be prepared to bring into account possible future profits however likely these may be recording should be accurate and conservative. Obviously this cannot be carried to unreasonable ends, that are fraudulent ends, but wherever a decision is to be made on the valuation of assets the accountant should generally decide in favour of that valuation which underestimates the profits or the balance sheet values of the entity.

2. Consistency. This means that whilst certain alternatives or methods are considered equally acceptable, the accountant once having adopted one such method. The accountant must follow that method over a reasonable period of time. For example: In the short run one method of stock valuation may result in a higher profit for an entity but in the long run the profits shown will tend to be the same whatever the circumstances. Whilst changes of methods may be made it is accepted that these should neither be made frequently, nor for the purpose of misrepresenting the profits of the firm. Also any such changes during an accounting period, or between accounting periods, MUST be reporting in the notes accompanying audited financial statements, again management's responsibility, not the auditor's.

3. Materiality. This means that the size of an amount will influence the accountant's treatment of it in the books of account. Cumbrous controls and procedures should not be applied to items of small importance. Similarly, in presenting final accounts and balance sheets of a large entity the figures will be rounded off to the nearest thousand, even million and even billion. Relatively small value items may be lumped to-

gether for balance sheet purposes if the value is relatively small in relation to the other assets. Some firms use "whole monetary unit" accounting systems in which all items are rounded off to the nearest monetary unit, say SDRs (Special Drawing Rights)[2]. In management accounting it is usually better to have early results rather than to wait for more accurate results which come too late to influence management decisions.

ACCOUNTS

An account is even with IT systems known as a ledger record, in a summarised form, of all the transactions that have taken place with the particular person, entity, unit or value specified; as J. T. XYZ's account, Plant account, and Salaries account. There are two main divisions of accounts:

1. Personal Accounts comprise both debtors and creditors. Debtors are people or entities who/which owe money, e.g. persons/entities or to whom the entity[3] has sold goods or services. Creditors are people/entities to whom money is owing, e.g. persons/entities from whom the entity has bought goods or services.

2. Impersonal Accounts include both real and nominal accounts.

(a) Real or Property Accounts are those that refer to assets; such as plant and machinery, stock-in-trade (inventory), cash, etc.

(b) Nominal Accounts are those that relate to gains and losses; such as discounts, wages, rent, rates, sales/revenues, purchases, etc.

Some accounts though impersonal in name are really personal in significance. For instance, the Capital account and Drawings account are personal accounts either of the proprietor of the business or of the partners who are creditors of the concern for the amount of their capitals, and debtors to the extent of their drawings. An account for outstanding items, though impersonal in name, is really a personal account, being merely the account of unnamed creditors or debtors.

Some accounts are both real and nominal; as, for example, the Sales/Revenues account, which is a real account so far as the goods/services/collections themselves are concerned, but nominal in relation to the gain or loss arising from these flows.

NATURE OF LEDGER BALANCES

Debit Balances. The debit balances in a ledger may be classified as assets, expenses, or losses. If they denote debts, or tangible expenditures, such as plant, fixtures, etc., they are assets. If their value expires in the accounting period they are expenses or losses.

Credit Balances. The credit balances that are in a ledger must be either liabilities or gains. If they denote indebtedness, e.g. accounts payable, they are liabilities; if they represent income, such as a discounts received, they are gains.

The above distinction is of the utmost importance in the preparation of a Profit and Loss Account and Balance Sheet, as gains, expenses, and losses are entered in the former, and assets and liabilities in the latter.

The distinction between Revenue and Capital is important in accrual accounting and will be expanded at a later stage

2 SDRs are the IMF monetary unit and is now used by some very large entities and governments.

3 An entity can also be a MDA, or any government related administrative unit: embassies, municipalities, hospitals, utilities, etc.

Revenue items are those the full benefit of which is received in the normal accounting period, e.g. rent, wages, etc.

Capital items are those the benefit of which is received over a number of accounting periods, e.g. plant, equipment, etc.

Capital and revenue items must always be recorded in separate accounts.

QUESTIONS *that can be used to start group participation and discussion.*

1. *Define "book-keeping." What are its objects?*

2. *What is capital? What is a deficiency? Explain the terms "trading," "fixed," "floating," "circulating," and "working" capital.*

3. *What are "assets"? Explain the following terms: "fixed," "current," "liquid," "wasting," "fictitious" assets. Give examples showing that "fixed" assets may sometimes be "current," and vice versa.*

4. *What is meant by an "account"? What two main divisions of accounts are there, and how are they subdivided? Explain what is meant by "real" and "nominal" accounts and give examples of them. Show by means of examples bow some impersonal accounts may be personal in meaning, and also how some accounts may be both real and nominal.*

5. *Explain briefly the dual aspect theory of accounting the "debit" and "credit."*

6. *What are the principal advantages of "double entry"?*

7. *Explain the signification of the debit and credit balances in a ledger. Why is their proper classification of great importance?*

Accounting Methods. The most widely used accounting procedure is the double entry method. However, the dual aspect principle is a powerful analytical tool which can be applied to data irrespective of how it was collected. Forensic accounting works with the assumption of incomplete data, this technique has many other purposes, for instance the tax authorities; Customs and excise, transfer pricing, etc.....

Manual Methods to Mechanisation. It seems difficult to believe that less than fifty years ago many major entities used completely manual sets of accounts. Then they completed their records by multiple manually driven posting methods, which enabled simultaneous entries to be made into accounts and various subsidiary records at any one time.

Now this is very rare, mechanisation went through a process of accounting equipment, punch card based mainframes and now to computers with increasing sophistication. All eliminate many laborious and time-consuming procedures of entering each item in two accounts. Soon this will be further changed with Block Chain, AI, Deep Learning and Deep Data. However and here is the main point of this section, ***despite these developments there is no substitute for a full understanding of the dual aspect principle to enable the accountant or analyst to thread his way through the maze of data which a modem business requires***. This is often not fully understand and integrated causing many of the issues noted in audit reports, particularly in major government type administrations.

Systems Design. Today most entities use computer based systems. For these are to be used effectively, it is necessary to ensure that the entity has well-designed systems, procedures, methods and all users a sound understanding of basic principles and what such systems can do.

A system is a complex set of relationships between a numerous components. These components may be managers, or resources such as materials or facilities such as plant and machinery. Every entity should be regarded as a complex system with sets of systems and sub-systems, interrelated to a greater or lesser degree.

A procedure is the set of clerical/user activities through which an entity's activities are controlled and which provides information to management.

Methods are the means by which the system is implemented.

An effective system design should be based on an overall view of the entity, down to its smallest identifiable business unit and should provide information for all users of the system whilst eliminating any overlapping and maintenance of duplicate records.

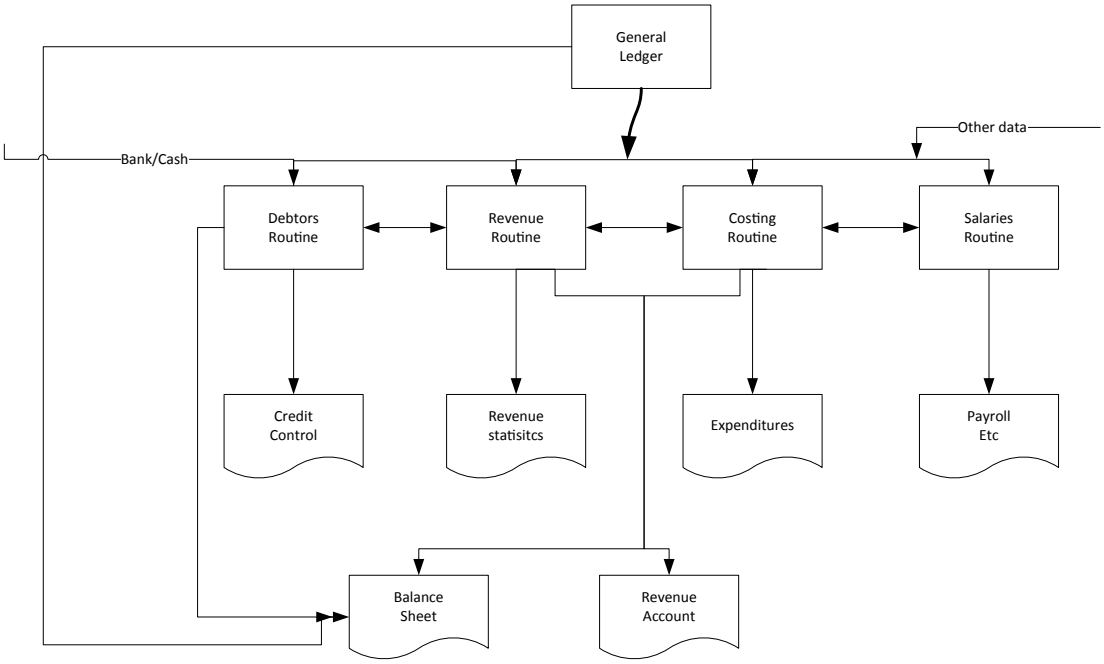


Figure 1: illustrates one part of a typical Commercial Off The Shelf accounting. A system for business.

DOUBLE ENTRY BOOK-KEEPING

Whilst the system being described may seem antiquated, all accounting systems are designed from the platforms/books that are described. More importantly the administrative systems by which governments function world-wide are based on this seemingly "old fashioned" system, developed and put into place by the Mongols. The Mongols were the first to use paper records. This was adopted and refined by the civil service administrations during the first industrial revolution. Then the books utilised for book-keeping fell naturally into two divisions:

ag) (a) **Principal Books**, namely General Ledger and Cash Book. These are the main books and those in which the double-entry system of accounts is kept. The cash book contains the cash and bank accounts. All other accounts are in the ledger.

ah) (b) **Subsidiary Books**, or books of first or original entry such as Journal, Purchases Book, Sales Book, etc. Many details are recorded in these books, before the amounts concerned are entered in ledger accounts.

The journal was the only subsidiary book, at first, and the others were split off from it later.

ai) **Statistical or Memorandum Books**. These are books in which are entered the numerous details connected with the business operations which cannot conveniently be recorded in the other books. Examples of these are: Statistical data, Policy Registers of an insurance company, Cost Books and Stock Books, etc., of an entity.

They are similar in purpose to subsidiary books, except that items are not posted from them to the ledger, today all this information can and is often linked with audit trails.

PRINCIPAL BOOKS

General Ledger

Nature and Use. With the cash book, the general ledger is the principal book of account. These two contain all the accounts of a business and are kept on the double-entry system: all transactions affect two accounts:

- One is debited (receives value)
- The other is credited (gives value).

Ledgers. Many different types of information were and are captured: date, transactions details, folio, and amount, departments, foreign currencies, quantities, types of expenditure and so on.

Indexes now transaction or journal entry numbers are used to facilitate reference to the accounts contained, each ledger is has indexes. Once upon a time such ledgers were bound books, valuable books as they contained all the entity's financial history, now these are data bases and soon documents will be replaced with Block Chain electronic documents.

This General ledger was and still links to Sub-ledgers, examples:

Purchases, Bought Ledger, Creditors Ledge,

Sales, Sold Ledger, Debtors Ledger.

Impersonal or General Ledger, which contains the real and nominal accounts. The term Nominal Ledger is sometimes applied to this ledger; but this is inaccurate, since such a designation should, strictly speaking, embrace only those accounts that relate to gains and losses.

Private Ledger, which contains the Capital account and Drawings account of the proprietor or of each of the partners. It also contains the trading and profit and loss account and balance sheet for each half year, or year,

Sub-ledgers could and were created to need information and control needs for all types of categories: Bills Receivable, Bills Payable Ledgers, Agents Ledgers, Branch Ledgers, Consignment Ledgers, Investment Ledgers, etc., each entity adapting the division to meet its own particular requirements.

Bank Cash Book

Nature and Use. This is really part of the General Ledger, the principal book. In modern systems it is still one of the main pillars for it is part of LIQUIDITY, or more simply "How much cash resources do we have?"

The Bank cash book consists of the cash and bank accounts taken out of the ledger and bound separately for the sake of greater convenience.

It is also a book of original entry, as cash receipts and payments, which in modern systems are linked to all types of account sets.

Posting to Ledger. All items in the bank cash book (excepting balances and contra entries) are posted into the General Ledger. Whilst this may seem trite it is important to ensure that the receipts on the debit side of the Bank Cash Book are posted to the credit of the ledger accounts affected; and the payments on the credit side of the cash book are posted to the debit of the ledger accounts concerned. The cash and discount are frequently added together and posted as "Cash, etc."

Reconciliation Statement. This is a statement drawn up so as to agree the bank balance as shown by the Bank Statement. The process of reconciliation is one of the main controlling mechanisms in any accounting system. As the Entity's Bank Cash Book balance rarely agrees with a given bank statement the different balances need to be agreed. This agreeing process is called a reconciliation. It enables the Entity users to identify the transactions that create the difference. These can be examined to be sure that they are valid transactions and still relevant. Once this is completed satisfactorily then the Entity can be certain of its bank resources. The reconciliation is one proof that the Entity's accounting books are in order. A very simple example is shown below.

RECONCILIATION STATEMENT

Details	MWK	MWK
Bank balance as per cash book		550
Add Cheques, etc., paid in, not credited		67
Deduct: Payment/s		617
XYZ	23	
Add : Deposit/s not Credited		
ABC		49
Bank balance as per cash book		568

Where the balances are overdrafts the position is of course reversed, cheques paid in but not credited being deducted and those not presented for payment being added. Items such as bank charges frequently appear in the bank statement and in practice are immediately entered in the cash book and a new balance struck before the reconciliation is attempted. For examination purposes this cannot be done, and the effect of such items must be allowed for in the agreement by cancelling their effect on the bank statement balance.

Trial Balance

An entity's Trial Balance is a schedule or list of balances, both debit and credit, extracted from the accounts in the ledger, and including the cash and bank balances from the cash book.

Object of the Trial Balance. Under double entry, the total debits in the ledger must be equal to the total credits, and the trial balance is the recognized method of ascertaining whether this is so or not. It is proof that the "Zero sum" based system is working correctly. The trial balance, being a summary of the ledger, is also used as material for preparing the trading and profit and loss account and balance

Ways of Constructing a Trial Balance. A trial balance can be constructed in two ways:

aj) by means of totals,
ak) by means of balances.

The first method is rarely used. The usual method is to take out the balances of accounts, ignoring those accounts in which the amounts on the one side correspond with the amounts on the other side.

Some entities, however, take out the trial balance in compound form, i.e. the totals and balances side by side. It has the advantage of revealing compensating errors, for the total of the debit column of the trial balance must then agree with the total of those subsidiary books that are posted to the debit of accounts in the ledger together with the closing cash balance but omitting the cash balance in the opening entries; and the total of the credit column of the trial balance must likewise agree with the total of those subsidiary books that are posted to the credit of accounts in the ledger.

Where, after repeated attempts, the totals of the trial balance cannot be made to agree, the difference is, in practice, put temporarily to a special account entitled "Suspense Account," or "Error in Books," to await developments. The adjustment of such errors when found can then be dealt with in a subsequent period.

Trial Balance not an Absolute Proof. The trial balance is a proof only of the arithmetical accuracy of the postings; and even so, it is only prima facie evidence of such accuracy. Certain classes of mistakes, as under, are not shown by the trial balance prepared of balances only:

1. **Omission of Entries**. If both the debit and credit entries of a transaction have been omitted, the trial balance will not be affected, and will not, therefore, reveal the error.

2. **Compensating Errors**. If one account has been under- or over- debited or credited with a certain amount, say MWK20, and another account has been under- or over- debited or credited with the same amount, it will not prevent the agreement of the trial balance. Hence, the error will not be seen through the Trial Balance.

3. **Mis-posting of Accounts, or Errors of Commission**. If MWK100 has been posted to the credit of ABCDE instead of to the credit of TUVXY, or if MWK50 has been debited to GHIJF instead of KLMNO, such a mistake does not throw out the trial balance.

4. **Errors of Principle**. If an item of revenue expense is debited to an asset account (or vice versa), the error does not affect the agreement of the trial balance, and thus is not revealed.

Common Errors in Trial Balances. The reason why the totals of many trial balances cannot be agreed at the first attempt is very often due to one or more of the following errors:

1. Debit balances in the ledger having been entered in the credit column of the trial balance, and vice versa.

2. Balances missed in extracting lists of debtors or creditors.

3. Bad figures.

4. Errors in calculations when "striking" the balances.

5. Transposition of figures—: MWK18 for MWK81, MWK7-81 for MWK1*87.

6. The purchases book and sales book totals not posted to the purchases and sales accounts respectively.

7. The discount totals in the cash book either not posted to the Discount Account, or mis-posted, the sides being frequently reversed in error.

8. Cash and bank balances, as per the cash book, omitted from the trial balance, or entered in the credit column instead of the debit, an error caused by the balances on the credit side of the cash book not having been brought down to the debit side thereof.

The sight of a trial balance which disagrees may be very unnerving. Often a rather wild search often ensues (probably in the hope of "stumbling" across the error). It is not a difficult task to prepare a plan of action in such an emergency and the following is recommended:

1. Add up both sides again; there may be an error in the addition of the trial balance itself. Spreadsheets invented by accountants not programmers have been a boon in dealing with this problem.

2. Find the actual difference and divide by two. If this new figure is to be found in the trial balance it is almost certainly on the wrong side. The placing of a figure on the wrong side throws the trial balance out by double the amount.

3. Check for "transposed" figures, e.g. 39 instead of 93. If the Trial Balance difference divides by 3 then somewhere in the system there is at least one transposition error!

4. Glance quickly through for obvious errors such as capital, goodwill, stock, and cash balance on the wrong side, and see that discounts have not been overlooked.

5. Check the figures again from the ledger and cash book but this time total the items, divide by two and try to find sufficient credit items to equal the figure obtained. The other balances will be debits.

Construction of Trial Balance from List of Balances. Examination questions are sometimes set asking for the preparation of a trial balance from a given list of balances. This means that the items have to be sorted into debits and credits, the totals of which must agree. The procedure is not so simple as it looks at first sight. The following rules will be found useful—

1. Assets, losses, and expenses are debit balances.

2. Liabilities, gains, and profits are credit balances.

Thus:

- Purchases, wages, rent, etc., will be entered in the Dr. column of the trial balance; and
- Sales, discounts received, interest received, etc., will be entered in the Cr. column. Again,
- Stock, plant and machinery, bills receivable, etc., being assets, will be placed in the Dr. column; while
- capital, loans, bills payable, etc., being liabilities, will be placed in the Cr.

In items such as:

- Interest and discount it should be stated whether they have been received or paid; while the
- Balances of personal accounts must be indicated as either Dr. or Cr.

Sometimes the two sides of the trial balance do not agree by a large amount, and if there is no capital mentioned, the difference should be entered as such.

In some cases, the difference is goodwill.

SUBSIDIARY BOOKS PETTY CASH BOOK

In many firms, it is convenient for various responsible persons to hold a small amount of cash from which they may pay out small sums of money. This is known as "petty cash."

Imprest Systems. A common method of keeping the petty cash is what is known as the "Imprest System." Imprest means of which a certain sum of money is definitely "retained" or "held" for petty cash expenditure. At the end of the month a cheque is drawn for the exact sum spent, so that the imprest amount is always in hand at the commencement of each month. The expenditure is recorded in a tabular, today a spread sheet in many cases, petty cash book, and at any time the person responsible must be able to produce cash or vouchers explaining how the difference has been spent. A column is kept for each type of expense and the totals posted direct from the petty cash book to the expense account in the general ledger. Other methods of recording petty cash are also used.

Journal: The Journal or Day Book as originally called being used as a daily record into which all transactions were entered, classified into debits and credits and then posted or entered in the ledger accounts. In modern IT systems this is a central control tool too, history is useful you see in understanding why systems use terminology and have certain features.

Each transaction has even today a short explanation of the nature of the transaction; also today systems automatically number each transaction with a unique number. This is particularly so in the case of correction of errors as the nature of the entries would not otherwise be clear. For examination purposes a narration is essential.

Posting the Journal. When the journal entries have been completed, they are posted to the ledger.

Documents

All systems depend on documents. Soon these will become digital and block chain identified to prevent any possible change.

Every entity has its own peculiarities and will use forms designed to meet its own needs. However, being linked to the outside world an entity will need to handle third party documents such as:

Invoices. The invoice states the quantity, price, and value of goods supplied in a transaction. It is sent by the seller to the buyer, and usually states the discounts allowable (trade and cash) and the terms of trade (the conditions under which payment is expected).

Debit Notes. A seller uses a debit note if, for any reason, the amount stated on one of his invoices was too little. He will not send a new invoice, but merely send a debit note for the difference. Similarly, a purchaser who is returning goods to the seller may send a debit note with them to show that he expects the seller to bear the charge.

Credit Notes. The credit note is sent by a seller when the amount stated on one of his invoices is too large.

Statements. Most firms send out a monthly statement to debtors. It shows the value of goods invoiced, plus debit notes, minus credit notes and amounts of cash paid, with the balance owing.

E. and O.E. Most documents are sent out on this basis—errors and omissions excepted.

Many other documents may also be used for Warehouse Notes, Advice Notes, Delivery Notes, etc...

Malawi's Financial manuals

The Malawi financial manuals Accounting Procedures Manual (APM) and the LA Accounting & FM Procedures manual lay out the accounting policies that all are required to apply across the Malawi administration. They are well written; explain matters very comprehensively and completely for the Malawi context.

Malawi has put into place the necessary documentation and guidelines as required by IPSAS which require a government to outline its accounting policies when presenting its accounts to enable those reading the accounts produced to understand the bases upon which the accounts have been established. The manuals cover all these aspects. It is not for this paper to go through them as such. The venue for this will be through workshops and capacity building sessions-

The manuals do a most important task they set the stage for a government and its entities to set out the particular methods that it has adopted to meet IPSAS requirements.

The APM states things clearly:

"Accounting Policies, Concepts and Operating Principles are essential in any accounting and financial management environment. They guide and form the basis of maintaining primary books of accounts, and standardization in preparation of financial statements and reporting thereof. Policies and concepts guiding accounting and financial management in government are discussed below. "

Adding an important additional point

"In the absence of specific accounting standards or policies, Controlling Officers are urged to consult the Accountant General for advice."

Then the manual explains for Malawian government entities the definitions from the Malawi standpoint, which is perfectly correct for IPSAS:

Accounting Policies

Financial Year Accounting Convention Basis of Accounting Cash Basis IPSAS Revenue Expenditure Funding Releases	Bank Reconciliation Commitments Virements Non Finance Assets Asset register Depreciation	Stock and Consumable Stores Foreign Currency Transactions Opening of Bank Accounts Bank Accounts Cash Flow Statement Expenditure/ Revenue Returns Arrears

Accounting Concepts

The Going Concern Understand-ability Relevance Materiality	Reliability Commercial Substance over Legal Form Neutrality Prudence	Completeness Comparability Accrual Basis of Accounting Revenue Recognition Principle

Cash basis versus accruals basis

When working in a government environment, the concept of accruals is extremely hard to put over because there is a problem with the "Mind-set".

The word "Mind-set" is deliberately chosen because in government the "Mind-set" is all about budget, not about money.

Money is secondary. It is only needed to pay certain categories expenditure for instance money is needed to pay for example salaries every month. Yet those same salaries cannot be calculated without am approved budget. The "Mind-set" for Governments and government agencies is based on budget as being the money.

It is only when actual money resources run out that there is a sudden realisation that money is an important factor. This is a fundamental difference between government and the private sector.

All private sector businesses constantly appraise their monetary resources to exist. Governments simply think in terms of raising additional liquidity one way or another as they move forward. In business this has to be constantly the basis for all actions.

Government can go broke, yet rarely do they go into liquidation. Businesses can and do disappear. Government organisations can always lean on the taxpayers or hope to identify some stakeholder who can bail out a government institution or government itself. This has led to a "Mind-set" which only thinks in terms of a budget. How much budget do we a government need? This is then legislated as a law to cover all the expenditure that the "Mind-set" has decided. This "Mind-set" leads to a constant cycle as shown in the diagram below.

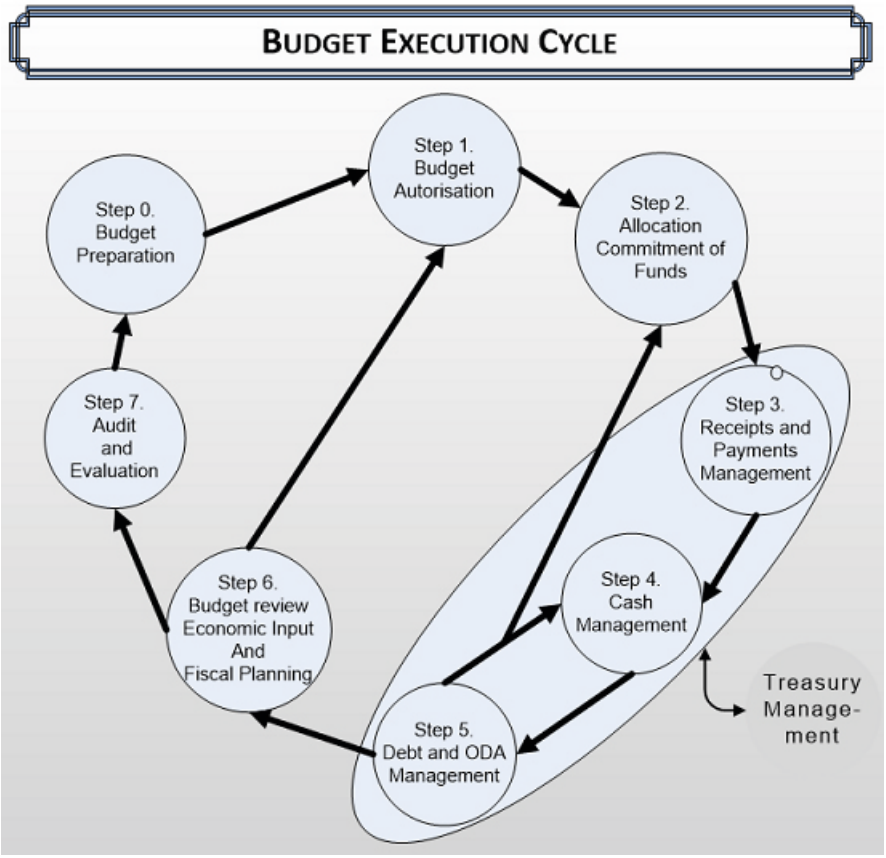


Figure 2: A Government Budget Cycle

Accounting standards as explained in the section "Why Standards?" standards have been designed by the profession to protect shareholders, creditors, debtors, financial institutions, and the public at large from unreasonable misleading financial information to prevent unsettling financial crashes.

This is why the standard on IPSAS cash Appendix sets clear guidelines and timeframes for the presenting of financial information and to move towards accrual accounting, being the only true and fair representative presentation of financial information for a given entity.

Governments and their MDAs do not quite work in the same way as the private sector which is why IPSAS, IFAC and other organisations exist supporting this special financial environment. However, the foundation for all lie with the common standards now called IFRS the last in a long pilgrimage towards better and more reliable financial data and information.